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Call: Aug 2022

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CSD/BSE&NSE/CC/2022-23
August 16, 2022
To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001 To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter ended June 30, 2022
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2022 conducted after the meeting of Board of Directors held on August 8, 2022.
The above information has been uploaded on the Company's website at
https://www.suvenpharm.com/index.php/investors/financial-info/quarterly-release
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K Hanumantha Rao
Company Secretary
Encl: as above

Suven Pharmaceuticals
Q1 FY23 Earnings Conference Call Transcript
August 08 , 2022

Moderator : Ladies and gentlemen, good day, and welcome to the Q1 FY23 earnings conference call of Suven Pharmaceuticals Limited. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you. And over to you, Sir.
Rishab Barar: Good day everyone and thank you for joining u s on this call to discuss the Q1 FY23 earnin gs for Suven Pharmaceuticals. We have wit h us Mr. Venkat Jasti, the Managing Director and Mr. Venkatraman Sunder – Vice President, Corporate Affairs, and Mr. Subba Rao, CFO of the Company .
Before we begin, I would like to mention that some statements made in today's discussi on may be forward -looking in nature and may involve risks and uncertainties. Documents relating to the Company's performance h ave been mailed to you earlier.
I now request Mr. Jasti to share his perspectives on the performance and outl ook. Over to you, Sir.
Venkat Jasti: Thank you, Rishab. Thank you everyone for tuning in and good evening to all. As you know , Suven results will not be comparable quarter -on-quarter basis, because of volatility and the natu re of the business . If you see on a quarte r-on-quarter basis there is less growth in revenue . But compared to the last year same quarter we might see a better growth in terms of revenue, EBITDA, profi tability and on all aspect s.
Last year was a very good year for us, as you know some of these old molecules which were repurposed f or the COVID as inspirational sales . Also there is one

other COVID molecule which was launched by the global innovator. So , those sales were there . As you know , because it was the pandemic, you may not get that every year and that maybe consider ed as a one-off thing , but filling that gap we feel itself is going to be a task for us . We are hopeful to meet the numbers delivered last year.
One thing I want ed to bring up is, there are increased cost due to logistics as some of the raw materials especially solve nts is going up and the higher inflation all these are affecting the profitability marginally , but we should be able to maintain the profitability even more or less under these trying c ircumstances.
As I was telling you last year results are because of the COVID related activity and all the stuff , this year will be a transformation year because the global innovators

 themselves are now coming back t

o the original role of inventing mol ecules for all other diseases rather than concentrating only on COVID molec ules. So, there will be a small gap, and because I only have six months' visibility, I can tell you right now that whatever we deliver will be similar to last year's performance filling in the gaps of those lost to COVID . But we hope in quarter three we wi ll have a better idea on how that will ramp up as the last year's numbe rs.
The second thing I want to mention is that the quarter -over-quarter revenue growth was a little bit lower this quarter due to slightly lower payouts in the speciality chemicals and formulations. However, this will continue to ch ange in other quarters anyway.
As you know , we have our Casper in April , and we were telling you last time that few months later we should have the inspection done by the US FDA and I am glad to inform you that 29th of July the inspection was carri ed out by the US FDA and as the inspection passed without any observations and already , we have filed ab out four ANDAs and the gold days will start from March 2023 onwards. So the revenue accretion will take place onl y post that and another ten will be fi led within this year and so the revenue generation from Casper will happen in 2023 -2024 timeframe . If at all are passed it may come this year, but this is the natural progression and we are happy that things are going well without an y delays and in general things are better . As I was telling you getting the new projects is a little bit slower because of the transformation process from the big pharma and we will know by November - December timeframe when the new budgets a re taken c are of b y the pharma then this will be based on the talks we have with the customer a s it will be coming back to the normal and we do have a good traction in the CDMO.
So, I just want to give you these qualitative things and then I will look forw ard for your co mme nts and questions, so I can answer you better.
Moderator: Thank y ou. Ladies a nd gentlem en, we will now begin the question -and-answer session.
The first question is from the line of Sudarshan Padmanabhan from JM PMS .
Sudarshan P : My ques tion is on the cost as you had talked in the first quar ter and also in the opening commentary that raw material cost, the solvent cost as well as the transp ortation cost being higher. My question to you is when you are look ing at it from a trajectory persp ective how does the cost look when we are in the second quarter, have we seen some kind of cost coming off and how are we pla ced on this side?
Venkat Jasti: Not that much difference we see, I mean, whatever it is taper ed down compared to earlier quarters , but it is still continuing.
Sudarshan P : My second qu estion is we are embarking on this capex Rs. 200 crore annually and that has also, you had mentioned that one of the special ty chemicals post the commercializat ion later this year a bunch of pharmaceutic al CRAMS products which are in the late stages can get into commercial. So if you can give some color, I mean, I am not talking about on a quarter -to-quarter basis, but when we take say the next two to three years , as we talked about Casper is gaining some momentum going forward say from FY2024, but specifically from the pharma CRAMS and special ty CRAMS, how do we see the commercialization gathering momentum especially in the light of capex ?
Venkat Jasti: It is not in our h ands as I was telling every time t his is a success of the molecul es that the clinical trial will give us the opportunity to the big product. Even the

 customer will not be knowing the results until the end of the trial is over . As of now there is no indications but going by the past few years the traction is much better and sometimes it can happen two or three molecules can go in a quarter or not sometimes two, three quarters nothing can go out so.

But in general the seamless transitionary projects are happening and with the new budgets comi ng in a t the end of the year by the R&D focus and going forward with all the other indications and the COVID and based on the talks we had that it is naturally the tract ion and hopefully the success of the molecules tha t the clinical trail will give. So I cannot give you anything quantitatively, but qualitatively we are very confident that things are moving in the right direction, but quantitatively I cannot give because I do not have any data neither my customer has the data.

Suda rshan P : Can you share how much of molecules on the CRAMS and specialty are in the late stage which can potentially get into the commercialization.

Venkat Jasti: Again as I see the number has no meaning i n this place, I mean, if I say 100 and only 15 to 20 are only giving you the r evenues . See it is not a percentage split like in generic . It can give you a zero to one as there is no in -between. So number o f molecules has no mean ing because i t is only t he mix and match it is the one that gives us some sense and also the continued rev enue generation from the ordinary market products but giving you a guidance based on how many will convert and al l that the stuff is as very big task and we d o not hav e a clear picture on that neither do my c ustomers.

Moderator : The next question is from t he line of Ankush Agarwal from Surge Ca pital.

Ankush Agarwal: Firstly, in your opening comment , you mentioned that last year we had some COVID led extra revenues and this year the organic growth would largely lead to filling up the revenue s that wo uld not be there. S o would it be able to quantify how much of FY2022 revenues were because of the spike which would not be available this year ?

Venkat Jasti: About Rs. 120 crore.

Ankush Agarwal: Which quarters we saw that impact b ecause I remember last q uarter of Q4 FY2022 asking you this question is the higher growt h of 40% that we were seeing for last two quarters if that had some impact of COVID, but you mentioned at that time you know that this is broadly not COVID led growth t his is largely organic g rowth. So what change d that?

Venkat Jasti: No it was all the qua rters and the third and fourth quarters are a little bit higher especially fourth quarter but what I am saying is the organic growth will fill that ga p that is what based on the exiting orders and also based on the c ommunications we have and the CDMO busin ess.

Ankush Agarwal: Secondly on the Casper business now we have this approval in place , and you also mentioned that the timeline when we start seeing revenues so would it be possible to share more col or on the kind o f opportunity that i s there for Suven in terms of the end market price that we have filed?

Venkat Jasti: See we are not go ing after the big blockbusters, we keep telling you, I mean these are the niche molecules and they are small volume mo lecules , and the total number will b e filed by 14 to 15 in Casper itself . Out of that , four are already filed where the inspection has taken place the goal is that it will get start ed in March 2023 o nwards . And one maybe before that , so at this time it is very diff icult for me estimate because until we g et into t he year or two before we can not give you a quantification.

 Ankush Agar wal: But sinc e not molecule specific in terms of end market size. What d o we think Casper would bring for Suven in three, four, five y ears some guidance on that ? In one of the interv iews you mentioned that it could be a Rs. 300 crore?

Venkat Jasti: While the year 25-26 comes it will be aro und Rs. 300 to 400 crore we expec t the formulation business to derive.

Ankush Agarwal: Just a clarification lastly on this so this is the pure profit -sharing model right we are not getting any manufacturing model properly , so it is not

a CDMO kind of thing?

Venkat Jasti : You we get both put together the sales price which is cost plus and also the product sharing.

Ankush Agarwal: And in what kind of perce ntage is that Sir i s it like normal 50, 50 or slow?

Venkat Jasti: No it is keep ch anging it depending on the molecule.

Moderator : The next that is from the l ine of Darshit Shah from Nirvana Capital .

Darshit Shah : Congratulations for the goo d results for this quarter. Sir you quantified that around Rs. 120 crore last year was due to this COVID drug. Could yo u tell us roughly how much was if at all it was in this Q1 if there is any contribution for the COVID drug?

Venkat Jas ti: We a re not giv ing drug by drug that’s why we are only giving you the combined because it does not make sense to give some thing which is not going to be repeat ed and then again people just put in Excel sheets , compare and then we will not be able to meet that. So the best thing is to give you the combined because especially the COVID related drugs as I said last tim e it is a one-off kind of thing

one off means the one year something like that.
Darsh it Sha h: Only I wanted to under stand because you said out of that Rs. 120 crore major contribution came in third and fourth quarter. So if you look at Q1 number currently versus last year's Q1 we have done fairly well, and we have grown around 30% year-on-year so just wante d to have a s ense on that ?
Venkat Jast i: See we cannot compare say like the generic things where we have same product to give and so you cannot compare wi th that with this product mix change will be there and the valuations of the pro ducts will also be there, and the s tage of the product also is the re so ma ny variables so you cannot compare , year-on-year yes but not quarter -on-quarter.
Darshit Shah: Sir if you look at our annual report this time you are talking quite a bit about f orward integrating where we want to make intermediates to more intermedi ates and generic APIs and also to lifecycle management services products , we have our global innovators . Also, we have been tell ing that we are in conservation and that we have the plan but that has been delayed due to COVID so where does it stand now and how th at pa nning o ut?
Venkat Jasti: We are restarting that activity with our customers the travels has not started yet and the act ivity which we are starting now hopefully will culminate into their trial in India so tha t they can start the activity. So we h ave started all over again.
Darshit Shah: But do you see this to be a very good opportunity that you can materialize over next two, three years ?

 Venkat Jasti: Yes, it takes a lot even for any change with the innovator it takes at least minimum of three years before y ou see any tactical research, so we hope , unfortunately when we started this activity way back because in 2019 a nd in 2020 we came in and we lost 2020 -2021 . So I think 2025 timeframe we should be able to hopefull y get some kind of traction into th is kind of activity of forward int egrating it and offers the life cycle management.
Darshit Shah: My last question is how much there is cash in books lie after paying off Casper around $20 million ?
Sunder Venkatraman : We have Rs. 380 crores now.
Moderator: The next que stion is from the line of Abdul kader Puranwala from Elara Capita l.
Abdulkader P: My first question is on the CDMO side. From the last two quarters , if I just look at the quarterly sales and revenues , we are a t close to Rs. 210 crore so since just to better understand best sort of a revenue available whethe r it is for chemical molecules which are driving the things or there are some traction what you have seen on the commercia l side again , I am no t thinking of any specific numbers but directionally if yo u could tell it would be useful?
Venkat Jasti: It is a c ombination . It is a

60/40 tilting towards the commercial.
Abdulkader P: Secondly on your guidance so earlier you have b een guiding for a mi d-teen 10% to 15% growth so are we still maintaining that on the Rs. 120 crore base value you have or excluding that we are maintaining the guidance ?
Venkat Jasti: No, as I mentioned in my earlier opening statement , last y ear which is becau se of COVID whic h is to the tune of Rs. 120 crore, filling that gap itself on organically is a challenge for us and we are hoping that it will be done but 10% to 15% growth we have not given this time because as I said this is a tran sformation year no t only for us but al so for the custome rs who are mainly focused on the C OVID is now coming back into the main field into R&D so tha t will give us a traction into the new projects and that will give you things in the end of third quarte r I guess we will be able to give you much better growth as of now we are sticking to the last year's numbers.
Abdulkader P: Just finally on the CDMO sp ecialty chemical business so here we have added one molecule , or which had got commercialized towards the start of FY2022 so how the traction is there ?
Venkat Jast i: No that is a n initial requirement only because unlike this is not going to be a glo bal one unlike the human medication so it will be a small quantity and it will be a t least a year and a half o r two years before we get the r epeat business.
Moderator: The next question is from the line of Rashmi Sancheti from Dolat Capital .
Rashmi Sanchet i: My question again on CRAMS business can you give us the total number of molecules can you give the breakup in phase one, phase two and phase three currently we have ?
Venkat Jas ti: As we have stopped giving y ou that breakup because the numbers are not giving you the right indication because if I give you as I w as telling earlier if I have 100 but I believe generally it is only 120 so the number has no meaning . So we have dispensed away with that , it is a very difficult thing for us to tell which one gives you this and which one is going to give you that and in which phase . Because there is a

gap for everything from phase one to phase two it is a year gap and phase two to

 phase three is a year and a half to two-year gap, three to the last it is a three -year gap all these things . So it is really difficult for us that is why we ar e doing a combined activity in the CRAMS so both commercial and the pre-clinica l.

Rashmi Sanch eti: But we had five products i n phase three out of that also we were expecting that one product will get commercialized ?

Venkat Jasti: I have not gotten any indic ations so far , the phase three as I said it takes three years before you see any result out o f that on ly one is a one-and-a-half-year-old, the other ones are one year old only . So there is a long way to go so that is why we cannot give any guidance on that a nd also to breakup also.

Rashmi Sanc heti: But as of now today we ha ve total five products in the comm ercial stage right whi ch we are supplying and the last being the anti -infective which is a COVID mo lecule?

Venkat Jasti: Yes.

Rashmi Sancheti: When you sai d that CRAMS has really done well be cause of both base CRAMS as well as because of the commer cial sup ply, so commercial sup plies you meant that the fifth molecule we have supplied in a big way in this quarter and how is it expected in the subsequent quarter s?

Venkat Jasti: We did not say it is a big way we have supplied a nd also, I said there is C OVID mole cule is going to be a one of kind of a thing so you cannot expect that to continue ramp up that is not the indication what we got from the customer.

Rashmi San cheti: On specialty side , currently we have around three m olecul es right. So any particu lar guidan ce like earlier you us e to always say that we will be doing a flattish growth because the third

molecule will gradually pickup do you still stick to your guida nce that we will be doing more or less flattish growth or we se e that, that molecule ca n pick up?

Venkat Jasti: See as of now , I will stick to the old guidance since the third molecule as you said at least one, one year away before we get the repeat business so that amount will not be there so with that also I a m just getting to the same thi ng there ma ybe 5% at this way or that way can happen other than that not much difference.

Rashmi Sancheti: On formulation business , you said that Casper we have filed 4 ANDAs can you give us orga nically how much ANDAs we hav e filed I think we have around 8 products on shelf in the US marke t right. So if you can give how much Suven has filed or if you can just club totally and give the numbers to us.

Venkat Jasti: As of now we have filed above 20 i n Suven we are not talking ab out Casper out of that ten are a pproved, ten are launched already and in Casper we have filed four and the gold days are starting from March of 2023 onwards and another ten will be filed during the year in Casper . So another seve n or eigh t will be filed in Suven so it will be there by th e time about 40 will be filed by the end of March 2023 all put together.

Rashmi Sancheti: What did you say in FY2023 Casper are we expecting any launches , or we expect that it will take arou nd one- or two -year’s time?

Venkat Jasti: No, it will start doing from Marc h 2023 that means the results will be in fiscal 2024.

 Rashmi Sancheti: My last question again on the breakup in your overal l formulation and other service s of around Rs. 11 crore how mu ch is the formulation business in Q1 FY2023 and vers us Q4 FY20 21?

Venkat J asti: That is to formulation all you know. It will be Rs. 1 crore or Rs. 1.5 crore. Other services would be less than Rs. 2 crore

Rashmi Sancheti: And re st all is at least Rs. 1 Crore s is formulation only and similarly last quarter in Q1 FY2022 .

Venkat J asti: I do not have the number handy right now.

Rashmi Sancheti: Sir Rs. 25 crore was the total reported sales from formulation and other services. So ro ughly how much the formulation was that time ?

Sunder Venkatraman : Formulation was Rs. 11 crore (this includes Rs. 2 crores of other services).

Rashmi Sancheti: So it has reall y declined ?

Venkat Jasti: Yes, and we cannot depend on when we launch and all th at, when we launch that as a repeat business c omes then it takes time and you can have more ma ybe next quarter.

Moderator: The next question is from the line of Sachin Kasera from Svan Investments.

Sachin Kasera: One question on the formulation business, your annual report mentions about four wheels that you are putting in there and you also are m entioning t hat o nce we have start to i mprove well there would be a significant growth and it will be a profitable driver. So can you give us some sense which year are we looking at that all these product s will start to do well is it like FY2025 -2026 any b road idea you can give ?

Venk at Jasti: As I said by the time 2025 -2026 comes in, we should have abo ut Rs. 300 crore to 400 crore on both sale plus profitability numbers put together.

Sachin Kasera: I thought Rs. 300, 400 crore you are seeing on only Casp er that is including Suven's growth for all.

Venkat Jasti : See the Casper has not yet started. We are putting together.

Sachin Kasera: Secondly you have mentioned about new service offering for forward integrati on and life cycle management for the existing cli ents can you give us some more perspective on that ?

Venkat Jasti: As I said we st arted this activity way back in 2019 and there is somehow two customers they are showed willingness and they want to put re sources to that but unfortunately CO VID stopped all that activity and we are res tarting that activity this year because now they have star

ted slowly coming to visit the facilities and I think it will take another four to five months or six months hopefully in the calendar year 2023 we should be able to have them come here and then do the diligence and all other stuffs if everything goes well at least it takes three years before you can get any tangible results out of this initiative.

Sachin Kasera: But over the three, four-year perio d can this be a growth pa th of our revenue or it is just a small extension to what we do or can y ou make significant revenue driver over a period of three to four years ?

Page 8 of 11 Venkat Jasti: Intent is there. It is a speculation to give a huge run up on the future . So naturally it will ha ve a value -added things and it will have the addit ional reven ue and all the stuff, and it will ramp eventually but right now even we are not started yet even getting an approval so it is not fair o n my par t to give you a number on that but it will be accre tive and additional we may st art slowly but it will increase naturally like the CRAMS sets out.

Sachin Kasera: Finally , can you give us some status with regards to c apex how much you trying to do in FY2023 and if anything in 2024 also if you can give us th e visibility ?

Venkat Jasti: In FY2023 it will be abou t Rs. 225 to 250 crore all together including the replacement Capex .

Sachin Kasera: In FY2024 also we should see some similar numbers ?

Venka t Jasti: Yes, Rs. 200 to 250 crore see this is out of the Rs. 600 crore we have marked this is the first tranche we are doing that is why if we get the replacement capex, Suven units putting a new block to set a old block so the volume of maybe l ittle bit higher but it is not goin g to be too much of a higher volume cr eation vis-à-vis it is o nly a replacement of the 35 year old block with the new block with the modern equipment and modern systems and meeting both EHS safety and regulatory all aspects has taken care of a ll this.

Sachi n Kasera: Lastly any approvals expect ed in Suven form ulation this year on the ANDA side. You mentioned that around 10 some 15, 16 you have filed?

Venkat Jasti: Yes, there is nothing is visible but yes, we are expecting five or six to come in t he next three to four months.

Moderat or: The nex t question is from the line of Darshan Shah from White Equity.

Darshan Shah: Just a book keeping question fro m my end what would be the revenue contribution from top two cu stomers in FY2022 ?

Venkat Jasti: It kee ps changing and why restrict to one year becaus e every year , every quarter it keeps changing because if I supply a comme rcial market to the same customer h e will be numb er one customer that quarter and then there will be a ga p of six months to nin e months then again it will come so it is very difficult it is out of the top six people it keeps changing number one a nd two and only specialty chemical is completely always is number one.

Darshan Shah: Sir I was sp ecifically asking for this because in th is year in your annual report, you had mentioned?

Venkat Jasti: I am not going to give you breakup for the customer to customer it's not possible because it is not consistent. If I say if a custo mer is giv ing 20% this quarter and next quarter , he may not give anything , so it does not make sense now to give his kind of a numbers. You need this final number at the profitability not customer to customer and they said it is switching between six to seve n customers and out of the top 20 it keep s changing.

Moderator: The next question is from the line of Dheeresh Pathak from White Oak.

Dheeresh Pathak : Just one clarification ; just like the las t year you said tha t in pharma CDMO there is Rs. 120 crore of one off this quarter with the Rs. 210 crore is there any one off or this is like the base.

Page 9 of 11 Venkat Jasti: Yes, a smal l amount of one o ff is there.

Dheeresh Pathak: And la

st question on the Rs. 600 crore that you s aid this ca n you give the Rs. 200 crore in replacement ?

Venkat Jasti: So from this Rs. 600 crore we have , out of that Rs. 400 crore is repalcemnt on capex - one is for the Suryapet block is Rs. 200 crore and when we have do more we went to the R&D then that will be for Rs. 200 crore that can be next year or a year after . The other Rs. 200 crore is only mainly for the technologies and for the additional block at P asha mylaram as and when we see the tracti on, we h ave to do proactively ahead of time that most probably will do in the next yea r. So we have starte d only the replacement capex , so Suryapet we just started we expect about Rs. 35 to 40 crore now but that Rs. 200 crore will be spent b efore the end of March so that replacement block will be operational.

Dheeresh Pathak : So this year capex is largel y replacement that is Rs. 250 crore you mentioned.

Venkat Jasti: Yes, that i s correct.

Moderator: The next is a follow up questi on from the line of Abdulkader Puranwala from Elara Capital .

Abdulkader P: Just one question on the formulation business which you are say ing that by 2025 it become a Rs. 300 to 400 crore of the topline so just wanted to also understand how the margin profile would look of this is it would it be in line with what the company level margin ? some color on that would be helpful.

Venkat Jasti: Yes, I want to give a clarification to everyone that is unl ike the true gen eric format ion this is like a C DMO activity for us, and our margins is almost in the same level as not of the full CRAMS but in -between the specialty chemicals and CRAMS.

Moderator: The next que stion is from th e line of M ayur Parkeria from Wealth Managers India Private Limited.

Mayur P arkeria: Good set of numbers. Just two questions actually something relat ed to the previous one only. The Casper business whi ch you earlier ha d indicated that it is relatively lower margin com pared to our base business so will FY2024 actually be given what ever scale up happens will it impact the weighted average margin at the company le vel, or the business will still be small eno ugh that the over all margin may not impact so much.

Venkat Jasti: It will not impact as far as we are concerned that is what our g uestimate i s that only time will tell but as of now we are b ased on the whatever little experience we have at th e formulation sid e in the la st few years and based on the product s we are choosing and the profit sharing aspects we think we are in a better sh ape than the most of the o ther gu ys but volumes may not be humungous like othe r people.

Mayur P arkeria: And the second one was actually the blo ck which we are replacing right now is it because of continuous capex continuously going on there is a constraint on the revenue g rowth from that side had that not been there then could we have done better .

Venkat Ja sti: Nothing like that, I mean , see we are talking about in a safety aspects as a 35-year-old block and also regulatory constraints which we need to tak e it to consideration an d also this will give you an opportunity to do these forward integrated pr oduct rather than only earl y stage intermediates . Also all this will

 happen but there is nothing like not having done . Because neither the volume is growing an d also that the upgradation is taking place and also what happens is cost will be better because those days will be a smaller size reactor now you can take a big siz e reactors naturally through put we will now also the consumptions will be better and thro ughput will be better, some cost advantage will be happening in due course of time.

Mayur Parkeria: But no m ajor impact on the capacity currently has because of that is that right.

Venkat Jasti: Replacemen t means we ar e going to repl ace this block o nly when once this is in place th

e other one will be taken off.

Moderator: The next is a follow up question from the line of Ankush Agarwa l from Surge Capital.

Ankush Aga rwal: Sir again just clarifications you just mentioned that the formulations margins will be somewhere between the specialty chemicals and pharmaceuticals did I heard that right.

Venkat Jasti: Yes.

Ankush Ag arwal: But go ing back again to what you said in Q 4 FY2022 that fo rmulation margin will come around 25% EBITDA margin so again there is a diff erence between wh at you had said earlier and what you are saying now.

Venkat Jasti: You only heard this right but after that I als o came back and said that at my initial

guestimate is wrong becaus e I would not have much exp erience on th is side and now that we have some experi ence on the probability we have toned it down that number not at 25% of the total volum e that last time itself I said not with this time.
Ankush Agarwal: No you said 2 5% margin s, I am not saying v olume.
Venkat Jasti: I do not know I sai d it already, if not here then CNBC maybe wherever I told , I clearly said that I expected that 25% should happen but the n it did not happen but on profitability side we are very co nfident.
Ankush Agarwal: No Sir what I am saying is you earlier mentioned th at formulations EBITDA margins will be 25% now you are saying th at formulations margin will be somewhere between specialty chemicals and pharmaceuticals so that will be like 35%, 4 0% kind of EBITDA margin.
Venkat Jasti : I never said 25% EBITDA margin I sai d purchase on p rofit sharing changes if it 50%, 40%, 30%, 25% th at is the profit sharing is a pure additional profit but to that I guess this whatever cost-plus basis so it will be m ore than what number is act ually because that way you have to look at it.
Further c larifications :
Initially we have talked ab out achieving 1 /3 of total revenue from formulation business. However, that did not materialize and based on the experience and with the addition of Casper Pharma now we are expecting the revenue to be be tween Rs 300 to 400 crores by 2025 -time frame. Our guid ance on n et profit is between CDMO pharma and specialty chemicals. Also, our model of formulations business is based on transfer price to partner at cost plus and expect to get profit share from our partn ers. There is always time delay in realization of pr ofit sh are from our partners . The profit share from our partners varies depending on the nature

 of the product and it could be anywhere from 20% to 50% on net profit of the partner .

Modera tor: The next question is from the lin e of Ranveer Sin gh from Edelweiss.
Ranveer Singh: Just one clarity, on ANDA filing you indicated that total 40 ANDA would be filed by end of FY20 23 so just wanted to understand that ?
Venkat Jasti: Togethe r both in Suven and Casper put together .
Ranveer Singh: I wanted to understand whether tha t all the ANDA would be partnered or the re would be some of them directly will be selling ?
Venkat Jas ti: No I have six customer s already including rising so th e bulk of i t will be for the rising because all the Casper things will be for rising as you know and in Suven it is spread out to all the other people also.
Ranveer Singh: So rising is not the only path, I think ?
Venkat Jasti: As per Casper it is ris ing by only one but in Suven six custom ers are there already.
Ranveer Singh: Okay so for ex ample if 20 ANDA it is filed by Casp er that al l 20 ANDA wil l go to rising pharma right.
Venkat Jasti: That is on Cas per, yes.
Moderat or: As there are no f urther questions, I now hand the conference over t o the management for their closing comments.
Venkat Jasti : Thank y ou, everyone f or tuning in for Q1 results of Suven Pharmaceuticals Limi ted. As I said , last year was a good year and there are some one of fs and those one offs gaps will be

filled organicall y this year but the transformation at t he customer level and al so the transformation from the COVID led to other growth . We are not able to give you any addi tional guidance rather than meeting the last year’s numbers . Hopefully , I will be a ble to give you some guidance at the end of this quarter and hope to surpass the last year’ s numbers . I thank you ag ain for tuning in and we will talk to you in the next quarterly results. Thank you .
Please not e We have edited the language, made minor corr ections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Nov 2022

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CSD/BSE&NSE/CC/2022-23
November 15, 2022
To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001 To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and half-year ended
September 30, 2022
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half-year ended September 30, 2022 conducted after the meeting of Board of Directors held on November 8, 2022.
The above information has been uploaded on the Company's website at
https://www.suvenpharm.com/index.php/investors/financial-info/quarterly-release
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K. Hanumantha Rao
Company Secretary
Encl: as above
Page 1 of 12
Suven Pharmaceuticals Limited Q2& H1 FY'23 Earnings Conference Call November 9, 2022 Rishab Barar: Good day, everyone and thank you for joining us on this call to discuss the Q2 and H1 FY23 Earnings for Suven Pharmaceuticals. We have with us Mr. Venkat Jasti – the Managing Director; and Mr. Venkatraman Sunder – Vice President, Corporate Affairs; and Mr. Subba Rao – CFO of the company. Before we begin, I would like to mention that some statements made in today's discussion may be forward looking in nature and may involve risks and uncertainties. Documents relating to the company's performance have been mailed to you earlier. I would now like to request Mr. Jasti to share his perspectives on the performance and outlook. Over to you, sir. Venkat Jasti: Thanks, everyone for tuning in for the earnings call for the quarter ended September 30. As you know, last conference call I had mentioned that this year is going to be a flat year, 5% reduction in the sales amount. That is at that time and based on the visibility we have been telling at that time and that shows up in our results also. We have results as you could see, there’s a degrowth in the CRAMS and there is degrowth in the specialty chemicals. And also that reflects on the product mix also, reflects on the profitability. But since that time, we were thinking that ‘23-‘24 will have better traction, but we see a better traction since the last call I had with you. Now I'm glad to inform you that we will not be underperforming, we will be more or less performing in the same range as last year as far as the sales are concerned based on the visibility we have. And also based on the traction that is having in the movement in the project. And also the interactions we had recently with innovators themselves. They are saying that next year is going to be coming back to normalcy. So, even though it is what you would call quarter-on quarter, it is a degrowth you see, but on a half year basis, is on the same region as last year and we hope to perform a little bit better than what last year was all about based on the visibility we had. In a nutshell, that's what it is. Also, there is a lot of calls coming to us based on the newspaper reports or whatever it is, for which we have clearly indicated to the stock exchanges, informed them. Since we get so many opportunities and offers throughout the year, we keep interacting with the people that are coming with us. As you know, this is happening since 2019, during the demerger time itself a

nd since that time, so many things have happened. As a forward-looking company, we keep exploring various strategic ideas that are in the interest of the company and creating value for all its stakeholders. But I just want to leave you with that thought because there is nothing concrete about anything and these are all the hearsay things, and I don't want to comment on those things. If anything is happening, you will be the first to know because we will be giving the same day the news. So, with this, I think I better give the things to the question so that will give more clarity rather than me giving the upfront assessment.

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Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Sudarshan Padmanabhan from JM PMS. Please go ahead. S. Padmanabhan: Thank you for taking my question. Sir, while you did

elaborate that largely sales is in line with your thought process. But if I look at the second quarter margin, as you mentioned earlier, the mix was adverse, and therefore the gross margins was lower, but so was the negative operating leverage, below the gross margin. You did maintain that the margin should over 40% plus excluding the other income. So, would that understanding be right, as far as mix is concerned, that probably the mix towards pharma would normalize in the second half, and therefore, the margins, even from the second half will be better? Venkat Jasti: I keep telling maybe over the years, you cannot go by quarter-on-quarter basis because of the product mix and various other things, movement of the projects not going in the last week, may go on to the first week of next month after the quarter ended, all these things will play a role. But the guidance of (+40%) EBITDA margins at the end of the year will be giving you that guidance. S. Padmanabhan: And sir, on the mix as well, I mean should we assume that if I look at the mix this quarter historically, the Pharma has been contributing between 55% to 60% of the overall mix on sales which has dropped to 40%. So, this should also normalize as things moving forward? Venkat Jasti: Yes. As we go over the year, it will because this quarter, especially the CRAMS is less and as you rightly said, 60% will be specialty chemicals. As you know, the profitability there is a differentiation between these 2, but over the quarters, it will normalize. S. Padmanabhan: And sir, 1 final question from my side is, we have a very strong pipeline, I mean, have a pretty, 5 to 6 products on the Phase-3 on the pharmaceutical side, about 2 to 3 molecules on the specialty side. We are also embarking on this CapEx of Rs. 200 crore annually and plus, also investing into the formulation side. Just to, get a sense, I mean, I'm not talking about specifically quarters over here. Now, directionally if you're looking at the Phase-between Phase-at FY18 to FY20 where we got the spate of commercial molecules coming in and the growth was significantly higher. That was really a very good time for us in terms of margins on every aspects. So, over the next 3 years, do we expect a fair lion's share of these molecules coming into commercial and probably the growth prospects coming back very strongly. I'm talking about over a Phase-of 1 year, 2 year rather than 1 quarter, 2 quarter, 3 quarter. Venkat Jasti: As I was telling all the time, my visibility is only 6 months. As of now, nothing is told by the customers that something is moving to the next level. As you know, we have 5 compounds, which goes into the 3 different molecules and they can come but there is no guarantee in this business as you know, because this is a 0 to 1, all 3 can move into the commercial or maybe 1 can move or maybe none can move. I cannot tell because that’s affected at the clinical trial will give us this opportunity. Meanwhile, I was telling you the traction is there, the movement is there and some of the Phase-2 molecule should move into the Phase-3 also, I mean we are also Phase-1 to Phase-2 also. As the traction is getting much stronger, the molecule traction is one thing that gives you the initial revenues and all. But as you rightly said for the commercial only that gives better margins and longevity of the visibility. So, that depends on the success of the molecule at the clinical trial. As of now, without having any knowledge from the customer, it is very difficult for me to tell whether this will certainly be 1/3, 2/3 or 0/3, will make it or none of it will make it. I have no idea there.

Moderator: The next question is from the line of Darshit Shah from Nirvana cap

ital. Please go ahead. Darshit Shah: Sir, if you could tell us more about if this quarter had a revenue of the COVID that we did commercial 6 months back. And if you could quantify or give a broad range how much is this contributing to our top line? Venkat Jasti: This quarter nothing. I mean it’s very small amount, but likely to grow in the next quarter; it’s not, certainly in the fourth quarter. This is based on the requirement at the innovator level. Darshit Shah: And sir, how much would that be if you would be able to give any quantification or you won’t? Venkat Jasti: No, at this time, I cannot give the quant, only post factor I can give the quantification because if I say is something then tomorrow somebody will come and say how come you said so much and it has gone there because it is a dynamic thing, it’s not a regular product, it is requirement of the customer and as I was telling this is a one of kind of thing, this year we had order that will be delivered before March. But next we will be only counting 50% of what we are going to do from here. But unless the changes in the direction, then things can go on. So, it’s very difficult for me to tell, but I can’t tell number right now. Darshit Shah: Sir, my question is pertaining to given the cost rise we are seeing in Europe and US and thus giving lot of opportunity for Indian CDMO players, that's what the management are saying. So, are we also seeing that kind of traction in terms of inquiries or such thing? Venkat Jasti: No, that may be true for the generic denominated players but in general, what I said the traction is much better because the levators are now going into the normalcy and more projects will be started by them that means more RFQs will come and also the speed also will go in the EBITDAs retargeting. I think COVID is gone now. Now we are progressing on the regular molecules and that is giving a traction. Clinical trials is being done on a much faster pace, that also gives you some traction. But on a cost basis, not really for us. But then eventually this may come when the new projects, which are supposed to go to other countries may eventually come to India. But as far as the innovator TAM is concerned, not many players outside the other countries. So, we will see the traction but not like a China plus 1 kind of thing like in generics. Darshit Shah: And sir, lastly, when we are saying that we are kind of exploring opportunities for us and meeting people obviously I understand that those are the people who are coming to us and not we kind of specifically going to them. So, sir, strategically, if you could broadly throw some light on what we are looking at now when we say we probably have stake sale. Are we looking at a very strategic stake sale or probably promoter giving significant kind of stake at a given values we are getting from someone who's offering good value. Sir, if you can throw some bit of light that will probably clear the air. Venkat Jasti: See, we never look for anything other than the strategic options. If somebody comes in we listen, we don't say no to them and what they bring to the table, we don't know. There are various people coming. Is that the value add for us or not? Is it going to be a long-term benefit or not? Is it going to be matching with other requirements or not? All those things we take into consideration. It can mean anything. It can be a merger with somebody else. Whatever they bring, strategy collaboration they’re bringing through the fund infusion or whatever it, already they have a partner with

them. They would like to be a part of that. So, we listen to them. I mean, whenever those offset, this is not the first time, and this is happening since ‘19. See, only we take in kind of getting value added thing like a Casper acquistion eventually, this is based on our capability, I mean, our money that we have. But if you have to take a little bit bigger things, then we need to involve third party also. These are some of the things that are coming into and we have not yet taken a decision anything, because only when we take it up and we will be able to give you a clear picture, and we are open, but it has to be a long-term benefit and shareholder value creation. And it should be because we cannot take the run of the mill kinds of things because the business model is different compared to others. So, all those things we need to consider. Moderator: The next question is from the line of A. Puranwala from Elara Capital. Please go ahead. A. Puranwala: Sir, just wanted to understand that you maintained your guidance, but the second half from a product mix point of view, would it look most through towards pharma or the run rate what we are seeing right now in specialty chemicals that will more or less largely continue for the next couple of quarters ahead? Venkat Jasti: It' both. A. Puranwala: And sir, in terms of the CDMO pharma space, how many molecules would be there in the commercial Phase-right now? Venkat Jasti: 8. A. Puranwala: Does that include the COVID one as well? Venkat Jasti: Yes. A. Puranwala: And sir, just a final one. On the Vizag side, has the site been inspected by any of the customers or any color you could provide with regards to the commercialization starting from that would be helpful? Venkat Jasti: No. Because you see, if the same customer who moves same products from 1 unit to another unit takes a couple of years. In this process, there are 3 customers who are regulars, they have taken a validation batch in Vizag. That will give us another six months to see, I mean, what do you call that way, whenever the requirement comes, the next owners can come and go to that place also. Within the next 6 to 9 months, these variations would be taking place. Moderator: The next question is from the line of Rashmi Sancheti from Dolat Capital. Please go ahead. Rashmi Sancheti: On the specialty chemicals, earlier I think you guided that it would more or less be for the year. But in the first half, we are seeing good 21% growth. So, are the sales coming from the existing 3 molecules or any new molecule has been commercialized in this? Venkat Jasti: As I said that there is no third molecule, there is only 2 molecules and we clearly said only 1 quarter that third molecule was there and this will not come back until '24 end. Similarly, the fourth molecule also will not come back until '24. That's why we have

said that growth is based on the 2 molecules plus small scale of the third molecule. So, as of now it's only 2 molecules for this year. Rashmi Sancheti: Sir, but you have been revisiting your guidance for specialty chemical business earlier, when we expected the flattish growth for the year or we expect that the second half would also be better and therefore, the growth would be much higher? Venkat Jasti: It may not be much higher just because instead of mature business, it would be maybe 5% more than what we thought of, not much higher than that. Rashmi Sancheti: You mean to say for the full year maybe 5% to 6% on FY22? Venkat Jasti: Right. When we started this class, it may be 5% to 6% more. Rashmi Sancheti: Sir, and on CDMO Pharma, in second quarter of FY22, how much was the COVID sales product? Can you quantify that? Venkat Jasti: I don't have the number handy. Sunder Venkatraman: I mean usually we don't really quantify individual molecules size with overall portfolio because it being that COVID has one-off, we checked that whatever the quantity which may not get it again which is like one-off. Otherwise, we don't really give split details of individual molecules or commercial. Rashmi Sancheti: Sir, then in second quarter whatever lower sales which we have done in the CRAMS, it is generally the sales which had gone low or there are any deferment of the orders which is expected to come in H2 and that is why you are guiding that H2, we will be performing better? Venkat Jasti: Yes, not only visibility in the ord

er but also some deferment is there, that also will help. That's why we said that it will be. Rashmi Sancheti: So, can you quantify how much orders have been deferred you know from second quarter which will go in third quarter? Any number if you can quantify? Venkat Jasti: We already told the earlier caller that I cannot tell. They may go into the next quarter or may go into the fourth quarter. But at the end of the day it will go but I cannot give you a quantification of each and every time. I only give you the way things are moving so that you'll know when I said that I'm going to make it to last year numbers, I'll make it because originally, I was telling that more or less flat but this time based on what we call the traction and also the visibility and also some of the things that are existing, we are confident of reaching and surpassing that number. Rashmi Sancheti: Sir, then on your overall revenue guidance, you stick to it that we would be doing a flattish growth on a high base of FY2? Venkat Jasti: Yes. A little bit it will be past the number, it's not private, this will be maybe 2% to 3% to 5% growth will be there. Rashmi Sancheti: 2% to 5% growth would be there. And sir, on your gross margin, in this quarter we are seeing that quarter on quarter there is dip. It is only related to the business mix because we have a higher specialty chemical business and lower CRAMS? Or is there any other FOREX element or anything which has impacted us?

Venkat Jasti: It is not many things, as you know 60:40 being towards the specialty and also some other things which is made and deferred to the next quarter. And so it's many but at the end of the year it will match out and if you see, half year it is almost same. So, the guidance will remain the same like plus 40 percentage EBITDA margin by the end of the year for sure. Moderator: The next question is from the line of Hussain Kagzi from Ambit Asset Management. Please go ahead. Hussain Kagzi: Fist thing was just a clarification to an earlier participant's answer. You said 8 molecules in commercialization that is including specialty chemicals? Venkat Jasti: No. Hussain Kagzi: That is for Pharma that we have, 8 molecules in the commercial space. Venkat Jasti: Yes. Hussain Kagzi: And the other thing was just to get a quantitative sense of the total projects that we have in pipeline. I know we don't share the number but how is the total projects looking, say compared to a year or 2 years back? Is it growing, can you give some sense over there because eventually those will translate into revenue, right? Venkat Jasti: Yes. But they are more or less flat on the number side. But at the same time the movement is we see the traction much better as I was telling and the movement of the new order, I mean new RFP should be increasing certainly in the next year. It is based on the conversations we have recently with customers in CPHI recently. Hussain Kagzi: And are we also getting any molecules or compounds in later phases, you say like Phase-2 or Phase-3 where the requirement from the innovator is that it took fast-track, say manufacturing for that, so are we seeing some kind of projects in that also? Venkat Jasti: No, we see the normal thing only, it can be either Phase-1 or Phase-2 in big qualities unlike the COVID molecule already comes suddenly into Phase-3 and give you molecule, but as you see a regulatory filing around the stuff. So, that kind of thing is not happening, only the new offering is increasing, new replaceable quotations are increasing. Hussain Kagzi: And the last question was what is the update on the CAPEX that we were undertaking and is it going on plan in any future change in the CAPEX plan and also on formulation segment, if you could give some update what is the outlook in the near term that you seeing? Venkat Jasti: In case of CAPEX is, as you know we have sole and futuristic and the replacement CAPEX, but one of them we started recently, only we spend ab

out one third of it and the rest of the two third for that will be spend before the end of the fiscal March 23. and with respect to the formulation, we got the FDA approval as you know, but at the same time, the old dated molecules that we will start, I mean one started with the small one, but it will start sometime in March onwards next year, so we expect some revenue accretion to take place from the beginning we are telling, it is not 22-23, it will be 23-24 onwards. Moderator: Thank you. The next question is from the line of Amar Maurya from AlfAccurate Advisors. Please go ahead.

Amar Maurya: Sir, couple of questions, first thing is that you said that now likely to perform in line with the industry for the second half, so are you changing your guidance like at the starting of your call, you had indicated something like that, so just wanted to understand what was exactly that, how the second half for the pharma and for the specialty CDMO looks like? Venkat Jasti: This thing I told is that time when we spoke, we said this will be a 5% less compared to last year or flattish year, but we said the visibility and all the stuff, we will yes surpass that, maybe 2 to 5% earlier I was telling, 2 to 5% growth will be there on the overall, so that way and also second half looks good on both products, both on the pharma CRAMS and Specialty. Amar Maurya: So, when you say second half looks good, so I am trying to understand, so in a second half versus second half, are we going to see some growth in this because I believe CDMO pharma otherwise there is a high base, right of the COVID molecules which was there largely in the second half, right? Venkat Jasti: Totally what I am saying is total sales will be we are surpassing compared to the last year and we will know as and when it comes in, but right now I cannot give you a split on that, but totally we are saying that the guidance which is -5% it may be (+2% to (+5%) rather than the flattish growth. Sunder Venkatraman: See last year, the overall revenue was about Rs. 1,320 crore. During the last quarter we have informed that it will be more or less trying to meet that. In spite the COVID related molecule, which was there as one-off however, as we are in the last 6 months, now we are on the visibility, based on this it looks like that we will be surpassing the Rs. 1,320 crore overall which includes the mix of pharma products, which includes commercial as well as specialty chemical. All put together, we will be crossing. It will not be flattish, there will be a minor growth which could be 2%. If we are lucky, it could be as much as 5%. That is what we are trying to guide at present. Based on what it is like last 1320 of last year's turnover, for the 6 months we have achieved about Rs. 617 crore which means that usually next quarter, next half, obviously that will be better than the first half to reach whatever we are talking about 1320. That is what it is. Amar Maurya: So, basically that way you are saying the second half would be better than the first half? Sunder Venkatraman: Correct. Amar Maurya: And in terms of the gross margin like overall we maintained that guidance of the full year kind of a gross margin. Venkat Jasti: Yes, as we have said we will be having a +40% EBITDA margin for the full year. Sunder Venkatraman: So, this is basically based on the product mix, right, so probably at the end of the year, we will know exactly what it could be, but we always give a guidance of 40 plus. Amar Maurya: So, basically if I see average, I think even in the first half the average is around 40%, so what we are saying here is in the second half in terms of the EBITDA margin perspective also it would be better than the first half? Sunder Venkatraman: Yes, to meet that it will be going like that. based on the rato of pharma CRAMS to Specialty chemical. If the ratio changes, so this will also slightly.

Venkat Jasti: We have given basic guidance. Amar Maurya: And how

would FY24 will look for us? Venkat Jasti: It is too difficult to say at this point of time. We always give guidance only for 6 months. Venkat Jasti: Qualitatively, customers are saying we are coming back to normalcy and that should lead us to better traction and better opportunity, so other than that I cannot say anything. Venkat Jasti: We will not be able to quantify because we always go by the order book position, very difficult to predict that. Moderator: Thank you. The next question is from the line of Cyndrella Carvalho from JM Financial. Please go ahead. Cyndrella Carvalho: Sir, just wanted to understand your view as you are indicating that we are in terms of R&D projects inquiries we are reaching the prepandemic level, can you help us understand the traction a bit more from our perspective and from the industry perspective depending on your interactions with the industry participants? Venkat Jasti: As you know, over the last 3-4 quarters, the number of inquiries are less, may be 7 or 8 or something like that and now they are going to almost doubling to that level. So, it doesn't mean all these will mature into taking an order and all that stuffs, but eventually that will add up. Similarly, based on the interactions we had after years, we are meeting first time many of the customers during the BHI and they are also hoping, not hoping, they are saying that they are coming back now only and the next year budget should give you better traction and the new molecules that they are going to concentrate on compared to the reprocessing the whole molecule for the COVID related activity which was the case for last 2 years, so in that basis, also the speed with which the commencement of the clinical trials happens also and based on the sectors it gives us more opportunity for us to get the revenue. So, all in all, the traction looks good and whether it will ramp out to be a real positive, it is always the lag time is a 6 months to 9 months or it is 1 year to 2 years that is the question. So, that only time will tell on that. Cyndrella Carvalho: And sir, if anything that you would like to highlight on our hiring of new CEO, any update on that which you would like to share? Venkat Jasti: No, nothing has happened and it is very difficult to get somebody on a commitment basis for the long-term basis. We are still trying in-house growth brining in people who are working from our organization. That also is taking time, but as of now, it takes another 6 months before I can have any concrete proposals. Cyndrella Carvalho: And if I can squeeze in one last question, what I understand is our overall traction will be better than the second half, but given that there are certain price easing or the raw material inflation also easing, does that carry forward into the next year also, is that understanding correct from the margin perspective? Venkat Jasti: Yes, you may have the raw material prices going down, but the other thing is going up on the environmental angle year-on-year the expense is going up and secondly, the fuel and power cost is also going up. So, it is a mix bag but right now, second

half we are telling based on the visibility, but the future we are taking up qualitatively based on the attractions we had with the customers. Moderator: Thank you. We will move to the next question from the line of Ranvir Singh from Edelweiss Wealth. Please go ahead. Ranvir Singh: Sir, my question was related to Casper Pharma, we have inspection you said in July for 3 products you have filed, so wanted to understand what is your status there? By we can accept Commercialization on this product or where we are in approval process stage? Venkat Jasti: As I was answering to the earlier caller, we have filed 4 ANDAs, one we just launched, but it is very small value and the next ANDA are starting in March of next year, March and June or something like that and during this time, we are going to buy another 6 to 8 ANDAs in the next 12 m

onths. So, the revenue generation if at all will be happening during 23-24, but not much during 22-23. Ranvir Singh: And just a general question on CRAMS side, because we saw other players in CDMO business also reporting a weaker number, so wanted to understand at macro level, is there any shift or any change or sluggishness in demand or if you have witnessed any slowness in inquiries, so any sort of indication are you witnessing or this is the cyclical things that happens more often and next quarter we will see most of this coming back? Venkat Jasti: The CDMO has two different connotation there is a regular products or innovative products. Innovative products are depending on successful molecular in the clinical trial. We were saying this year we could be a negative growth, but the visibility in growth, now we are saying we are going to surpass that and it is despite the addition of revenue we generated in the COVID (in previous year) which is not that much going to be this year. So, that means traction is there but based on the qualitative traction of the customers and they are coming back to normalcy that should lead to give us more opportunity, does not mean that that will be a generator of the revenue because at the end of the day it is the success of the molecule at the clinical trial will give us more benefits. So, as and when it happens as I said as of now we have only 6 months visibility based on that we could give you better than last quarter's performance for the next 6 months. Ranvir Singh: From a perspective, I wanted to understand like, during the COVID there is a lull in demand because slowness in clinical trials, so there is a significant fall in our new inquiries and then again there was a pent-up type of demand just after the COVID, so then suddenly the inquiries have started gearing up, so that I wanted to understand is there any angle here that because in last year just after COVID, there is a lot of inventory supplies or inquiries has already made so now there is some sluggishness or some slowness here in this quarter, so is there any kind of case you are seeing in this business? Venkat Jasti: No, as I was telling you until now it was slow and the customers are saying we are getting back to normalcy, not only that will lead to getting of more opportunities and that will be shown in our next 6 months also and hoping that will continue in the new year also. That is what our hope is. Moderator: Thank you. The next question is from the line of Rohan Samant from Multi-Act Equity Consultancy. Please go ahead.

Rohan Samant: So, my question was on the number of molecules that we have in the commercial phase, you said that we have 8 molecules in pharma CRAMS, so I think earlier we were saying that we had 5 products, so are these 8 molecules from those same 5 products and different variants we are counting as different molecules or we have had incremental molecules flow into the commercial? Venkat Jasti: Yes, there are couple of incremental molecules mainly for the Retroviral and that its not going to give you too much of a volume in general, but only the numbers goes up because they are launched in something in last year first quarter or this year last quarter. So, that is why we thought until because being a very small volume, we never know that it will be in the Phase-3 also because it is very difficult for us to know until it goes in the commercial because they do not divulge what stage therapeutic area and what stage it is there, so couple of time while we are assuming the Phase-2 actually based on the quantity, where when you find that it was in the what you call launch stage, but the volumes we cannot write even though the numbers goes up, it is only a very small volume at the Phase-2 value like only but the numbers have gone up to 8. Rohan Samant: So, out of the 8, two are such smaller products, right? Venkat Jasti: Very small product, yes. Rohan Samant: And one incrementally large product

has also gone into commercial because we had 5 earlier, right? Venkat Jasti: No, that was the [molecule]. 6thone was [molecule]. Moderator: Thank you. The next question is from the line of Ayush Vimal from Clearview Capital. Please go ahead. Ayush Vimal: I have two questions, is there any discussion with customers on forward integrating into API manufacturing, I think you had updated last quarter that some of these discussions might start? Venkat Jasti: Yes, we had a customer interactions with them and it will be as I said last time itself, it will start sometime in the year 2023 because now only they started what you call travelling and all that stuff. I think this is the end of the year for them it is usually the calendar year, they will plan for some time in the next year and hopefully, 2 or 3 customers shown interest, but we see different departments compared to where we work with them because we are in the developmental cycle. So, they are in the matured cycle and generic cycle, so we are looking in that direction. It will start next year. Ayush Vimal: One more question I had was on the CAPEX of Rs. 600 crore that we have earmarked for the next couple of years, just to clarify this is entirely replacement CAPEX and this is not going to increase our capability or capacity in any form, right? Venkat Jasti: No, one is of the units is replaced CAPEX, purely that is going on, that will be finished before the end of the year because that is the 35-year-old unit, so you need to have new block and second one is contingent upon the government asking us to move out of Jeedimetla R&D site which we just taken permission from the board for Rs. 200 crore. That we don't know because only when the Pharma City open I think they will ask us to fast forward our activity, so nothing is being done on that, only Rs. 150 crore is for the future CAPEX and that we will based on the traction of the molecules

that are there with us. You had to act proactively I think it will be done sometime in 23-24, not right now. Ayush Vimal: And if I may squeeze in one more question, do we have any escalation clauses build into our contracts given that we face raw material escalation, are we in a position to pass it on to our customer and if yes then with what lag? Venkat Jasti: In the CRAMS business, because they give you once we take the order it has been already taken care off, but when any increment in the raw material happens when the repeat order comes, we can charge, but once this order is placed nothing we can do, but on Specialty chemicals that will be in a regular basis, so that we will be requesting and the prices have gone up by more than 10% and split of the escalations will be given to us and that is only where you can get the escalations done. Moderator: Thank you. The next question is from the line of Darshit Shah from Nirvana Capital. Please go ahead. Darshit Shah: Just one question on the cash and cash equivalent including mutual fund investments, what is that amount at the end of the quarter? Sunder Venkatraman: Yes, Total cash is about Rs. 350 crore which includes investments in mutual funds and bonds of about Rs. 292 crore. Moderator: Thank you. The next question is from the line of A. Puranwala from Elara Capital. Please go ahead. A. Puranwala: So, just on these 8 molecules what you have commercialized, would it be fair to assume that in the quarters ahead, it would be the only 5 projects what we had previous would be contributed to the revenue while on the other 3, may or may not contribute ahead? Sunder Venkatraman: They are evenly distributed. You cannot say that which one contributes because we have an order book for next 6 months which we are able to give, they are set for delivery, few of them are to be delivered this quarter or the following quarter, sometimes they may ask us to differ may be one quarter kind of thing. There are cases where it happened actually they wanted us to supply much ahead of time which

we did actually that last year also we did, the first quarter also we did. So, this is based on, one thing is like we don't have a stock and sale item, it is all based on the order book and now there are pretty much on deliveries. Venkat Jasti: It is like, we can't say that actually whether the contribution is going to be there only for 3 products, 4 products because some of them will be there, a small quantity, need not be a big quantity, but it may be there. A. Puranwala: And sir, lastly, what would be the fixed operating cost of the Vizag and the Casper side if you could provide this number? Sunder Venkatraman: Vizag, we are not giving plant wise cost. Moderator: Thank you. Ladies and gentlemen, as there are no further questions, I now hand the conference over to management for closing comments.

Venkat Jasti: Thank you everyone for tuning in for our earnings call and as I was mentioning, last time when I was talking to all of you, we are not sure about the traction and hence we gave the guidance of flattish to (-4%) to (-5%) but based on the next six months and the qualitative interactions with the customers and the movement of the molecules and the order book position so we say now that we will certain surpass last year's numbers which posed by us and with the normalcy coming into the global innovator arena and the trials being fast track, the indications that are meant for us originally and based on that we hope that 2023-24 will be good year, but I can't give you any quantitative guidance on that. With this, I thank you everyone and hope to catch up with you in the next conference call that is quarter 3 results. Thank you. Thank you one and all. Moderator: Thank you very much. On behalf of Suven Pharmaceuticals Limited, that concludes this conference. Thank you for joining us.

Call: Dec 2022

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CSD/BSE&NSE/CC/2022-23
December 30, 2022
To
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Dalal Street, Mumbai - 400 001 To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR
Dear Sir/Madam,
Sub: Transcript of the conference call
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for the investors held on December 26, 2022.
The above information has been uploaded on the Company's website at https://www.suvenpharm.com/index.php/news-events
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K. Hanumantha Rao
Company Secretary
Encl: as above

Page 1 of 18 Suven Pharmaceuticals Limited Conference Call December 26, 2022 Moderator: Ladies and gentlemen, good day, and welcome to the conference call of Suven Pharmaceuticals Limited. As a reminder, all participant lines will be in listen only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you, and over to you, sir. Gavin Desa: Thank you. Good day, everyone. And thank you for joining us on this call to discuss today's announcement of Advent International proposing to acquire a significant stake in Suven Pharmaceuticals from the Jasti family. We have with us Mr. Venkat Jasti – the Managing Director; and Mr. Venkatraman Sunder – Vice President, Corporate Affairs. Before we begin, I would like to mention that some statements made in today's discussions may be forward-looking in nature and may involve risks and uncertainties. I would now like to request Mr. Jasti to share his perspectives on the transaction and his view. Over to you, sir. Venkat Jasti: Thank you, Gavin. Thanks, everyone, tuning in for the call this afternoon. And as you are aware we have announced a structured deal with Advent International, which is known to everybody. I think rather than me telling what it is all about, I would rather answer your questions. But we'll have much more clarity than saying whatever it is existing on the website and the stock exchanges. I can now take the call, and I can explain the rationale of the deal. Moderator: Should we start the question-and-answer session, sir? Venkat Jasti: Yes, please. Moderator: We have our first question from the line of Ankush Agrawal from Surge Capital. Ankush Agrawal: Congratulations on the deal, sir. Firstly, if you can clarify a little bit on your role in the business going forward, like based on what you have provided to the news outlet during the interviews today. What I understand is that you would be continuing in your current management role for the foreseeable future till the time Advent gets Cohance to merge with it where and when the entity as a whole will become a bit larger entity. And then you will be phasing out and then acting broadly as an advisor to the company. So, if you can clarify on that, sir.

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Venkat Jasti: Yes, you're absolutely right. That's the way it is. As you know, consummating this deal itself will take 5 to 6 months. After that, I will continue to run the business. Only when the merger has happened, I will be looking after as a strategic and advisory role. But the aim of Advent and ourselves is to value creation, using the added platforms that are existing. So, we have a certain speed, certain growth and certain capacity. But things are looking good. And with deep pockets of Advent and their global outreach and not only in the platform here and abroad and they have a reach into the global customers. We can get more business opportunities. And whatever the opportunity that comes in, it is a value-added proposition for which I will be the focus, and I will be the advisor on that aspect and that's the way it will work. And I'm keeping my rest of the stake in there as is because I believe that it will have a value accretion in the very near future. That's the rationale. Ankush Agrawal: Sir, secondly, could you be able to elaborate on the Cohance’s business model currently because Suven’s business model is relatively different from what a lot of other players in India does. So, if you can help on that front.

And secondly, like on the Suven side itself, like historically, we've been planning to get more on the life cycle management front and transition from the intermediate to the retail. So, would this merger help accelerate that in your sense? Venkat Jasti: I mean when the focus is towards value creation, the merger will allow us to use the facilities that are existing and also the customers that are existing. Some of the things which you are not able to do at this time can utilize using the platform at the side. And those platforms, which they are unable to use some of the value-added services that will be done at the Suven Pharma. And eventually, the value-added production and the global reach of the customers through the management personnel of Advent, which are in the Life Sciences field will be able to help us. The Cohance platform has some API and CDMO, but the value creation will be the future focus. Ankush Agrawal: Sir, lastly, just a smaller one. Does this valuation change our existing capex plan that we are undertaking? Venkat Jasti: No, not much. Business is as usual. There will not be any change, change in even the people, not even a single person will not be left out from the existing operation. Ankush Agrawal: And H1 initiative also stays intact, right? Venkat Jasti: Yes. Moderator: We have our next question from the line of Sudarshan Padmanabhan from JM Financial Services PMS. S. Padmanabhan: Sir, my question is today when I'm looking at us, largely, the business comes from the API part whereas I would understand that a fair amount of sales also goes towards generics, and we are largely focusing on CDMO part with a significant portion with innovator. Just if you can give a little bit more color apart from synergies, I mean what can add as far as the scale is concerned? And second is on the margin side, I mean I would understand that Cohance margin should be significantly lower than our margin. So, from that side, do you believe that on a pro forma basis, is there any kind of synergy that can come through and expand the margins? Venkat Jasti: As we were telling you, the platform will be utilized for the value-added products, which Suven is good at. That's the whole team which we want to

bring. We would like to utilize the capacities and the capabilities. Also, if you remember, in Suven, we're also trying to go and do the life cycle management for the innovators who we are working with. For that, I may have to put infrastructure. Right now, that will not be necessary because the platform will have that kind of infrastructure. So, this will be a value-add. Focus will be value-adding rather than just going in one direction. And that's what the future focus is going t

o be, and the capacities and all those things will be utilized to bring the value addition to the total platform. I have no idea how much the revenues and how much those things which we are not privy to this. And that will be only post the merger, it will not be to anybody, and at that time we can talk. Right now, the scheme which we are thinking is to go for a value added using the existing client base and also the clients, which Advent can bring in through their global sources and global management so that suddenly if needed capacities can be utilized with platform capacity. So, this is a value-add, and is going to be a synergistic effect both in terms of the revenue and on top of the EPS. S. Padmanabhan: And then buying the 50.1% stake of your equity, I mean, I would believe that a part of this would basically go into funding the Suven Life Sciences candidate. So, from that perspective, would it be fair to assume that we would have enough funding for the next 3 to 4 years. Venkat Jasti: Suven Life Sciences you're talking? S. Padmanabhan: Yes, because I would assume that part of the money that comes from the sale of this could primarily grow. Venkat Jasti: I think you have a wrong notion here because we never think of this to fund the Suven Life Sciences, we have to sell the stake. That's not what it is. As you know, even before we have started this, we started way back 6 months ago to raise the funds through the rights issue, and we have the money for the next few years. And moreover, there are some milestones coming into the Life Sciences. If we are lucky and successful, that will take you over the next 10 years. But funding for Suven Life Sciences is as always we have been doing, we will be doing it, not necessarily by selling 1 stake and we have to put it. That's not the intent. Moderator: We have our next question from the line of Darshit Shah from Nirvana Capital. Darshit Shah: Congratulations on the deal. Sir, so from what we understand is that this is a platform that Advent has created to kind of become a market leader in India in terms of API and CDMO. And funds from all the 3 companies, which currently they have under this basket, I think 30%, 40% is CDMO and this is API specialty plan. And post the merger I think the CDMO business will be more than 50%, 60% of the overall revenue side. Sir, in terms of synergies, I mean, since you have been in talk with them for quite a long time, if you can throw a little bit more granular detail on what's the road map for them, how are they planning to take this overall Cohance thing over the next 3 to 5 years? This is really an issue for the minority shareholders like us to know stay put with the new promoters. Venkat Jasti: Anybody who'd like to have a value-added proposition which we're bringing to the table, and they have huge capacities and capabilities. And with our value-added roadmap, then we can integrate that towards that. And also, as we were telling you earlier also when the outsourcing is happening much more, including the life cycle management of the innovators, and this will be a value-added proposition again. At the same time, Suven don't need to spend money

to create infrastructure. The existing infrastructure will be focused towards the value-added products so that in general, value accretion and the synergistic business concept will be given and more offerings to our customers. That means they will be getting from nuts and bolts all the way to the formulation. This is the way we are thinking. Darshit Shah: Got it, sir. So, in order to summarize basically is that the process which we were envisaging of life cycle management, where you are trying to move higher up the value chain. So, now that the process anyway is on track and further opportunity if that comes, we'll be able to use this platform and experience a growth which might happen soon. Otherwise, we do have taken a little longer to put the facilities. Venkat Jasti: Yes, because some

of these platform companies are already doing some of these activities with some of the innovators. So, we can combine all these things, and we can give you more offerings to them so that they don't have to go to different people. And that way, this will become one of the top 3 CDMO players which caters from the, what you call, innovation supply chain to the life cycle management of the innovator. So, that is the thought process. Darshit Shah: And sir, lastly, on the roadmap, the press release of Advent talks of making Suven a $1 billion company over the next few years, so I mean that what the roadmap basically talked, so that’s a phenomenal kind of opportunity that Advent is looking from Suven. Would that be the right understanding? Venkat Jasti: I mean, I think you need to ask that to Advent. But right now, our focus is using this platform, giving more offerings. My job is to get the more value-added products into the pipeline, which naturally will give us a bottom line and better broadline growth and all the stuff. With their capabilities in the global, I mean, outreach, I think they may have a road map to bring this revenue to $1 billion sooner than later. That is their outreach when they start coming into the picture. Right now, our job is to utilize whatever we have in this partnership, make it a value proposition to the customers. And in turn, I mean value proposition to our shareholders. Moderator: We have our next question from the line of Mayur Parkeria from Wealth Managers India Private Limited. Mayur Parkeria: Sir, congratulation on the deal. Sir, I have 2 questions, one is Suven has always been a very respected, high corporate governance, very well in terms of the domain and expertise and your own image, this has been very respected in the industry and across the investors along. So, sir, from that perspective, just I wanted your comments on the stake which you plan to retain is it from a longer-term perspective, because from an investor perspective that may create a kind of an overhang because you have already sold 50%. So, will you like to just comment something on from the perspective of timeline, which you look at for the stake which you will be holding? Venkat Jasti: As of now, there is no thought process of relinquishing that and I feel that the value creation will happen because if we keep just to the value creation side by using all the infrastructure that is there, by using all the clients that is there, by giving additional opportunity to the offerings to the customer, I feel that value will be much higher. So, we don't have any thoughts of relinquishing that at this time, and we'll keep following up as long as we create our value creation, not only to shareholders but to ourselves. That is the way we are thinking.

Mayur Parkeria: And sir, you feel that value creation process can start happening in the near term itself from the next 3 years perspective also, right? Venkat Jasti: It should happen now as we start using the total platform and given the expanded offerings, I mean, it may not be overnight and it may not be in 1 year. But in a 3-year period, yes, it should rectify into the next level of proposition. Mayur Parkeria: Sir, the second question was, sir, since there is a proposal along with this itself that they will merge the Cohance, the platform, along with this, there is a proposal. And from a revenue perspective, more or less, Suven and that entity are more or less pro forma, not very different, right? So, I'm sure there would be some understanding on valuations of those companies also. So, because your stake would also get diluted when that company gets merged. So, any color which you would like to give us understanding on what kind of valuations will happen over a period of time? Venkat Jasti: It's very difficult to tell on day 1 what kind of valuation will come because we are working towards the value creation. I mean, if you think that it will be diluted and all that st

uff, we don't think we want to keep this stuff, right. But that's not what our thinking is by bringing the existing platform and the scalability and the capability and also by having the deep pockets of our partner and also having the platform of the partner, not only in India and abroad and also the knowledge they have in the pharmaceutical field, they can bring through their management systems, more business opportunity, which will be towards the value-added products, that's what the whole aim is about. Whatever they have now, that will be transformed into value-added services. That's what the idea is all about. And it will take about 3 years before you start any big jump on that one. That's what I feel. Mayur Parkeria: Sir, I was just wondering what is it that Advent gets for Suven on the platform because while they may get benefit with your expertise and you will get the value-added products even for that kind of entity and overall, 1 plus 1 can be much more. But from a Suven perspective, since you're going to continue to run the entity for some more time, what is it that they bring on table for you or for us as shareholders in terms of in the next 1 year? And how does it help us in that sense from a Suven perspective, sir? Venkat Jasti: Because I will bring a new perspective for the existing team in the sense is the value creation. How do you value create and how do you focus and how do you strategize. That's what I bring to the table along with what we do. And that with these additional capabilities, capacities and strength, we can pass forward much quicker and much better. That's what I bring to the table. That's what we are getting. Moderator: We have our next question from the line of V.P. Rajesh from Banyan Capital Advisors. V.P. Rajesh: My first question was regarding the timeline of this merger. So, would it be that the open offer will get done first? And then after that, you will get into the merger discussion. Or will it run simultaneously to the open offer process? If you can just throw some light on that. Venkat Jasti: The merger will be post the open offer only, really, when the Advent comes into the picture and they take from ours and the open offer, then only the activity will take place, not until that time.

V.P. Rajesh: And I was just curious, sir, that it could have been easily that you could have bought that business first. And then thought about selling your stake because you would have been running a much larger company as opposed to selling your stake at this point and letting Advent do whatever they want to do with the ongoing business. So, any comment on that? Venkat Jasti: I didn't understand the question. V.P. Rajesh: My question is that rather than selling your stake to them first and then letting them do the merger with their private entity, we could have bought the private entity from them. And then afterwards, you could have divested if needed to divest your stake in the combined entity. Because I'll tell you the concern is that once Advent controls public Suven, they can decide whatever that merger ratio is going to be. So, that's where I'm coming from. Venkat Jasti: See, when the merger takes place by the time based on the fundamentals, it will be worked out. It's not just whims and fancies it will not be done. It has to be done based on what do you call EBITDA of this company versus EBITDA of that company we shared; the structuring will be done like that. So, I don't see that way. I think what we need to bring is to bring speed to the growth along with the reach of the global customers. And having additional infrastructure and capacity, all those things and also bringing some of our non-offerings will be offered by Cohance and some of the non-offering by the Cohance will be offered by Suven. This way, there will be a cross-selling and in the beginning, then it will be a merger with the timelines it will take. And so meanwhile, we can take it to the customer. These are t

he offerings in total which will sort of double our capacity and the capability in terms of the people and the volume and the R&D personnel and all that stuff. And the focus would be towards the value creation. Moderator: We have our next question from the line of Amar Maurya from Alfaccurate PMS. Amar Maurya: Sir, what I can understand is that with this merger, the

Suven listed entity will get benefited largely in terms of the business opportunity more from the life cycle management, right? But let's say, I mean, whatever is the capacity which we got from the Cohance, I mean if Suven would have those capabilities, what kind of a life cycle business we would have been able to cater with this kind of available facility? Venkat Jasti: I mean, it's very difficult to give you a number at this time, but the strategy what we are talking about is, it's not only the capacities, but also the reach of their global footprint in the pharmaceutical field, which can give you additional opportunity for those places where we are not working can be there. Already, they have some of the innovators in their things where they are doing the life cycle management. The same thing can be done here. Those whom we are working, then we don't need to look for the capacities and the capability. And this is going to be a strategy which we have worked to apply for faster growth and value creation. This is the way we are looking at it, not just generic purpose only. And that's the whole purpose that will be merged into Suven eventually. But otherwise, we'll be utilizing the total, not only the people, not only the capacity, but also their global reach to the customers, we could be very much indulge into. Amar Maurya: So, sir, basically, what I'm trying to understand here is, like you were talking about a cross-sell opportunity, which you are looking can be very large, and

that can help to the existing business as well as to the life cycle management business, right? Venkat Jasti: Yes, existing business and life cycle management and also new customers paying with, what you call, if the Advent has a reach in the global footprint by having other players not in India but abroad, and they can bring that to the table. Here, the value-added products, what we are doing, the focus with which we are doing, and that will be an additional thing. As you rightly said, capacities can be created, but getting the client to decide which will fast track the activity, that's the one thing which we are looking for. Amar Maurya: So, basically, sir, what I think everybody is trying to understand is that do you see that the cross-sell opportunity from the existing Cohance portfolio as well as the Advent global reach would be very significant for you? Venkat Jasti: The total thing will be eventually, right? Amar Maurya: Yes. Venkat Jasti: And that's what the intent is all about, to get to that point, speed up. Right now, we are growing at 15% to 20%. And we still speed up things, but how fast we can go to the next level is only time will tell. Amar Maurya: Yes, I got that. So, basically, what you're saying here is that, let's say, you, as a company, I mean, on an individual basis, we're growing at a certain speed, this will enhance your speed significantly. Venkat Jasti: Not only speed, but also quantum. Amar Maurya: Also, the quantum? Venkat Jasti: Right. Amar Maurya: So, basically, I mean just simply trying to understand, let’s say, sir, I mean, probably you would have doubled the revenue in 5 years at a 20% CAGR, right? Can the speed come to 2 years by incubating all these accelerators? Venkat Jasti: Possible, sir. I mean, in our field, as you know, when some of the molecules was in commercial, sometimes give a doubling effect. Similarly, this can also happen, but this is very early to tell you that way, how fast we can do some. We have to utilize whatever opportunities that are existing because of the portfolio companies and also the deep pocketed, deep r

ooted Advent global footprint, which we need to bring it up. That can take it, yes, it's possible to do it in 2, 2.5 years. Amar Maurya: And one last, sir. Like, if I see the merged entity now would have 35% kind of a margin, right? And when we increased our life cycle portion of the business, will the margin dilute further? Venkat Jasti: No, not necessarily because when we are talking life cycle management means we're not doing just the generic life cycle management. We are talking about innovator life cycle management. Always this has a more value creation compared to the pure generics. So, that's what our aim is. That's where we are going to steal our growth also in addition to attracting more customers, but also that kind of things.

Amar Maurya: So, basically, the merged number, merged kind of a margin you tend to maintain over a period of time. Venkat Jasti: That’s what our intent is. Moderator: We have our next question from the line of Sunil Kothari from Unique PMS. Sunil Kothari: Congratulation for achieving your objective well in time. Sir, my question is you have nurtured Suven Pharma, as your baby, I mean your employees, your customers, the way you have relationship with your innovator world's biggest of all pharma companies. How those customers and your employees and your team will be comfortable with this Advent coming in? I'm sure you must have taken care of it. So, would you like to talk about some qualities which Advent will bring, which will give comfort to your very experienced team, R&D capabilities and your customer? Venkat Jasti: We have reached out to our employees, there is no problem whatsoever. We also reach out to the customers. And we have given our commitment to run the business as usual with the same commitment and the focus with which we are doing it. There will not be any change in the personnel, and Advent is also committed to do that. And as I was telling earlier to the customer, our aim is using this platform to bring in value-added products into the pipeline and speeding towards that area rather than just doing this volume-based activity. Sunil Kothari: Sir, my question is a little bit more from my concern is innovator was always comfortable with the Suven Pharma and Mr. Jasti. But with this new team, new feel, and they are very new to this field, they have just taken over 2, 3 companies during the last 2, 3 years. They are private equity investors. So, from that point of view, what's your thought process? Venkat Jasti: We have access to continue to be active in the business directions and the strategy which I said I will do it, and we'll continue to focus on that. And they are committed too. The reason why they came into this is to have this value addition and they don't want to spoil the broth by doing unnecessary things. And as a matter of fact, they want to seed all other platforms also into the value-added products. That's where the intent is. I mean, everybody will have an apprehension, maybe you were also having apprehension in the beginning. But as you are committed and focused as we were all these years, which we promise we will do, I think they were a great way for the future growth of this organization. Moderator: We have our next question from the line of Anandha Padmanabhan from PJM India AMC. A. Padmanabhan: Congratulations on the deal. I missed your initial part of the comments. If you could just again repeat what would be your environment in the business post completion of transaction and post completion of merger? At what level would you be engaging with this company, in the combined company, once the merger happens? Venkat Jasti: Because first, they have taken our company not only based on the generation of the revenues and all, but also the focus with which we do the business and also the value-added creation, which my job is to bring the total platform into the value-added services. And I will be doing this strategy and customer interest rate to co ntinue the business, continue the commitment as long as I'm there with them, and that's what the intent is and they want to just speed up as fast as they can and they don't want to do anything that changes the mindset

of the innovators because that's where the growth both on the top line and bottom line will be over the years. That's what we hope it will be. A. Padmanabhan: So, once the margin gets complete, you would continue to head the combined entity? Venkat Jasti: Yes, I'll be working for the strategy, the guidance and all the stuff. A. Padmanabhan: And you have sold a substantial portion of your holding. If you could just give a broad thought process on how did you decide in terms of the valuation at which you have sold it? It seems to be more closer to the current market price where generally, the trend is where the promoter is selling a controlling stake, they get some premium for parting with the controlling stake. Venkat Jasti: Yes. I mean it has its pros and cons as you know when we start the activity, the price is completely different. And now the price is demand price. So, otherwise, years ago, if I sold, I would have got Rs. 600, right? In this business it does not work that way. I mean we have taken a decision, and we saw that value accretion will be coming in and the only reason we get a little bit more than what we thought of giving is because they would like to have a controlling stake because they are bringing the platform to the table, and they are going to do more investments if needed to look forward to the next value added product portfolio and things, bring the customers because as I said, we are growing at a certain level, and we're comfortable with that, but we thought this is the right time for the growth into a much faster pace in a value-added manner. I thought it was a better thing. That's what the thought process is. A. Padmanabhan: And my final question, sir, if you compare the CDMO business of Cohance vis-a-vis the CDMO business of Suven, what are the key differentiating factors between these 2 businesses in terms of clients, in terms of the extent of engagement of the kind of products that you present? Venkat Jasti: I don't have much deep knowledge of the Cohance side. But what I'm saying is naturally, there will be different client deals but they also have a lot of innovative clients where they are working in API part of the business and that will be useful and the capacities are there. R&D spend is there. And again, the other thing is Advent has deep rooted penetration into the pharmaceutical world through their management team, which will bring more value to us. So, this is what the thought process is, but I have not done a deep dive into the Cohance portfolio. Moderator: We have our next question from the line of Nitin Gosar from BOI Mutual Fund. Nitin Gosar: Would you mind citing out any example in past where a company like Suven and Cohance with the kind of product offering they are giving have been merged? Venkat Jasti: I don't have any idea. I think this is maybe the first one. I don't know. I have no idea. I have not gone into researching the things that are happened. Based on that only I spoke. That's not the reason why I told you, and I told you why we sold and what valuation can come. I have not done any kind of research on that aspect. Nitin Gosar: Okay. And another two questions. How comfortable we are all with the client? Or how comfortable the client would be to work with a promoter to an entity that

we have seen in the past the way they were comfortable with you versus a strategic partner who is running the CDMO space? Venkat Jasti: We have our discussions with various players, and as long as the way you are running the business, the commitment you have, the focus you have without any changes in the same, they have no problem whatsoever. That’s what our gut feeling is. Nitin Gosar: Okay. And one last question. This is just an observ

ation. One of the recent episode where Advent International is acquiring a company which is outside Pharma space, but it seems, you know, they have given a kind of uncomfortable P&L outcome to the minority shareholders plus the buyback offers have also not been that great. How do we ensure that the minority shareholder's interest has been taken care of with this transaction going forward with the same entity? Venkat Jasti: Already they have announced the open offer with the same price what they are offering to us. Moderator: We have our next question from the line of Julie Mehta from Ratnabali Securities Private Limited. Julie Mehta: My first question pertains to promoter retaining almost a 10% stake in the company. So, I wanted to know if there is a lock-in for the same or not? Venkat Jasti: Naturally, the lock in will be there for 18 months. Julie Mehta: And my second question is regarding the open offer. Post-merger assuming zero acceptance in the open offer, what will be the holding in the merged entity by Advent? Venkat Jasti: Depends on the open offer success. That I think you need to ask Advent. That's the acquirer's thing, which we cannot have. Moderator: We have our next question from the line of Abdulkader Puranwala from Elara Capital. A. Puranwala: Congrats on the deal. Sir, on this $1 billion revenue what the new entity would be aspiring to achieve, what could be the product mix over here? I mean, when we talk about the innovative CRAMS business as well as the generics, because post this merger happening, I think, you know, from 8, 9% of your business coming from Generics side, it will move up to close to 40%. So, that $1 billion, you know, how should we see the mix now going ahead? Venkat Jasti: I have not given the statement. I think you need to ask the Advent on that, but our strategy and focus is still over the value creation using the existing infrastructure and the global footprint. That's what we are looking at it. I am not looking in the direction why and when they quoted, how they are going to have money. A. Puranwala: So, from the current gross block what we have, you know, that is barring cash flow, I think FY22 we had a gross block of close to Rs. 680 crore. So, you know, what could be the potential revenue the new entity could derive from this gross block what we already have on block with us? Venkat Jasti: I have no idea on that, sir, right now. I can only concentrate on what we are doing now. First of all, the deal will only happen sometime 5 to 6 months from

now. Meanwhile, my concentration will be on the existing thing, but when that act, because as I said, I do not have to deep dive into the Cohance. That needs to be done post the acquisition. Then only I will come into the picture, but my strategy for them and was and is and will be that it is a value creation for the platform which takes the much more value-added products and with their global footprint, we should be able to do that and with the expanded capacities and we can do that. So, right now I cannot give you all those details, but our focus is that way. A. Puranwala: And so just final question, if I may. You know, when we talk about this entire merger happening, I mean, I understand it would be still 5 to 6 months away, but, any color how this entire deal will take place? I mean, in terms of the merger, would this be done through share swap, you know, we would be issuing, that is Suven Pharma would be issuing fresh shares for Advent, or, I mean, this might be done through our leveraged buyout wherein, you know, debt funded would happen? Because, I mean, if you look at the three entities what Advent has acquired, you know, which would be merging with us, the quantum looks pretty high. So, any color on that front? Venkatraman Sunder: See, the scheme of demerger and now the scheme of merger will happen post completion of this portion. So, once this is completed, those valuation perspectives and other things w

ill be revealed by Advent as Suven at this point of time releasead as a part of the document. At this point of time we have not evaluated and we have not gone into the details of those things. Moderator: We have our next question from the line of Rajkumar Leishembafrom Press Trust of India. Rajkumar L.: Mine is just a clarification. I joined a little bit late. How much is the promoters selling off out of the 60% you have and at what valuation? Venkatraman Sunder: Promoters are selling about 50.1% is the stake Rajkumar L.: So, usually, the promoters would be left with 9.9% stake. Venkatraman Sunder: That is correct. Rajkumar L.: And what is the total value? There is some report stating it's around Rs. 6,300 crore. Is that correct? Venkatraman Sunder: Correct. Moderator: We have our next question from the line of Ashish Thavkar from IIFL. Ashish Thavkar: Sir, there are some media flash, which says that, you know, the combined entity will have an EBITDA margins of 50%. Is it a right number? Venkat Jasti: I don't know where the media has come and we cannot give you the combined entity thing because it's not even merged. I mean, it's not even execution has not taken place. It will take around 6 months from now roughly. And after that only the merging process will happen. That merger process as you know take 9 to 12 months maybe. So, I don't know where you got all these numbers. We have not said anything. We have not arrived at that number.

Ashish Thavkar: Fair enough. Sir, and we did speak about synergies, but are there any immediate synergies say in the next 12 months which can quickly show in our numbers? Venkat Jasti: I think we will be going aggressively to the customers and also trying to get the new customers, but the business where we have value added products which we are getting it into the innovation side of the supply chain, and it will not be overnight. So, it has to be nurtured into, and once you get into there, then that will have a compounding growth. Ashish Thavkar: Fair enough. Sir, just one last question. Obviously, as the Suven standalone entity, we always focused on, you know, we never wanted to dilute our 40% plus EBITDA margin profile, but with now the Advent business is also coming in, the focus initially would be on gaining scale and at the cost of margins or how it would be? Venkat Jasti: I don't know what they do, but my strategy was to use that as a leverage to get the value-added products in the kitty and also getting more customers and giving more offers, I mean, offerings from the boutique. That's what we are thinking, but the strategy will be done by the Advent post the merger. Until that time, I will be running the business, and I will be giving the strategy to have a value-added product portfolio. Ashish Thavkar: And the last one, when are the tentative dates, if you could share the, when would the open offer open up? Venkat Jasti: This is contingent upon the CCI and the DOP approval. It can happen in 3 months, 4 months, 5 months. Moderator: We have our next question from the line of Avnish Khara from VT Capital. Avnish Khara: I just have one question. I wanted to understand you focused a lot on how Advent will be adding value by helping us accelerate the speed and quantum of our business. So, is it safe to assume that organically growing was becoming an issue for us for some reason? Venkat Jasti: No, I think you misunderstood. I said, we can go into the next level with their portfolio companies and also Advent's global footprint in the life science industry, they can bring it to that. But see, I mean, as you know, we have a certain speed which we grow at. If you want to grow much faster than previous, you need to get into the inorganic also. For that you need to have also the pocket. I think we have deep roots, deep pocket, and deep infrastructure and enhanced capabilities and capacities. All these mix into the sort of things which will speed us actively, not that we

cannot do it. Yes, I can do it, but as you know, the growth is we are growing at 20% maximum, and of course, taxes also make it much more faster, but this will speed up that activity. This is much faster after a couple of years. Moderator: We have a follow up question from the line of Amar Maurya from Alfaccurate PMS. Amar Maurya: Sir, one just clarification like, you know, in Suven, Advent has taken 60% stake. So, all the other entities which they had acquired, they are the 100% owner into that, right? I mean, there are not multiple promoters coming into the Board with this merger, right?

Venkatraman Sunder: No, it's very difficult for us to answer. We don't have those portfolio of the companies, what stake they have in different companies. In this company right now the intention is to acquire 50% from promoters, and there will be an open offer of 26% of which whatever is standard, we will know only after the open offer is closed and completed. So, we do not have at this point of time the complete details of, you know, Advent's current portfolio of what the stake in which company we have in deeper details. Probably, that may come later. Amar Maurya: No, I'm just trying like, you know, before the merger, you would have got the like the Cohance is 100% owned by Advent, or it is like, you know, there also they have the minority shareholders of all this different entities? Venkatraman Sunder: See, the majority is held by Advent. We have not gone into the details of the merger and right now the current valuation, the current aspect what we are looking at is Advent acquiring a stake in Suven. That's all. The merger proposal should come only after this is completed, and those details will be put on. Right now, we need to get the DOP approval. We need to get the CCI approval. We need to close the deal. Then we will be getting into those details. We have not evaluated those parameters at this point. Amar Maurya: So basically, I'm just trying to understand that, I mean, I can understand that, you know, those details can be evaluated, but as a, I mean, because you are going to hold 10% stake in the merged entity or 7% stake in the merged entity, I am just saying, you know, we should be aware, right, that who all are going to join into the new entity? Venkatraman Sunder: So, it is Advent that is holding the majority stake in these three companies. You can go into and check in their website, in the Cohance Life Sciences, there is a website for which you have more details about them, what kind of capabilities, what kind of leverage. The financial figures and those details are not available for public at this point of time being an unlisted company. Moderator: We have our next question from the line of Rahul Jain, an individual investor. Rahul Jain: I had two clarificatory questions. First, that in our press release, we say that Advent is going to acquire X percentage stake in our company, and then there is going to be a subsequent merger. The merger details as I hear on the call is something which is not known, and the management is retaining 10% stake in the merged entity or not or in the entity which is pre-merger. This is also not clear. Can you just throw some light so that all of understand what exactly is going to happen in the merger? Because in the press release issued by Suven, you all have spoken about merger. But then merger details are not available. They will be available after six months. Management is retaining control or 10% stake in the company, but there are no details. Who is coming in with this merger in the merged entity? We, as shareholder want to know this?, this is my first question. My second question is you just mentioned that there is a 18 month lock-in that the promoters have taken on the 10% stake. Correct? Now post-merger, whether you will have 10%? What happens to your lock-in share if the merger approval comes prior to 18 months? And these details are also not available in the pre

ss release. If you could just help us understand what exactly is the current promoter going to do in the merged entity? How will this entire transaction happen? Venkatraman Sunder: See, at this point of time, you know, the current promoters, Jasti family is giving 50% of the overall company to Advent International as a standalone. And we have another 10% held at the moment. Post-merger, which is, you know, the release given, what we released is what was given to us from Advent

International that, you know, they are acquiring, because as a part of it, the seller post the share purchase agreement, they are supposed to release it we have released it. Now the merger part of it what you are talking about is they have a Cohance. They have a platform in which there are three other companies are built which is to be built. Those details are provided where you have these evaluation as well as the merger aspects, they will be coming up later post DOP approval and acquisition from the current promoters. Until then this 10% is on the standalone Suven Pharmaceuticals what the promoters should be holding. The 18 months is a continued transition period for which, you know, support will be there from Mr. Jasti towards the entire transition and also the acquisition that is being happening now. Post this 18 months period actually, and post whatever we call it as even the merger would also been completed. The dilution of the promoters' stake of 10% would have come down to a different value. That value will be determined both on the merchant banker valuing the entire thing and coming out with the thing. So, it should be difficult for us to come out with a swap ratio and say clearly like what it should be there in. Based on the valuations at the time of the merger documentation and the banker's evaluation and based on EBITDA survived at that time, it will be swap ratio will be determined. Based on that, this 10% can be down by the sale swap ratio. Rahul Jain: So, sir, if I may just ask you, then if I understand this correctly, the reason why we mentioned this merger was something because the buyer wanted us to mention. But then the details of the merger or details of this is not known to us right now. Venkat Jasti: You have to see it is a different context here. First of all, we are trying to sell the something, and the buyer is trying to do something with this acquisition. So, we are giving everybody what is the rationale in doing it. And these things will come as and when it is applicable. I cannot put a number today because I perform much better, and my EBITDA is much better. So, I get a much better swap ratio compared to the other platforms. So, this will be done by the merchant bankers at that time. So, we cannot give you all those things without even the deal has not happened. First, this thing has to happen. We are only giving you what is the prospect for the future. Venkatraman Sunder: And also, in the release what Advent has informed us, it's like, you know, they will explore the possibility of merger. You know, I don't know whether it is going to be done. It is later they will be announcing it because we will not be talking on behalf of Advent at this point of time what they intend to do. At this point of time, the company is valued and we have a much larger platform to offer as a company to the global customer. On a continuing basis as the current, now global consolidations are happening. So, this is one of the areas that is important to focus on to offer a better service to the global customers to ensure that actually, we are part of the global here. Rahul Jain: So, are you trying to hint that merger may not happen? Venkatraman Sunder: I cannot say that at this point. They only used the word. If you really see, Advent intend, post completion of this landmark acquisition, Advent intend to explore the merger of the portfolio company Cohance which was to build a leading end-to-end CDMO and merchant API players serv

icing the pharma and specialty chemical markets. That is what the release what they have given. So, today, the merger what we are talking about is what you call, you know, it is based on the events happening. So, that is the reason. I am reading only from the release what is given.

Rahul Jain: So, just my last point. So, you are trying to say that you have mentioned it in your press release. You are just trying to justify the rationale but justifying rationale without any numbers to it. I don't think that is too comforting for anyone. At lease for me it's not comforting because any rationale which you give, I mean, if it is not substantiated by numbers, I don't think doesn't make any sense to anyone. So, let's wait for your merger details to come before we can do something about it. Venkatraman Sunder: Yes. I think we should wait for the merger details to come from Advent. As we at Suven at this point of time will not be able to talk about that. Moderator: We have our next question from the line of Vainatheyan, an individual investor. Vainatheyan: Good afternoon to all of you all. I would like to just ask you whether post-merger the name of the company will be changed from Suven Pharma to Cohance? Or Cohance will be merged into Suven and Suven will be still listed on the stock exchange as a company entity? Venkat Jasti: That is not at all we are taking care of. This right now is, I mean, Cohance will be merged into the listed company. Vainatheyan: And what happens to those people who have rejected the open offer in the sense, want to retain their existing stake in Suven Pharma and take a chance as to what will like what can happen in the future? Venkat Jasti: No, as released when the merger takes place, whatever happens is the swap ratio, the number of shares will be in the same ratio as the swap ratio and the evaluation has to be much higher. So, it should not be any value depletion, but it will be value accretion given the number of shares are less. Vainatheyan: So, that thing is assured that the investor would not lose like below this 495 or whatever they are offering, below this the investors would not be forced to actually parting their shares? Venkat Jasti: Sir, you need to look into that and that based on what you call, the merger swap ratios and all that stuff, that will come into the picture later. Right now, how can I say today, you buy not only this company, but any company also today you buy at X amount, tomorrow the market goes down, somebody gives you a guarantee. It is not like that. Why anybody will not do this for a value creation? This is what Advent is trying to do the value creation. Nobody wants to lose money, right. He will not pay like this, right, if they want to lose money. If the shareholder is losing, the investor is going to losing it also. So, this is not the intent and that's a hypothetical question. We cannot answer at this time. Moderator: We have our next question from the line of Pritesh Vora from Mission Street India. Pritesh Vora: My question is post this acquisition, how do we minority shareholder get assured that whatever the merger ratio happened, because I understand our company has a higher EBITDA margin than the Cohance portfolio, and our growth rate is also much better than Cohance portfolio. So, how do we ensure that if the merger happens or whenever it happens is the benefit of minority shareholders? Venkat Jasti: Yes. Minority shareholder by the time after the acquisition, the Suven promoters are also minority shareholders. I mean, this is one and the same to everyone.

See, it has to be on the valuation at that time based on the result at that time, not today. So, what happens in May or in April, and the results or the March will be the parameter. Based on that the swap ratios will be there. It is clearly mentioned that it will be based on the valuation from AID and merchant bankers will determine rest of the valuation. So, I mean, we a

re also in the same boat as the existing shareholders. So, it is nothing that we are going to wait for, I mean, we had to wait for the actual valuations is arrived at based on the fundamental which we have delivered at that time. Moderator: We have a follow up question from the line of Darshit Shah from Nirvana Capital. Darshit Shah: Just wanted to know that you have been exploring this option since long and you have met a lot of people including few of the pharma companies, big pharma companies as well as strategic private equity investors. So, in that whole process, do you think that this according to you was the best option which we could get for a long-term value creation for shareholders? Venkatraman Sunder: Yes. I mean, you know, we at this point of time, this has been evaluated based on the multiple rounds of discussions we squared on with Advent given their various level of experience in their industry, and we felt this is the best choice at this point for us to grow. The future will be undervalued at the point of time when further plans will be revealed by Advent. Today we are talking from the point of view of Suven. And we cannot talk about Advent as an acquirer and then give their kind of options of what is the growth plan and all sort of things. That's why we are restricting ourselves to only focus on what we have done in Suven and then how we are evaluating this and then where the value addition or accretion which we are expecting to happen? Probably, you know, the future call where Advent is going to be part of it, some of these questions which may be returned and then they will be in a position to answer that. Moderator: We have a follow up question from the line of V. P. Rajesh from Banyan Capital Advisors. V. P. Rajesh: Just a suggestion, sir. If you can have Advent people on the next earnings call, I think it would be helpful for us to understand how they are thinking about the listed company and the merger with their private entity. That will be really, really helpful. Venkat Jasti: Yes. We will certainly do that next time we have the investor call. So, we will include them so that you will have much more clarity. It's we don't want to give too much details at this time. Moderator: We have a follow up question from the line of Amar Maurya from Alfaccurate PMS. Amar Maurya: So, on the deal value perspective, I think everybody is concerned about that. So, currently, if you see, I mean, altogether what Advent has invested, at different period of time for creating this whole Cohance platform was around Rs. 3,700 to Rs. 3,800 crore. And based on the FY21 or FY22 numbers, whatever is available from the NCA, if we give the same multiple, we get to something around Rs. 4,300 to Rs. 4,400 crore kind of a deal value and which basically is the combined is 12 times EV by EBITDA based on that. So, are you saying that whenever the merger happens, this is the kind of a valuation which will be evaluated for the Cohance platform to get merged with Suven? Venkat Jasti: That's not the way you had to look at it. I mean, you are bringing some unlisted versus the listed and all that stuff. Now you have to wait until the actual things

will come out and this is not the right time. We are only trying to sell the stake at this time, and it has to consummate. Then only these activities happens, and it will be done through a merchant banker, independent merchant banker and we are also as like any other shareholders, we are also the shareholders, and we will be looking after the shareholders' value also when the swap ratio is arrived at. So, right now it is beyond me to give you all these answers, and the next time we meet, we will have the Advent people also on our call, so you will have much better clarity. But you have to wait for things to happen. You cannot leapfrog and get the estimates everything today itself. The idea is to have independent banker's valuation based on the fundamental at the time of mer

ger application is filed and the swap ratio is determined. And we are there along with other shareholders to protect ourselves. Moderator: We have our next question from the line of Pankaj Gupta from Ratnabali Securities Private Limited. Pankaj Gupta: Sir, I will repeat what my earlier participants have said, if you would be able to arrange a call with Advent International at the earliest. Also, I would like to say, sir, if in principle, decision of the mergers have been taken by both Suven and the Advent, and we know that Suven Pharma have a long history, and also the Advent and its entities like Avdoo, ZCL, and Cohance also have a presence for quite long. So, may be one-year numbers of EBITDA or whatever you are saying shouldn't make so much of a difference, and as an investors in your company, our fortune will be dependent upon the kind of merger ratios which would be chalked out. So, I again request that if you could arrange a call with Advent at the earliest, it would be helpful. Venkatraman Sunder: We will pass this information to Advent team. Moderator: We have the next question from the line of C Srihari from PCS Securities. C Srihari: Basically, thanks for the opportunity. I have two questions. Number one, what is the kind of technology that would be available to Suven by virtue of the acquisition? And secondly, a hypothetical question. if this platform had been available to you earlier, what is the kind of incremental growth you could have possibly had? Venkat Jasti: In the pharmaceuticals, technology is similar, but it is only the focusing which side of the spectrum you want to do the business, the value-added side or few generics side. That's what it is. That will determine. Technology should not be question. Here the capabilities and capacities is the one that counts, and the focus in which direction you are moving. That's all it counts. What is the second question? C Srihari: The second one was a hypothetical. So, let's say, you know, if all these inputs were available to you, then what could Suven's numbers would have been vis-à-vis let's say with respect to the current numbers? Venkat Jasti: No, and I really think at this time, and we are focusing until this acquisition takes place and exclusively on Suven only, and only post that we can do that and the strategies and all other things which we can talk about it in the next conference call where we also will involve the Advent people. So, the ratios and the rationale and all that stuff in addition to what we are bringing to the table, they also can bring to the table. Global footprint they can bring to the table. So, they can explain you much better and let us not draw to conclusions at this time. I think we would like to wait for the next opportunity. Right now, we are telling the rationale and that's where we are.

C Srihari: Could you please tell us the capacity utilization of the various verticals? Venkat Jasti: Yes. As I said earlier, we have not gone to such kind of this thing. At this time we are in the process of signing the sale purchase agreement. Only when it comes to the next level, we will go into all those details. C Srihari: No, sir, I meant to say, what is the current capacity utilization? Venkat Jasti: I am not talking about some other company at this time, sir. We are not taking into account the combined, we have not started any activities yet. C Srihari: I mean, for Suven as a standalone entity, what is the current capacity utilization? Venkat Jasti: 100%. Moderator: Thank you. As there are no further questions, I now hand over the conference to the management for closing comments. Over to you, sir. Venkat Jasti: Thank you, everyone, for tuning in to this event that happened today in the Advent acquiring 50% of the stake, a significant majority stake in the pharmaceutical company with an intent to have a global footprint by making this the third largest CDMO out of India giving more offerings to the global pharmaceut

ical industry and making this value accretive both to the customers and to the stakeholders. And this will have many milestones to achieve. First, it has to go through the CCI and DOP approvals and then the share purchase has to happen. Then the open offer has to happen. Then only the Advent will come into the picture, and then at that time, we will explore the possible major aspects which is going to be in our thought process. So, with this, I thank you each and every one and hope to catch up with you next time where we will involve Advent people also so we have much more clarity by that time. Thank you for listening. Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Feb 2023

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CSD/BSE&NSE/CC/2022-23
February 13, 2023
To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001 To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and nine months ended
December 31, 2022
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2022 conducted after the meeting of Board of Directors held on February 6, 2023.
The above information has been uploaded on the Company's website at
https://www.suvenpharm.com/index.php/investors/financial-info/quarterly-release
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K. Hanumantha Rao
Company Secretary
Encl: as above

Suven Pharmaceuticals Limited
Q3 & 9M FY23 Earnings Conference Call Transcript
February 7, 2023
Moderator : Ladies and gentlemen, good day, and welcome to the Q3 & 9M FY23 Earnings Conference Call of Suven Pharmaceuticals Limited. Please note that this conference is being recorded.
I now have the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.
Rishab Barar : Good day everyone and thank you for joining us on this call to discuss the Q3 and 9M FY23 Earnings for Suven Pharmaceuticals.
We have with us Mr. Venkat Jasti – the Managing Director; and Mr. Venkatraman Sunder – Vice President (Corporate Affairs); and Mr. P Subba Rao – CFO of the company.
Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. Documents relating to the company's performance have been emailed to you earlier.
I would now like to request Mr. Jasti to share his perspectives on the performance and outlook. Over to you, sir.
Venkat Jasti : Thank you, Rishab. And good afternoon, everyone for tuning in to the updates on our Q3 & 9M FY23 results of Suven Pharmaceuticals Limited.
As you know, we have a quarter-on-quarter sequential increase in the revenue, but if you see the 9 months, it’s more or less flat. At the same time, the EBITDA is less by about Rs. 13 crores odd mainly due to the product mix. As you know, the Specialty Chemical has more or less equal to the number for the corresponding period last year, we have achieved it in this quarter 3 itself. With seasonality update, when the growth starts coming in, the trend sometimes it will be moved ahead or sometimes it may be moved backward and this time it has moved to the third quarter itself and we’ll be going into fourth quarter with

this growth. This will keep happening and it may not be the same year-on-year. Next time, it may be a little bit later also, if possible, but it will be bunched up in 1 quarter like compared to the last year third quarter, this year third quarter, the Specialty Chemical has almost doubled. But whereas the CRAMS has come down and mainly due to the COVID revenue out this year. And as we mentioned originally in the beginning of the year because of the less COVID molecules, the revenue will be down by around 5% or so. And in the middle of the year, we have said maybe able to catch up to the flattish compared to last year number or maybe a little bit

better.
So, as now this thing stands, I think maybe we'll be able to come to the same number as last year, maybe a slight growth of earnings too also is a possibility.
And if you see on the macro level, since I cannot give you any kind of projections, as our visibility is only 6 months, I just wanted to give some kind of macro scenario, as you know, the CDMO businesses is globally growing around 77% with target price of above Rs. 130-140 million. And after this COVID debacle, now the R&D thing is coming back from the global pharma into the medial field. And, we have heard from our customers during the CPHI in November that they're also looking to change from China to other countries and India is likely to get benefitted. It may not happen overnight, but the things are going in the right direction.
So, it’s what we have created over the last 20 years, we'll be doing customer interaction for customer stickiness and more opportunities for us with increasing capacities and increased chemistries. Well, as you know, we have been doing very good for the last 4 years with a CAGR of over 41% growth.
So, all-in-all, you may see this up and down as you know in our business models, it's not quarter-on-quarter, sometimes it may not be year-on-year, but at the same time things are looking good. But there will be ups and downs in between and most of you are well aware of it. I think the long-term growth prospects are very good and we expect that to benefit us in the long run, especially with the China Plus One or China Minus One whichever way you call it. I think all-in-all, we look good, but this is the status as of now. I think it’s a better only to answer you rather than giving you most of the outlook.
So, I now look forward for your questions.
Moderator : Thank you very much. We will now begin the question-and-answer session.
We have our first question from the line of Rashmi Shetty from Dolat Capital.
Rashmi Shetty : Sir, on the speciality chemical business, though you admitted the growth is through seasonality, just want to understand that the current sales growth during the quarter and in the first 9 months of that sum, it is from only 2 molecules, or we have received some repeat orders from the third molecule also. And earlier we guided that there would be a flattish growth in FY 23 in Specialty Chemicals business, but now, because of the higher growth in the 9 months, do we upgrade our guidance on this piece of business for this particular year?
Venkat Jasti : As I was telling you, it’s cyclical in nature compared to other businesses in specialty chemicals itself. The situation with respect to the drought, the rainfall or whatever it is, the sorting of the crops and all, they keep changing it. So, this year it was preponed looks like and more requirements came. I think they have taken this on the adjustment with it also. So, that’s why if you see in 9 months itself, we have with regards to last year's number. With respect to the product, the small amount of the third product also sold in the first quarter, which we have told you earlier. Otherwise, these 2 products were the main things. But at the same time, it can happen that the next requirements well maybe pushed not into the first, second quarter, maybe third and fourth quarter again, all bunched up in one go. But all in all, as per the customer thing only, we are saying it’s a flattish growth on the Specialty Chemicals. But when the things are good, suddenly they may get the requirement and which we are able to supply in time.
So, that’s the way it goes.
Rashmi Shetty : And sir, on your CDMO pharma business, in the middle of the year, we expected that probably for this year, we will be able to do some small single digit growth.
But considering the fact that we have shown a decline in second quarter and third quarter, do you think that for this full year, we will see a decline in the pharma bus

iness, CRAMS business? Or you think that some sales got deferred and it will come back in quarter 4?

Venkat Jasti : I think slight decline will be there, but quarter 4 may not make it to the concrete number to that level. But in general, based on the feedback during the CPHI last November, I think now is the first quarter, now the year starts where we have most of the European and American companies in January. So, I think we should be able to be more number of opportunities coming, and of course, repeat business to be coming in. I think as of now except the COVID and some generic molecules, other things are all on track only. I think they're not much different. So, we expect that single digit growth should still happen.

Rashmi Shetty : In the pharma business, so you expect that in ex-COVID molecule you will get single digit growth of the year?

Venkat Jasti : Yes.

Moderator : The next question is from the line of Cyndrella Carvalho from JM financial.

Cyndrella Carvalho : So, if we look at this quarter, we have higher contribution from the Specialty Chemical side and still we have maintained our EBITDA margin. So, is that a better contribution from the new products that we have in the Specialty Chemical? Or how should we understand the margin aspect for this quarter?

Venkat Jasti : See, you cannot attribute everything to 1 product and other if the total product mix, especially the things that goes in, the Specialty Chemicals are same as last year. There is no difference. So, the improvement if at all is in the CRAMS side of the business. Even though volume is less, the product mix, value addition, and all that stuff will play a role. But year-on-year basis, it will change, it will not be same.

Cyndrella Carvalho : Sir, just wanted to understand in case like we are seeing higher profitability coming from these speciality side, that's the reason I was trying to understand. And in terms of our CDMO business, how should we see, sir, any visibility that you can provide on the coming fiscal FY24?

Venkat Jasti : It is very difficult, you know that. And I never give you the fiscal target, that's why I gave you the macro level view that are happening, whether that translates into the business for us or not, we don't know. But as of now, we are hoping that around 10% growth as I keep telling you all the time, we expect the same if not better. But right now, we can only tell you what we have that is less than 5 months visibility for now, which is looking good.

Cyndrella Carvalho : And sir, if we look at the Advent deal, where are we in terms of the process? Right now, any timelines that you can allude? And in terms of process, you can highlight any details on that side?

Venkat Jasti : Regarding that Advent thing, I mean they have to do all the approvals, they have to get it and we have the timeline up to August of this year to get all the approvals. So, like the CCI and DOP and the DIP, whatever you can call it, they have applied and waiting for the approvals process to take place.

Moderator : The next question is from the line of Darshit Shah from Nirvana Capital.

 Darshit Shah : Sir, just wanted to know a couple of things. One on the forward integration on the API part, and we were in talks with a few of the clients who were probably planning to come and see the facility and then give a go ahead. Sir, any update you'd like to throw on that?

Venkat Jasti : Forward integration of the API, okay. As you know, last time as I told you we are now talking to them but they must come and audit the same as they are different departments. And they are expected to come according to their second and third quarter, that means first and second quarter of ours. They are likely to show up soon and it takes time, but we are working on that direction, yes.

Darshit Shah : And sir, currently, how many products do we have under commercial and Phase 3 if you would tell us, I mean including the C

OVID, sir?

Venkat Jasti : Well, we have around 7 products.

Darshit Shah : In the pharma – CRAMS?

Venkat Jasti: Yes.

Darshit Shah : And any colour on the Phase 3 products?

Venkat Jasti : Now, there is no indication from the customer because unless they get the results out and then only, we get the intimation. As of now, there is no indication of whatsoever when that will happen. Things that are in this Phase 3, when they will move likely to the next level we have no update.

Darshit Shah : That I understand, sir, that you don't have any indication, but any late stage products if you can see, I mean, that might happen in 6 months, 12 months. But any number of late stage products we have in the pipeline?

Venkat Jasti : Yes. We always have number of projects in the Phase 3 and they keep changing it. As we have done effectively with the molecules. We have our products in the pipeline.

Venkatraman Sunder : Sir, we do have late stage projects, but we will not be able to give projections
based on that. That’s what we are trying to say.
Darshit Shah : And sir, lastly, if I may ask on Suven Life, sir, any update you like to, since we
hold Suven Life shares, any update you'd like to throw on the Suven 3031?
What's the progress? How's the safety part been addressed? Since we have
enrolled quite a few number of patients there.
Venkat Jasti : Yes, almost 90% enrolment has been done, this quarter. According to the
estimates by them, because of the seasonality and all that stuff and enrolment,
it is likely to be in September quarter. October quarter, we should be able to get
the data.
Venkatraman Sunder : See, last patient may come in around the June timeframe. That means from
there, we’ll take about at least 90 days to 120 days to get the data crunching
and then we will get the final number.
Darshit Shah : But how has been your safety part? Has it been safe enough?
 Venkat Jasti : Yes. We just started. We have around 9 patients already enrolled in the 502
phase 3.
Moderator: The next is question from the line of Damayanti Kerai from HSBC Securities.
Damayanti Kerai : Sir, can you please elaborate bit more on your CDMO business from what is
happening mostly at the customer level? So, you mentioned about R&D and
then China plus one strategy, etc. So, can you throw some more colour there
and how we should look at this business for say, next 2 to 3 quarters?
Venkat Jasti : As you know, customers’ interaction happened finally via video chat. Before that
we had only the regular meetings, which would not have any other thought
processes and the pipeline and all that stuff, only the transaction-based activity
we’ll be doing it. The way they have said it, now they're coming out of the COVID
situation and starting the new what you call footing or purchase for the new
products and all that stuff. And that's one thing. That means it will start flowing
out the new projects eventually. And the second thing they're also looking to
outsource more. I mean, one is the R&D spending is going up. The second thing
is they are going to change their sourcing strategy, it may not happen overnight
as I was telling, but on the China too, and some the other territories. And most
likely, India will be the most opportunistic for them. And that's what they are
looking at it. So, in that process, that's why I gave because I don't give you any
projections, but I just gave this because until that time, everybody was at China
plus one, I was saying no, it may not happen. But after the CPHI, we are in kind
of inclined to say yes, this is not only the increased R&D spending, but also the
increased outsourcing in the global market scenario in terms of control that is
happening in CDMO. I guess players are likely to get more benefitted and us
being the long-term player for more than two and a half decades, with all these
big pharma and with all the kind of infrastructure and the mindset and the focus
wi

th which we do the FT based activities, we are at the front end to get any
opportunity that will come to us. That’s what it is.
Damayanti Kerai : That’s good to hear. So, are we seeing more enquiries or RPF from the
customers or things are still in discussion stage?
Venkat Jasti : Yes, it will come but only a couple of months ago it happened. And the holidays
are over. Now they're fully back into the things and they will start now doing
thing. I think you will see in 2 to 3 months, the flow of this will hopefully increase.
Damayanti Kerai : And just a clarification on R&D. So, I guess till a few months back, we heard
about some curtailment or pullback by customers in terms of R&D spend. Now,
you are saying, things should improve from here on and you're already seeing
some improvement?
Venkat Jasti : We heard that, but we have not seen on the ground yet. And we will only see
that if I guess in case of 2 to 3 per month requirements, then I’ll say, yes.
Damayanti Kerai : So, considering all, most likely say another 1 or 2 quarters, we should be seeing
things moving up from here?
Venkat Jasti : That's what I hope based on the feedback we have.
Moderator : The next question is from the line of Abdulkader Puranwala from Elara Capital.
 A. Puranwala : Sir, can you please provide some colour on the products which under pharma
as well as on the speciality chemical side which we would expect to go
commercial in the next 2-3 years? Any timeline or anything what you would have
heard from the customers since you mentioned that the global pharma activity
is picking. So, on the commercialization side, if you could provide some clarity,
it would be very helpful.
Venkat Jasti: You know very well that it's very difficult even for the customer to say anything,
and for me to tell it's highly impossible because unless the data comes out, they

cannot tell. So, as I was telling the earlier caller, I have no indication whatsoever. With respect to Specialty Chemicals, we already mentioned the fourth molecule should come in FY24. That's the only thing we have an update on that. No, not an update. We are reiterating whatever we said earlier. So, it's very difficult for me to give more detail. Until they know, we do not know. It can happen maybe say two months from now, but we don't know that thing because you understand, we also know how drug discovery works. So, we would not be knowing our own 3031 what will happen until presently until November timeframe, right? So, similar things for our own investors and customers also. They may not be able to tell. Only thing they can tell whether the study is going on or about to complete or whatever. That's only they can tell, but right now the results we have not been able to forecast because these are all double-blind studies.

A. Puranwala: So, sir, on third molecule and the Specialty Chemicals side, sir, has it started contributing? I mean, in Q3, was there any contribution or?

Venkat Jasti: No, no, it's only the quarter one it is over. After that they said you have again 18 months later only it will come back.

A. Puranwala: And sir, largely on the margin front, if you could provide some clarity as to, you know, where the margins would sustain? Would this 42%, 43% range be something which could sustain ahead, I mean, when you talk about from an FY24, FY25 perspective?

Venkat Jasti: Yes. I mean, remember we always say +40% is the normal for us as of now as the thing stand. Okay. There will be 2% extra one quarter, 3% extra one quarter, but +40% is normal for us. And as of now I don't see any reason why it will go down, as of now. It can also go up as you know some quarters it goes up. But all in all, at the end of the year we are in the range.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital.

Gokul Maheshwari: So, can you just give an update on the Casper facility, which you acquired last year and

whether your contract to increase the capacity utilization over there? And would you require any more investments in that facility?

Venkat Jasti: As of now we have filed about 10 already, and there are some filings still going on. The approvals are coming one by one, and the first product will be sometime in April, May timeframe would be going out. And right now, I don't need any capital expenditure for the Casper. Only these things, we have 1.2 billion capacity in that, and only when that is done, we will be knowing it. And as you know, we also have capability at Pashamylaram site. So, we can imagine we can do that. We have enough time to create infrastructure if needed. That is not a problem, but right now we do not need any additional capacity.

Gokul Maheshwari: In the nine months, what would be the contribution of Casper in our sales this year?

 Venkat Jasti: As of now, there is no contribution much, it's only the expense and we clearly mentioned it will be about 12 to 15 months when we took over the company. Before we see the revenue and we expect the revenue will only come in the breakeven that will be about 36 months from the day when we have taken over. So, it depends on how the molecules get approved and when they go and what is the profitability out of that. And as of now it's only one or two that are going. So, based on that it difficult to tell until it goes to market.

Gokul Maheshwari: And what is the estimated CAPEX for this year FY23 and also for FY24?

Venkat Jasti: As you know, we have taken a in-principle on approval of about Rs.600 crore altogether. Out of that it's the only one that is we are using Rs.200 crore towards the Suryapet facility, I mean, new building creation, which is the main thing that is going on. Half of it is spent. Half of it is being spent within the next six months. And we hope that second quarter onwards we start. It will be the first quarter, but it is delayed by a couple of months. So, it will be the second quarter onwards we will have the validation taking place, and that will be utilized. The rest of the CAPEX is for the CRAMS when change of the R&D location whenever the government asks, as you know. That is why we are taking proactively in-principle approval. So, that is not going to happen now because no indication is given based on the things that are going on politically, it may not happen within the next one year because the elections will be coming in. The other one is the Pashamylaram site. As of now we are qualifying the Vizag site and the Pashamylaram sites for any new projects also. Right now, we are okay, and as and when it requires based on the pipeline and the progress and requirement, so then we can start the activity. Right now, it may not be until maybe six to nine months, we will not be able to, we will not be starting that activity, that third portion of the phase. Other than that, you know, we have a regular CAPEX of which is the balancing equipment because it's a mix and match thing which we do all the time multi-products. About Rs. 60 to 80 crore every year we will be dealing replacement CAPEX all the balance needed and CAPEX. That will be a continuous process.

Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal.

Tushar Manudhane: Sir, firstly on, now that over a period of time and given the kind of CRAMS traction there has been, so basis your experience, if you could share in terms of what kind of technology platforms or chemistries presets that has been little or rather unique or differentiated to Suven which sort of drives the business in the CRAMS segment in particular?

Venkat Jasti: I would not say the technology platform that differentiates us. It is the focus with which we work with the innovator products is the one that defines because knowing fully well the first flow is supplied, maybe the last flow is supplied in the fee-based we can see. That is

keeping us the same. Other than that, the technology anybody has it, but the focus is going mainly on the generic side and backward integrating into some kind of a brand. Ours is more or less than the 90% to 95% is the fee-based activity, and we do the leverage under the generics side a little bit. So, you cannot say the technology, but as for the chemistries are concerned, we expect the coordination and postulation since we do many number of projects, we have done about 980 projects so far from since the inception, we have been dabbled into each and every chemistry. I think gram level to kilo level to multi tons level.

Tushar Manudhane: Also, if you could break down the, let's say, gross block into CDMO pharma and CDMO specialty chemicals?

 Venkatraman Sunder: Abdul, I will provide you the information. Right now I do not have this

Moderator: The next question is from the line of Pratik Kothari from Unique Portfolio Managers.

Pratik Kothari: Sir, just one clarification. This fourth molecule in chemical that we expect to come in, so this is already commercialized in the past, right, and that had been asked us for a supply mixture. It was not the new molecule.

Venkat Jasti: Which one is that?

Pratik Kothari: The fourth molecule which you mentioned.

Venkat Jasti: No, no, it is a brand-new one whenever supplied. We have only qualified our samples. And it is dated sometime in the calendar 2024.

Pratik Kothari: And sir, regarding this new capacity, you mentioned that we will only start to think about it six, nine months down the line. And also, we say that there is a lot of customer demand, the China Plus One of the whole supply chain retail. So, usually, how long does it take for us to put up a new capacity this year?

Venkat Jasti: For everybody's information, compared to any other generic molecule creation of a capacity is a kind of what you call predetermined. In our case, what happened is when the molecule is getting stabilized and when the opportunity is coming in, by the time the peak requirements comes, it takes three years. So, what I am saying in the beginning we do what you call the campaign-based activity, but we will be knowing that it will come back. So, based on that we put it. If it is only making it with the balancing equipment, it takes six months. If I need to create a total block, then it takes 18 months. So, most of the time we do not create the block itself, but when we create the block, it will be a multipurpose thing. But it will be more or less what happens if I am doing a campaign now, I want to continue the campaign. Then I may need to use a couple of balancing equipments to use the underutilized capacity to put to the need in new product. For that it will take three to four months only and the balancing will be taken. So, it's all like I said, luckily for us in this business model, the time will be known, but the time is at least two years to three years. So, we can certainly create the capacity to do that.

Secondly, we also can do the early-stage steps in some other units. Suppose they want more quantity. That is for whatever reason we have done that earlier, and we will never have any problem, because most of the time ours is the campaign-based activity except for the specialty chemicals. So, even though we have, we say 100% capacity utilization, it is only 70%, because not all of the equipment can be utilized. So, the 30% can be using the balancing equipment, I can put more products. So, we will never have a shortage for capacity, but at the same time when the new capacity is required, we have enough and ample time to do it, and we have the backups in the other units also. Based on the customer's request, we can do that also in early-stage chemistry. So, this is the

way it works.
Pratik Kothari: Sir, last request. In the last call you have mentioned we might get the management of Advent on the call and maybe just hear from them as we

ll.
Maybe on the next Concall we can do that.
Venkat Jasti: Management of the Advent will come only when the transaction takes place, right? Until that time, we are still here.
 Moderator: The next question is from the line of Rohan Advani from Multi-Act Equity Consultancy.
Rohan Advani: Sir, my question is with respect to the proposed merger with the Advent owned entities, are those entities carrying any unutilized capacities that we could potentially use for our CRAMS operations? And does the need for us to do CAPEX gets reduced? Or are those unutilized capacities, if they exist, it cannot be used for our CRAMS business?
Venkat Jasti: Let me tell you, it is not wise on my part to guess estimate what is going to happen to the capacity, how much they are utilizing. Until this transaction is over, we are not going to talk anything about the CRAMS platform. Yes, but the general question is yes, certainly, it will be a plus now for anything. Whatever I am using like just before this call I was telling if I need to do additional capacity in other unit, I can do that. Similarly, when that comes in, the same thing can be done, right? But right now we are not going to talk about that. We have clearly given you the statement made by the Advent during the timing of the ceremony that they have an intend to do the merging that platform into Suven so that that can be capacity enhancement will be used, backward integration can be used, frontend can be used and more technologies can be coming in to the picture and more customers will be there. And they have the global reach and they can bring more opportunities also. But that is post thing. Right now we are concentrating what we do, and once that happens, I think then only I can talk anything about it. But not knowing fully their operations, I will not be able to comment on the Advent front.
Moderator: The next question is from the line of Hussain Kagzi from Ambit Asset Management.
Hussain Kagzi: I wanted to get a sense on when is it that our Pharma molecule is coming up for patent expiry? I guess, the first two molecules that we launched, that were commercialized two to three years back were, the patent was expiring somewhere in 2024, 2025. So, if you could give some idea on that?
Venkat Jasti: I mean, the earliest is 2025, but as you know, these Big Pharma, they will have the additional indications will be given, and they will be going for another five years or so. So, I do not see anything until 2028 actually to be going out of our supplies. That is based on the interactions we have with the customers we don't see any, even though it's going out of patience, but it will be three to four years from there only if anything at all there will be a reduction in the revenue out of those things. Otherwise, they will be staying as the same if not more. So, it does not matter. Next two to three years it will not happen, certainly.
Hussain Kagzi: And sir, one thing was that you were talking about that now probably you are seeing increased enquiries from customers to shift from China to India and talks happening in that regard. In your assessment, how long does it take for this to happen or probably translate anything into a meaningful opportunity for you or other players? Because I think, see, for example, in a generic you have to go and modify the DMF or the ANDA or something like that? So, in kind of a related to innovator negotiations, suppose they are doing a composition now, so how long will it be that you would anticipate this to reflect into any tangible numbers?
Venkat Jasti: Yes. As you rightly said, it is not going to be overnight. Right now it is only the discussions. Based on the discussions, we could gather this is what is going to happen. As you know, by changing the existing molecules itself will take a year to two years and sometimes three years also. Similarly, changing the source from some other clients to here

, especially if it is a regulatory doing here, it will
 take time. And I know their process. When they say something, it takes at least a year before you see the real tangible with the product. So, in general, once that happens, it will have a win-win situation for both the customer and the partner. And we hope to get those opportunities not only for Suven but all other players in India eventually. That's why it will not be next six months or something like that. But even for the flow of projects, we have only said, we have heard the macro level we are telling, in general, it will happen in the long run, and

being a first in the line, we are the first one to start the CRAMS project way back in 1995 when nobody knows what the CRAMS is all about. We thought we would be the best one to get some advantage out of that, that's what I said in addition to the other things.
Moderator: Thank you. As there are no further questions, I now hand the conference over to the management for closing comments. Over to you, sir.
Venkat Jasti: Thank you everyone for tuning in to this third quarter results and today's results. As you know, our flattish growth as of now, and we expect to end the year with slight positive growth and maintaining the margin. And in the long term with the new opportunities that are coming in, new thinking that is happening in the global pharma outsourcing and the opportunities because of the China Plus One and also opportunity of long-term relationship we have and the existing capacity building that is taking place and also the number of projects what we have in the pipeline and all these things bodes well. But at the same time you will be seeing not only quarter-on-quarter variations, but year-on-year variations also will be there. But in the long run it is a very promising thing, especially in changing the mindset of the global pharma for outsourcing and targeting towards India and being Suven is one of the frontrunner, we like to get the benefit out of it. With this, I thank each and every one and hope to catch up with you during the next Concall. Thank you.
Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Jun 2023

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CSD/BSE&NSE/CC/2023-24
June 02, 2023

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2023 conducted after the meeting of Board of Directors held on May 25, 2023.

The above information has been uploaded on the Company's website at
https://www.suvenpharm.com/index.php/investors/financial-info/quarterly-release

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

K. Hanumantha Rao
Company Secretary

Encl: as above

Moderator Ladies and gentlemen, good day and welcome to the Suven Pharmaceuticals' Q4 & FY23 Earnings Conference Call. Please note that this conference is being recorded.
I now have the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you sir.
Rishab Barar : Good day everyone and thank you for joining us on this call to discuss the Q4 & FY23 Earnings for Suven Pharmaceuticals.
We have with us Mr. Venkat Jasti – the Managing Director; and Mr. Venkatraman Sunder – Vice President (Corporate Affairs); and Mr. Subba Rao – CFO of the Company.
Before we begin, I would like to mention that some statements made in today's

discussion may be forward-looking in nature and may involve risks and uncertainties.
Documents relating to the company's performance have been emailed to you earlier.
I would now like to request Mr. Jasti to share his perspectives on the performance
and outlook. Over to you, sir.
Venkat Jasti : Thank you, Rishab. Thank you everyone for tuning into this conference call for
discussing the Company results for the year ending March 31st, 2023.
As I was telling last year that the Year 2022-23 will be flat to a little bit lower on the
revenue side and later we have updated that it may surpass a little bit. So, finally it
has come out with very muted growth from an overall perspective and it is in line with
what we have expected and as earlier informed.
The CDMO Business in the pharma reduced by roughly about 10% due to some of
the molecules which are being used for the COVID were not repeated, whereas, the
Specialty Chemicals has gone up by 15% to compensate for the things that has been
lower in the CDMO Pharma.
Overall, other than the one-off of last year's sale of covid stock, otherwise the results
are in line and we have a positive growth. If you see on quarter-on-quarter basis,
there is a very good jump in revenues and profitability, but year-on-year basis if you
take out the one-off item then, it will be the same as last year more or less.
So, this year it is very early for us to give you any guidance, but we also see a little
bit softness in the Spec-Chem side with the deferrals because of the climatic
conditions. Otherwise, we expect the same performance in line and we will have much
more visibility as we pass through.

I think it's better for me to answer your questions because you ha

ve the results with
you so it's better I answer the questions rather than giving you upfront commentary
and any other information which may not be relevant.
So, I now ask the moderator to go for the question-and-answer session.
Moderator: Thank you very much. We will now begin the question-and-answer session.
The first question is from the line of Rushabh Shah from O3 Securities.
Rushabh Shah: I have a couple of questions. My first question is in the formulation business, is it
possible to focus less on that business and focus more on the business where our
revenue share is 60% which is CDMO, since the formulation business from past two
financial years it has been flattish?
Venkat Jasti: Yes, formulation business, it's not a big item for us, but it's in a leverage exercise as
we told you earlier and we are expecting something to grow, but it also depends on
the approvals that are now to be in place. So, we have filed around 27 ANDAs. So
far we have only 12 approved and not all of them as you know it is very specific
molecules, not a blockbuster volume-based molecules. We expect more 7 or 8
approvals during this year and that will add to revenue eventually. But in general, it
is a flattish growth, not much to talk about on the formulations.
Rushabh Shah: If you could give me the repeat percentage of orders of the business, what
percentage of clients do come back with the repeat orders for the business and if it's
on the larger side?
Venkat Jasti: This is not a generic business as you know. When once our molecule is supplied and
if there is a success in the clinical trial, you will automatically get the repeat order.
And similarly, on the commercial scale, you will have a repeat order once a year or
whatever it is on a continuous basis depending on how the product is growing. If it's
growing, you will get a little bit more orders. If it's less, you still get the repeat order
but it will be a little bit less. So, this is the way it works. Unlike a generics where you
would go and sell it. Here it is automatically because we are one of the suppliers for
this particular molecule so it will be coming that way. So, repeat orders are based on
the success of the molecule in the clinical trials at the early stage. And if it is
commercial, it is success of the molecule in the market. This is the way you get
repeat business.
Rushabh Shah: And my last question is in the previous con-call you said that the duration of a project
three to four months or even it would take five to six months, which is very lumpy in
nature. So, how do you take the guidance for it and how do you project the revenues
going ahead?
Venkat Jasti: That's why we don't give you guidance and the revenue projections. They come as
and when its time, this cannot go quarter-on-quarter basis, you have to go more or
less on year-on-year basis only. Again it is based on the success of the molecules
both in clinical trials and when it's launched on the success in the market. So, it's not
straightforward but at the same time, if you see the last four years, we have 21%
CAGR growth. So, it tells you something about the regularity with which we are
getting it and but it cannot be on a quarter-to-quarter basis.

Rushabh Shah: So, do you expect the same going ahead in the next three to four years?
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Venkat Jasti: We hope to, and maybe better that we cannot tell because as I said, we have only the visibility of five to six months, more than that we don't have. But based on the past record, if we go by a decade and especially last for five years, it's going well. And with the increase in the infrastructure and hopefully the new technologies which we are going to base on the request of the customers and especially on the success of the molecules. Certainly in one year it can go much higher than what the average was, but that you cannot tell at this time.
Moderator: The next question is from the line of Rashmi Shetty from Dol

at Capital.
Rashmi Shetty: Sir. One question related to this offer, we are seeing that this time in this quarter there is a higher share of CDMO Pharma and lower share of CDMO Specialty Chemical business. Despite this our gross margin on a YoY basis and on a quarter-on-quarter basis contracted and our EBITDA margin is high because there is a lower cost in terms of manufacturing and other expenses. So, what is happening on the cost side and why are the gross margins contracted if you could give us the specific reason for this?
Venkat Jasti: I think you know very well the type of business we are in and it is not the same molecule so you cannot compare it on a quarter-to-quarter basis. The product mix is the one that gives you the margins, right. So, in a quarter it may be high value product and maybe that will you get a high gross margin, whereas, sometimes some of these small early-stage products are there where the gross margins will be less. This is the way it works. So, it cannot be catered to one or the other, it all depends on the product mix that determines the gross margins, EBITDAs, and the net profits.
Rashmi Shetty: And on the cost side are you taking some cost control initiatives because I'm just seeing that quarter-on-quarter our expenses are actually come down, which has actually led to improvement in the EBITDA margins so if you can throw some color on it.
Venkatraman Sunder: No, there is no major changes that has happened. The only thing is that quarter-on-quarter sometimes what happens is like other manufacturing expenses and other costs, there is a slight reduction, if you really see, compared to the previous year same quarter it was Rs. 18 crore for other expenses to this year it is about Rs. 15 crore. It changes as Mr. Jasti was explaining, with the variable cost related to the product changes. There is cost changes in effluent treatment, power cost all those things are variable in relation to the production and that's the reason it has happened. There is no major cost reduction as such. Overall, it is the same kind of thing. In fact, there is no cost increase as such, that efficiency has been maintained.
Rashmi Shetty: My second question is on the acquisition and merger process, where are we currently in this process related to the tender and related to the acquisition process and the merger process?
Venkatraman Sunder: We are still waiting for the regulatory approval for the acquirer to get all the approvals from the DOP. They are still waiting for that. Once that is completed, probably they will announce it to the public and at that point of the time the transaction will be completed. At this point we have not got the approval as such. We are waiting for approval.
Rashmi Shetty: Once the regulatory approval comes in at that time Advent will first acquire the promoter stake and post that only the tender would start right, is that understanding correct?
Venkatraman Sunder: That is correct. Once after the acquisition of the promoter stake then they can go for the open offer process.
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Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.
A. Puranwala: On the CDMO Pharma side, just wanted to understand the spike what we have seen in this quarter and is this more related to some new product getting commercialized or just some movement happening between the clinical trials?
Venkat Jasti: So, it's a combination of both. You cannot pinpoint to one thing that has come, there is nothing new that has come. Sometimes what happens is that some of the material is almost ready but not shipped in the last few days so it goes into the next quarter. Those things also can happen. Not much change, only the values are based on some of the product mix, but as you're asking what is better this quarter there is no new launches or anything that has taken place.
A. Puranwala: On the new molecule inflow front, how is the traction

with our key customers, are we
seeing some renewed interest there and if you could also highlight the number of

molecules which are under Phase-2 now and Phase-3 as well?
Venkat Jasti: What I'm saying is the traction of getting the new RFQs and all that stuff is still a little bit slower. We thought it would happen post-COVID and it's coming but renewed interest is there but the pace is a little bit slower. And none of the molecules in various phases has not moved from one stage to another to have a substantial impact on the results as of now.
A. Puranwala: And just a final one on the Vizag plant, any updates from the customer audit part as we were earlier expecting it to happen in this fiscal?
Venkat Jasti: The update is that as customers are coming and auditing and once the validation orders will be given eventually, but it is a long-run process because it will take 1 to 1.5 years before you see full-fledged approvals.
Moderator: The next question is from the line of Cyndrella Carvalho from JM Financials.
Cyndrella Carvalho: Congratulations on delivering the guidance and maintaining the EBITDA margins. Sir, I want to understand if there are any expected new approvals from Pharma side in the coming two years FY24 & FY25, any indication on that?
Venkat Jasti: No, even the customer will not know until the clinical trial data comes out and then it moves to the next stage. So far we don't have any indication as of now any of the Phase-3 molecules will be moving into the commercial or any Phase-2 coming into the Phase-3. So, no indication as of now it can happen any time as I said right now. They don't have an indication. Unless they have an indication they can't tell us. So, we will not be able to give you any guidance at this time.
Cyndrella Carvalho: And on the Spec-Chem side, apart from the earlier three products, is anything moving there?
Venkat Jasti: Last year itself, I told you it will be in 2024 timeframe it will be moving to another commercial products not until that time.
Cyndrella Carvalho: Sir, if we look at the global environment, you highlighted that it is slightly slower, but we hear a lot around the China Plus One movement. Is there any update on the overall R&D outlook of our partners and how do we expect this to pan out? Any thoughts from an industry perspective and our business perspective, it will be helpful.

Venkat Jasti: Industry perspective, the China Plus One, yes, it may be possible in the non-regulated regime like maybe generics or some intermediates and something else. But on the innovator side, it takes time for any changes or any new things to come and have a tangible results. As you know, when we came back from the DCAT, the feedback from there is, yes, we are thinking of moving away from China and all that stuff, but there is a thinking, then they have to implement it. If it's a regular product buying in a regular intermediate or chemical then it is much easier for them, but when you are going for an innovative product and aligning it takes time. But that is a positive sign, and time will tell when those things come. I think that is a good omen. In the long run, yes, it will be good but right now, what I was telling you is on the mindset of the COVID-related activity moving into the regular activity we thought by this time we will have a little bit more traction on the new projects, but it is a little bit slow, but it will come. As you know the CPHI itself, they were saying about moving towards India. Similarly, DCAT also they were saying the same thing. So, I think it will come, but for a general purpose for the industry sake, yes it will come. It will take time, especially this space where we are in, it will have a long-drawn effect. And when once it starts, yes, it will be good and in the years to come it will be very good.
Cyndrella Carvalho: Did we share the number that if we remove the COVID portion from the base, what wi

ll be our growth for FY23, did we share that number?
Venkatraman Sunder: No.
Cyndrella Carvalho: Can we share that number if it is available?
Venkatraman Sunder: We said earlier, it was about Rs. 120 crores what was there in FY22 and whether or not it may be muted in FY23. It is lower this year.
Venkat Jasti: And I already told you 10% is less because of that already. It can be CDMO revenue in the pharma, that's the only thing I can tell you.
Venkatraman Sunder: We might not be able to specifically profile the customer and tell in the conference call and then and it's very difficult for us to maintain that because of the confidentiality what we have with our customers.
Cyndrella Carvalho: Sir just one question on the raw material and logistics side how do we see the scenario now as we hear a lot of peers saying that there is improvement in both the sides, has it happened for us and do you see the trend improving going ahead and given that we have delivered annual level almost of + 42% EBITDA margins, do you see this improving further with the help of softening of logistical and raw material cost?
Venkat Jasti: Naturally, what happens is the shortages is going to be a problem not the cost

structure. Our cost is more or less vis-vis being compensated because of the nature of the business we are in except one or two places where we may not be able to get the compensation. So, when it goes down naturally the price to the customer when the repeat business comes, it will go down. So, we hope to maintain the same margins, but based on that we do not think you will have any improvement in the margins. The only reason is not able to have the things and get the raw material somewhere else and high prices and suddenly sometimes it may affect it, but in general the trend is good now, the availability is good and the prices of the raw materials are also stable.

Moderator: The next question is from the line of Chirag Dagli from DSP BlackRock.

Chirag Dagli: Sir our commercial supplies in pharma excluding the COVID supplies has there been a dramatic change in that number for the full year of FY23?

Venkat Jasti: There is no dramatic change. As I said, if it is a dramatic change there should have been an improvement in the sales revenue of the CDMO Pharma as I said year-on-year it is 10% less than the last years. So, there is no improvement and whatever the decrease is mainly because of the some of the molecules which they use for the COVID are not repeated during this year that is why that was there.

Chirag Dagli: The 10% is lower because of that COVID not coming is what you are saying?

Venkat Jasti: Yes.

Chirag Dagli: Secondly, sir we are seeing some players talk about funding winter and this impacting the funnel for CDMO business from a lot of emerging biotech companies, are you seeing similar trends if you can just talk a little bit about the overall environment as far as your mix and match business as you traditionally call, what are the trends that you are seeing over there?

Venkat Jasti: Actually, as you know we are dealing with only the medium size and big pharma only and that part of the problem will not be there. We are not working with any bio techs for that matter. So I am not aware of that and I did not see that trend as far as big Pharma is concerned, but the only thing is the changing of the COVID related activities to the regular activities. So, we thought it would be fast track, but it is coming slowly, but I think we see with the way people are talking and all that stuff in a couple of quarters from now it should come back to normalcy and maybe fast tracked also for the regular items.

Moderator: The next question is from the line of Pranshu Jain from Neo Markets.

Pranshu Jain: I just needed some guidance on the open offer which has been there, so when you are expecting the process to get completed?

Venkat Jasti: That is not in our hands. It is based on the r

egulatory approvals that has to take place when the regulatory approvals take place I think they will announce the date. I think it will be within the fortnight they will launch the open offer after regulatory approval comes in. I think we are still waiting for that and that will be guided to you through the notifications as and when happens right now we do not have an idea, but our thought process is it should be happening before July 1st that is a long stop date.

Moderator: The next question is from the line of Varun Bang from Bryanston Investments.

Varun Bang : Congratulations on the steady progress during the year. Sir, increasingly what we are seeing is molecules are becoming smaller and high potent so 500 mg becoming 50 mg and 50 mg becoming 5 mg, so the quantum of supply could be structurally declining, how is it evolving and how could it impact our business especially the commercial terms that we have with innovators?

Venkat Jasti: Commercial terms is based on molecule to molecule not based on milligrams to milligrams. It is the molecule that brings the value. If you see good olden days you have 1,000 metric tons, 2,000 metric tons, but in this innovative last 10 years if you see very rarely you see any volume-based molecule everything is on a 20, 30, 40 or 50 tonnes for the whole year something like that other than one or two. So, I do not see any difference on that it will not affect anything because what we are saying is what we are giving is the number of steps we do, the difficulty of the steps that involve

all of Specialty of the chemistry which involves all those things will get you the pricing not the volumes.

Varun Bang: I understand when we are working with innovators things do not move too fast, but just to get a sense of the progress on our plans to extend offerings to innovators through the initiatives that we have spoken about so becoming part of life cycle management, manufacturing casings and also forward integration into API, so how has been the progress in the last one year and what milestones do you think we have achieved and what are our plans for next one to two years?

Venkat Jasti: We have not achieved any milestones as you know because of the COVID it was

delayed. Now only they started coming into India for a visit of the customers after three years of gap I think it will take time and even when they start it will take a minimum three to four years for any new opportunity to come in other than the regular products that are going into the next step. So that is the different departments in the same company if it is the life cycle management they have to do due-diligence and do the all the validations and all that stuff. So, it will not be overnight thing scenario, but now it is starting back again because there was a pause for a couple of years actually supposed to be done in 2019 then this because of the COVID and last year I thought they will start coming in, but still they have not showed up, but this year we see three or four people even for the regular visit itself they have just started coming in and we hope that things will start accelerating so that we will have an opportunity to sell ourselves on various aspects what we are talking about.
Moderator: The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund.
Saurabh Kapadia : Sir, how is this inventory situation in the CDMO specialty chemical given some climatic condition of the inventory overhang at the inventors side?
Venkat Jasti: The second quarter will be little bit soft that is what they claim to be because they may be deferring the orders and all that stuff, but sowing the crop and all that stuff, but post that it should come back to the normal that is why it said little bit soft at this time. So quarter-on-quarter basis is not clear but year-on-year basis it will match that is our hope.
Saurabh Kapadia : So, is it the case for all the molecules in

spectrum?
Venkat Jasti: Not all the molecules, some of the molecules for us only one molecule.
Saurabh Kapadia : And the second question on the CDMO Pharma, so if you can give your pipeline for Phase-3 and Phase-2 molecules?
Venkatraman Sunder : We have 5 in Phase-3 right now for three molecules we are supplying right now. But it is still they are in Phase-3 we do not have the visibility as of now from the customer when it is going to be moving to the commercial as and when it happens probably we will be able to inform you.
Moderator : The next question is from the line of Pratik Kothari from Unique PMS.
Pratik Kothari : Sir my first question is on Cohance if we can share some update some numbers if you can the last we had updated was what they did in FY22, so if you can share something about that?
Venkat Jasti: This is regarding Suven Pharmaceuticals nothing has been done. We have signed the definitive agreement, but I cannot tell you anything about somebody else's numbers here please excuse us.

Pratik Kothari: I understand that so when we made this announcement we were also thinking that we will get someone from Advent sometimes on the call because for an existing shareholders ultimately that you could do.
Venkat Jasti: Let me tell you something. This is an ongoing process; nothing has been changed. Suven is run by the existing management nobody will be coming from the other side until the transaction takes place.
Pratik Kothari So my second question is on the pharma usually we always say we have a 6-month outlook or 6-month demand that we can see, so you did talk about what the challenges that we are seeing in chemical, but can you talk about what is happening in pharma?
Venkat Jasti: Pharma is going in the same way there is nothing. As I said, this is the very beginning of the year, we have visibility over four to five months and everything is as usual as last year, nothing different. While on the Specialty Chemicals because we see some softening in the second quarter we just mentioned that is soft otherwise everything going on in the same manner as last year for the Pharma side.
Pratik Kothari : Last question on Casper I mean have you started any commercialization there or not yet?
Venkat Jasti: Casper only one product has been launched and we are expecting other approvals sometime in July, August and September time frame.
Pratik Kothari: So, how many molecules should be launched this year?
Venkat Jasti: In Casper it is 5, we have approved and waiting for the gold dates for these in the next four to six months.
Moderator: The next question is a follow up from the line of Rushabh Shah from O3 Securities.
Rushabh Shah : Sir, in the formulation business it is a business that provides services to other pharma companies which is also a bit lumpy business? So, for Suven we make the intermediates or the molecules post receiving the project or directly start with phase 1 then come to phase 2 and then look out for projects, so I wanted some clarity on that and the same question regarding the R&D?
Venkat Jasti: No, I do not think you understand right. In the innovative molecules, when you get

into the phase one and the molecule we supply in the phase one supply and if it is successful in the phase one if it goes to Phase-2 you get to the repeat business and when the Phase-2 is successful in the clinical trial then you get the Phase-3 supplies and if the Phase-3 is successful then you get the commercial launch supplies and that is the way it works. There is nothing like that, but there is no guarantee that the molecule that we entered everything will go into the next stage which is a mix and match of these things and then if you see we have done more than 980 projects over the years and we have only 11 commercialized one. This is a mix and match that gives you the business opportunity. There is nothing like you do not go in Phase-3 directly to the customer th

ey do not because it has to start at atleast minimum Phase-
2 not after that they will not change any customer. I mean the same customer will be supplying same product they will have two or three sources for each intermediate to their sourcing that is the way it works in innovation.

Rushabh Shah : And my last question is sir how are we different from our competition let us say a big player like Divi’s, how do we compete with the player who is operating at such a big scale?

Venkat Jasti: It is not a big scale or thing. We are not into generics. We are not in a big way into the API's and all. We are into innovation. You have to understand is innovator does not go and serves the Phase-1 molecules in two different companies if they come to Divi’s they go Divi’s only, if they come to Suven they come to Suven only. And after that it is success of the molecules and based on the repeat business comes there is nothing like a competition that way. It is not the volume of the business that comes in. It is only at the commercial level that may come in and the generics place that comes in the picture. Otherwise, it is the process that takes the clinical trials and the success in the clinical trial will give you the business opportunity for us.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital Advisors.

Gokul Maheshwari : My question was that we spent Rs. 285 crore on capex in FY23, can you please elaborate in terms of what was the areas where we spent this capex on?

Venkat Jasti: It is mainly the replacement block in Suryapet bulk of the money goes there. The remaining are already balancing equipments and all that stuff.

Gokul Maheshwari : And the capex was the R&D move that is still underway?

Venkat Jasti: That is not yet happened because this is only proactively we have taken the permission from the board as and when the government asked us to move we need to be prepared that is why we have taken and as of now there is no GO issued, but it can be in the minute it will happen sometimes soon. I think it all depends on the pharma city being ready for the operation. I think that time they will issue a GO that you need to move from that time we have two years’ time at least.

Gokul Maheshwari : But the replacement of these equipments of the capex would it be adding to the sales or improving productivity for us?

Venkat Jasti: See, when you are talking about a 35-year-old company and the old blocks are rare which is regulatorily may not meet and also the structurally may be a problem safety aspect is a problem so we need to have a replacement block. So, in the new process you may have a little bit of additional capacity that comes into the picture and more than that it will be having a regulatory, automation and productivity related benefits also will accrue to us, but not substantially mind you it is a replacement, but with the benefits accruing to it so that you can take more projects.

Gokul Maheshwari : And just on Casper, when we acquired this facility the intention was to do certain molecules on the formulation space, but is there a possibility for us to offer formulations for our existing innovator clients as well where we are providing them intermediate chemicals and then we do formulations for them as well?

Venkat Jasti: Yes, the Casper facility is only a formulation facility. It is not a bulk facility. So, we can offer R&D services to anybody and if they are interested in getting it and that is their forward integration and also life cycle management is getting space that is what we are looking for and not only in Casper, but also in the Suven Pashamylaram site we have the same facility so we can do that too. So, it is not just and it takes time and for the customers to come and do that, but in Casper you cannot do the APIs or intermediates only the formulation and R&D.

Gokul Maheshwari : And lastly just on the Phase-3 molecules

you mentioned that there is no visibility of
them moving?

Venkat Jasti: Yes, as of now, there is no indication that are within striking distance because unless the results are out we will not be able to know. Right now, we do not have any

guidance on that.
Moderator: Thank you. I now hand the conference over to the management for closing comments. Over to you, sir.
Venkat Jasti: Thank you everyone for tuning in for the update on the results year ending March 31st, 2023, as I said, it is too early to give any guidance for us other than that pharma plans are going good at this time and the traction is a little bit slower in the new project acquisition. But we hope that based on the conversations we had at CPHI and DCAT we are likely to get that in the third, fourth quarter timeframe. In specialty chemical side, there will be some small deferment tone shipments and because of the climate conditions elsewhere and that will come back to third or fourth quarter into the full swing. We hope to continue the business as usual with the same margins we will be keeping and hope to tune into the results update by next time in August. Thank you.
Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Aug 2023

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CSD/BSE&NSE/CC/2023-24
August 14, 2023
To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001 To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR
Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter ended June 30, 2023
Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2023 conducted after the meeting of Board of Directors held on August 08, 2023.
The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K.Hanumantha Rao
Company Secretary
Encl: as above

Suven Pharmaceuticals Limited
Q1 FY24 Earnings Conference Call
August 10, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Suven Pharmaceuticals Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.
Rishab Barar: Good day, everyone, and thank you for joining us on this call to discuss the Q1 FY24 earnings for Suven Pharmaceuticals. We have with us Mr. Venkat Jasti, the Managing Director. Mr. Venkatraman Sunder, Vice President, Corporate Affairs; and Mr. Subba Rao, CFO of the Company.
Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature and may involve risks and uncertainties. Documents relating to the company's performance have been e-mailed to you earlier.
I would now like to request Mr. Jasti to share his perspectives on the performance and outlook. Over to you, sir.
Venkat Jasti: Thank you everyone, for tuning in this afternoon for the conference call on the results of Q1 FY24. As you could see and as it was notified, and the results came out better. It is driven by mainly the strong growth in the CDMO of Pharma and with a better profitability. The actual pharma innovator and developmental projects are doing very good, with a good growth. But as you know, the Speciality Chemical has a muted performance this quarter. And I expect this to continue this performance for this current quarter also.

Page 2 of 13 As you know, globally, Speciality chemicals and agrochemicals are having a destocking of their inventories and especially in our case, because of the drought situation in some other areas, there are delays and so the requirement is deferred hence you would be seeing a soft quarter for the current quarter.
Otherwise, based on the forecast and all that stuff, both for the pharma and the Speciality chemicals is looking good. And we see multiple levers of growth that is going to happen because we are discussing with customers under many aspects and likely success happens sooner than later. And as I was telling, after the last year CPHI, there was COVID-related activities dying down and drug discovery activity in the new molecules coming up.
And this quarter, we see the largest number of inquiries floated in our history. But to become a

project out of that, it will take time, but things are going very well. So, I think it is better for me to answer your questions. In general, looking good, but there will be some kind of a gap because of the Speciality chemicals not being up to the mark, again muted performance, and various reasons, which everyone knows. Otherwise, it is looking good in the long term for the current year and the next year.
Now I will open the forum for discussion.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader P.: Sir, just to understand your comments on the CDMO pharma sector a bit better, you said the inquiries are better. So current quarter, would it be fair to assume that the traction which has been seen is more from the molecules and the development, while the commercial side would also have done a little better?
Venkat Jasti: No, it is mainly the new developmental molecules that means very early-stage molecule. So it will take time for us to get distinctive, our inquiry is becoming an RFQ, then RFQ becoming a project, as you know, it takes time. Not on the commercial side. Commercial side is as usual, like last year. And nothing in the Phase III, I do not see anything indication as of today that it is moving into the commercial yet.
Abdulkader P.: All right. Understood. And sir, on the Spec. Chem. slide so we had one molecule which could go commercial in next calendar year. Any timeline change in that? Or it is moving as per schedule?
Venkat Jasti: For that one, our new product, no change in the timeline as of today.

Page 3 of 13 Abdulkader P.: All right. Lastly, on the stake sale. So, the earlier guidelines, which was communicated, it was supposed to, I think, get completed in somewhere in August. So, any revision in that aspect? Or have we got all the necessary approvals for that to happen?
Venkat Jasti: If the necessary approvals are already in place, it would have been done sir, because the timeline is up to August 26. But we expect the course of this monsoon session in the parliament, I think, hopefully, we will be getting all the approvals. It is in the final stages of the regulatory approvals.
Moderator: The next question is from the line of Foram Parekh from B&K Securities.
Foram Parekh: Yes. So, sir, I just wanted to understand in the Speciality Chemical side, you said that there is drought-like situation. So, can you just elaborate like is it a deferment for just 1 or 2 quarters? Or do you see the entire year being muted on the Speciality Chemical side?
Venkat Jasti: It is not a year, but it is a quarter-on-quarter basis as something is less this quarter and the current quarter also will be in the same mode, soft, very soft. But in September, we will be knowing about the next quarters. So that usually after summer in Europe or U.S.A., they will come back with the next year's requirements and all that stuff which we need to supply starting from the third quarter itself. As of now, the projections look similar to last year, but these two quarters are getting affected, first quarter already got affected a little bit and the second quarter also getting affected a little bit. So, it is a softness in the Speciality Chemicals for both the quarters.
Foram Parekh: Okay. And sir, I just wanted to ask like on the commercial molecules, are we still on three or has that increased for Speciality Chemicals?
Venkat Jasti: The one, as I was telling earlier, the launching will be sometime in the calendar 2024. And as of now, that remains to be same, no changes in that.
Foram Parekh: Okay. And sir, my second question is, we are seeing that EBITDA margin has increased mostly because of other expense rationalization as gross margin has

declined Y-o-Y. So, is this cost rationalization here to stay, I mean, should we take manufacturing and other expenses at the sa

me run rate that we have in Q1? Or do we see it normalizing?

Venkat Jasti: Are you talking about the manufacturing expenses?

Foram Parekh: Yes, manufacturing, and other expenses.

 Venkat Jasti: It will remain the same.

Foram Parekh: So, the entire year FY24?

Venkat Jasti: For the entire year, it is difficult. It depends on the mix also, because not be knowing 8 months ahead of time, it is only 4 to 5 months ahead of time, I can tell you, but other than that I cannot tell you. Because it keeps changing our mix that makes the profitability.

Moderator: The next question is from the line of Hussain Kagzi from Ambit Asset Management.

Hussain Kagzi: My first question was with regards to spec chem. Now, you mentioned that there is a lot of inventory destocking, which is happening. So my sense was that usually generic molecules would be much more vulnerable to this type of a scenario compared to innovator molecules, so I just wanted to understand that because our innovator molecules shouldn't be that impacted, right?

Venkat Jasti: Speciality Chemicals last year itself, I told you one other molecule became a generic in the sense in two of the territories. And naturally, that is what it is. But in our case, see in general that is what is happening. And in our case, there is a drought situation in one of the territories. Hence, there is a deferment into the shipments based on the forecast.

Hussain Kagzi: Okay. Understood. And sir, one thing was with regards to the acquisition. So here, like you mentioned that the approval, of course, it is not in your hands, but should things delay from August onwards. So, have you planned anything from there on? Because our long stop date is towards August end, right? So just wanted to get some clarity on that.

Venkat Jasti: As of now, we are expecting things to happen before the long stop date itself because as you know, CCI has approved long time ago and other things are going through. And I think because of this parliament session, their meetings are not happening and the meeting starts taking place, which should take place anytime soon and this should get resolved.

Moderator: The next question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: So, my first question is on Casper, if you can update us in terms of how many products did we launch? What is in the pipeline for next year, have we recorded any sales just on the Casper part, please?

 Venkat Jasti: Yes. Casper, I mean, as I said, there is only two products that are launched. And three more are expected to be launched within the next 6 months and about another eight are there in the pipeline to be filed. So as far as Casper is concerned, we said it takes 12 to 18 months for us to get breakeven time. We are in the same range.

Pratik Kothari: Right. But in terms of these two products which we have launched, I mean the commercialization of that has started. I mean, we have started supplying.

Venkat Jasti: Yes, it is a small volume and small value products as of now.

Pratik Kothari: And once all these products are launched, let's say, two is done, three in near future and eight after that, what can be the potential if you must look at, say, next year? What can this be?

Venkat Jasti: I think these are very dynamic in the generic business unlike the CDMO business, which I could tell in some kind of certainty. But if I say something, it may not work out the way it is because by the time how many numbers of case will be coming up by the time we get the approvals, we do not know. And what is the potential at that time and all that stuff. I mean, as I said, it will be positive only 12 months later. It is not a big amount that we are talking about it. It may be over INR150 crore or something like that.

Pratik Kothari: Okay. Correct. Sure. And sir, my second question is on the capex, our Suryapet Facility is coming up, we were doing something there.

Ve

nkat Jasti: Yes, other than those things, we have not done any new activity because there is no change in the location of the R&D center because the regulation has not come into the picture and we have not put up any new facility, which, if needed, we want to put it at Pashamylaram that is also not started yet. And as and when the success of the molecule happens, then we can start working on that. So other than the

Suryapet facility, which will be up and running by the end of second quarter and beginning of the third quarter and nothing else is running other than the replacement capex, which is normal.
Pratik Kothari: Because we had earlier said that it might take us about two years to even set up this for Pashamylaram facility. And that work still has not started?
Venkat Jasti: No, we have everything ready, but what I am saying is, unless you see the success in the molecule, there is no need because we can manage with the existing capacities here. Moreover, what happened is some of these activities are also being parallelly done at Vizag where we can also do the same products backup

 kind of things and three of the customers have already approved this site as intermediate. So, there is no rush to do this unless it is purely regulatory purposes, we need to have it. Right now, that is not the case. That means some of the products which we are now making at Pashamylaram if there is a regulatory requirement comes, that can be moved to Vizag and the regulatory product can be done at Pashamylaram. So, there is no immediate requirement. But we have some other couple of products which matures and then we need to have a capacity then that is the time we need to put these capacities.
Moderator: The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund.
Saurabh Kapadia: Sir, if you can talk about the margins in this quarter, you have seen a better margins and going ahead if our mix remains high-value products, should we continue to see higher margins?
Venkat Jasti: Sir, this question I have been answering for last four years. It all depends on the mix of the products. So, one quarter, it may be high-value products and one quarter maybe volume growth only, but not the high value. So, we keep changing it, but we never say that it is going to go up, when it comes positive, it is good because we always say it is plus 40% margin plus 40% EBITDA but it is always above that. So, we do not know because we do not have a regular product day in day out. So, I can tell you, yes, there is a possibility to increase because of the other reduction in the gas and all that stuff. This is a product mix. And every quarter, it keeps changing it. So, I cannot help.
Saurabh Kapadia: Okay. And second is on the selection in new RFQ, in last quarter, you mentioned that it is slower. So how has been the traction in this quarter? And is it picking up in terms of new RFQ, you are getting?
Venkat Jasti: Yes. As I was telling you, I mean, this is the first quarter we are seeing a lot of new inquiries for the new products which are under development and those are very early-stage product. So, we are all working on quoting all those things and see how many of those things will mature. And see what happens is after the COVID, everybody is now focusing on the regular. There was a lull before. But it is not there now, more RFQs are coming, but sometimes, they will be going two or three products for the same indication, and then they will finalize one of them, but the request will come for all of them. So, we keep quoting them and see where it lands to. But it is a very early-stage product, which are volume driven, but eventually, it will give you good growth potential when it matures.

 Saurabh Kapadia: Okay. Lastly, in terms of the filing. So how many filings we have right now in ANDA and how many approval are we expecting to get this year?
Venkat Jasti: No, no. S

ee, the project has no meaning and what are the contributors he is the one that counts, because sometimes the project stays there, is active, but it will be two years to three years before you see a repeat business. So, we have difficulty telling how many projects are there because it does not give you any indication.
Saurabh Kapadia: Okay. How many molecules are there in placement and last time you mentioned about five molecules.
Venkat Jasti: Five, yes. But there is no indication as of now, when is the results are coming and should we prepare for a large quantity or anything like that. Nothing is evident as of today, that is visible in this time.
Saurabh Kapadia: Okay. Sir, just open-up for attrition. So, is it stuck into CCI part or is it at a SEBI level?
Venkat Jasti: No, I think, CCEA.
Moderator: The next question is from the line of Rushabh Shah from O3 Securities.
Rushabh Shah: Yes. Sir, I have a question basically on the CDMO business. The business nature is very lumpy, how do you manage that lumpiness about not getting future bidding orders like for two years or so?
Venkat Jasti: You do not manage lumpiness because this is the way the business is structured

and one quarter it may be less, one quarter it maybe more, one quarter it is less value products, less means more early-stage products, one quarter it maybe more long-term projects. And sometimes, it can double when something we launched. I mean not only us, anybody, who is in this business, they expect a normal growth of 10% to 15% on average unless there is a success of the molecule moving from one stage to the other stage. So really, this is not a management. We cannot manage anything like changing it to some generic or anything like that. It has to be the basket that is available and wherein we supply new products.
Rushabh Shah: As you say, it is very difficult to predict like until Phase 4. So how do you have the visibility for the next 24 months or so?
Venkat Jasti: I think you never heard us. We do not have a visibility of more than six months. Not only me, neither my customer has a more than six-month visibility unless the result of the clinical trial comes in, they cannot tell us. So, this is part of the business

 problem we have, and we are managing that way, a mindset management rather than any physical management.
Rushabh Shah: Okay. So, if you could give me the opportunity size in this business, then how are you ahead of your competitors?
Venkat Jasti: I do not have a competitor because I am purely a CDMO for the innovator products. The product if I am supplying to a customer is not supplied by any other in this country. So that we have not a competitor. So, we don't look at it that way. This is as a different sense and you have to see our track record and how it is growing, and it can be up and down or at the same time by the year-end, it is averaging it out, sometimes it will be maybe 1% or 2% less, sometimes, maybe 1% or 2% more only. Sometimes it will go over like if you see last four or five years, it is about 20% CAGR.
Rushabh Shah: You said going ahead, the opportunity size for our business is tremendous, like we can see a 20% growth over the coming years or so?
Venkat Jasti: Right now, I cannot say, I do not have the visibility, but our track record says so.
Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital.
Gokul Maheshwari: My question is that the capex plan of INR600 crore, which we had planned. I am aware that we have done the standard shifting of the R&D facility. So how much of that INR600 crore we have already executed?
Venkat Jasti: Out of three buckets, out of the INR600 crore, INR200 crore was for the replacement at the Suryapet site, new block. The second one is INR200 crore for shifting the R&D center if needed from inside ring road to outside ring road. And INR152 crore for Pashamylaram additional block is needed. So, w

e have not started anything else. We have only started the Suryapet thing and which we have contributed about INR170 crore.
Gokul Maheshwari: And is that already done or is under execution?
Venkat Jasti: INR170 crore already spent and it is under execution, third quarter the production will start.
Gokul Maheshwari: Okay. Secondly is on the Casper facility. When we made the acquisition, as I understand it is primarily for ANDAs but is there any other plan to use this facility for your customers in terms of offering them formulations also?

 Venkat Jasti: Yes, yes. If required, we can offer them. But right now, it is only US FDA approved facility, we are using only for the ANDA, but we have not started any formulations to our regular customers – innovator products. That is a part of the integration in the future when we go to the APIs and hopefully, when they require because most of the innovator products, they do not take the formulations.
Gokul Maheshwari: Okay. So right now, we are not either speaking to our clients or not executing any such project, it is primarily ANDA facility right now?
Venkat Jasti: Yes, it is ANDA facility, yes.
Gokul Maheshwari: Okay. Lastly, just on the CRAMS. You mentioned about the inquiries have been fairly strong, and it's still early stages, but just purely based on your experience, I understand that you might have still quite a few balls in the air, but how much time does it take to really eventually this to be converted into meaningful business. I am not talking from a quarter sense, but more like a more longer-term perspective.
Venkat Jasti: Yes. Because see, in the early stage, revenues are very miniscule like 5 kilos to 10 kilos or 15 kilos, whatever it is, so if it is matures and it goes into the Phase 2 level itself, then it takes 24 months to 36 months before you see any tangible results.
Moderator: The next question is from the line of Cyndrella Carvalho from JM Financial.
Cyndrella Carvalho: So just to ask on the margin side. The logistical cost benefit and the raw materials side benefit should stay with us going ahead, right, given that there has been a

comforting ease on both of these cost accounts?
Venkat Jasti: Yes.
Cyndrella Carvalho: Irrespective of the product mix? I am just trying to understand that.
Sunder Venkatraman: Yes, that will be more or less stable.
Venkat Jasti: Stable.
Cyndrella Carvalho: Right. And if we look at our positioning from a China Plus One perspective, do you see anything changing here right now? And any commentary on the earlier discussion that we had on some funding winter that the industry was experiencing in the northern part of the world. So, what is the sense over there if you can highlight any of your thoughts on the two segments?

 Venkat Jasti: China Plus One mainly that on comes to the generics and chemical businesses and all that stuff and some APIs, but we are not in this sector, we are in the pure CDMO, intermediate sector. So, the lull that happened last 1 year, 1.5 year, 2 years is because of the COVID, the focus was more on COVID rather than new development. As I was telling you since the last CPHI some changes in the mindset, people wants to come to India rather than go to China. Of course, China is not much in the CDMO side of the NCE players. But still, based on the number of inquiries we got this quarter, we feel that there is also some slight change in the thinking even for the innovator products also. So that is what we are seeing here. Other than that, it is not applicable for us, as far as the China Plus One is concerned only for the chemicals and regulatory APIs and all that stuff.
Moderator: The next question is from the line of Vishvesh Krishna an Individual Investor.
Vishvesh Krishna: Yes. I just wanted to know on the Casper facility. We had bought it only for formulation and R&D, correct?
Venkat Jasti: It is for formulations only.
Vishv

esh Krishna: Can you shed some light on what is happening with respect to the Casper facility I joined the call a little late?
Venkat Jasti: Yes, Casper facility for the ANDAs, and we have a couple of them already some being applied very small volumes and 3 are under approvals from the FDA and 8 more are under filings and we expect the breakeven point in 12 months to 18 months.
Moderator: The next question is a follow up from the line of Rushabh Shah from O3 Securities.
Rushabh Shah: Thanks for the follow up. Sir, my question was on the – one of the calls, you had said there were some shipment delays and due to day in, day out supply such that everything happened then come into a single quarter and the rest of the quarters are all stagnant. So, is there any way to tackle those things or we have to be deal with it because the nature of the trading?
Venkat Jasti: It is not the shipment delays. What we are saying is globally, the major destocking and that means they are differing the requirements, even though projections are there. And the other part I said is it is because of the one drought situation, the requirement is deferred, it is not a delay differed to other companies. And as of now, for the next year, the projections are given and they're all good. And we'll be knowing, as I said last quarter, this quarter has affected because we did not supply those quantities and we'll know for the third and fourth quarters we will be knowing

 in the September timeframe, how it is going through. So, the softness will be there for a temporary period, but in long run, because once the destocking takes place, requirement is there, the projections are still similar. So, there is only some of the Global companies, especially in Speciality Chemicals, which is what is happening. But that's short-lived, we feel.
Rushabh Shah: You said you do not have any competition in this new business. So, if a new player comes into your segment. So, what challenges he might face to like to come up to your level and what challenges are you facing currently in your business?
Venkat Jasti: I cannot tell what challenges the new players are going to face. But my challenges are that when we take up a project, whether it is going to go into the next level or not, it is going to be successful in the clinical trial setting or not, we don't know. This is an uncertainly not only from my point of view from the innovator point of view also. When I said, there is no competitors means the sectors area competitor we are not worried about where once you get a product, same product is not given to second person in this country. That is what I mean to say.
Rushabh Shah: What are your top three priorities going ahead in the next two years to three years?
Venkat Jasti: There's nothing like top two, three priorities, there is only one priority get new business and hopefully the business will be successful in the clinical trial which will

in turn will give us. So, this is only one way. Because we are not into Generic, we are not into stock and sale items. We are all depending on the customers' success. That is the only way we look at it.

Moderator: The next question is from the line of Darshit Shah from Nirvana Capital.

Darshit Shah: Sir, when you are saying like we have received the kind of inquiries that we have not seen in our history of operation. So, we mainly like to understand, is it due to the kind of pent-up demand where most of the innovators were occupied with the COVID molecule and that has kind of come up after that or what is your sense on that?

Venkat Jasti: The sense is that the discovery and development of new molecules is deferred during the COVID situation because they are all focusing on developing various alternatives for COVID. So, now all those things are coming. That is why the requirements of those early-stage requirements are being asked for because we have one of long-term players wit

h the customers with which we are working. And these are the new activities they have started with the gap as you know it is a cycle now or something like that happens. Sometimes now, they stop the activity, and

 which happened because of the COVID, now the activity started full scale. And now they are looking at this is a very, very early-stage requirement, they are talking about it.

Darshit Shah: Got it. And sir, in this in terms of our capex where we kind of deferred the R&D in the Pashamylaram facility, does that thing, anything to do with the deal with Advent where they have also a few of the facilities, which can be used when we kind of merge all this together. Has that thing to play a role in this?

Venkat Jasti: Nothing. It has nothing to do with it because if the government says you have to move out of this thing, I have no choice but to do. And this thing we have done 2.5 years ago, not 6 months ago. So, I would have started earlier itself whenever there's requirement, we will take it. It is not money, we do not have to borrow also, it is existing only. We have only taken the permission from the Board at that time. It is not just because of the deal; it has nothing to do with the deal.

Darshit Shah: Sir, and on the migration from intermediates to KPI, what is the status there, if you could throw some light?

Venkat Jasti: As I was telling you because of the COVID, it has got delayed the audits and all the stuff. Now it started. We are already discussing with two customers, and they are planning to send their audit people sometime in the third quarter or something like that. I think it is going in the right direction.

Darshit Shah: Sure. And then lastly, if I may squeeze in, on this long stop date that’s 26th of August, it is in the worst case if we do not get the CCEA approval, would this deal get extended as per the agreement?

Venkat Jasti: This 26th August is the long stop date and after that, it is a mutual consent we have given each other, if regulatory things have not come by that time. But the only thing one pending is CCEA, which we expect after the monsoon sessions to get organize the meetings and hopefully, it should be over.

Moderator: The next question is a follow up from the line of Saurabh Kapadia from Sundaram Mutual Fund.

Saurabh Kapadia: Sir, your manufacturing cost has gone down in this quarter. So, is it because of mix or the overall costs have come down?

Venkat Jasti: I did not understand the question.

 Saurabh Kapadia: I am referring to the manufacturing cost that has come down if we compare it last four quarters, five quarters.

Venkat Jasti: Yes, as you know some Speciality Chemicals we are not manufacturing, right. This is a variable cost, all those things naturally it will come down and fixed costs are there, but the variable cost will come down naturally when the production is not there.

Moderator: The next question is from the line of Satish Bhatt from Anvil Share & Stock Broking Pvt. Ltd.

Satish Bhatt: Congratulations on good results. Sir, I just wanted to know whether you will give some update on your two molecules which you are planning to take to Phase II trials. So, how we are projecting which molecules and I just wanted to even look at what type of expenditure we are going to incur for those trials also?

Venkat Jasti: What are you talking, sir? You are talking to Suven life sciences here, we are not talking.

Satish Bhatt: I just want to know whether I can ask on those topics.

Venkat Jasti: I think people will get confused. I think we can have a separate call on that, sir.

Moderator: Thank you. I now hand the conference over to the management for closing comments.

Venkat Jasti: Thank you, everyone, for tuning in for this conference call. As discussed earlier, the environment is very tough, especially in the agrochemical sector. But as I said, there is a destocking that is taking place and som

e drought situations somewhere else. We feel that it is transient, and weak environment, but it will come back in a big way in the 2024, 2025 timeframe. We expect with this softness for this quarter, which we have told you, but based on the number of inquiries that is coming, we see a very great potential for the CDMO side of the business also. All in all, it looks good for the 2024, 2025 and this we will know as the time goes by as I said, on the long term, I can tell you how it is going on. For now, this quarter is soft and hope everything will resolved by the time we speak next time. Thank you. Thanks for tuning in.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Nov 2023

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CSD/BSE&NSE/CC/2023-24
November 14, 2023

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2023 conducted after the meeting of Board of Directors held on November 09, 2023.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

K. Hanumantha Rao
Company Secretary

Encl: as above

Suven Pharmaceuticals Limited
Q2 & H1 FY24 Earnings Conference Call
November 09, 2023

Moderator: Ladies and gentlemen , good day and welcome to the Suven Pharmaceuticals Limited Q2 and H1 FY24 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that thi s conference is being recorded.

Before we begin, I would like to mention that some statements made in today's
discussion may be forward- looking in nature and may involve risks and
uncertainties. Documents relating to the company's performance have been
emailed to you earlier.
I now hand the conference over to Head IR, Ms. C yndrella Carvalho, Suven
Pharmaceuticals Limited.
Cyndrella Carvalho: Good evening, everyone. Today, we have our management team with us. I'll
introduce you to our management team members. Mr. Annaswamy Vaidheesh, Executive Chairman. Dr. V. Prasada Raju, Managing Director and Dr. Sudhir
Singh , Chief Executive Officer. Mr. Venkatraman Sunder , VP Corporate Affairs.
And Mr. P Subb a Rao, Chief Financial Officer.
I will now hand over the call to Mr. Vaidheesh for the opening remarks.
Annaswamy V .: Thank you very much, Cyndrella. So, first and foremost, before I start the
presentation, good evening everyone. And we deeply appreciate each one of you
for finding time to be in the call. Thank you very much. And also, best wishes to
you and your family for a festive season and adv ance wishes for a Happy Diwali.
This is the start of a new journey for Suven Pharma. And my full team and me are
very excited about the next phase of Suven's growth. Firstly, we want to thank Mr. Jasti for giving us an opportunity to carry -forward his business legacy that he and
his team have created. We believe that Suven is a world- class CDMO with a

 credible track record of serving select innovative pharma and specialty chemical
customers.
Suven has demonstrated track record of execution and delivery excellence with a strong backend. We plan to scale up Suven's capability and to build a strong leader in the CDMO space. Our goal is to rapidly scale Suven Pharma to transform into a globally respected CDMO organization. And we are pretty confident that we'll get
there on the back of deep customer partnerships, differentiated scientific capabilities, delivery excellence, and our talented employee pool.
While

we have been predominantly focused both on our customers and employees in the last one month, and Dr. Su dhir, our CEO, will give more details shortly, and
we'll continue to invest in building R&D capabilities, operational capacities, and business development expertise. We'll further invest in select differentiated platform technologies through both organic and inorganic routes. We are really
excited about the long- term growth prospects and confident that the unique
combination of our global leadership team, our exemplary board, and strong support of our advisory council that will help us deliver acc elerated market -leading
growth.
And let me also take this opportunity to inform you about the leadership role that
we have in this company. First and foremost, the way in which we have organized
ourselves as me being the Executive Chairman, and I have a fantastic team of leaders accompanying me in driving the future of Suven and Dr. V Prasad a Raju,
who will be the Managing Director , and Dr. Sudhir Singh, our Chief Executive
Officer .
Our key new management leaders added in the first month of our operations
include Mr. Gaurav Bahadur as a Chief HRO. He's from ex -Sanofi and would have
formed with 30 years of experience. Raju Komaravolu , Chief Strategy Officer , ex-
DRL, McKinsey, and ITC, and 27 years of experience. And Mr. Brian
Shaughnessy , Chief Commercial Officer , ex-Aragen, Dr. Reddy 's, Piramal , and 20
years of experience based in the U S.
If I count all the number of years of experience, we'll run into 100s of years of
experience of talented leaders have joined this company. We continue to evaluate augmenting this talent pool and roles, keeping our long- term vision in mind. For
instance, we are augmenting the entire sales and marketing engine under Brian's
leadership, covering both US and EU.

 We also would like to be happy to inform you that we have a fantastic advisory
council , who have deep and tenured global experience in the industry, and will be
guiding our strategic choices, starting with Venkateswarlu Jasti , who you all know,
who's the founder of Suven Pharma and Suv en Life Sciences, Abhijit Mukherjee,
ex-CEO of Dr. Reddy 's, with 35 years of experience, James Mullen, ex -President
and CEO of Patheon and Biogen, 35 years of experience, and Stefan Stoffel , ex-
CEO of Lonza, with 40 years of experience.
It's pretty impressive to have such qualified people supporting our ambitious journey plan that we have set out for ourselves.
And I would like to take this opportunity to introduce Dr. Sudhir Singh and take you through how we have
prepared for the transition across customers and employees, and that has been executed seamlessly.
Sudhir Singh : Thanks, Vaidheesh. So, the plan, let me give a little update on our transition plan.

Our team's operating agenda is to first stabilize the whole business and secure the growth in this and then accelerate the growth. Our new leadership team has already interacted with all of our employees. Our leadership team has conducted a first round of customer interactions, and we are excited to report that we have done physical, face- to-face meetings with major customers. Customer transition executed successfully. Customer s feedback has been encouraging. They are happy with the smooth transition and looking forward for the new journey in Suven.
Our team is ensuring business as usual, continuity of supply assurance, and increased opportunities to collaborate. Customers are excited to open more opportunities in their ongoing portfolio, which will expand our existing business dynamically. This is also reflected in our current RFQs inquiries , pipeline, and H1, which is much higher than the whole last year of FY23. Some of our immediate priorities will be our next month's priorities are continued deep engagement with customers and employees.
While we have hired the commercial leaders for U S and EU, to b

uild out the full commercial engine and set a robust customer base and position. Continue to invest, upgrade infrastructure in R&D, capital efficient manner to have best -in-class EHS and quality processes and controls. Initiate projects to drive lifecycle management, invest in new technologies and capabilities, organically as well as inorganically. Lastly, completing the capex project in a timely and capital efficient manner .
I will hand over to our Managing Director for giving us a near -term macro, and my business prospects.

 Prasada Raju: Thank you, Dr. Sudhir. The second narrative that you all have followed is from Dr. Sudhir. He is our CEO. Hello, everyone. Thank you, Vaidheesh and Dr. Sudhir. Let me take this opportunity to take you through medium to long- term business prospects for Suven , given near -term macros. As most of you know, from a near -term macro perspective, Spec -Chem is significantly impacted by the ongoing acute destocking globally.
Our business has significant revenue contributions from A g-chem- based molecules, and as a result, we expect following few quarters to continue to be soft due to the impact of destocking in the speciality chemical segment and the base effect of COVID products. However, the medium to long- term business opportunity is intact, and we are also quite excited about Suven 's overall growth prospects.
Just to take you through some of the important favorable macros, which includes secular macro tailwinds for India with both China +1 led supply diversification, coupled with increased manufacturing costs in Europe. Given our experience in Spec -Chem with such kind of cycles in the past, we expect business to bounce back in the subsequent quarters. Regarding Pharma CDMO as Vaidheesh and Dr. Sudhir has alluded to, we will leverage our long- standing relationship with our existing marquee customers to grow existing business while securing new business opportunities.
We have also seen positive signs based on our customer interactions and discussions at CPHI, which is a very recent event. And existing customers are very keen to deepen the business partnerships with more products evidenced by the improved inflow of RFQs in H1. Internally, we continue to strengthen our sustainability and ESG initiatives further to stay relevant to our partners. In parallel, we are also working on a five- year strategic blueprint along with our advisory council. We look forward to sharing .
And with this, I would request Sunder to take us through the financials.
Venkatraman Sunde r: Thank you, Dr. Prasada. I would like to thank you all for connecting as since the last meeting we had with the new management team here. I'm excited to be part of this presenting to you all. So, we have these financials. I think you should have got it as a freshly brewed coffee after the completion of the board meeting.
Just now it was updated. So, the resultant financial summary for first half, that is FY24, is like revenue from operations, was about INR 579 crore. There's a small decline, decline by about 6%. The reported EBITDA was about INR265 crore, higher by 5.6%. Adjusted EBITDA including operating effects was INR 270 crore,

 higher by about 3.6% year -on-year. Adjusted EBITDA margin, they're higher. I'm proud to say that it's about 46.7% compared to 42.2% compared to previous year.
PAT also, you know if you really see, actually it has increased.
It is INR200 crore, increased by about 11% year -on-year, 11.4% to be precise. If you really look at the quarter on quarter, usually, you know, as we have been explaining to our shareholders, we have not looked at based on quarter on quarter,

but still, I present this.
The revenue from operations, INR231 crore, declined by about 17% year -on-year.
EBITDA, about INR19 crore, marginally declined by about less than 2%, 1.9%. So
adjusted EBITDA was about INR102 crore. It's also

marginally declined by about
1.8% year -on-year. Adjusted EBITDA margins, in spite of all those things, it was
still higher at 43.9% compared to 37.1%. Purely based on the product mix, what we
have, actually.
And PAT was INR80 crore, increased by almost about 11%, about 10.4%. To give
some colour on the revenue growth for H1 FY24, I would say while overall growth
has been impacted by Spec Chem and base effect of COVID molecule, excluding
spec cam and COVID molecule, H1 FY24 growth in revenue is about 42% year -on-
year. So, there is a growth there, overall business.
As explained by Dr. Prasad as well as Sudhir, there was a drop in the spec c hem
business. So, pharma, CDMO business continued the growth and reported about
24% H1 FY24 year -on-year. Revenue growth, the ex -COVID molecule, still
impressive at 38%.
And we saw a record number of RFQs for Q2 FY24. I'm proud to say that. And still,
we continue to have more than 100 projects, with many in phase one, phase two,
and phase three.
And 10 commercial pharma projects are growing. So, we have many encouraging
discussions with our existing and potential new customers. And we are also having
credible discussions with long term partnerships with customers.
When I really want the specialty chemical, there is a decline. It's primarily led by, as
we all know, global supply chain, destocking. And we do not anticipate any
structural changes in our business. To put it simpl e, business will go on as it is. For
our formulation business, the formulation of the services segment has reported 82% growth. But of course, it is on a lower
base.

Page 6 of 22 Currently, we have total of about 17 A NDAs approved, 12 from our Pashamylaram
facility and five from our newly acquired Casper facility. And we expect about
another five, seven approvals to move on, actually. I'll hand over this to Dr. Sudhir
now to explain further.
Sudhir Singh: Thanks, Sunder . Let me give a little update on our capex plan. On the Suryapet
project, we have spent so far INR157 crore as of H1 of this year. And we expect
the new block to be commissioned towards the end of this financial year. Total plan
investment is about INR200 crore. And in H1, we have spent INR27 crore on overall capex. We are also planning a new R&D
center at Genome Valley , here in
Hyderabad. We propose a Phase 1 to require an investment of about close to
INR30 crore to INR40 crore for a state- of-the-art R&D center. We anticipate the
phase one would be ready by Q1 FY25.
Cash flow and cash on books, we generated operating cash flow of INR252 crore
in H1. Our total cash, including the investments and cash and cash equivalents on
books, is still at INR714 crore as of H1 FY24. Let me also give you a little outlook
on Q3 and H2 FY24. We expect Pharmaceutical to continue to remain positive.
However, we are expecting few quarters to remain soft, primarily attributed to the
spec chem segment.
Just to highlight, many of our key customers are planning to visit and meet us on a face- to-face, and we are keenly looking
forward to these interactions in H2.
Encouragingly, our substantial increase in RFQs, inquiries, and promising first
round of discussions with our customers, being extremely encouraging, have
boosted our determination. We are focused on establishing Suve n as a unique
global leader in the CDMO industry.
With these comments, I will request our Chairman, Annaswamy Vaidheesh, for his
closing remarks.
Annaswamy V.: Thank you, Dr. Sudhir. If I have to summarize, the first 30 days has been an
exciting 30 days, where the transition to the new management has been completed
smoothly, and we feel very good about the progress. Met all key customers in
person. Customer feedback has been encouraging. I am very glad that they are
happy with the smooth transition and having multiple discussions to work together.
We have also augmented the senior leadership with proven track record an

d deep
experience in space and initiated building out the commercial engine. Already hired
key leaders for EU and US, in process of building the team below them.

Page 7 of 22 The team has interacted with all of our 1,200 plus employees and is focused on retention of the existing culture and ethos of the company, and I'm quite sure that we'll make it into an admired company to work for. We are in for an interesting secular tailwind, macro favouring India, and given Suv en's multiple engines of growth, our deep technology capabilities, marquee customer logos, strong R&D and operational expertise, and best in class management.

On behalf of the team, I would also want to inform everyone that we are very committed to value creation for our stakeholders, and we are excited to embark on this journey, and our endeavour is to build a world- class institution and a global CDMO leader from India that will sustainably drive growth for multiple decades to come.

I want to thank everyone once again for your time, and now we'll open the floor for Q&A, and best wishes to everyone.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Pratik Kothari from Unique PMS.

Pratik Kothari: My first question is, we did highlight about the strategies, the plans, etc ., that we have, and in one of the presentations, we have mentioned that we have met all clients in person. Can you just highlight what has been the feedback been from them? I mean, so, historically, what our understanding is CDMO, apart from technical capability, it also requires a high level of trust, and Suven had the face of Mr. Jasti all this while. So, now that he's not at the helm, how do things change from a customer perspective? So, you can share some global context, our experience, and just in a journey of scaling this up?

Sudhir Singh : Let me give you an update on this. Actually, this was the first priority within 30 days. There were two first priorities. First was to interact with all the employees, and second was to meet with the customers, and we did it in two phases. Now, the good thing was that immediately after taking over, the CPH I was following up. So, we went to CPHI.

That's the way we met most of our customers and followed by the site visits of our major customers, and I can tell you that we have met about 11 to 12 of our major customers, and the feedback has been amazing. I was surprised to see that every customer gave a very good feedback in terms of delivery, Science , commitments, and they understood the transition, and everybody was appreciative of the professional management coming over, and they are looking forward to work with

Page 8 of 22 the new management, and also, they are looking forward to grow the relationship with Suven Pharma and in a nutshell, it's a very good positive feedback from every customer s. So, that's what I would say.

Annaswamy V.: Prathik, I just want to add a couple of points to what Dr. Sudhir Singh mentioned. You know, first and foremost, we all need to recognize the fact we have people like Dr. Sudhir Singh, Dr . Prasada, and Brian. These people have been in the industry for decades and most of the customers know them very well, extremely well. So, to that extent, the concern about whether it is something new for the customers is not necessarily, because all these leaders have a phenomenal relationship. So, that's good news that they see these leaders taking over such a good company. With Mr. Jasti being around as an advisor, these are all adding a phenomenal tailwind to our customers. They all are pretty happy about the way in which we are planning to support their interest.

Pratik Kothari: when we made this acquisition maybe a year back, we had highlighted that we intend to merge Cohance into this. So, any fresh thoughts there, and maybe you can share some numbers on Cohance. Given both of these entities combined, how do we intend to take this forward? Because from a customer perspective now, you will have a large generic API or formulations company, and then some part doing CDMO. How do we think about, doesn't that change things for customers?

Prasada Raju: Prathik, Prasada Raju here. So, there are three important elements here. One is from an overall corporate structuring standpoint, unless this is discussed in Suven Board and resolutions are passed, we might not be able to comment anything on the future merger. Number two, from an industry assessment standpoint, are there any leverages between Cohance business and Suven business? Answer is a big yes. At a customer pollination level, it is possible. Third important element, there will be always interest of competency sharing between both the platforms, but at an appropriate time, we will come back with specifics.

Pratik Kothari: Correct, but the intention to merge is on. I mean, obviously, subject to approvals and everything, but the intention to combine this entity still exists?

Prasada Raju: That's right.

Pratik Kothari: Correct. And can we share any numbers of what maybe Cohance has done the six months or maybe the last year?

Page 9 of 22 Prasada Raju: Pratik, if you are okay, as you understand, this call is primarily intended for discussions about Suven financial performance. I hope you understand our limitations. Correct.

Pratik Kothari: This is just from the perspective that ultimately as shareholders, and we have been shareholders for many, many years, we ultimately have to think about the combined entity, and hence the question, nothing else. But I appreciate that you might not. Sir, one more question on capex. I mean, earlier management had guided for the INR600 crore of capex that they had embarked upon, and you have mentioned that Suryapet is almost done. What about the other two? Any change in plans? Maybe we are adding something, subtracting something?

Venkatraman Sunder : As of now, we don't have any plan. As we said in our opening remarks, that we are doing a blueprint of the new strategy, and once the strategy is done, we will look at our allocation of capex. But the immediate plan is to invest in a new R&D .

Pratik Kothari: Correct. Fine. And sir, if you can just share the three segmental revenues for this quarter, what I mean, pharma, chemical, and formulations?

Venkatraman Sunder : Yeah, the segmental revenue, if you really look at it for this quarter, for the purpose of CDMO of pharma, it is about INR148 crore for six months.

Pratik Kothari: for this quarter?

Venkatraman Sunder : And the second it's about INR55 crore, and formulation of that is about INR 27 crore. If you look at for the six months period, it is INR394 crore of CDMO pharma, INR130 crore of spectrum, and INR53.9 crore of formulation of the solution.

Pratik Kothari: Correct. So, sir, if you can comment, I mean, chemical has seen substantial reduction from the first half last year, maybe, I don't know, 50% reduction, and formulations have done extremely well. So, if you can just highlight what is happening. You did talk about the inventory etc. , but is it so bad that there's such a big drop, and also, what is playing out with information?

Venkatraman Sunder : Let me, before I give this to Dr. Prasad, let me explain that. Spec -chem, as we have already explained in the past two quarters also, like this is going to be softer based on the global scenario is changing. That's the reason, compared to last year and last quarter, spec -chem is getting reduction. CDMO pharma as such, actually, it is a mix of product s, whether it is, you talk about Q2 or whether you talk about H1. The mix of- product s has been quite encouraging, and there is a growth.

Page 10 of 22 That's what has happened. Particularly, to look at the CDMO pharma, from INR318 crore , it has gone up to INR394 crore for the first six months,

and particularly, for this quarter, from some INR 108 crore to INR148 crore. Looking at some of the formulations, it has gone up, no doubt at low base , for this quarter, from INR18 crore to INR22 crore, and for six months, it has gone up from INR27 crore to INR 53 crore. Basically, we are at a low base, and then, there are many ANDAs that are getting added. Few more are going to be added. That's where you see a better traction in this business, as it has been happening.

Moderator: The next question is from the line of Ashish Thavkar from IIFL.

Ashish Thavkar : So, if you could spell out some more details on this Agribusiness. You did say that there's some de- stocking, but your interaction with the clients turning out to be pretty good. So, in terms of, at -least , the custom synthesis part, how's the development, whether you would be adding new technologies there, and did Suven had a concentrated portfolio, and post the merger, we want to diversify. So, any broad colour in terms of new technologies that you would be looking at would be helpful.

Sudhir Singh : So, let me give you a colour of new technology. Basically, we are looking at the growth with our existing customers, existing products. However, when we meet our customers, we always get feedback on what are the new technologies they need, because we move along with our customers. We are definitely looking at the, in the immediate term, looking at the flow technology.

That's where many customers are asking for it. However, it is too early to comment on that. We will do the validation with a couple of our customers, and then we will invest. However, we have already invested in R&D scale, and we need to look at how do we scale it up.

Ashish Thavkar : And in terms of capital allocation going ahead, is there a certain bias on the part of the management that would like to put more capital towards CDMO pharma, less towards agri, any thought process?

Venkatraman Sunder : No, nothing like that. As of now, we have enough capacity. As I said in the beginning, that we are working on a blueprint for the next five- year strategy. Once we are clear on our strategy, we will allocate the capital according to that.

Ashish Thavkar : Okay. And once this new entity comes into form, are there any tax -related benefits

which would also come to us?
Venkatraman Sunder : What is this new entity you are talking about?

 Ashish Thavkar : So once the entire merger goes through, would there be any tax -related benefits that could flow to the organization on a consolidated basis?
Venkatraman Sunder : No, there won't be any flow -through as such, actually. But then those things will be looked at when we really do the real merger in our discussion not at this point of time. As of now we are talking about existing entity.
Moderator: The next question is from the line of Saurabh Kapadia from Sundar am Mutual Fund.
Saurabh Kapadia: Yeah. So, the question is on the RFQ, which we have said in this quarter. So, is it largely for the CDMO or do we also have on the Spec Chem side?
Sudhir Singh : No, this is mostly CDMO, pharma, CDMO. As we said in the beginning that the SPAC camp is a little subdued because of the global situation, de- stocking, Brazil's drought. But these RFQs are primarily from CDMO, pharma, CDMO.
Saurabh Kapadia: Okay. And can you give some colour in terms of the pipeline for the Suven in terms of phase two, phase three, and the number of molecules in each stage at least the molecules where we are at the late stage of the cycle?
Sudhir Singh : As we said in the beginning of the call that we are about 100 molecules in the different phases. And as of now, there is no update on the movement from the customers. As and when we get any update from customers, we'll keep you updated.
Moderator: The next question is from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader P .: Congrat

ulations on building such a marquee set of professions for the new team. So, my first question is in terms of the near -term opportunities with the management sees in terms of the low -hanging fruit or the synergies which, you can bring into the current system. And in terms of the cost -saving side, if you could highlight or, from a scale perspective, we understand that there is a merger which you guys' plan to do at a later stage. But at least from a near -term perspective, what are the operational changes or synergies which the new management thinks on bringing into the plate?
Venkatraman Sunder : So, Abdul, the cost synergies and then cost wise, as you know very well know , we've been always working with the cost as the main parameters. And then everywhere, we try to do the cost -saving. And those synergies , we look forward even with kind of, if there is a possibility of some synergies that happens with coherence using their facilities or using their manpower or whatever, we would

 certainly like to use that. But at this point in time, it will be very difficult for us to comment on this as we need to still look for a blueprint and then look for overall kind of synergies that will happen, actually. Yes, on a long road, yes, it will have some kind of benefits. And then we will certainly look to exploit the synergies, whatever is going to be there, actually.
Abdulkader P.: Yeah. So, that was pretty much of my first question. My second question is basically if I refer to one of your slides, slide six, you detailed out the kind of opportunity or the ad dressable market size which Suven Pharma would be catering. So, I understand, I mean, historically, we had a presence in the intermediate portion and now we are also trying to look at API. So, based on the current capacities, what you have, what is, again, immediately on the plate or, this is something what we aspire to move towards for in the near future by, getting some traction from your clients?
Venkatraman Sunder : Yeah, that is a very good question. Basically, I would like to say, actually, as you know very well that, we have built a capacity specifically with the OE L4 for customers and it is for that market. And we would certainly like to leverage those APIs, what is really being required, and then we would like to focus on that. That's what the new team which is going to work on as Mr. Vaidheesh and Mr. Sudhir were talking about, actually, the new team which is Brian (newly added Chief Commercial Officer in US) and then the team which has come, they will be focused on to get into work on those lines, actually, to think about where we can leverage that. Suven's , capacity, we do have. We do not have any problem at this point of time, actually.
Abdulkader P.: Sure, sure. And just the final one from my end, so, and again, referring to the presentation, we mentioned that there are 13 active commercial projects. So, this includes the COVID molecules as well. Is that understanding, correct?
Venkatraman Sunder : 10 commercial molecules, CDMO, three are the specialty chemicals. Three commercial molecules, specialty chemicals are included. That is why it is 13.

Prasada Raju : Abdul, answer to your question, the COVID products were excluded because it is
one-off.
Moderator: The next question is from the line of Jinal Sheth from Awriga Capital Advisors.
Jinal Sheth: My question is, we have five molecules in the phase three segment. Is there any
update on that in terms of moving to phase four?

 Sudhir Singh : As of now, we have been in touch with customers. As of now, there is no update on
customers. As and when something comes up, we will keep updating everybody.
Jinal Sheth: Okay. And given the fact that our capex has been very subdued at INR26 or INR27 crore in first half, if these molecules were to go into phase four, would we be in a
position to address the needs of the customer in te

rms of capacity, sir?
Venkatraman Sunder : See, it is not directly linked. The capex is totally different compared to what we are
talking about. The molecule coming off, it has got nothing to do with the capex.
Actually, we have already had a capex, including the new capex that was incurred
in Suryapet, what Dr. Sudhir was telling, actually. We are ready to go commercial there, actually. We have adequate capacity in case any of these molecules,
specifically when you are referring to these five molecules, even one of the
molecules gets into the prelaunch position, we will be ready to go. There won't be any, what you call, pressure on the capex, pressure on the capacity. Yeah.
Jinal Sheth: Okay, great. Secondly, just on the speciality business, when I see the revenues for
the quarter was around INR55 crore. Now, this number is a very low number
versus what we have reported in the last, I think the lowest number of last we saw
was in December 20 quarter. So, I understand that there is a subdued outlook, but sequentially, should we get better or the numbers can actually go lower than the
current reported number?
Sudhir Singh : As we said in the beginning of the call, that Spec Chem business is going through
the downturn and we are not the only one, everybody is facing that challenge. What we learned from our customers that, please talking China issue, Brazil
drought, that will continue in the next couple of quarters and hopefully after a few quarters, we should see the bounce back.
Jinal Sheth: Okay, so there's no clarity with respect to that we are running along the bottom. It
could further decline from your given the industry environment?
Sudhir Singh : It's hard to say, but this is our gut feeling that probably we have bottomed out. This
is our gut feeling, but it's hard to say because we depend on the customers.
Moderator: The next question is in the line of Kshitij Kaji from SageOne.
Kshitij Kaji: I just had one question. So, from your opening remark, you cited that, spending heavily on a lot of commercial avenues. So, hiring a sales force in US, Europe, also
be spending more on R&D for new platforms, etc. So, given that Suv en's margins
are, already so high today, in the next three, one or two years, do we intend to go
in an investment phase and, which may impact the margins and, it may get back

 these margins after a few years, or how do we see margins from maybe a one to
two-year standpoint?
Annaswamy V.: Yeah, thank you. Kshitij, That's a very good question. So, at the end of the day, all
our investment that we are making is not for just for a couple of quarters, or for a couple of years. It's for a decade. All our business expectation that we have out of these investments are towards the long term. So, we won't be worrying too much about what it will do to our current EBITDA because that's not a way we are we are designing our organization. This is for a long term. And at the end of the day, we'll all start seeing the results. Even after a couple of years, all the investments will start paying off. But we are here for a long term. And obviously maintaining, the
kind of margin that this company is used to.
Kshitij Kaji: Right. So, in the near term, do we expect margins may come off slightly? Or do we
intend to keep the current levels?
Annaswamy V.: Well, as you know, that our aim is to keep the current margins, we'll be in and around the current margin levels. But there will be a couple of percentage points
because of the fact that we are investing, you may see some variation. But at the
end of the day, it's not something for you for us to worry about. It is not a big issue for us to tell you that there's going to be a big drop in our margin, but we'll be in and
around what we have been delivering in the past.
Moderator: The next question is from the line of Sunil M. Kothari from Unique PMS.
Sunil Kothari: Thank you for the opportunity and welcome

to the new board members, MD, CEO, and it's a very glad to hear the voice of Mr. Venkat Sunder also. Sir, my point I just wanted to convey or ask is, I'm since long I'm shareholder of Suven, the way Mr.
Jasti has emerged and created this unique and very specialized company. So, my
point is to ask you is, what are the plus points which you have been encouraged to buy this out to this company? And second, which are the places and areas where

you feel you can do better than what the past management was doing? So little bit a qualitatively, if you can talk, will be really helpful?
Annaswamy V.: Yeah. So Know , you're pretty bang on in terms of why investment has to happen
and why did we engage in investing in this company. See, first and foremost, as you rightly said, Mr. Jasti and his management done a fantastic job of creating this
special, a kind of a niche market and created niche for CRAMs and CDMOs. The biggest opportunity is in scaling up. One of the biggest strengths that we have, we
as a management team, as you must have seen, the kind of team that we have put
together is in scaling up our deep customer partnership. Like for example, Jasti and

 his earlier management had developed partnership with certain set of customers,
which is pretty good. Now it's our job to deepen those relationships, take it to the
next level, what I call the Suven plus. Differentiated scientific capability, right? Now
the kind of talent that we are bringing in are going to be addition to what the
organization has done, because the macros are so good. As Dr. Prasad and Dr
Sudhir had mentioned, the macro is so good, this is the time for us to scale up and
go and get this opportunity.
Delivery excellence is pretty good, and we need to scale that up and make sure
that we are able to meet more customers and reform whatever we have and also too. And the last but not the least, the talented employee pool that we are bringing
in, they're going to give multiple engines of growth. So frankly, my opinion, it's no
brainer for many of the investors to come and take this opportunity and take it to
the new level of what Jasti has left. And Dr. Prasad, you would like to say a few
words.
Prasada Raju: Yeah, thank you, Vaidheesh , and thank you, Sunil, for your comments. Just to
summarize, we are primarily looking for marquee customers with a deepened
relationship, and wherever we go, we're always very heartened to hear the clear
message of reliability and delivery orientation. It completely differentiates Suven
from any other partner in the same CDMO booth space. This is one of the biggest
motivations for us.
Second, scientific capabilities and innovation through science has been another
important pillar. Third, normally any company comes with a lot of risk mitigation
outside of the strategy and outside of the business, but this company, in Suven, we
have multiple engines of growth. All the engines have immense potential to
substantially grow further. Primarily, these are all the three important elements
which we feel are the key elements for us to be able to really look at this company.
These are all the elements that help us to really grow this company to the next
orbit.
As you also have followed us, we felt, following the question what you mentioned,
what you feel could have been done better or what you feel could be invested. We
have found answers for it. That's where the commercial engine has been
completely rebooted.
Sunil Kothari: Great, sir. Just my observation, I would like to convey that Suven is dependent on
very few global giants, and the way Mr. Jasti has proven track record without any
accident, without any observation, without any problem. I feel the hurry to scale up

 new management will not make any mistake and will definitely grow faster than the
past. My good wishes to you, sir.
Moderator: The next question is from the line of Chirag Dagli from DSP In

vestment.
Chirag Dagli : Sir, typically, we indicated that we have three months to six months visibility on the pharma business. Can you provide some colour on how the second half of this
year, particularly for the pharma business, looks like versus the first half?
Sudhir Singh : As we said in the beginning, we look very positive. Pharma, CDMO outlook looks very positive. However, at this point, it's very difficult to give you the guidance or a number. But as I said in the beginning, that pharma, CDMO is bullish.
Prasada Raju : We're quite excited with this, Chirag, in addition to what Dr. Sudhir has rightly
mentioned. As you understand, our business, it all depends on our customers and
products growth. From an organization, we are trying to do everything right internally, and we are fully prepared to co- grow along with our partners.
Chirag Dagli : Understood, sir. There is nothing unusual happening this year, post the change in
ownership. That is a very clear message, sir?
Prasada Raju : Yes.
Sudhir Singh : Of course.
Chirag
Dagli : Understood.
Prasada Raju : That's a big yes, Chirag.

Chirag Dagli : Understood, sir. Okay. And, sir, in one of your slides, you're mentioning that 75% of your active projects are with global innovators, where Suven is a partner of choice.
When you say global innovators, do you mean big pharma or emerging biotech
companies as well?
Prasada Raju : No, it's fully big pharma only.
Sudhir Singh : I would put it as a large cap vertical, that includes the big pharma as well as the spec chem.
Chirag Dagli : Understood, sir. Okay. And, sir, just if I can squeeze one more question, what are
your plans for formulations business? You know, where does this fit into the overall scheme of things as far as creating a CDMO, post the merger, etc, is concerned?

 Where does formulations, both the factory as well as the A NDAs , etc., where does
that fit in, sir?
Prasada Raju : Chirag, as you understand this business very well, what we're actually trying to do
is two things. One, we wanted to build a five year blueprint to understand what kind of strategic choices that we wanted to see. Irrespective of it, we feel while our biasness is to stick to the core, which is CDMO of pharma and spec chem, we wanted to make sure that every business should grow to the fullest extent of its
potential.
That's where our biasness goes more to the core business. However, to the possible extent, we try to see capacities are properly managed, and today the
formulation business, especially on the Casper side, we see the opportunity for
capacity optimization. Our endeavor is to make sure that capacity is optimally utilized.
Chirag Dagli : Understood. And why has R&D increased, R&D spend increased in the second
quarter, sir?
Venkatraman Sunder : It's basically because of some fi lings that have happened.
Chirag Dagli : It will go back to earlier levels? Or will it remain at the elevated level?
Venkatraman Sunder : We cannot say that way, but it depends on the fi lings, actually, and the R&D cost is
only related to that. And then some process R&D is also there.
Moderator: The next question is from Nihar Dave from Vallum Capital.
Nihar Dave: Just one question I have, this last question has been asked prior, but if you just look at commercialized molecules that we are making for big pharma. So, is there
any possibility of any contracts happening in that? Because previously, the company has said that that doesn't necessarily work on contracts, but more on
understanding between the pharma company and Suven. So, just wondering if that
can work on contract basis?
Prasada Raju : So, if I understand correctly, Nihar, as you understand, there are certain multilevel
contracting happens, especially quality and supply agreements. Commercial level, it is always goes with a partnership model that is being ensured. And we also see if
there is any poss

ibility to improve further, we can send. Otherwise, they are in
existence. Quality and supply agreement, without that, no pioneering company will come back for any C DMO opportunity.

 Nihar Dave: Right. So, and so much my follow -up question to that would be that in earlier
phases, what are the, again, like you said, it's just quality and this thing that you,
that the contract is based on in earlier phases.
Prasada Raju : That's right, Nihar.
Moderator: The next question is from the line of Prolin Nandu from Goldfish Capital.
Prolin Nandu: Just one question from my side. You mentioned that in the last one month, you have met a lot of clients, right, and probably conveyed them this whole transition of
ownership. But have you also been communicating to them about this whole Suven plus approach? And if you can share some client's feedback that what are they? I
mean, how excited are they about this whole Suven plus model that you just
mentioned a few questions back? If you can just give some anecdotal kind of an
evidence or some conversation that you had with the client, that will help?
Sudhir Singh : Yeah. Thank you for the question. As you said that definitely we met a measure of our clients and they gave us their own feedback. They're excited with the new
journey. Our focus is mostly on two things, improving our capabilities in R&D and
investing in ESG. And as you know that in today's world, every big pharma is looking for a big way on ESG investment. And that has been our focus since we took over and improving our R&D capabilities and enhancing our ESG capability.
Prolin Nandu: Sure. No. So where I was coming from was that, obviously a lot of people have asked about this whole merger with the platform entity that is going to come, right, in some sense. And that was one of the reasons, if not the only reason for changing ownership. So, I mean, our clients also equally excited about an entity
which is going to be much larger than erstwhile Suven. And are we getting the kind of confidence that we had before meeting them? I mean, is the confidence level the same as it was before meeting them as well?
Sudhir Singh : Actually, to be honest, I mean, since we are, ourselves is not clear when it happens , what will happen, and we did not bring it up and no customers have
asked this question. There was no question from any customer on this merger.

Moderator: The next question is a follow -up question from the line of Chirag Dagli from the DSP.

Chirag Dagli : Yes, sir. Sir, what will be the capex for this year and next?

Prasada Raju : As a part of our overall blueprint, we are still evaluating whatever has already been approved by the board. We still feel there is no need for us to immediately revisit

Page 19 of 22 on to it. However, in next coming quarters, we will again review whatever is needed to be invested on the various growth engines. Then again, we will calibrate the existing approved capex can be repurposed and used. Otherwise, we will come back with a full answer. Immediately, we do not feel the necessity of immediate capex right now.

Chirag Dagli : So, you have done INR25 crore in the first half. Likely, the second half also will be similar, sir?

Prasada Raju : Likely, the same run rate will maintain. However, you should please look at two important elements. There is already approved capex, for example, INR200 crore of R&D and Pashamylaram facility expansion that we are not spending right now.

Hence, consumption of existing capex, we will try to phase it appropriately. Is there any need for new capex? We will come back with a comprehensive answer once we complete our overall five- year strategic blueprint. I hope it answers your question.

Chirag Dagli : Understood, sir. This is the last question, sir. By when do you think you can talk to us about the Cohance merger with Numbers and a proper plan in terms of timelines, if you were to guess?

Prasada Raju : Like all of you, we are also quite excited. Please allow us for some time. Appropriately, we will get back to you, please.

Moderator: The n ext question is from Mayur Parkeria from Wealth Managers India Private Limited.

Mayur Parkeria: Wishing all the new management team all the very best for the future as well as for the near term. Sir, just one question I had. While we understand in such a large acquisition, it takes time for the new management team to set themselves, get into the groove, understand the business fully from inside out and then execute their plan of action as we go ahead. While this is very true and the long- term picture, as you said, we are in the process of preparing a five- year blueprint.

But while all this is happening, we also know that on a practical ground, there are certain near -term targets also, the near -term things which have to be managed and they are targets in terms of an execution for the execution team. From that perspective, I know it's a little near -term outlook, but given the fact that from a shareholder wealth creation perspective, long- term has been very historic, but from slightly medium to near -term, there has been a stagnation there. And we are

Page 20 of 22 looking at how we are also excited and anxiety is there with respect to the near - term also.

So, do you believe that FY23 revenues of INR1,340 crore or do you think we will be in a position to protect that given on one side the huge correction in spec -chem but on the other side the pharma and formulations outlook is doing reasonably better?

So, do you believe that we will be able to protect that kind of a revenue for that year, how H2 looks at? And also going into FY25, it's a relatively near -term, do you believe that we can start looking at growth from there on?

Prasada Raju : So, thank you for raising this point. It's a very important question. I'll just try to divide this into three important elements. One is the proven experience of M&A, such a large investment. We are very happy to inform you that as a team, we have proven track record of last 41 months where successfully multiple transactions have happened without compromising on core of each business and protecting the culture of every organization.

That gives immense confidence to us as you have also seen, we have instilled right professional team and the competent team is already built -in and this has been thought through as a part of the transition. Hence on day 1, majority of the hi res are already in place. So, answer to the first point, on M&A side, we feel that is the unique competence and capability that we have with proven track record. Hence, we believe that's going to be a substantial strength for us.

Coming back to while you're trying to address about a long- term view, how are we trying to do what can be done in short -term to mid -term? As you understand this business, we wanted to be a preferred partner of choice to our customers as Dr. Sudhir has rightly mentioned. We found there are certain strategic interventions which are needed, for example, investing and expanding in R&D capabilities. While we have OEB facility at a scale up level, we don't have R&D which can handle the product at OEB level in a meaningful manner. Hence, we have decided to strategically go ahead with investments in Genome Valley. These are all the certain interventions and actions possible to secure mid- term to long- term via short -term.

However, it's very difficult for us to predict how the product level and customer level growth is going to happen. Hence, we might not be able to comment specifically on the current year closure. However, next six quarters which is going to be full year of next year, we are quite convinced that there are growth avenues which will be completely unlocked because of two reasons. One, macros will be softened. Number two, whatever interventions that we are

putting right now will also be

 resulted. As you know, anything that we do in the current space in CDMO business takes time. I hope the questions are answered.

Moderator: The next question is from Darshit Shah from Nirvana Capital.

Darshit Shah: Yes, sir. Thanks for the opportunity and all the best to the new team to carry on the legacy of Mr. Jasti, who has created this great company. Sir, my question pertains to Suven has historically generated good amount of cash flows and even right now we have around close to more than INR700 crore of cash and investments in our books. Probably, by the end of this year, it would inch towards INR1,000- odd crore. So, I understand you are in the midst of making this five- year blueprint, but would there be a dividend policy also in that blueprint where we would probably have a formalized dividend payout to the shareholders?

Prasada Raju : As of now, if I have to really come back, yes, there is a healthy cash position right now. The way current priority for us is right now to look at the five years to six years of strategic blueprint. As you know, strategy has no relevance unless it comes into execution excellence and we are definitely looking for an accelerated growth opportunity for Suven, which means we might have to choose to decide on inorganic options of acquisitions through Suven. Hence, we wanted to preserve this cash situation so that our abilities to go and accelerate the growth via M&A will be protected. This is how we are looking at right now. However, as all of you know, with Mr. Jasti's legacy, company has been securing the shareholders' value creation. Whatever we do on the M&A side also, which is going to be completely a value- accretive plan.

Darshit Shah: Got it. Just to confirm, in terms of molecules, we mentioned there are five molecules currently in the Phase 3, is that correct?

Venkatraman Sunder : Correct, yes.

Darshit Shah: And lastly, since the open offer has been concluded, what will be our total stake, if you could highlight after the open offer, if the tendering process has been done?

Prasada Raju : Currently, we are still waiting for the…

Venkatraman Sunder: The merchant bankers are still to give the final data. We don't know as of now . We will need to get the data from merchant bankers. Then only we will be able to give. They are working on it.

Prasada Raju: Currently, we are still waiting for the final consolidated report and once we receive it, we will certainly share with some form and shape to all of you.

 Darshit Shah: Sure, sir. Just lastly, sir, if I can squeeze in, in Suven, as earlier the participant asked, we understand it's more of an intermediate supplier to the innovators. And even the erstwhile management has spoken about migrating towards API for innovators, which will far more value- accretive business for them. So, what's your take on that and where are we in that process of value migration from intermediates to supplying APIs to innovators?

Prasada Raju : We are quite excited and happy to inform you that that plan is still active. Yes, you must have followed the previous conversations. Innovator has to come back to us by auditing our facilities and completing certain formalities. That is still on and we are quite hopeful that soon, we will get into the graduation of supplying from intermediate to API and we hope that we should see one such example in near term.

Darshit Shah: Great, sir. Nice to hear that from you and all the best for the upcoming years.

Moderator: The next question is from Varun Bang from Bryanston Investments.

Varun Bang: Just in addition to the previous question, as and when this API or let's say, forward or backward integration activity starts, would it be on an experimental basis or it will be a full -fledged and good value business for us? How should one look at it?

Prasada Raju: If you are asking about graduation

of a CDMO on pharma side from intermediate to API, it is a commercial molecule. By the innovator, it is going to be a long- term project.

Varun Bang: Yeah. So, would it be a good value business or?

Prasada Raju: Yes, it is going to be very value accretive and it's going to be commercial and it is going to be very long- term. As you know, the patent cycle goes on.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference back to the management for the closing comments. Thank you and over to you.

Cyndrella Carvalho: Thank you everyone for your time. If any questions that are unanswered, please reach out to the investor relations team at CDR or me. Thanks a lot and wish you all a very H appy Diwali.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Feb 2024

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CSD/BSE&NSE/CC/2023-24
February 09, 2024

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2023

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2023 conducted after the meeting of Board of Directors held on February 05, 2024.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

K. Hanumantha Rao
Company Secretary

Encl: as above

Suven Pharmaceuticals Limited
Q3 & 9M FY24 Earnings Conference Call Transcript
February 05, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Q3 & 9M FY24 Earnings Conference Call of Suven Pharmaceuticals Limited.
Before we begin, I would like to state that some of the statements made in today's discussion may be forward- looking in nature and may involve risks and uncertainties.
A detailed statement in this regard is available in the results presentation that was sent to you earlier.
As a reminder, all participant lines will be in the listen- only mode. There will be an

opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Ms. C yndrella Carvalho, Head – Investor Relations from Suven Pharmaceuticals Limited. Thank you. Over to you, ma'am.
Cyndrella Carvalho : Good evening everyone, and a warm welcome to you all on Suven Pharma's Q3 & 9MFY24 Earnings Call.
Let me introduce you to our management team present here with us today , we have our Executive Chairman – Mr. Annaswamy Vaidheesh ; our Managing Director – Dr. Prasada Raju; our CEO – Dr. Sudhir Singh; our new CFO – Mr. Himanshu Agarwal.
Our Management Team will delve into industry dynamics, strategy and operational highlights for Q3 & 9MFY24. Following that, our CFO – Mr. Himanshu will provide in-depth i nsights into our financial performance. Later, we'll open the call for Q&A.
Let us proceed with the opening remarks from our Executive Chairman – Mr. Vaidheesh.
A. Vaidheesh: Thank you, C yndrella. Good evening, everyone. We extend a warm welcome to all of you on our Q3 & 9M FY24 Earnings Conference Call.
To start with at a macro level, o ur Q3 results were in line as expected. As indicated in the previous quarter, near -term macro challenges persist due to industry -wide inventory destocking in specialty chemicals and impact on growth due to COVID supplies in the base for pharma CDMO. This is likely to keep our next few quarters performance soft. However, we remain very confident of our mid- term. We have focused on fostering customer relationships, optimizing operations and strategically positioning ourselves for long- term growth. We continue to have engaging conversation with our existing and potential customers on the early and late commercial projects. The current RFQs pipeline sustains a higher pace and we are

witnessing traction in the RFQs conversions. We are striving toward business opportunities in the medium- term.
As you are aware that we have also announced our ESOP scheme, reinforcing our commitment to employee benefits and talent retention, the resolution is ongoing. ESOPs are intended to not only foster sense of ownership and motivation, but also aligns directly with our growth objectives, creating dynamic environment. By linking employee interest with Suven's pharma growth, we aim to deliver value to both our employees and shareholders. On a mid- term, we continue to be optimistic and all our energies are driven behind what we think is a good growth opportunity in the mid-term and long- term.
So, with that, I'll hand it over to our CEO, Dr. Sudhir Singh.
Dr. Sudhir Singh : Thank you, Vaidheesh. Welcome everyone on this Earning Call .
As Vaidheesh mentioned in his speech, RFQ pipeline and conver sion are progressing well as we strive towards medium- term business opportunities. Our focus lies on prioritizing strategic customer relationship, operational optimization and fostering long- term growth. The ongoing progress of our R&D lab and Suryapet expansion, operational capacity expansion is consistent with our effort towards 7% -plus growth trajectory. Our business development team position us for continued success in strategic growth opportunities as several discussions on early and late distress project engagements are ongoing. Despite near -term softness, our confidence remains strong in achieving medium- term growth.
Now, I would request our Managing Director, D r. Prasada Raju t o open his remarks.
Dr. Prasada Raju : Thank you Sudhir , and our Chairman – Annaswamy Vaidheesh. A very good evening to all of you and warm welcome to your company's earnings call .
Our priorities for the coming year include the persistent engagement with customers , building our respective teams, ongoing investment in infrastructure for EHS and ESG as a part of our strengthening our business fundamentals, consistent cost improvement and strategic investments in technology and capability building is an important priority . Apart from this, we are also focusing on extensive M&A pipeline.
Near -term macro challenges persist due to industrywide inventory destocking in specialty chemicals and impact of COVID supplies in the base. This is likely to keep our next few quarter s performance soft. However, we remain confident about our medium- term.
We are pleased to welcome Mr. Himanshu Agarwal as our new CFO, bringing with him an impressive career spanning over 28- years. He has previously held key roles at Bennett & Coleman, Huhtamaki , Akzo Nobel India, AstraZeneca and IC I India.
I will now invite our CFO , Himanshu, to share the f inancial insights . Thank you.
Himanshu Agarwal: Thank you, D r. Prasada , and thank s to the management team for welcoming me in the Suven's family .
At the outset, I would like to express my gratitude to Mr. Sunde r and Mr. Subba Rao for their significant contributions to Suven ’s success.
Moving to the r esults , I think as expected and as informed earlier , we are at Suven

adjusting to a global destocking in the spec chem business , as well as to the COVID

molecule base effect. I think it has been communicated earlier, our nature of the business is such that a quarter -to-quarter performance is not really reflected of the true business performance. Our business performance is much better understood and reflected through the YTD numbers. T herefore, I will first cover the nine months of FY24. In the nine months of FY 24, our revenue from operation was at Rs. 798 crore , reflecting a decline of 18%. However, as mentioned by D r. Sudhir, the spec chem business is down due to global destocking and we still have COVID molecules last year base effect. If we were to exclude these two elements from our base, then

the underlying business revenue is at a growth of 35%. And the pharma CDMO business, excluding the COVID molecule, has grown at around 2%. {stands corrected as 24%}
Despite the softness in the revenue due to macro headwinds , our adjusted EBITDA is at Rs. 348 crore , which is at a very healthy EBITDA margin of 44% , and ahead of last year, adjusted EBITDA margins of 41%
Similarly, the business adjusted PAT at Rs.257 crore is at a margin of 32%, which is well ahead of last year 's adjusted PAT margin of 29%.
As D r. Sudhir said, our capacity expansion at Suryapet is going well. We had committed Rs.200 crore on Suryapet and we progress in that r ight direction on that. And similarly , we have, as mentioned earlier allotted a CAPEX of around Rs.30 to 40 crore in our new R&D facility, which continues in progress , in line with our plans.
As mentioned earlier, the quarter -to-quarter do not reflect the true nature of our business. Nevertheless, I will still cover the Q3 financials as reported. As you would notice in the press release, our Q3 reflects the costs associated with the new hires and the ongoing implementation of new systems and processes in the results. Our revenue from operations is Rs. 220 crore, which has declined 38%, while overall
growth has been impacted by spec chem destock ing and base effect of COVID molecule. Excluding thes e two elements, the revenue grows at around 2%. {stands corrected as 3% }
The adjusted EBITDA i s in line with previous year EBITDA ; EBITDA margins is around 36% versus the last year EBITDA margin at 38%. Similarly, the PAT at Rs.57 crore comes with the margin at 26%, in line with the last year margins of 28%.
Now, I would request Mr. Vaidheesh if you could give us a summary.
A. Vaidheesh: Thank you, Himanshu. So we anticipate that the near -term macro challenges will persist due to industrywide destocking which I've mentioned it in the beginning itself. And this is likely to keep our next few quarter s performance soft. But as I mentioned,
we remain confident of our mid-term.
In summary, our transition to new management is complete. And we have strengthened our senior leadership. And despite short -term challenges, our focus on customer engagement, strategic initiatives and medium- term to long- term macro tailwinds , remains unwaveringly strong.
And with this, we thank you for your time and open the floor for Q&A. Thank you.
Moderator: We will now begin the question- and-answer session.
The first question is from the line of Gokul Maheshwari from Awriga Capital Advisors.

Gokul Maheshwari : I just wanted to check what was the revenues from the COVID molecule in the same quarter last year which you are referring to as a high base?
Himanshu Agarwal : Gokul, w hat's important is that what we've highlighted that our business excluding the COVID molecule in nine months is at +2% {correction:+24% }. I mean, unfortunately, we would not be in a position to give an individual molecule- by-molecule level information.
Gokul Maheshwari: The previous management had indicated that the COVID revenues in y ear FY22 w as Rs.120 crore. So, this was a bit of a surprise that in FY23 there was no COVID revenues as such. So, are you saying that there are no revenues in the Q3 FY 23 for COVID because you are referring to the nine month s number as a year -to-date figure ?
Himanshu Agarwal : Which is correct . Q3FY23 did not have a COVID revenue number. {Correction: Q3FY23 has Covid revenue number }
Gokul Maheshwari: So, in that case, the pharma CDMO business has seen a 33% drop in this particular quarter. Is there any particular reason why there is such a sharp drop in this particular quarter in this business?
Himanshu Agarwal : No, no, I don't think so. I have given you any number in terms of a pharma CDMO drop. I think what's relevant is, we have very categorically said that this business is

not repr

esentative from a quarter -to-quarter perspective. We will have to look at this business from a YT D perspective, because otherwise the business will not give a sense. And see, that's very important for us to understand that we have to look at this business from a YTD perspective rather than quarter -on-quarter perspect ive.

Gokul Maheshwari: The second question is on the Cohance merger. You mentioned in your annual report that there is a plan to m erge or something. Could you give an update on what is the strategy on that front and what's the progress?

Himanshu Agarwal : So, see, from a board perspective, we have passed a resolution for evaluation. And we are in the process of evaluating that merger. We will update you once we have more understanding.

Moderator: The next question is from the line of Darshit Shah from Nirvana Capital.

Darshit Shah : Just wanted to know a few quarters back, t here were around five molecules in phase - III trials. So , would the new management be able to tell us how many molecules are currently in phase- III & ongoing?

Dr. Prasada Raju : As of now , we don't have any new update at the moment . As you understand, i t's long-term in nature and quarter -on-quarter significant movement cannot happen and still they are at the same stage.

Darshit Shah: Earlier, we used to get details on the number of projects we are currently ongoing and the phase- wise details. So, would the new management be kind of able to provide those in the presentation now so that we get an idea of how many projects we've added , which are the projects & in what phases they are in, your thoughts on that?

Dr. Prasada Raju: Just to let you know , as you understand the kind of innovative customer that we deal with, we are abide by certain N DAs and we prefer not to dwell on to their pipeline status and you should have to kindly bear with us. We would not be able to dwell deeper into it.

Darshit Shah: We are seeing that given the global situation starting right now, we expect the next few quarters to be so ft. So when we expect normal growth kind of to return to the business, providing that none of the phase- III molecules kind of go into commercial in the next few quarters ?

Dr. Prasada Raju: Darshit , currently, we still are watching to understand how the bottom out of entire decline happens. We feel we might be at a middle of the cycle unless we clearly get a sense of whether it is completely bottomed out or not, we will not be able to really tell you how much time it will take for recovery .

Darshit Shah: Can you help us understand what this adjusted EBITDA, I mean, the old inventory provision that you have kind of provided in the recent presentation?

Himanshu Agarwal: So, as you would notice, I think we have in the press release mentioned that the old inventory provision has been adjusted for around Rs. 134million, so which is Rs. 13.4 crore . So, that's the number that has been p rovided for as a one- time provision.

Darshit Shah: So, this is just for this one- time for this quarter itself or it will be a recurring thing now, henceforth in our kind of presentation and press releases ?

Himanshu Agarwal: As I said, this is one -time provision for the old inventory that we have assessed at this stage.

Moderator: The next question is from the line of Mayur Park eria from Wealth Managers India Private Limited.

Mayur Parkeria: I just had one question and I understand that this is a qualitative remark, and you may not, but just to understand, there has been a reasonably long period of consolidation which we have been looking for as a company also. So, if you can give some perspective about what do you mean when you say that the near -term is challenging, but in the medium- term, long-term you are there, so does the medium - term mean one- year plus or is it a long ish period than the medium- term or less ?

Dr. Prasad

a Raju: Mayur, just to give you a perspective. There are two important challenges are happening. One is on the specialty chemical side, which is definitely cyclical phenomenon is happening on the destocking of the situation.

Mayur Parkeria: Sorry , I should have clarified in the question. I mean, ex of agrochem, how do you see that? Pharma is also only 2% kind of growth. So ex of that , how do you see?

Dr. Prasada Raju : Pharma CDMO has multiple challenges to address. One is definitely as you understand we have to depend on the customers growth and customers will eventually depend on the clinical success of the molecule. #2, we also look at some of the stock and inventory optimization levels. So, these are the two important phenomenon. It's very hard for us to really predict when a phase- III molecule can be ready for a readout and followed by the NDA filing and approval. Hence, we stay relevant to our customers and wait for them to have a successful clinical closure which normally takes a nywhere between 1.5

to 2-years' time. That's how we are not
able to exactly define what would be the terrain at which t he success comes.
Mayur Parkeria: So, at a broad level you are still not in a position to give us any indication about what does that medium- term mean and how many quarters we still go through the selling side, is that right?
Dr. Prasada Raju : Yes. From a pharma CDMO on a YTD basis , 24% is the number , I think it's not 2%, just wanted to clarify.

Mayur Parkeria: Just one clarification. Sorry, I misunderstood. There was a question that in Q3 of FY23 , there was no COVID molecule, right?
Himanshu Agarwal: No, no. I think there is a clarification. Q3 of previous year h as a COVID molecule. It is there in the base of the COVID molecule.
Mayur Parkeria: That is what I was coming, because your reference just went a little high, that is why I got confused. C orrect. So Q3 FY23 had?
Himanshu Agarwal: Yes, yes.
Mayur Parkeria: We have been trying to move t he business I mean apart from the CDMO and agro-chem, we have been trying to enter into the API chain also and there was a more integrated kind of play for us. Where are we in the discussion stage with the client or is it still there or is it only go ing to be mainly after the merger happens ? How do we see that aspect of business playing out over the next one year?
Dr. Prasada Raju: Currently, Mayur, there is one active project f or graduation from a registered starting material to API by one of the innovative companies. Project is still active, but as you understand, it has to follow through certain procedures including quality checks and a customer visit to the facilities , which is active , but we cannot exactly decide by when it will be over , and it will be converted into commercial. Second part of your question is you are also referring to, can we convert that into formulation and be a forward integration? We don't expect even the mid- term also that is going to happen because we as a country don't have a precedence of providing formulated product to innovative companies. I hope it clarifies your question.
Moderator: The next question is from the line of Ashish Soni from Arch Finance Ltd. .
Ashish Soni: In the opening remarks, you spoke about some M &A activity and some RFQ discussions. Can you throw some better light on it , just want to understand in detail what are our thoughts there ?
Dr. Prasada Raju: There are two parts you mentioned. One is on the M &A side, as you understand, we have surplus cash on the balance sheet. As a part of our overall growth strategy, we're also evaluating potential possibilities of inorganic ways t o expand and accelerate our growth aspirations. Currently , we are actively pursuing and looking for a few technology platforms which can differentiate our selves from the existing crowd and also stay very relevant to our existing custome

rs. That activity is
happening right now.
Ashish Soni: And what about this RFQ ? Like you said that RFQ pipeline is increasing, so, when do you see some impacts over revenues maybe six months, 12 months , can you throw some light on that as well?
Dr. Prasada Raju : As you understand , RFQs definitely , we have seen improved inflow, but as you understand it takes time for RF Q conversion by the customers also. We expect in the next one, two quarters , some of the results should come in, it will not take more long either way whether we win or we lose, we will get to know in next one, two quarters time. That's a common cycle t hat we follow.
Ashish Soni: And on M&A, when you said you're exploring for inorganic opportunities, so do you see something closing in next one year?
Dr. Prasada Raju: That is the aspiration that we have, but we would not be able to create any speculation at this stage unless we are clear, but definitely there is a healthy pipeline

of M&A opportunities that we a re pursuing right now. Appropriately, we'll come back to all of you.
Ashish Soni: We have built a lot of capabilities and capacities upgradation in the last few years. When do you think , we can optimally utilize to our strategic perspective in next two, three years capacit ies what we have built or upgraded?
Dr. Prasada Raju: So again, this is an ongoing exercise of current capacity utilization in the case of various units of Suven that we have. More importantly, Suryapet new capacity expansion has been one more addition to us. In the next two years' time , we should be able to really bring this capacity to an optimal level. That's our internal endeavor. Today, we have enough capacity available.
Moderator: The next question is a follow up from the line of Darshit Shah from Nirvana Capital.

Darshit Shah : Just on the M&A side, we understand we have Rs.1,000 crore roughly around that
amount with us. So when you're talking about newer technologies and platforms that we're looking at, so this is over and above the board consent that you've probably got to kind of merge Coha nce also . So this is over and above what we are planning
to probably looking at Coh ance and other relevant technology and platforms also, is
that understanding correct?
Dr. Prasada Raju: Currently , we are looking for whatever the M&A opportunity which can be more
meaningful and strategic for driving the Suven growth is our top priority right now.
Hence, your understanding is correct.
Darshit Shah: You've been talking about a five- year vision for the company. So when can we expect
something to be out in the presentation for the invest ors?
Dr. Prasada Raju: Currently , it is at a draft stage. As you understand in the last quarter call, we were
mentioning it is work -in progress, but definitely , our teams have kept a lot of effort
and we have reached to a draft stage. We are contemplating how can we really convert that into a final blueprint? S ometime towards the closure of the year,
probably we can come back with some specific outcomes of the overall blueprint. Otherwise, we are at an advanced s tage of closing it.
Moderator: The next question is a follow up from the line of Ashish Soni from Arch Finance Ltd.
Ashish Soni : Talking about near -term weakness , so, what's your CAPEX plan, are we putting that
on hold, or we want to continue with that, if you can throw light on that for next one
or two years ?
Dr. Prasada Raju: Ashish, as you heard us consistently , today , our endeavor is to deepen our existing
relationship with customers and fill up the current capacity which is relatively sub-
optimally used r ight now , then appropriately plan for the CAPEX . That's how we are
looking for right now, which means your understanding is very correct. Mid- term, we
try to decide based on our overall strategic options in which assets that we have to
have a CAPEX allocatio

n.
Ashish Soni: But any guideline on maintenance CAPEX which definitely be required in like next
one year or two year s?
Dr. Prasada Raju: So normally to maintain our facilities, we continue to have the CAPEX which
historically we have been spending, the same amount will go. I'm talking about more
of a growth CAPEX . We will wait till we reach to a certain stage of optimal usage of
capacities.

Ashish Soni: When you say optimal , is it like 50% sort of a thing or lower than that ?
Dr. Prasada Raju: Normally above 50% is the right trigger point. As you understand, the CAPEX has
two components ; one is building a civil structure, second one is equipment
installation and qualification. Infrastructure of civil takes long time. Hence, our trigger
point is to keep the infrastructure of civil first , then wait for the product level mapping
and a customer level mapping comes into a play. So , we decide after 1 .5-to-2 years,
once we reached 50% of the capacity, we start building a civil structure. Again in our
business , our 80% is 100% of utilization because we do not want to run with more
than 80% of the capacity occupancy because we will lose the flexib ility to the
customers. That's how we look at the CAPEX decisions.
Ashish Soni: This M &A, are you planning in India or outside of India?
Dr. Prasada Raju: Currently, at least first few assets we are hoping to have it in India right now. But
again we'll come back with specific answers as Darshit was also asking, you should
allow us for some time. There is a healthy pipeline. We'll get back with specific
answer soon.
Moderator: The next question is a follow up from the line of Gokul Maheshwari from Awriga
Capital Advisors.
Gokul Maheshwari: Sorry to harp on the COVID thing . I'm just referring to your page # 24 of the annual
report where you had mentioned that and I quote, "T he growth seems to be subdued
owing to the one- off revenue from the COVID -related projects in FY22 which was
absent in FY23." If we take these numbers out , the growth of the numbers aligned
with your growth business estimate, s o I'm just a bit curious and confused in terms
of what base are you referring in terms of COVID molecule revenues for F Y23?
Himanshu Agarwal : So, Gokul, let's take this offline because I have not had the opportunity to look at
what you're looking at.
Gokul Maheshwari: Yes, I am happy to take this offline.
Himanshu Agarwal : Sure.
Moderator: The next question is a follow up from the line of Mayur Park eria from Wealth
Managers India Private Limited.
Mayur Parkeria: Just a follow up on the last one because again it has cropped up, we would request you to kindly issue a

press release if there is any change in the understanding we
have, it will help all of us because in terms of overall disclosure also , so if there is
any change in t he requirement , request you to kindly release the press release which
will help us. I was referring to the last question with respect to the COVID drug base,
there is some confusion. So instead of having only one analyst as offline, request
you to i ssue a press release if there is any change in your current requirements if
any.
Dr. Prasada Raju : It's a more of a clarification . It doesn't have any materiality. However, we take your
point . We'll ensure that there is no information as I mentioned .
Mayur Parkeria: So the question actually I had on the generic and the formulation side. There has
been some uptick which we are seeing after again quite a long period of that
opportunity not being and our tie-up or understanding with Rising Pharma, which
was there, so how should we look at that s egment from two perspectives , one is we
going to now see a sustained growth coming up? And secondly, in the initial phases,

are the margins on that a little back ended as the minimum sale and when it circulates
down to the bottom line later ph

ase or is it more evenly spread as we go ahead
overall in terms of segments , if you can give us some understanding of how we see
that in the next one year or so as far as this formulation concerns ?
Dr. Prasada Raju : So, I'll try to divide this question into multiple places. One is definitely the extent of
commercialization of some of the filings which have happened in the past , we see
progress happening right now , and as we speak even last quarter, which is Q3
ending December of 20 23, we had three ANDA s approved related to two products ,
and we also seem to have the commercialization also of the molecules happening.
And the way we look at here, l ast year it was Casper asset is actually making a loss,
and this year we expect loss can be minimized and next year definitely based on the extent of commercialization of this
approved ANDAs definitely loss making to a profit
making will always happen. #2, in terms of the mar gin, it always follow s the revenue
and in some cases there is an extent of composition of profit share happens in the
business . On an approval basis , it also gets recognized. However, this a continuous
ongoing activity. Obviously , it will recur going forward. These are all the two points I
hope it answers your question.
Mayur Parkeria: So, the current set of molecules which have gone into commercialization are more
evenly spread on margins or on our profit share, current ly which we are seeing an
uptick?
Dr. Prasada Raju : Difficult to share that right now, but definitely the composition of molecule comes with
both, hence, m argin also will be evenly spread. That's what I'm t rying to say.
Moderator: Ladies and gentlemen. I would now like to hand the conference over to Ms . Cyndrella
Carvalho for closing comments. Over to you ma'am.
Cyndrella Carvalho: Thank you participants for your time. Any questions unanswered, please reach out
to the Investor Relations or CDR, India at your convenience. Thank you so much.

Please note:
There were unintended inaccuracies in some of the comments/ responses. The corrected
comments/ responses have been suitably included in this transcript in parentheses where necessary.
Aside from this the language has been edited so as to bring in enhanced clarity.

Call: Mar 2024

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CSD/BSE&NSE/CC/2023-24
March 11, 2024

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call held on 05th March 2024.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

K. Hanumantha Rao
Company Secretary

Encl: as above

Suven Pharmaceuticals Limited
Proposed Merger Conference Call
March 05, 2024

Moderator: Ladies and gentlemen, welcome to the call to discuss the announcement of proposed merger between Suven Pharmaceuticals and Cohance Life Sciences. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Please note that this conference is being recorded.
I now hand the conference over to Ms. Cyndrella Carvalho, Head – Investor Relations from Suven Pharmaceuticals Limited . Thank you and over to you.
Cyndrella Carvalho: We welcome everyone on today's call to discuss the proposed merger of Cohance Life Sciences with Suven Pharmaceuticals Limited and the business outlook for the combined entity.
Let me introduce you to our management team presen t with us today. Mr. Anna swamy Vaidheesh , Executive Chairman, Dr. Prasada Raju, Managing Director, Dr. Sudhir Singh, Chief Executive Officer and Mr. Himanshu Agarwal, Chief Financial Officer. We will brief you on the discussion and take you through the transaction and then open the floor for Q&A.
Now I hand over the call to our Executive Chairman, Mr. Vaidheesh . Over to you.
Annaswamy Vaidheesh: Thank you, C yndrella. Good afternoon, everyone. We at Suven would like to take this opportunity to dwell into th e significant announcement of the proposed merger between Cohance Life Sciences and Suven Pharmaceuticals Limited .
This marks a pivotal moment in Suven 's journey, underscoring our commitment to advancing towards leadership in the integrated CDMO space, enhancing the scale of business, ensuring stability in earnings through diversification and fortifying our financial standing. Just to let you all know th at we have ensured high corporate governance standards while evaluating the merger due diligence, valuation and risk. We did have a detailed due diligence undertaken on Cohance by market leading firms.
All key items identified in the due diligence have been adjusted in the valuation for potential liability. And swap ratio has been jointly recommended by two respected valuers, PWC and BDO. And Kotak Investment Banking has provided us a fairness opinion.
Let's run through the key rationale for the merger. First and foremost, through this transaction, we move closer to our goal of creating a diversified end -to-end CDMO leader from India. We will more than double our revenue base with a combination of the two platforms. And the two combination will provide

multiple and diverse engines of growth. Basically three distinct business units, Pharma CDMO, Spec Chem CDMO and API plus, including formulations. So if you look at CDMO, combination will create an integrated CDMO model, which will allow us to follow the mole cule through the complete phase of development and lifecycle management for the innovative partner in both pharma and speciality chemical segments.
The addition of Cohance , this is a very interesting element that we all need to know, is that addition of Cohance brings fast -growing ADC platform, reinforcing our position as a leading CDMO platform with better offerings for our customers and partners. And interestingly, even for the API plus, focus on select low, mid and volume molecules with leading global m arket share backed by deep cost position and robust chemistry capabilities. Last four -year revenue CAGR at 11% , while the CDMO business is growing at 33% with a healthy mix of increasing share in existing customers, new customer additions and new products.
Overall, the intention is to ensure stable growth profile over multiple engines of growth. So multiple global examples of peers exist with similar end -to-end capabilities, probably many of you would be aware. Business mix and service lines from demonstrators scaling up globally.
So the merged platform combined entity will have significant scale benefits. When I say scale, it will become a leading integrated CDMO player in India and top 10 in Asia and with the capacity going from a 1,400 KL to combined ca pacity of 2,650+ KL. And the customer base going off large pharma and spectrum companies by 1.5x .
Very important thing we need to know that we also now will have an access to niche chemistry capabilities like ADC or antibody drug conjugates, which can be leveraged to service our innovative customers. Access to best -in-class GMP facilities, very important thing that we all need to know, it expands the scope of product offering to existing customers by gaining access to multiple GMP facilities, basically FDA audited. And quite obviously, the combination will have the best -in-class financial metrics, we will be more than double our revenue base with a combination to platform and continue to have best -in-class financial metrics in and around 35% plus EBITDA mar gins and 30 plus ROCE and sturdy cash flow generation.
I can go on and on, but I think it's very important that I should ask my colleague, Dr. Prasada to take you through the multiple synergy benefits, how this deal is going to bring in. Over to you, Dr. Prasada.
Prasada Raju V.: Thank you, Vaidheesh. Very good afternoon to everyone. We'll take this opportunity to share some more additional insights. We expect multiple synergy benefits that can help accelerate growth and improve margins at a combined platf orm. We are expecting significant synergy benefits through the merger. We believe you should start realizing cost synergies in next 12 to 24 months and a meaningful revenue synergy in 24 to 48 months post -completion of the merger.
Some of the key synergie s derive from expanded capabilities and competencies. It implies providing a broader bouquet of chemistry and scientific capability across the entire platform, which includes adding up dish capabilities like antibody drug conjugates, payloads, electronic c hemicals. Interestingly, both

segments demand deeper chemistry capabilities to develop and manufacture, enabling us to offer a broader value proposition and to stay more closer to our existing customers.

In addition, lifecycle management capabilities for innovators thereby demonstrates higher availability of scale to our customers, a higher number of globally regulatory approved facilities, five more facilities are going to be added from Cohance to Suven, and increased scope to invest for customers as well .
From a revenue standpoint, there is a significant poten

tial for cross -selling to customers as a very limited
overlap of key big pharma innovator customers between both the companies.
And we believe leveraging Cohance capabilities to offer to Suven custom ers and for Suven to offer capabilities of clinical to patent protected pharma CDMO intermediates to Cohance customers is going to play an important role. Opportunity for Cohance to offer API lifecycle management competency, as
we all understand, it needs a different mind -set with the global regulatory approved manufacturing facilities to Suven innovator customers for their key molecules as well.
We believe these are all the two important elements that can bring revenue synergies. From cost synergies standp oint, there are three elements that we are looking for. One is, of course, procurement, realized savings in common spending by sourcing materials, given the similar nature of the business, people and G&A optimization across the platform as we scale the com bined operations together. The immediate important element is best -in-class cost management. We wanted to drive the continuous improvement mind-set across the platform are the three important element. While the merger process takes time, we are prioritizin g sharing best practices across commercial sourcing and operational areas across both the organization. Multiple synergy benefits that can help accelerate growth and improve margins are being sized as we speak.
Now, let me hand over the session to our CFO, Mr. Himanshu Agarwal, to take us through the deal structure and merger related aspects. Thank you. Over to you, Himanshu.
Himanshu Agarwal: Thank you, Dr. Prasada. Good afternoon, everyone. Let me run through the deal structure and the merger ratio. As you would have read, the approved merger ratio as sanctioned by the board is for every 295 shares of Cohance , 11 shares of Suven will be issued based on this swap ratio. Following the deal approval, promoter will hold 66.7% while public shareholders will retain 33.3%. We believe that this transaction is likely to be double -digit EPS accretive to Suven shareholders within the very first year of the implementation of the scheme of the amalgamation.
The merger process is anticipated to conclude over 12 to 15 months subject to the regulatory approvals. The indicated timelines seems like we would require four key approvals. The first one being with stock exchange, SEBI ap proval. The second one with yourselves as shareholders. Third being with NCL T and fourth, it is likely that we will still require a DOP approval. From a valuation perspective, while Vaidheesh talked about the valuers, so we had appointed P wC and Cohance had appointed BDO. So,
both the valuers had asked us to share historical numbers adjusted for the COVID impact and we had also shared with them the next two -to-three -year numbers which took into account the recovery of the Ag Chem cycle.

Based on this, they did a fairly extensive exercise and reached to a joint ratio of 11 shares of Suven for 295 shares of Cohance , which was then further validated by a fair value assessment, an independent assessment by Kotak Merchant Bankers. The entire management team acro ss Suven and Cohance is extremely excited to build this leading CDMO and API player from India and creating value to the shareholders.
I will hand over to Dr. Prasada to walk us through the Cohance business dynamics. Dr. Prasada, please.
Prasada Raju V.: Thank you, Himanshu. Let me just quickly take you through the Cohance business dynamics briefly. Cohance has delivered revenue growth, 16 % of four years of CAGR and EBITDA growth which is 27% plus of CAGR on four -year basis with healthy financial metrics in cludes over 31 % plus of EBITDA growth and 34 % of ROCE. The Cohance business is outcome of successful integration of three distinctive and unique businesses over the last three years, as our chai

rman did mention in the
opening remark. The API plus business was growing at 11% CAGR, but more importantly, the CDMO business is growing at 33% plus CAGR, which is the most evolving and rapidly growing space. That really gives a lot of excitement to us.
The business has been supported by an additional capex investment of over INR 350 plus crore and some more capex is at the final stage of deployment. Unique portfolio has been created under a professional management team. Talking about some of these business growth engines, CDMO contributes to 44% plus of gross profits, 32% of nine months of FY24 revenue. It is business from
innovators, which includes pharma CDMO, manufacturing for innovators on patent lifecycle management of molecules. It also has fastest growing, very unique ADC warheads platform, where one of the business unit has world's first synthetic surrogate of manufacturing Camptothecin based payloads
and custom manufacturing of speciality chemicals. This constitutes for the CDMO.
From API plus standpoint, 56% of gross profits, 68% of 9 months FY23- 24 revenue, which includes primarily API pallets and some of the intermediates. The unique differentiation of Cohance API, when compared with market is they have chosen to be in low to mid volume APIs, where this API is driven

by merchant API rather than a fo rmulation driven, relatively less competition intensity. If we can build low-cost position backed up with high degree of backward integration to offer superior supply security to the partners, there is enough chance that they can gain global market share, which is evident by the fact that majority of the molecule Cohance secures top three global supplies for most of the molecules.
The value added formulation is predominantly a service business that is also conscious choice, where it uses captive APIs for forward integration, also including some of the CMO and analytical services.
Now, let me invite our CEO, Dr. Sudhir to share his prospects about medium term outlook of Suven.
Again, we will come back with additional nuances on the overall business. Thank you. Back to you, Dr. Sudhir.
Sudhir Singh: Thank you, Dr . Prasad a. So, as we have indicated earlier, we believe that around three to four quarters may continue to remain soft. We expect recovery starting in H2 of FY 25. Softness is primarily driven by global inventory, de -stocking in the specific chemical segment. We are also observing some select inventory de -stocking in our pharma customers as well. However, we believe this is temporary in nature.

We remain quite optimistic on the recovery and are seeing multiple positive developments that helps drive confidence in medium term. Our RFQs continue to be strong. We have had a positive progress on our phase three pipeline in Suven Pharma.
This is in line with our strategic goal of expanding the pipeline with our customers. Our phase three product pipeline has moved up from two products , now, we have six intermediates to now total five products to ten intermediates. So earlier, you are having six intermediates which were going in five final products. Now, we have ten intermediates now for five products.
Our customer engagement has seen some early success stories. We are working towards elevating a customer to a strategic relationship. We are focused on converting opportunities from the global inventory de -stocking cycle in the Ag -Chem business. In parallel, we are building a specialty chemical team as well. As we informed in earlier calls, we have onbo arded an Ag -Chem sales head and further strengthening our team will be taken care of.
Our successful USFDA audit at the Pashamylaram facility emphasizes our quality focus and efforts dedicated towards compliance for our new and existing team. Two weeks rigorous audit with GMP and PAI audits resulting with our low format 483 observations.
Quality compliance and ESG,

we have set our goals and work on a committed journey to acquire global accreditation over medium terms, including world rating from EcoVadi s.
Now, I will request Himanshu to give a colour on our performance.
Himanshu Agarwal: Thank you, Dr. Sudhir. So, from Cohance perspective, we continue to progress on the growth journey.
As mentioned earlier, the CDMO segment continues to reflect sustained growth momentum. It continues to contribute 44% of the gross profit and 32% of the 9 M FY24 revenue. And we remain positive ab out this. The ADC warhead site located at Nacharam unit has successfully cleared audit by EDQM with no major or critical observations. We've also onboarded two large new innovator pharma customers for ADC platform and as well onboarded one new life cycle m anagement customer.
One of the Phase III product is also progressing well on track. The API segment business is expected to recover from the second half of F Y25. It contributes 56% of the gross profits and 68% of the 9-month FY24 revenue. There's also an u pdate on the two API qualifications. We have completed one API qualification for the customer and the another one is progressing at an advanced stage. Cohance also had eight consecutive successful audits across the platform and operationally qualified Ki lo Lab with OEB6 level standards. I would now request Dr. Prasada to give the final remarks.
Prasada Raju V.: Thank you, Himanshu and Dr. Sudhir. E BITDA margins for the combined platform are expected to settle in mid -30s. However, in near term as we are in i nvestment phase, we might experience margins to be impacted by a couple of percent age points. However, we expect a progressive trend towards the mid-30s over the mid-term. This merger signifies a transformative step for Suv en Pharmaceuticals Limited, consolidating our strength and positioning us for sustained success in the dynamic pharmaceutical and specialty chemical landscape with three distinctive engines of growth, Pharma CDMO, Speciality CDMO and API plus.

Let's collectively trade this exciting journ ey towards a more prosperous future for Suv en and open for the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session.
We have the first question from the line of Rashmi Shetty from D olat Capital.
Rash mi Shetty: Yes, so, first thing I would like to know that in the presentation it is mentioned that, you know, we have paid dividends in Cohan by increasing our borrowings. So, if you can give color on it that, you know, why you have taken borrowings just for paying the dividends?
Prasada Raju V.: Thank you, Rashmi. Now, I would request our CFO Himanshu to take up the question.
Himanshu Agarwal: Yes. So, Rashmi, I think the right way to look at this would be that as Dr. Prasad a mentioned, we have

invested significant capital in establishing new capex and increasing the capex facility for us. I think I would actually say that the borrowing has been more from that perspective rather than coloring it from a dividend perspective.
Rashmi Shetty: Okay. And so, what is the way forward? I mean, will you look to reduce this borrowing for the next two years?
Himanshu Agarwal: Absolutely. I mean, there is no doubt in our mind on that. I mean, our sense is that we should be able to have a range of 20 % to 35 % of an EBITDA converted into direct cash every year on year. And that should help us reduce the debt from its current position.
Rashmi Shetty: Got it, sir. And, few more questions just on the merger part, to understand more on how is the Co hance CDMO business, you know, different from the Suven 's CDMO business? Is there any overlap? How are the customers perceiving this merger? And, there are many similar kind of CDMO businesses already as an existing player. So, you know, how the customers are really looking at it and how they are going to

benefit from this merger?
Prasada Raju V.: If you look at the CDMO business between Suven and Cohance, they are completely distinctly different. And Cohance CDMO business is mo re superior than Suven business because of the following reasons. Number one, Cohance offers platform technology, which has been indigenously developed, first of its kind in the world. The technology has been developed to manufacture cancer patient -based d erivatives. However, Suven , we have always been in the service business of offering capacities. Also, the space in which currently the antibody drug conjugates are evolving right now is evolving at a much faster rate than any other segment in the therapeutic areas. Coupled with, there is also substantial unique science capability and technology capability because of few additions of specialty chemicals and hardcore chemistry of carbon -carbon coupling or manufacturing. They have a unique capability of even developing and manufacturing OEB6 capacities as well. From this standpoint, the Cohance CDMO, which is driven by a platform technology IP owned by Cohance , is much superior than Suven as we understand.
Rashmi Shetty: And just to follow up, so from a margin perspective also, the Cohance CDMO has a superior and better margin compared to Suven CDMO business?

Prasada Raju V.: Rashmi , I would prefer to reiterate what we just mentioned. For example, our current gross profit of the growth of Cohance 44% as opposed to the rate at which it is growing at 33 plus % of CAGR . So, obviously, it implies the healthy margins from the business. And some part of your question also talked about customers. The customer base of CDMO of Cohance and customer base of CDMO of Suven are not same. They are uncommon. One is large US -based innovator company, another one is Japanese - based innovator company for which two products already at commercial scale for antibody drug conjugates payloads.
Moderator: We have the next question f rom the line of Daljit Singh from Nirvana Capital.
Daljit Singh: Just a couple of clarifications. You mentioned that there has been an improvement of Phase III product pipeline in Suven . And earlier, there were six intermediates, and out of them, five were commercial. And that number has now moved from 6 to 10 intermediates. Is the understanding correct?
Prasada Raju V.: Your understanding is absolutely correct . Now, we have 10 intermediates in Phase III.
Daljit Singh: Got it. And sir, any indication of any of the, I mean, all of the six earlier intermediates, which were in Phase III, any indication whether in next few quarters, something might move up into comm ercial?
Prasada Raju V.: Our endeavour is to see how clinical development happens. We cannot define exactly how the improvements will happen. For example, one of the product, it has actually moved from Phase I to all the way to Phase III, because the produ ct has been designated as a breakthrough therapy. It's very difficult for us to predict. However, we are doing whatever is best to make sure that our innovative companies stay relevant for their regulatory cycle.
Daljit Singh: Got it. And sir, on the API f ront, also, you mentioned there are two kind of APIs that has been approved with the innovators. So, whether that has been with Suven or Cohance?
Prasada Raju V.: That is primarily from the Cohance. S ome of the APIs started looking for qualification as a life cycle management solution to the innovators. That has been the proven trend at Cohance with the latest development, which has been called out in the script today.
Daljit Singh: Got it. And sir, in earlier interactions, also, when there were possibilit ies of doing this life cycle management and API thing for Suven innovative clients as well. So, would there be now a possibility to fast track that thing with both the entities combined and more offerings?
Prasada Raju V.

: Yes, we believe so.
Moderator: We have the next question from the line of Tarang Agrawal from Old Bridge.
Tarang Agrawal: Just a couple of questions for me. One, what's the dividend policy of the combined entity going to look like? Number two, in your ADC platform, you mentioned about p ayload, but do you also have linker capabilities? And how big will your ADC revenues be, say, in FY25 as a percentage of your overall revenues?

Prasada Raju V.: Yes, I'll take up the question about ADC. You're very right. We are also looking for expanding payloads. And from a capability standpoint, currently, the focus is on adding one more payload apart from the competition base. And progressively, objective is to explore possibilities along with customers on the linker. But as of now, it doesn't exist as of today. From a dividend policy, I would request our CFO, Himanshu, to answer the question.
Himanshu Agarwal: Yes. Our dividend policy, I think we are going to be conservative in a payout of a dividend. W e do believe that we are on the path of a very, very encouraging journey to create shareholder value. And we believe that that would come through investment into business, as well as exploring other inorganic opportunities if they were to arise to us. So that's our view on your question of dividend policy .
Tarang Agrawal: Okay. This question stemmed from the earlier question where, you know, about INR160 crore of dividend was paid out. You did mention that borrowings expanded, but typically, it seemed a bit out of the ordinary. So that's where the question was coming from. But I think it's clear now that you're going to be focusing on reinvesting back into the business. So that's helpful. Also, how big could the ADC business be, say, in FY25-26 as a percentage of your overall revenues of Cohance, or merged entity rather?
Prasada Raju V.: Overall, at a CDMO level, we expect a similar kind of percentage growth, both on absolute terms as well as from a percentage term. Currently, we might not be able to exactly give you a specific number what that would be.
Mod erator: We have the next question is from the line of Nitin Gosar from BOI Mutual Fund.
Nitin Gosar: Let me outright register a bit of observation. Once we are a shareholder, we don't appreciate an entity which tries to pay out dividend by taking debt, es pecially where a merger ratio is due. Those kinds of events don't really go well. And when you yourself called it out, you know, the intent is to close business and keep deploying the cash flow. This kind of action doesn't go well with the guided principle s through which you want to grow the business. Coming back to the P&L, combined entity P&L shows that right now we are around 33% , range on EBITDA margin. While you were indicating that it will settle down closer towards 30% in medium term. Was that the ri ght value ?
Prasada Raju V.: Nitin, thank you for explicitly mentioning about the dividend observation. As again, Himanshu has mentioned, we reinstate our focus is primarily to re invest in the growth avenues of the business. And we continue to remain focused on it.
On the EBITDA percentage level, as we were mentioning in the earlier stage of the call, we expect some percentage points of dip in the short term, because we have started investing in our human capital, as well as some of the operating expenses. Hence, it would be lower 30s. And definitely in the midterm to long term, at a steady state, we will definitely be mid 30s of EBITDA.
Nitin Gosar: Okay. And when considering the swap ratio, you did mention that we have considered recovery in Ag Chem cycle for Cohanc e. This recovery in Ag Chem cycle is expected in year 2025, 2026?

Prasada Raju V.: Nitin, just to clarify the question, the Ag Chem business is pretty much pertinent to Suven at this stage. And based on our understanding about the market, we expect the rec

overy signals to come in H2 of 2024 -2025 towards year end .
Nitin Gosar: Okay. And last is with regard to working capital in Cohance, it has gone up on a 9-month basis. Could you clarify the reason behind that?
Himanshu Agarwal: Yes. So, Nitin, I think we have built in some inventory, especially for quarter four. And as you would notice, that a quarter four cyclically over the period has been a large quarter. And we are expecting a strong quarter in FY24 as well. So, primarily, that is one place where we hav e invested behind the working capital. We do expect that post quarter four, the working capital position would steadily improve.
Nitin Gosar: But same may be true for the last year as well when the working capital days were 162 and this time it is around 185.
Himanshu Agarwal: Yes, that is correct. So, there is an investment that has also happened on the receivable side primarily with some of the businesses that have been impacted because of a currency crisis as well as a Middle East concern. So, there is s ome investment that has kind of got blocked because of the foreign currency being unavailable in those countries.
Nitin Gosar: Okay. So, our debtor days have got stretched because of the currency not being available at the country where we have made our sales. Right?
Himanshu Agarwal: Yes. Some of the countries where we have made sales which are witnessing some geopolitical issues.
Moderator: We have the next question from the line of Vivek Agarwal from Citigroup.
Vivek Agrawal: So, can you specify as far as the capacity additions are concerned, s o, how much you are planning to invest into the capital expenditure, let us say, over the next two, three years and what kind of the technology capacities you are adding? That would be super helpful.
Prasada Raju V.: Vivek, let me divide this question into two parts. As you heard us, from a capex standpoint, significant

investments have already been done in case of Cohance. And at Suven we already have approved capex.
The immediate priority for the management team is to ensure the 400 plus scale capacity of Suryapet is come up and running for commercial . And our primary objective is to ensure that the existing capex sweat to a reasonable extent till such time we don't have an intent of committing so much of a capex . However, progressively, in the next four to six quarters time, how the business is going to come back, we might take a proper decision on capex. Current priority is just to focus on filling up the capacity to sweat the asset to derive the business.
Vive k Agrawal: Understood. And, sir, if we talk about business mix, so currently it's around more than 50% coming from the CDMO, and less than 50% is API. So how that mix should change, let's say, in the next three, four years?
Prasada Raju V.: If I'm assuming that your question is related to Cohance business?

Vivek Agrawal: Yes, it's a combined business, basically.
Prasada Raju V.: Yes, definitely. As you know, m ore than 90- plus percent is more of a CDMO business with very less of other businesses. And the way historical information talks about 33- plus percent of CDMO business growing in Cohance, obviously, sum total will continue to have dominant growth in CDMO s pace.
Vivek Agrawal: So do you believe that this 30% kind of CAGR as far as CDMO business is concerned , you will be able to do, let's say, over the next few years? So despite all these geopolitical issues, destocking, etcetera, that is there. And even if y ou look at last year, multiple CDMO companies have reflected negative growth, decline in margins, etc, right? So what gives you confidence that you will be able to continue to outperform the overall market and will we be able to do this kind of growth over the next few years?
Prasada Raju V.: Vivek, it's very difficult for us to really define our own trajectory in a CDMO space. By very definition, we'v

e got to be close to our customers and the success of a clinical phase will ensure. However, the assurance of the Cohance CDMO, which is platform -driven, product is commercial, product is substantially growing on the ADC platform, and also some of the controlled substances, makes us to believe that the growth trajectory will continue. Whether it will continue at the same run rate or slightly lower and higher, we cannot predict at this stage. Coming back to Suven, as you understand, and some of our colleagues are also asking about the Phase III molecule, while we have 100 plus projects which are active, the enco uraging thing for us in Suven side, especially on the CDMO, is number of molecules in Phase III got improved. Today, we have 10 products with five major customers, and also the inflow of RFQs are almost 100% higher than last year. The conversion rate is al so upwards of 160-plus percent when compared with the last year. These things makes us to believe that we should be able to grow along with the market and our customers as well.
Vivek Agrawal: Thank you, sir. That is great. And last question from my side, if you are able to comment on the ongoing geopolitical dynamics, right? The U.S. has come out and trying to come out with a Biosecurity Act, and that may have some kind of impact on some of your competitors in China, right? So how you see this dynamics pla ying out and any kind of impact that you witness on your business?
Prasada Raju V.: So as you understand, it's a very true broader sense of it, Vivek. Like you, we are also quietly observing. From our side, whatever we are capable of doing, we are keeping our internal resource right . And beyond the point, we prefer not to comment on this.
Moderator: We have the next question from the line of Chirag Dagli from DSP Mutual Fund.
Chirag Dagli: Sir, in the presentation, you're talking about potential to drive 10% of incremental EBITDA from various revenue and cost synergies. Question was, is this over what period of time is this? Because you're talking about revenue synergies only in two to four years and cost synergies only in one to two years. So just since y ou put out a number, just want to understand what does it mean?
Himanshu Agarwal: Yes. We very categorically put up around a 10% of incremental EBITDA as the synergy from both the levers. We are more buoyant on the top line while we focus on the cost levers. And as you would understand that the revenue levers will take time, and Dr. Prasada h ad mentioned that both Cohance has around five innovative customers and Suven has five innovative pharma customers. And the merger

gives us actually five plus five, which equals to 10 and not less than 10 innovative customers. So we do find an opportunity where our customer base from a CDMO perspective or from a cross selling doubles from five to 10. And that opportunity is something which we wish to cross sell and harness. And our sense which we've estimated is that we will get two to four years. Similarly , there was a mention that we are looking at leveraging the material consolidation. So the procurement side of it or the operation efficiencies. And our expectation is that one to two years post the merger approval, we should be able to get the basic cost synergies into the business. Net -net, we are looking at around 10%.
Chirag Dagli: I understand that, sir. My question was, is this an annual every year feature? Is this cumulative over four years? You know, since you put it out, I just want to understand w hat the 10% exactly means mathematically.
Himanshu Agarwal: So mathematically, one, it is not an annualized feature. So, it's not that it will generate annually. It is a

generation that will happen. And once it is generated, it will remain in the P&L. So, for a simple perspective, if there is a cross sell, and I generate additional INR25 crore -INR50 crore of revenue, that gets into my base

and remains in my base. Similarly, if my cost level goes up or goes down from X to Y, it remains in my P&L perpetuity.

Chirag Dagli: Understood. So, over four years, this is how w e should think about it, incremental, the merged entity delivering 10% synergy over four years.

Himanshu Agarwal: Yes, but it will stagger over a period and culminate to 10% over the four years.

Chirag Dagli: I understand now, sir. Okay. And the other one is on patent expiry for the merged entity, is there anything in the base that we should worry about? When is the earliest patent expiry for the merged entity that we should think about that coming out of the base or hurting the base etc. ?

Prasada Raju V. : As per our understanding, absolutely no at this stage.

Chirag Dagli: So when is the earliest patent expiry that we should start worrying about?

Prasada Raju V.: We will come back to you once we hear from the customers, because it's very important to take t his patent expiry language in totality, Chirag. It's not that if the patent expiry happens, product is going to be half-shell. It does not happen like that. It all depends on the therapeutic category. It all depends on the patient acquaintance with the mol ecule. Innovator might decide, still continue the same volume at a low price. Hence, the point is, we are very close to our customers. And whenever we hear back from them, we will definitely, appropriately, once we quantify when it is going to happen, we c an certainly come back. But answer to your question, in at least next one and a half to two years, we don't seem to have such kind of a situation, because innovators are always informers in advance.

Moderator: We have the next question from the line of Gok ul Maheshwari from Awriga Capital.

Gokul Maheshwari: My question is that at the time of the acquisition in September 2023, there was some comments made by the Advent top management on an aspiration to build a billion dollars of CDMO business. So, could you just comment , is that aspiration still there, and how would you plan to achieve that under the combined entity?

Prasada Raju V.: Thank you, Gokul. Let me invite our Executive Chairman, Vaidheesh. Vaidheesh, can you just take up this question?

Annaswamy V aidheesh: Thank you. You know, as rightly said, when you create a platform, you have to have a vision or a kind of a goal to go after. I think that is what Advent had articulated at that point of time, a billion dollar kind of a platform is the way to go. Now, if you look at the way in which we are now built up, we are almost to that extent of, you know, with Cohance and Suven put together itself, we are talking about a reasonably 50% to 60% of the target, almost 60% of the target. So, frankly, in my opinion, that vision will continue to drive our approach. We will look for opportunities, external opportunities that would fulfil our ambition. So, the long and short, definitely that burning desire to become a billion dollar platform still exists, and we'll co ntinue to look for more options for making that happen in the next five to seven years' time. But let me tell you, it's a vision for ourselves. That's our force behind it.

Gokul Maheshwari: Okay. In the last decade or so, Advent itself has made a lot of in vestments in a lot of pharma companies globally. So, within the portfolio, what kind of synergies or interactions would combine Suven -Cohance entity have with these businesses? And is that an easy cross -sell or ability to do business with these companies, which are in the portfolio of Advent?

Prasada Raju V.: Gokul, currently, we are absolutely focused on work in hand, which is to ensure that individual companies versus a combined organization, growth must be accelerated. And that's a management focus at this stage. And wherever there is any cross -pollination opportunities with other investments, primarily because of logical extens ion and

meaningfulness in the business, which makes more meaningful sense to Suven and Cohance, we might look at it. Otherwise, our current objective is to ensure that enough opportunities are in our hand, we have to convert them into reality. That's the primary objective that we are currently working with.

Gokul Maheshwari: And lastly, you mentioned about the outlook for the CDMO and the API business. Where does formulation fit in? Because Suven had invested in cash flows, and that is pretty much an underutilized capacity. So, if you could comment on the formulation strategy also.

Prasada Raju V.: Goku l, I think it's an important point that you mentioned. We also recognize the fact that there is a non-core business is in existence with us. Instead of interpreting too much, our current endeavour is to ensure that the business sweats enough and it will break even or it will sustain on its own while we try to focus on pharma CDMO and specialty CDMO. The way things are evolving, we expect in 20 24-25, we should definitely be able to get a cash profit to a neutral stage where the business is not going to hurt us going forward. That's the primary objective that we are running tight now.

Moderator: We have the next question from the line of Ankit Shah from Canara Robeco AMC .

Ankit Shah: Sir, you guided for mid-30s kind of margins in the medium term. And if I look at the nine -month numbers on a combined basis, we're already doing 35% kind of margin. Now, considering that you plan to unlock cost synergies and also CDMO business will grow much faster, at least on the Cohance side. So, shouldn't the margin expectations be higher than what we are currently doing? Or do you expect any margin headwinds going forward?

Prasada Raju V.: Ankit, very valid point. But we got to be a little more careful in our commentary, and we wanted to see how market is going to evolve. We have considered all possible risk adjustments that can potentially can happen. That's the reason we are trying to stick to the narrative of mid -30s of combined EBITDA margin. However, because we have been investing on some of the important aspects of human capital as well as opex . In short term, there will be a little bit of a few percentage point impact. Definitely, in the long -term basis, we should be better o r at least not lower than mid -30s is the view that we have today.
Ankit Shah: Right. And currently, ADC business would be negligible, would it be fair to say, or it has fairly scaled up from where you started?
Prasada Raju V.: It is fairly scaled up, Ankit, because there are two products which are already commercial, and both the products are doing extremely well.
Ankit Shah: Right. And on the ADC side, do you plan to add more capabilities, say, on the conjugation side or the antibody production side? Or in the immediate term, your focus extend to that or you just focus on adding more payloads in that part of business?
Prasada Raju V.: Ankit, I was also responding to Daljit from Nirvana Capital question. The way that we look at this business is ADC warh eads and payloads. It has been more than two decades of research. Finally, Cohance, with this division has been able to build that payload capability. The logical extension is not only just sticking to the current C amptothecin based, there are other avenues where additional payloads can be built in. That's what currently team is focusing right now. In future, if the business demands, probably we should start looking at linker capacity. We all must understand, it's not our choice. Ultimately, we have to look for our customers and partner to see the value in us between India to Western world, wherever there is an opportunity. Obviously, we will also be open-minded for getting into linker business. As of now, our focus is primarily to focus on payloads and warheads.
Moderator: We have the next question from the line of Nitin Bhoir, an

Individual Investor.
Nitin Bhoir: Yes. My question is, what would be the total equity of combined entity and equity capital?
Prasada Raju V.: Himanshu, can you take up this question? And just to repeat, equity and equity capital, he is asking about.
Himanshu Agarwal: Yes. So I think in the investor presentation, we have mentioned that the shareholder funds as of December 2023 is close to INR2,000 crore .
Nitin Bhoir: So, equit y would be INR20 crore because face value would be INR10 of combined entity or?
Himanshu Agarwal: So, see shareholder funds on a combined entity.
Nitin Bhoir: Yes, I am trying to understand the earning per share for combined entity.
Himanshu Agarwal: Okay . I think that is the easier way. If you just look at the equity capital addition, right, there is a 52% equity capital addition that's happened on FY23 basis. I am not even considering FY24 and the PAT

has been added close to around 70%. So, if you just do it from a math perspective, there is 12% plus EPS accreditation that has happened only on FY23 basis.
Moderator: We have the next question from the line of Mayur Parkeria from Wealth Managers (India) Pvt. Ltd.
Mayur Parkeria: I just wanted a little more colour or clarification. You know, in the presentation as well as in your commentaries, you have talked about that two or three times that we have taken note of the liabilities which could have accrued on the Cohance side. And the swap ratio has been adjusted to that impact and the 30% discount to the valuations compared to other similar businesses. The question here is what kind of liabilities were we talking of? Is it something like what the dividend payout obligation was there and it got paid out? Was it about ESOP commitments, charges which have already been taken to P&L or there are something more on the other side? And let me ask you a little more specifically. What is the potential there ? Are there any open areas around that?
Prasada Raju V.: Thank y ou. It is a very relevant question. Let me invite Himanshu to take up this question.
Himanshu Agarwal: So, Mayur, first, let me address the concern. There is no ESOP, there is no dividend payout liabilities over there. These are pure, pure operational bus iness liabilities. In any running operations, there would be few items which would have a potential payout arising in the future, be it a tax or be it otherwise. We have been extremely conservative in considering any liability irrespective of the probabili ty that was given to us by the due diligence partner. And we consider the entire aggregate of that liability as a haircut on the valuation adjustment of cohorts.
Mayur Parkeria: Okay. So, just do I get the number, that is a clarification, not a question, just do I get this number right that the EV was around INR8,500 crore , including the increased debt, which was there, will it be a right number and total EBITDA annualized of INR400 crore ? And so, is that the right number for Cohance, which we should look at?
Himanshu Agarwal: Yes, I mean, that is the number broadly. I mean, if you look at it at a very broad level, that is directionally the right number.

Mayur Parkeria: Okay. And given the outlook currently, which we are having of some pressure on the marke t side and also on the chemical side or on the margin side, how will you call out that, will Cohance be in a position to maintain the annual EBITDA under INR400 crore or will it even be lower? Because there is a huge Q4 number, which is expected. The nine month is only INR250 crore , but that is also in line with the nine month of previous year. But the annual FY23 EBITDA is much better. So, will we be able to maintain INR400, 4 30, 440 kind of EBITDA for Cohance?
Himanshu Agarwal: Mayur, in all fairness, you have answered the question your own self. I did mention that cyclically, we do have a high quarter four and it is the same for FY23, it

is the same for FY24.
Mayur Parkeria: Right. So, despite the outlook being soft, we do not see risk to that number going down, because then that would, the discount, which we are saying and the things which, if the potential EBITDA is going to be lower even in just the six month's time frame, or in that time frame we would be looking at a valuation, which is different, rig ht?

Himanshu Agarwal: No, I did not really follow your question.
Prasada Raju V.: Let me answer. Mayur, your understanding is absolutely correct . From the management side, we also looked at what is the existing order book position, what is the manufacturing plan to deliver the set numbers, what you did mention. The outlook is definitely Cohance should be able to deliver the number, which has been factored in this assessment. That is what our view from an operation side.
Moderator: We have the next question from the line of Gagan Thareja from ASK Investment Managers.
Gagan Thareja: The first question is around the EPS accretion that you have talked on the FY23 basis. If I look on the nine-month year -to-date FY24 basis, for more than a 55% profit accretion, there is barely 4.8% EPS accretion for the nine -month period. That is on a very weak Q3 for Suven. On a normalized Q3 for Suven year -to-date basi s, the EPS accretion would have been virtually nil. So I am therefore unable to understand when you say double -digit EPS accretion, why take FY23 basis when we know that FY23 was something that was impacted by or rather propped up by non-recurring COVID -related products in the base, right? Wouldn't FY24 be reflective of the truth in a better way? And if that is the case, then from an investor's perspective, there is barely any EPS accretion?
Prasada Raju V.: Thank you, Gagan. I would request Himanshu, can y ou just take up this question?
Himanshu Agarwal: Yes. So Gagan, I think even when you see FY24, there also, if you look at the EV, the EV addition is 52% and the PAT addition, despite the fact that Suven results are depressed, it is at 57% and EBITDA addit ion is at 70%.
Gagan Thareja: The earnings per share accretion is barely 4.8%. And on a normalized quarterly run rate of Suven, it would have been not even there. It would have been probably flat. So for all the profit addition that you're doing with the C ohance addition, there's barely any EPS accretion on a year -to-date basis.
Himanshu Agarwal: I think we will have to look at it from a multiple perspective. We can't ignore the fact that the FY23 numbers, even when the numbers was very, very high, there is an EPS accretion that is happening in FY23. And we have to wait for FY24 results to kind of mature in terms of seeing as to what really it makes up, which is why we have said that we will be EPS accretive in the first year of our merger. I mean, we are very, very clear that we will be double -digit EPS accretion in the first year of our merger.
Gagan Thareja: But then how does that sort of stack up with your commentary that your margins will be under pressure in the first year of the combined entities opera tions? You're saying that because you will be investing in manpower and doing further opex enhancement, there'll be a 200 bps sort of a margin pressure. And despite that, you're talking of EPS accretion on this base. So could you maybe perhaps enumerate or elaborate a little more on the synergy benefit playing out in the first year or the second year or the third year and give us some idea of how do you expect EPS accretion to dilate or increase from here on?
Himanshu Agarwal: Let me see as to what we can p ut it out to clarify in the investor deck of what we have done, our internal workings, which shows us that we will be EPS accretive in the first year of merger. But we are very clear based on our internal workings that the first year will be EPS accretive double -digit.

Gagan Thareja: Ok

ay. Right. And from a working capital perspective, what will be the cash conversion cycle for the combined entity versus where it stands today for Suven and for Cohance separately?
Himanshu Agarwal: As you notice, Suven has been a cash generator. I think year -on-year, we are generating cash. So that situation will remain as it is.
Gagan Thareja: I'm talking about the working capital cycle.
Himanshu Agarwal: So ultimately, from a working capital cycle perspective, we do expect that Cohance would remain stable. We would not be investing further on the Cohance working capital.
Gagan Thareja: No, finally, just one more question, which is, are there any contingent liabilities on the Cohance balance sheet, which comes on board with the merger? And if there are, what is the size?
Himanshu Agarwal: No, I just mentioned to you that, we have taken a valuation adjustment for all potential liabilities in

Cohance 's box. So there is no contingent liability that we expect it to materialize, w hich we have not considered from a valuation perspective.

Moderator: We have the follow up next question from the line of Tarang Agrawal from Old Bridge.

Tarang Agrawal: Just a couple of questions. One, what are the number of shares that are going to be i ssued? And second, on the reactor capacity of about 2700 KL for the combined entity, are these all product capacities or there is raw material capacity also included here? And if so, what would be the raw material capacity?

Prasada Raju V.: Let me answer t he last question and hand over it back to Himanshu. This is purely a reactor capacity, where between the assets, 1400 KL and 1250 KL of Suven and Cohance consecutively comes back to roughly 2700 KL. As you understand, there is also 400 plus KL capacity of project which is up and running in our Suryapet facility of Suven, which is also going to be commercial. Like this, there are about 150 to 200 KL capacity of Cohance is also coming in play. It is purely a reactor capacity. However, one can look at reactor capacity coupled with the classification of OEB. In Cohance side, multiple OEB facilities are also there. As you understand, though it is less than maybe 100 litters, that OEB is OEB facility. So, that is how one can look at it from a capacity standpoint. It is not to relate with any raw material side.

Tarang Agrawal: Sir, if I may just follow up, for certain products, there may be a possibility that we might be using certain particular intermediates , which could be used across the portfolio. And to that extent, whatever is my KL capacity, it will be more backward integration than actually getting revenue out of it. So, my question was from that standpoint, that do we have any dedicated capacities for specific intermediates, which would tantamount to backward integration?

Prasada Raju V.: This is primarily from a business standpoint. Today, these capacities are adding up. We have no plan for using one capacity for additional backward integration. That has not been the initial consideration. However, individual businesses have to continue to grow. If there is any opportunity of any backward integration, for example, in Suven's CDMO, we will be open -minded to look at the capacities which are available in hand. Instead of trying to create something, our abilities to have a flexible mapping will be secured. There are no common intermediates which are manufacturing today, where this

manufacturing of intermediate will directly get into a sale. Hence, this capacity is not going to be realized as a sale. That's not the situation. I hope this answered your question.

Tarang Agrawal: It does. It does.

Prasada Raju V.: Thank you. On the first point, Himanshu, if you can just take it up.

Himanshu Agarwal: Yes. certain ly. So, Tarang, the Suven equity base was 25.4 crore shares. And the ESOPs of 65 lakhs were issued, which made the share count as 26.1 crore shares. T

he post fully diluted share, post the merger, will take this to 38.97 crore shares.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Ms. Cyndrella Carvalho for closing comments. Over to you, ma'am.

Cyndrella Carvalho: Thank you everyone, for your time and joining us and understanding and spending your efforts with us. We respect all the questions. And whatever questions are remaining unanswered, please reach out to me or the CDR team. We will come back with explanation. Thank you so much.

Annaswamy Vaidheesh: Thank you ev eryone.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Jun 2024

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CSD/BSE&NSE/CC/2024-25
June 21, 2024

To
The Manager
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BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the conference call for acquisition of a majority stake in Sapala Organics

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for acquisition of a majority stake in Sapala Organics conducted on 19th June, 2024.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

K. Hanumantha Rao
Company Secretary

Encl: as above

Suven Pharmaceuticals Limited
Update on the Acquisition of a Strategic Controlling Stake in
Sapala Organics
June 19, 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to the Suven Pharmaceuticals Limited Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference, please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Cyndrella Carvalho, Head of Investor Relations at Suven Pharmaceuticals Limited. Thank you, and over to you, ma'am.
Cyndrella Carvalho: Thank you. Good evening, everyone. I welcome you all to today's conference call to "Update on the Acquisition of a Strategic Controlling Stake in Sapala Organics."
Our management team present here with us today includes Mr. Annaswamy Vaidheesh, Executive Chairman, Dr. V. Prasada Raju, Managing Director, and Mr. Himanshu Agarwal, Chief Financial Officer.
Let's delve into the Key Highlights of the Transaction and then open the floor for Q&A.
Now, I will invite Mr. Annaswamy Vaidheesh, our Executive Chairman, to Share his Thoughts on this Acquisition.
A. Vaidheesh: Thank you, Cyndrella. Good evening, everyone.
We are pleased to announce that Suven has entered into a Definitive Agreement for the Acquisition of a Controlling Stake in Sapala Organics.
To give you some background, Sapala is a Hyderabad-based CDMO that specializes in oligonucleotide drugs and nucleic acid building blocks.
Dr. P. Yella, the Promoter and CEO of Sapala has a deep domain expertise in the space and 20-plus years of working experience in Japan, has built this company into a unique CDMO player over the last two decades. I feel

extremely delighted to welcome Dr. P. Yella Reddy and the Sapala's team to the Suven family.
We are very much delighted to partner with Sapala as it represents a strategic fit for Suven. Oligonucleotide space is a niche yet rapidly growing space with immense potential. As you may be aware, nucleic acid-based therapies target diseases at the genetic level, offering hope for condition that were previously deemed incurable. With Sapala's acquisition, we are enhancing our technology platforms which now include ADCs, oligonucleotides, and more. This aligned with our strategy of investing in high growth, high impact areas, both organically and inorganically and marks another stride in our journey towards establishing a deep domain-led integrated CDMO platform from India.
I will now request Dr. Prasada to say a few words and explain to you more about the rationale. Thank you.
Dr. V. Prasada Raju: Thank you, Mr. Vaidheesh. A very good evening to all of you.
It's quite an exciting time for us. Sapala has actually built unique capabilities in the oligonucleotide building block segment. This market is currently valued at approximately Rs. 750 million and it is expected to grow at an impressive 20%-plus of CAGR.
The segment has seen increasingly interest and investments from large pharma's and also oligo-focused BioPharma companies with many of our customers are also looking to expand in this space.
The segment currently has 17 approved drugs, with a very healthy pipeline that is expected to quadruple the approved drugs by 2030, which is supported by the fact that a very interesting number on both P4-to-P3 stage which is in Phase-III as well as similar or double the number in a preclinical to clinical as well.
Sapala capabilities in locked and bridged nucleic acid, Tricyclo DNA, GalNAC positions it as one of the few players globally capable of delivering such specialized solution, which the market is looking for.
Combining Sapala's R&D depth and experienced team with our customer access and expanded manufacturing capabilities will certainly drive meaningful synergies across our platform.
I will now hand over to Himanshu to discuss the financial and structure-related aspects of the deal. Thank you. Over to you, Himanshu.
Himanshu Agarwal: Thank you, Dr. Prasada. So, from a financial perspective, this acquisition is structured to deliver long-term value. In FY'24 Sapala's revenues were over Rs. 670 million and the adjusted EBITDA margins being at 45%-plus. As shared in the investor deck, the adjusted revenue has been growing at a CAGR of 18% for the last three years.

Subject to the customary adjustments for net cash and working capital, the
initial consideration is Rs. 2,295 million for an acquisition of 51% stake on a
fully diluted basis. We expect the 100% acquisition to be valued at 13x to 15x
times EBITDA multiple, contingent on the financial performance, primarily
EBITDA, over the next three years, which ensures alignment of interest and
sustainable growth. Therefore, the overall EBITDA multiple for the 100%

business will likely be 13x to 15x EBITDA multiple range. This is expected to
be financed through cash reserves or internal accruals of Suven Pharma and
the initial acquisition is expected in Q2 of the current year, while the balance
stake acquisition is expected to be in three years, subject to the necessary
regulatory approvals.

We plan to operate this business collaboratively with the current promoter,
working as the CEO of Sapala Organics for the next few years as well as the
strategic advisor for Japan region before we fully acquire 100% of Sapala. The
transaction is expected to be EPS-accretive from the first year of acquisition
and we do not expect this acquisition to affect the current merger scheme with
Cohance.

We will now open the floor for any questions.

Moderator: We will now begin the question-and-answer session. The first qu

estion is from
the line of Amey Chalke from JM Financial. Please go ahead.

Amey Chalke: So, the first question I have is, considering the market is growing by 20%
CAGR, what would be the expectation from Sapala's business going ahead for
the segment?

Dr. V. Prasada Raju: Amey, thank you for your question. In a mid-term-to-long-term. It will match or
exceed the current market growth. That's the internal view that we have,
because the base is lower and smaller.

Amey Chalke: Sir, is it possible for us to give some color or apart from the oligonucleotide,
any other segment currently are they working on any other projects or
segments they are present in?

Dr. V. Prasada Raju: So, the predominant area for focus is on oligonucleotides only, but as you
understand, within the oligonucleotides there are multiple varieties of
compounds that they have. One is specialized building blocks which includes
tricyclo DNA. Number of projects are also getting used, using that as a core
and bridged nucleic acid is one more type of compounds, GalNAC
compounds are another division. So, there are variants and designer level
oligonucleotides which Sapala is able to build the competency within the
segment of oligonucleotides and nucleosides.

Amey Chalke: And is it possible for us to give us some color on the number of projects
currently we are working in specifically Phase-III or any commercial project in
the future?

Dr. V. Prasada Raju: So, as you understand, currently, most of the Sapala projects are in early-to-mid-stage development and there are a couple of projects in Phase-I as well.
But again, as we go deeper and deeper, we should be able to really get more
color on it. As we get to know, definitely, we'll communicate back to you.

Amey Chalke: How does this acquisition gel with the Suven's capability if you can explain?

Dr. V. Prasada Raju: So, yes, we also have communicated in our previous earning calls, one of the
key drivers of our strategic intent is to invest in niche and unique technologies
which are evolving as emerging trends in the small molecule space, which
helps us to stay relevant and close to our customers. ADC warheads has
proven it right and therefore we thought we should invest in additional
adjacencies including oligonucleotides, thereby, it will also help us to be a

preferred partner of choice for our existing customers and also for the new
customers.

Moderator: The next question is from the line of Surya Narayan Patra from Phillip Capital
(India) Private Limited. Please go ahead.

Surya N Patra: Since it looks like it is a targeted acquisition, there was some sense of
acquisition that was there, so is there any target in terms of the opportunity that
has also been there, so that's why it was a targeted acquisition or how is it, sir?

Dr. V. Prasada Raju: As I partially explained to Amey, it's a part of our strategic assessment to
accelerate our Suven growth we have decided to invest in niche and newer
technologies which are unique and emerging as future trends. With this intent,
we have been scouting for opportunities and very few and limited are available,
and it has so happened that Sapala is found to be one. So, that is the primary

driver of what we are today.
Surya N Patra: So, given the understanding that both the oligonucleotides as well as the ADC, these are like very complex areas, so what would be the kind of the formula for success here, whether it is to closer to the customer kind of means that is one condition and what we are not having the operation here in India, or what could be the formula for success in these two areas?
Dr. V. Prasada Raju: So, the confidence on antibody drug conjugates has actually taught us several aspects. One is you have to travel along with innovator firm and be a partner along with the development. As you understand, it's not just a service sale, it is a more of a technology and design the molecule in line wi

th what they expect.
So, definitely your chemistry skill and abilities to scale up and provide the material on time are the three important drivers for us to be able to partner with the innovator companies, which we feel strong about Sapala as well. We would be able to replicate the same model. That's how success looks like.
Surya N Patra: Having operation outside of the advanced world is not a kind of impediment, that is what one should think, is that right, sir?
Dr. V. Prasada Raju: It's not definitely, because what happens is majority of our customers are taking either inorganic approach of getting into this space or they are also looking for a product level selected deals or they are looking for a complete in-licensing of the molecule. They are also wanting somebody to be a part of their GMP manufacturing which we secure a highest chance because for the last two decades we are with most of the innovator companies. That's how our strength is going to be really helpful for us to really accelerate the qualifications with some of these customers, while we try and work with some of the Biopharma firms which are active in this space as pioneers in oligonucleotides.
Surya N Patra: Sir, given the complexity that is there about customer acquisition for such complex areas and the timeline required also to get or to progress the molecule to the commercialization levels, so what is the timeline that you are thinking when you think that the synergetic benefits from these acquisitions will really be supplementing the combined business of the win going ahead, whether it is FY'27 onwards or it is even beyond that, when should we really see the benefit of these assets really contributing to the overall earnings for the company?
Dr. V. Prasada Raju: So, what we actually decided was to really go deeper on the existing customers and also start looking for new customers. More importantly, some of our Suven customers are extremely critical for having this competency. But, as you understand, our success is depending on the clinical success of a pipeline,

which means anywhere visible case studies can be built with synergies at least within two to four years’ timeframe is what we see so which comes back to the same time period or which can be a little early also. Two to four years is the timeframe that we see to have the synergies coming in.
Surya N Patra: The kind of the size of the business what it has been acquired now, so is it fair to believe that now the oligo is larger than the ADCs what we have been having?
Dr. V. Prasada Raju: Our wish is to grow both to highest level and that comparison might be a little difficult to comment right now, and oligo is relatively at an early stage because we don't have any commercial products, but in case of antibody drug conjugates, as you understand, two warheads are being supplied for commercial pipeline molecules, so which is different than what we are in Sapala. And to your first question, two to four years down the line, probably oligo also will start seeing the similar kind of a texture, but not right now, it's an evolving field at this stage.
Moderator: The next question is from the line of Ritu Kumari from LK Investment. Please go ahead.
Ritu Kumari: So, I have a couple of questions. My first question is what is the contribution from the top-five products or maybe customers if you could just help with that?
Dr. V. Prasada Raju: It's a fairly diversified in terms of product as the products are customized for specific customers and requirements and today, top five customers contribute for less than 50% of the revenue on an average in the last few years.
Ritu Kumari: And what are the current market growth drivers and how do we see it evolve?
Dr. V. Prasada Raju: So, as we have explained, definitely, we have to travel along with existing customers, and also, I was answering Surya Narayan's question, while the synergies are re

latively mid-term-to-long term, but immediate onboarding of
the existing customers of Suven is one of the important priorities that we kept
it for us and most of the customers are actually asking for the new technologies
and capacities coming in. So, that is one of the growth drivers. However, we
also try to continue with the existing relationship of Sapala between US,
Europe and Japan also, they have over 20%-plus of revenue exposure, we try
to grow existing with the leverage of Suven customers as well. These are all
the two priorities which can drive the growth.
Moderator: The next question is from the line of Hrishikesh Patole from B&K Securities.
Please go ahead.
Hrishikesh Patole: Just on the customer profile front, when you give see the highlights what is the
customer profile like what are the key customers or emerging biotech firms,
well-established big pharma player, like, can you go abroad that would be
helpful?
Dr. V. Prasada Raju: Today, Sapala has innovator customer base across US, Europe and Japan.
Broad geography, average sale split, the last few years between US, Europe
and Japan is around 40, 30 and 20, which also means is a good mix of big
biofirms, which includes oligo-focused CDMO players and that's how the
current business mix is around the companies.

Hrishikesh Patole: Just to add on that, have we been adding clients regularly, what has been the
trend on that?
Dr. V. Prasada Raju: The question is a bit unclear. Can you just elaborate?
Hrishikesh Patole: What I wanted to ask is, have you been adding clients regularly for the past
few years?
Dr. V. Prasada Raju: Yes. Addition of the customers is happening, on top of it addition of molecules
for the same line of customers is also happening. Finally, product progress is
actually seen and Sapala is along with the product progress as well.
Hrishikesh Patole: And now with Suven you expect that to be faster going ahead?
Dr. V. Prasada Raju: That's right. Because we have a long relationship with the top innovator
companies and majority of them are extremely active on oligonucleotide basis.
And because we are actually qualified suppliers for them, our existing
relationship can be properly leveraged with Sapala's competencies.
Moderator: We have the next question from the line of Jainil Shah from JM Financial.
Please go ahead.
Jainil Shah: I have two questions. One is what is the current capacity utilization? And
second one is, if you can elaborate a little bit more on how the current
competitive landscape is and who are we competing with in India and outside
India?
Dr. V. Prasada Raju: From a capacity standpoint, I just wanted to clarify. This is predominantly R&D-
led activity and today, the basic amidites or some of the compounds that we
do manufacturing are in kilolitres capacity. Otherwise, from a capacity
standpoint, it is predominantly on R&D side of it; however, when the molecule
grows into the clinical phase from preclinical into commercial, what we need is
GMP facilities. And one of the important elements as a part of the deal is, we
end up supporting the growth of the organization by creating a GMP
manufacturing facility. Hence, we don't have any capacity constraint right now,
and as it is a predominantly R&D, we have enough capacities; however, in view
of the future growth, we have plans to create a GMP manufacturing site in one
of our expanded platform sites. Second question is on the competition
landscape. As you understand, there is a very unique combination of having
bridged nucleotides and galvanic compounds and tricyclic compounds. So, it's
very hard to decide; however, there are some companies who are closely
related, but not exactly comparable. Hence, we won't be able to exactly define
who is our right competition, because that's a struggle for us itself, which we
are not able to come to a conclusion. They are closely related but no way
comparable, beca

use the extent of competency Sapala has built, all the
competencies are not existed as one-roof solution in any of the farms that what
we have assessed.
Moderator: We have the next question from the line of Surya Narayan Patra from
PhillipCapital (India) Private Limited. Please go ahead.
Surya N Patra: Sir, if you can just add something about Mr. Yella Reddy's strength and his
likely contribution to Suven?
Dr. V. Prasada Raju: As our Chairman, Mr. Vaideesh, has briefly touched upon in the opening
remarks, he has close to four decades of technical experience, worked in

Japan and lived in Japan, and he speaks Japanese language and he has a very strong connect and he is a product of Toyota, also by training he did his entire science in sugar-based chemistry. As you understand, oligonucleotides comes with organic chemistry, inorganic chemistry, physical chemistry, combination of all only somebody can really isolate. So, he has a blend of technical experience and expertise and a deeper understanding about the science of oligonucleotide, coupled with exposure in Japan, while he runs Sapala business as the CEO of the company. What we have also decided is we wanted to leverage his network in Japan and he will serve as advisor for Japan market entry at an overall Suven and Cohance platform. That's the view that we have today, Surya Narayan.
Surya N Patra: Whether that association will be a kind of be a beneficial aspect so far as CDMO chemicals, specialty chemicals and all that also?
Himanshu Agarwal: That's right, because his strength is on that CDMO space only predominantly.
Surya N Patra: Sir, in fact, in the opening remarks, you have alluded about kind of acquisition cost. There are some disturbances, I could not catch. If you can share your view, can you repeat it please?
Himanshu Agarwal: I will just kind of repeat what we had articulated. Essentially, as you would have read, we've acquired it at an initial consideration of INR229 crore and that's 51% stake on the fully diluted basis. We're expecting to acquire 100% in a period of three to four years which again would be valued at 13 to 15 EBITDA multiple in the next three to four years, does that help you?
Surya N Patra: Yes. So, that means 13x to 15x you said for the EBITDA whatever that you will be getting in the time on a future date?
Dr. V. Prasada Raju: That is correct.
Moderator: We have no further questions, ladies and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you.
Cyndrella Carvalho: Thank you, Dorwin, and thank you everyone for your time, and we look forward to sharing more updates with you all. Thanks a lot.
Moderator: On behalf of Suven Pharmaceuticals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jun 2024

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CSD/BSE&NSE/CC/202 4-25
June 04, 202 4

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 202 4 conducted after the meeting of Board of Directors held on May 30, 202 4.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial -info/

This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited
K. Hanumantha Rao
Company Secretary
Encl: as above

Suven Pharmaceuticals Limited
Q4 FY'24 Earnings Conference Call
May 30, 2024

Cyndrella Carvalho: Good evening everyone. I welcome everyone to our Full Year FY'24 Earnings Conference Call . Let me take this opportunity to introduce you to our management team present here with me today; Mr. Annaswamy Vaidheesh, Executive Chairman ; Dr. V Prasada Raju , Managing Director ; Dr. Sudhir Kumar Singh , Chief Executive Officer a nd Mr. Himanshu Agarwal, Chief Financial Officer. Let's dwell into the key highlights of our progress during the quarter and then we will open the floor for Q&A. Over to you, Mr. Vaidheesh.

A.
Vaidheesh: Thank you. Good evening everyone. We extend a warm welcome to all of you on our Q4 FY'24

Earnings Conference Call . In the course of the last eight months, we have set up the business well for both mid and long-term growth. Key highlights of the progress made include , we augmented the team and processes across commercial , R&D operations in M&A. We assess the strengths and gaps in the business, which has formed the basis for the strategic roadmap we have laid out for S uven. Extensive customer interactions across multiple forums to strengthen the relationship and elevate us to the strategic partner of choice for customers. Also glad to inform that we had a successful completion of FDA audit at our Pashamylaram facility and other regulatory agency audits along with multiple customer audits a nd outlining the strategy for the platform and working towards building the pipeline.

FY'24 was a perfect storm with a global slowdown, Ag -Chem destocking, COVID flush- out and commodity pricing. However, we think most of the headwinds are behind us fully other than Ag - Chem destocking. We feel very confident about accelerating the journey given the positive macro tailwinds, the capabilities that we have built and the gap filling we have done so far will continue to do going forward.

I will now hand over to Dr. Prasada, our Managing Director for his thoughts.

Dr. Prasada Raju: Thank you, Vaidheesh . Good evening to everyone. We have a positive outlook for FY'25 and mid - term to long -term growth. We derive confidence from the favourable industry environment lifted by the increase in the clinical pipeline and China Plus One dynamics. This is evidenced

by the uptick in RFQs and inquiries for laterals and commercial products from both existing and new customer relationships. Our team has been proactive, demonstrating our unwavering commitment to building robust client relationships and expanding our market reach.

This proactive engagement with our key customers is a testament to our customer -centric approach, which we believe will lead to a significant growth from both existing and new relationships. On Pharma CDMO, we have grown 9.4% year -on-year ex -COVID-based and expect to accelerate that further going forward. We have now 13 intermediates and seven molecules in Phase III compared to 10 intermediates and five molecules as per our last conversation , we had post -merger announcement update.

Similarly, our RFQ inflow and conversion is more than doubled compared to the previous years. Our strategic intent on lateral wins and commercial molecules under patents is not just a plan but a reality. This shift in focus is already translating into more inquiries, indicating more robust and healthier pipeline. We are confident that this strategic intent will make us more relevant and closer to our partners, business initiatives enable us to offer our expanded services, leveraging our proven delivery capabilities. The increased inquiries for commercial molecules which are under patent further reinforce our positive outlook and potential for accelerated future growth.

On Specialty Chemicals CDMO, as mentioned earlier, we have recrafted our spec chem service line as a new strategic business unit with a much higher focus in- line with our customer expectations and business needs , we have started investing in people who are domain experts, including operating partners, moving towards dedicated facilities and initiatives towards driving continuous improvements, including automation and EHS best practices. The spec chem softness, as our Chairman has mentioned, continues with expected for recovery in second quarter of FY'25.

Let me hand over this to Dr. Sudhir for latest updates on key initiatives. Thank you.

Dr. Sudhir Singh: Thanks Dr. Prasada. As Dr. Prasada has mentioned, we have continued to meet our customers multiple times. The feedback has been very positive about Suven's capabilities and we feel good about the strategic nature of the release. Encouragingly, discussions with three major innovators companies recently initiated are moving forward in a positive direction.

On the ESG front, we eagerly anticipate the release of Su ven's ESG report in the coming quarter, reaffirming our commitment to sustainable business practices. We are pleased to announce that our Pashamylaram Unit 3 site has been awarded the EHS Excellence Award by the CII, which serves as the testament of our dedication to maintaining standards in environmental health and safety practices. Additionally, during the quarter, we were honoured with an International Safety Award from the British Safety Council for the same, recently USFDA-cleared unit.

Our new Genome Valley R&D Centre has been inaugurated recently w ith the presence of Senior Executives from a leading global pharmaceutical company . The new block in Suryapet is undergoing validations , on-track for commissioning.

Handing the call to Himanshu Agarwal , our CFO to update you on the financial performance.

Himanshu Agarwal: Thank you, Sudhir. In FY'24 , Suven generated a free cash flow of INR 307 crores and now our cash and bank balance at the end of the year stood at INR 824 crores. Overall, the company revenue declined by 21.6% for the full year ; however, adjusting for the COVID, as well as Ag -chem , the business has grown at 16.2% in the current year. Even the pharma segment, adjusting for the COVID base has grown at 9.4%. While we are experiencing certain inventory destocking in the pharma CDMO which is leading to order delays, we view this as temporary i

n nature.

Our reported EBITDA margin for FY'24 stood at 39.4%, reflecting the investment that we're making in the business aimed at steering Suven towards growth. If we adjust the one -time cost in FY'24 of 211 million, which includes the one -time inventory adjustment of INR 134 million , which I had talked

about in the previous quarter, the ESOP charges of 20 million, the M&A expenses and other costs of approximately 57 million, our adjusted EBITDA margins for the full year stands at 41.4% a nd the
adjusted PAT margins stand at 30.4%.

In terms of the update on the proposed merger with Cohance, we have received approvals from the stock exchange and we are currently awaiting approvals from SEBI before we approach NCLT. We understand from Cohance's investor presentation that has been updated on the Cohance's website , that Cohance 's has achieved an adjusted EBITDA margins of 31.2% with an absolute revenue of INR1,341 crores. The Cohance business has grown at a CAGR of 13% over the last five years. The CDMO business of Cohance has continued its growth streak with a full year CAGR of 30% and a year-on-year growth of CDMO at 20%.

I would now like to hand it over to Dr. Prasada for his comments on Cohance business performance as has been mentioned in the Cohance 's investor presentation, which is updated on their website.

Dr. Prasada Raju: Thank you, Himanshu. As per our review of the Cohance 's investor presentation, we understand that on the progress in the ADC segment, the ADC platform continues to grow significantly by its commercial products, therapy expansion and market registrations. Several other new products continue to be in developmental phase with innovator customers.

Cohance is also expanding its R&D pipeline of new designer payloads and adjacent payloads, which are in advanced stage of development, which organically will enable the expansion of payload market coverage. On the non-ADC CDMO, one product is progressing well in Phase 3 .

In the API plus business, the down cycle seems to be behind us and Cohance expects to return to healthy growth rates through market and customer expansion, supported with new product introductions. Ending March of 20 24, five new product validations have been successfully completed by Cohance .

Overall, while this year has been muted, given the macro, we continue to be excited about growing the combined platform by our CDMO focus. We expect to see growth both in revenue and EBITDA for full year of ' 25, with growth accelerating in FY '26. At a combined platform level, we look forward

to doubling the business over next five years organically and adding further growth traction from M&A opportunities over similar timeframe.

As mentioned, we anticipate growth in the second half of FY '25 and Suven closing the financial year with good year -on-year growth, both on revenue and EBITDA. Further growth acceleration expected from FY '26 onwards.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: Good evening and thanks for the opportunity. My first question is on your comments that you are seeing increased traction because of China plus one dynamics. Now is there an acceleration in this , in the fourth quarter after discussions on the Biosecure Act or you have seen this solid traction throughout FY '24?

Dr. Prasada Raju: Jatin, throughout the FY '24 we have been hearing but we started getting the positive signal more from Q4FY'24 onwards.

Jatin Chawla: Got it. That's very useful. And these RFQs that you are receiving , are they largely from the large pharma players or also the smaller and the biotech firms?

Dr. Prasada Raju: Jatin, we are primarily with large Biopharm aceutical companies and we are with large innovative firms only. No small bio-techs or medium

bio -techs.

Jatin Chawla: Got it. And as we look to kind of further build this platform out , are you looking to target some of the smaller biotech firms in that space or would you largely focus on the larger pharma players only?

Dr. Prasada Raju: Our primary priority is to form with our existing large pharma companies. Step two, we prefer to add few more large pharma companies. Step three, based on the nature of the product and unique therapy we might selectively take an opportunistic call on some of the biotech firms. Today we are primarily focused on first two phases.

Jatin Chawla: And on the pharma CDMO side , is there any way you could split the revenues into development and commercial because commercial tends to be more sticky so one at least gets a sense of what is recurring in nature ?

Himanshu Agarwal: Our business is more on the commercial side. However, as you would understand this is the proprietary financial information and we would not be really comfortable giving a split of this information.

Jatin Chawla: Got it, no problems. But just one last question on the Ag Chem side, what is giving you the confidence that you will see a recovery in the second half of the financial year ? Are you seeing anything on the ground which is suggesting that or is this just you're expecting a normal cyclical recovery?

Dr. Prasada Raju: Based on the interactions from the customer whatever signals that we've picked up made us to believe this.

Jatin Chawla: Okay. And on the Spec Chem side, on the Suven kind of stand-alone , any increase in the number of molecules that has happened or likely in the next 12 to 18 months?

Dr. Prasada Raju: That's the view that we have it , Jatin. And just to add to the point , after a long gap we have also started getting new RFQs also in the Spec Chem space. These are all the two evidences that we have.
Jatin Chawla: Got it. Thank you.
Moderator: Thank you. The next question is from the line of Saurabh Kapadia from Sundaram Mutual Fund. Please go ahead.
Saurabh Kapadia: Yes, my question was you're talking about doubling of the revenue in next five years. So what kind of investment are you looking in terms of capex to have that kind of a revenue?
Dr. Prasada Raju: With the current view we have up to 1.5x to 1.6x, whatever the current investments that we have already committed , we don't seem to be requiring any additional capex, Saurabh. However, one and a half, two years down the line again we calibrate whatever is needed for the future expansion. Otherwise, enough capacity is already available to have at least 1.5 x to 1.6x.
Saurabh Kapadia : Okay. A nd secondly, in terms of new RFQ what you are getting, is it for the existing chemistry of Suven or this is new chemistry maybe of Cohance and how we are looking at in terms of chemistry - wise new molecules what you are developing?
Dr. Prasada Raju: This is predominantly with the proven chemistry and scale -up capabilities as an organization we have it for several years. It is just the question of having more traction of more number of RFQs inflow to us. And of course, it is not just a number of RFQ inflow, Saurabh. There a very encouraging conversion is also happening.
Saurabh Kapadia : Okay. And in order to solve this new molecules , do we need to invest more on R&D side? Will our capex on the investment in R&D go up?
Dr. Prasada Raju: So if you can recollect our previous calls that was the first decision we have taken when we took the charge in September of last year and we have decided to invest in R&D. As we are speaking as Dr. Sudhir has mentioned, it has become real and we have a state-of -art R&D facility that spans across 25,000 plus of square feet in Genome Valley. It is operational already. R&D scientists as you understand it is based on the need we keep adding the resources as well. In the budget itself we have added a few re

sources already. It has been very well thought through.
Saurabh Kapadia: Okay. And lastly in terms of margins how we should look at . For FY '25 you mentioned there will be growth or standalone entity, but how should we look at the margins for next year?

Himanshu Agarwal: Saurabh , we have shared the margins in terms of what we have kind of delivered during this year. I think there are two aspects that we have to consider . As we said that we are expecting to grow the business in FY '25. So therefore , we will have a base effect of higher revenue coming in. Obviously, the cost is not going to grow in-line with the revenue growth. So we do expect the margins to grow from what we have reported in the current year.
Saurabh Kapadia: Okay, fine. Thank you.
Moderator: Thank you. The next question is from the line of Vainatheyan , an individual investor. Please go ahead.
Vainatheyan: I would like to know whether along with the acquisition of Su ven Pharma; Casper Pharma is also being acquired by Advent, a m I right?
Dr. Prasada Raju: If you really look at the chronology of the events , Casper acquisition has happened by Su ven prior to Advent acquisition of Su ven, that's how it has to be looked at.
Vainatheyan: Was that a part of the Advent acquisition also or was it not, was my query actually?
Dr. Prasada Raju: Yes, that is also incl uded. It came along with the Suv en acquisition because Casper is an integral part of Su ven.
Vainatheyan: Then I have a question associated with because Mr. Jasti had told us around INR300 crores, INR350 crores , you would be deriving it over a period of three years after the acquisition of Casper. Any progress has been made on that front?
Dr. Prasada Raju: So currently we are focusing on product filings and approvals as we are speaking today and combined at a overall formulation level we have 22 plus ANDAs already approved. Seven of them are coming from Casper another four are under pending for approval. As you understand , this busine ss takes time. In the next one, one and a half we see the complete uptake of the revenue.
Vainatheyan: Okay . Thank you. And t his doubling of revenue is it a combined Cohance with Suven? You combined this one and then you double it up or is i t only you're talking of the Suven revenue which is being doubled in the next 4 to 5 years please?
Dr. Prasada Raju: Base is at a combin ed level.
Vainatheyan: Okay . Thank you very much.
Moderator: Thank you. The next question is from the line of Ritu Kumari from LK Investment. Please go ahead.
Ritu Kumari: I just wanted to know what is the M&A focus that we have? What are the gaps that you think we need to fill? Can you please elaborate on the M&A strategy? Thank you.

Dr. Prasada Raju: During our last calls also , we did mention this. Our pri mary intent is to ensure the Suven growth has to be accelerated. To do that, we have recognized some opport unities of technology platforms a s we are speak , we are constantly scouting for a meaningful technology platform s which will enable the Suven's growth journey.
Ritu Kumari: Okay, noted. Thank you so much.
Moderator: Thank you. The next question is from the line of Rashmi Shetty from Dolat Capital. Please go ahead.

Rashmi Shetty: Yes, good evening and thanks for the opportunity. O n your API segment , while I understand that FY'24 the AP I sales fell over compared to FY' 23 that is what I'm seeing from your presentation. I just want the split what was the rate variance versus the volume. Most of the other peers are also talking about that there wa s a negative rate variance in FY' 24 in high double digits. However, the volume growth was pretty high. So, if you can give about the Su ven it would be helpful , Suven plus Cohance?
Dr. Prasada Raju: You are talking about rate variance?
Rashmi Shetty: Yes. So I'm just talking on the pricing

front in the API segment. If I'm correct that whether the pricing for FY'24 versus FY' 23, if we compare what was the decline in the pricing and what was the volume growth in FY'24 over FY' 23, only in your API segment?
Dr. Prasada Raju: Okay . I'll just try to simplify . We see close to around 4 % to 5% not beyond because it's across various products the price correction has happened up to a 4 % to 5% level , broadly.
Rashmi Shetty: And on an average what was your volume growth?
Dr. Prasada Raju: Volume growth , again, it's a factor of customer and market. We might not be able to corroborate that, but definitely price level for our select range of molecules around 4 % to 5% of correction has happened.
Rashmi Shetty: Got it, sir. So this 4 to 5% you are talking mainly at the value growth or just on the pricing front?
Dr. Prasada Raju: Pricing.
Rashmi Shetty: And sir how do you see this in FY' 25, whether the pricing will remain here only at the stabilized levels or you feel that the pricing will go up in the second half of FY'25? Anything you want t o talk related to the APIs in FY' 25 for your business?
Dr. Prasada Raju: Rashmi, if you look at the broad industry prospects you might be seeing a lot of pricing pressure for commodity APIs. As you understand the Cohance portfolio is a little curated and niche. It doesn't have so much of a pricing pressure. However, what we see coming here is going to be other way around. There can be a possible pricing appreciation a nd in general the pric ing is also a factor of markets and as we are speaking our market expansion is on the more pharma emerging markets ,

where the pricing will be much better than what it is today. Combination of both we feel the price appreciation will be better than the current baseline what we have.
Rashmi Shetty: Okay, got it, sir. And the second question is on the comments which you made that there a re increased inquiries in the CD MO segment , especially which you have seen in Q4FY’24 . Are the inquiries related to more developmental projects which are in earlier phases or is it more related to Phase 2 and Phase 3 pipeline?
Dr. Prasada Raju: It is a combination of both, but more importantly very exciting laterals have actually come in and some of them are Phase 2 and beyond.
Rashmi Shetty: Got it, sir. And one last question, if I may? In the C DMO segment earlier we said that we are actuall y reviving the clientele of Suve n Pharma. So how many new clients you have already revived and how many new are getting added , any clari ty if you can give on that part?
Dr. Prasada Raju: So our current objective is , Rashmi to f arm with existing customers. However, during our last call also we did mention , one of the relationship is becoming more strategic partnership, more number of RFQs are coming t hat's the view that we have.
Rashmi Shetty: Okay, sir. Thank you. That’s it from my side.
Moderator: Thank you. The next question is from the line of Chirag Dagali from DSP Mutual Fund. Please go ahead.
Chirag Dagali: Yes. Thank you for the opportunity. L ike you have given in your presentation pipeline , Phase 3 pipeline for the intermediates for Suve n. Similarly, can you share for Cohance as well?
Dr. Prasada Raju: So we haven't covered this as such because it's at a different broader base of the business. But we will share that in the coming quarters.
Chirag Dagali: Understood. So the kind of traction that we are seeing in the Suve n business, your Phase 3 pipeline is almost doubled, right? If I just look at the number of intermediates from 6 in FY'23 to 13, similar traction have we seen in the Cohance CDMO piece as well?
Dr. Prasada Raju: Absolutely. There are two parts to it. One is on the non-ADC as well as ADC space as well. More specifically on ADC space, it's almost double. Two commercial, two more new products have come in. We are slightly constrained wi

th the obligations of the innovators. Otherwise, you must have picked up. We are also working on a few designer payloads exclusive to a few clients. And we are also expanding to a new payload business, which is an adjacency of coming from topoisomerase to tubulin isomerase .
Otherwise, work is happening. We see the same traction all across the platform. Just to be a prospect, as you understand, between last year to current year, the number of clinical products in pipeline have

increased by 16% standing at 22,600 approximately, which has also been seen by the industry. That's an additional insight for you.
Chirag Dagali: And in terms of reaching out to clients, are we now reaching out to clients as a merged entity or that is still pending? We are still reaching out separately. There's some color around operationally. Is the

merger happening or do we wait for the legal merger to happen before we reach out …?
Dr. Prasada Raju: So currently a conscious positioning is happening, Chirag. And as we are speaking, some of the competencies of the mutual benefits from Suv en to Cohance and Cohance to Suve n. Customer also wanted to do that. So consciously, the cross -pollination is already started.
Chirag Dagali: Understood. And, sir, on the agrochemical piece, while you said that, things should improve. You know, the way, how do we think about, we are at multi -year low as far as the current year, current run rate for the second piece is concerned. And this is coming on the back consecutively of a very high base. So the earlier peak for us to reach that peak, was there any one-off in that earlier peak that it will be difficult for us to reach that peak back?
Some color around, some inventory thing that earlier peak, etc etc. Just how do we think about growth of this low base that we are witnessing in FY'24 ? Is it going to be a more linear recovery or is it going to be a non-linear recovery? Just how are you thinking about this?
Dr. Prasada Raju: There are two comments, Chirag. It's a very valid point. If you look at the journey from FY '22 now, the base started from INR 309 crores and the peak was seen up to INR 533 crores . If you look at the composition, dominance of one or two products are there, which is getting nullified with multiple number of products. Today, the pipeline is better, which is one important factor. Second, whatever the big product has a bit of challenges of destocking and having a little bit of adverse impacts on the
overall uptake of the product, it is also coming to a normalcy.
So combination of the situation has become normal, coupled with wider basket of products makes us to believe that it will come back to the growth trajectory. And we are having a very close, engaged conversations with our partners. And we also have decided that it is not just one more service line item for us. It has to be a separate strategic business unit we are also getting one more senior leader who can actually take up this business as a BU head. And all these things are actually giving more confidence to our partners also to see us as a part of the new product pipeline as well.
Chirag Dagali: Perfect. Thank you so much for that . Just the last bit on the merger, while you indicated 12 to 15 months from February, 2024, when you announced, in terms of the big milestones, is it just time that it is going to take? Are there any specific issues that you witnessed in consummating the merger?
Dr. Prasada Raju: As of now, it's on track, Chirag. However, I would request Himanshu to elaborate anything.
Himanshu Agarwal: We are progressing in line with what we had estimated. And I think we don't sense that the estimated timelines is going to overrun. But having said that, it is a regulated environment and we do need

regulatory approval. And there is all initiative and full steam ahead in terms of getting the merger approval.
We are more

keener than anybody else to get the merger and get the synergies because that's, as you recollect during the merger presentation, also we had mentioned the entire drive for merger is because the customers are seeking it. And I think you also asked the question about how we are approaching the customer. So yes, we are very keen in terms of progressing the merger and we are quite confident that we should be able to reach in the stipulated time that we have mentioned.
Chirag Dagali: Understood. Thank you so much for that. Those were my questions. I also want to just leave a comment. Thank you for indicating the consolidated pro forma numbers for us how they look and providing a five -year history for that. Very helpful, goes a long way in our decision. Thank you, sir.
Moderator: Thank you. The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.
S Ramesh: Thank you and good evening. In the fourth quarter, gross margins have improved, but your EBITDA margins are down. So barring the impact of the option expenses and employee cost, what is the reason for the increase in employee cost and the other expenses? And is that something which will possibly even out or is it something which we should assume will be the trend for the next four quarters?
Himanshu Agarwal: We don't look at our business on a quarter -to-quarter basis. A s you understand that we are a lumpy business and the fact is that it's best to look at our business on a yearly basis because it's basically a long-term business. Having said that, I wouldn't really read on the Q 4 margins. I would kind of draw your attention back to the FY'24 margins. And I think what I said in a previous response also that we are growing the business and our expectation is that the growth will be faster than the expense growth.
I think Dr. Prasad a has also mentioned in various communications that we are investing in the business and we continue to invest in the business because, for example, we talked about a strategic business unit being converted for spec -chem and that will require investment because I think that's the way we expect that the customers is designing of the business and the focus that we require in the business. And so, yes, the employee cost will increase.
We are expanding and adding high- quality manpower, which is so very required for this business. I think we've already talked in the previous conversations also about a very strong commercial engine being made and that comes with a cost. So, yes, I think the net answer at a summary level is that
margins will remain healthy and we continue to invest in our business for a progressive growth.
S Ramesh: Okay, so if you look at the history over the last five years, after ' 21, you're kind of, grown for two years and then your numbers have gone back to where you were, let's say, ' 21. So, apart from the headwinds most of the industry has faced in FY'24 , is there any company -specific or client -specific factors which has actually dampened your performance in '24? And what is the timeframe over which

one can expect that growth phase to come back, say, if you take a 2 , 3 year view?

And secondly, what is the reason for the sharp increase in net debt to EBITDA between FY '23 and '24 for Suven, key ratios as per the FY '27? And when do you see net debt to EBITDA ratio being brought back to something reasonable?

Himanshu Agarwal: I think three points, Ramesh . One, we have in various earlier conversations mentioned about the COVID sale and I think the COVID sale has had a huge base effect. And we talked about the A g Chem stocking and the impact of the destocking that we are facing in the business that's an industry - wide phenomenon which is there. So I think that's part one to the question that you have. The other part which is there is, we did mention that we have around INR 800 plus crores of cash in the balance she

et. So that's the other aspect that has to be covered in terms of when you're looking at the various ratios.

S Ramesh: No, I'm just looking at the net debt to EBITDA ratio given in slide 27. So that must be adjusted for the cash, right? So it's increased from 0.7x -1.8x , this is net cash, okay. So normally we put, so this is a net cash ratio. So I stand corrected.

Dr. Prasada Raju : That's correct.

S Ramesh: Because normally we state positive figure as net debt. Okay, fair enough. So if you look at the overall product mix, will CDMO remain the dominant segment or will you see some increase in spectrum Agro Chem in the next 2, 3 years? How do you see that? And how do you see the return ratio in the acquired entity Cohance catching up with the S uven ratios because Cohance seems to have lower return ratio. So how do you see that improving in the next 2, 3 years?

Dr. Prasada Raju : Let's again, dissect the subject. You have multiple questions. I think what we need to first understand is that for us, we are creating Spec Chem as a strategy business unit. The direction and the need for creation of a Spec Chem as a strategy business unit is , because we do believe into that business unit. And therefore , we would continue to invest for growth in that. We, during our merger exercise we had mentioned that we are creating multiple engines of growth. And therefore , all engines of growth will eventually fire.

And in our commentary today, we have said that other than A g Chem destocking, we are not sensing that any BU will not fire. So all these BU's is f iring and we are expecting and experiencing -- expect the growth to come in FY'25 onwards.

S Ramesh: Yes, and on Cohance how do you see their balance sheet ratios improving?

Dr. Prasada Raju : These are 2 very different business. I would say that it would be almost like comparing apples -and-oranges. So we want - I think it's a very, very different business. So I mean, I would assume that both the businesses will improve but not that ; A, will reach to B or B will reach to A.

S Ramesh: Okay, fair enough. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Gagan Thareja from Ask Investment Managers. Please go ahead.

Gagan Thareja: The first question is , while you've given the profit contribution from Cohance is it also possible to give the operating cash flow and the fee cash flow contribution from Cohance for the year?

Himanshu Agarwal: Gagan, I believe it is there in the presentation. Can I request you to please look at the presentation? We are also analysing the data from there. I think we can send it across later. I don't have an offhand recollection on which page it is. {P.S. - The data for Co hance Lifesciences that we have analysed and published is sourced from the Cohance Lifesciences website. The link to the FY24 investor presentation is shared below on completion of the transcript }

Gagan Thareja: Okay, because I was unable to find any cash flow contributions related to Cohance. What I could find was that the net working capital on Cohance has increased and so also it would seem for Suve n, if you could give some idea of, how to think about working capital for the year or year's ahead?

Himanshu Agarwal: Yes, see on a working capital basis, there is work as we speak on the working capital that is actively being done by Cohance management , that's what we have and learned from Cohance management. I believe that the ratios will improve over the period.

Gagan Thareja: Can you enumerate it? I presume Cohance this year was 180 or 180 plus days of working capital. What sort of cash conversion cycle are you sort of looking at after improvement , perhaps next year and thereafter?

Himanshu Agarwal: I would not be comfortable at this point of time to indicate a number, I think, let's wait for six months to see as to what numbers are delivered

by the business.

Gagan Thareja: And you indicated that over the next five years, you think the combined entity can double on the top line. Is it possible to segregate the growth outlook for Suven separately and Cohance separately? When you say doubling in five years, you're essentially talking of a 15% CAGR. Do both businesses grow at the same pace or do they grow at separate p aces?

Dr. Prasada Raju: We expect similar growth ratios between both Cohance and Suven. The reason being, Gagan , the pipeline of Suven as well as Cohance and the right inputs to deliver the growth has been factored. One of the important aspects is we have multiple engines of growth. All multiple engines of growth will have to grow disproportionately to what we have it today. Hence, this i s what the belief that we have. And predominantly it is led by CDMO from both sides. If you look at it the gross contribution of Cohance business close to 42%, w hile the five -year CAGR is 13% revenue, CDMO growth is more than 30 % plus. So these all things make us to believe that the both growth engines will continue to propel.

Gagan Thareja: Okay, if I refer back to your previous quarter's transcript, you ind icated that there might be Q 1 to Q2 of softness and then growth will recover. So while you give a 3, 4 , 5 years guidance of 15% CAGR,

from an immediate one year perspective, are we still looking at growth to be sort of below the mid - term guidance that you've given and then recover thereafter?

Dr. Prasada Raju: So second half onwards, the recovery is going to be seen in both the businesses, Gagan . Because there are enough evidences, as you understand, there is a lag in each of the businesses a nd based on the view that we have, second part of the year onwards, the degrowth challenges are behind us. It is only just growth is fully back to us and full -year basis, there will not be any challenge. And second half is the real evidence that we can see.

Gagan Thareja: Okay . And again, referring back to previous quarters ' call transcript, the merged entity pro forma operating margin would be mid- 30s and you indicated that you would be in an investment phase, in a team building phase for some time to come which would mean that margins would probably dip before they sort of inch up again and improve. Is that still the case? And you feel that or perhaps the next couple of years because you'll be in a team building phase, the margins might sort of take some sort of an erosion before they come back again?

Himanshu Agarwal: Well, the right way is to look at, given the growth aspiration, we have indicated mid- 35s or mid-30s is what we've indicated as the long -term margin for the business , we would want to stand by to that statement that's the direction that we should look at.

Gagan Thareja: Yes, that's the long term, but how does it pan out over the next year, two-year, three-year timeframe? You first come below the mid -30s and then go back up towards mid -30?

Himanshu Agarwal: We are not expecting that to happen.

Gagan Thareja: Okay, so it will sustain at where it is right through, is what you're saying?

Himanshu Agarwal: Long term, we will be mid -30s.

Gagan Thareja: You are mid -30s already, right o n a pro forma basis ?

Himanshu Agarwal: Yes, so we will sustain it around that.

Gagan Thareja: The final question from my side and this is for Vaidheesh . Vaidheesh , you have a very storied past in Glaxo . Just trying to sort of get your inputs on -- that business was a branded generic business and you would have , you're a seasoned professional there. You bring superb insights from that market. I'm just trying to sort of understand how will those insights aid the growth of a CDMO business merged entity over the next four - five years. How do you sort of bring to bear your experiences in this market?

A. Vaidheesh: Yes, thanks very much. I appreciate your sentiment. Se

e, first and foremost, the end of the day, every business has certain, business models and insights, as long as we stay close to customers, we understand how to serve them, how to prepare yourself to deal with the customer needs. Business, every business, whether it's a branded generic or whether it is CDMO busine ss. I personally believe

that Suven and also the combined entity is well poised for a good growth because of the fact that phenomenal understanding of customer insig hts is going into serving them.

So being an innovator company, since I had experience, an innovator company likes the idea of, doing the right things, doing world-class processes. S uven as well as Cohance is well suited to serve the needs of the innovators or the global MNCs. So that is the most exciting part, I would say.

Dr. Prasada Raju: Gagan, just to close that loop with the first point, what you mentioned, we expect to see a full year basis , we will continue to grow and there are enough signs for this acceleration. And this acceleration is much better in 25, 26. That's the view that we have it on the ground.

Gagan Thareja: Thanks, that's helpful.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question. I would now like to hand the conference over to the management for closing comments.

Cyndrella Carvalho: Thank you everyone for joining us today and your valuable input. We look forward to our future interaction. Thank you and good night everyone.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

The Cohance Lifesciences – Investor presentation link from website
https://cohance.com/wp-content/uploads/2024/05/Cohance_Investor_Presentation_FY24_29.05.2024_final_1.pdf

Call: Aug 2024

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CSD/BSE&NSE/CC/2024-25
August 14, 2024

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2024 conducted after the meeting of Board of Directors held on August 09, 2024.

The above information has been uploaded on the Company's website at https://suvenpharm.com/financial-info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

Himanshu Agarwal
Chief Financial Officer

Suven Pharmaceuticals Limited
Q1 FY25 Earnings Conference Call Transcript
August 09, 2024

Moderator : Ladies and gentlemen, good day and welcome to the Suven Pharmaceuticals Limited Q1 FY25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being

recorded.
I now hand the conference over to Ms. Cyndrella Carvalho from Suven Pharmaceuticals Limited. Thank you and over to you ma'am.
Cyndrella Carvalho: Thanks, Dorvin. Good evening, everyone. We welcome you all on our Q1 FY25 Earnings Conference Call.
Let me introduce you to our management team here. Mr. Annaswamy Vaidheesh – Executive Chairman, Dr. Prasada Raju – Managing Director, Dr. Sudhir Kumar Singh – CEO and Mr. Himanshu Agarwal – our CFO.
After our "Opening Remarks", we will open the floor for Q&A.
Now, I hand over the call to our Managing Director – Dr. Prasada for his "Opening Remarks". Over to you, sir.
Dr. Prasada Raju: Thank you, Cyndrella. A very good evening to everyone. We extend a warm welcome to all on our Q1 FY25 Earnings Conference Call.
In terms of the macro industry dynamics, we continue to witness deal wins in favor to CDMO industry. Customer sentiment remains positive towards India, driven by supply chain de-risking and industry macro. This continues to drive our confidence in medium-to-long-term growth.
To give you a few perspectives about Pharma CDMO:
Our strategic orientation towards deepening and widening our pipeline is yielding results. Healthy inflow of RFQs, we continue to see higher momentum of inflows of RFQs which is attributed to consistent efforts by the management, commercial team and R&D supported by a positive industry macro. We remain focused and work with

our customers to convert these RFQs meaningfully. RFQs received with a healthy mix of mid phase to lateral phase projects including commercials. Our BD team has also secured RFQs from a few new customers across US, Europe and Japan, covering both Pharma CDMO as well as AgChem, highlighting our strategic emphasis on broadening our customer reach.
We are also deepening our R&D engagement with our customers receiving RFQs for expanded product categories, effective of efforts in the right direction for Suven.
Our current Phase-3 pipeline includes seven molecules translating into 13 intermediates. We are geared up to meet customers increasing demand for backward integration by utilizing our existing capacities. In summary, we expect growth from the second half of FY25.
Moving on to Specialty Chemicals and AgChem:
As mentioned in our previous update, we are leveraging the AgChem downcycle to our advantage, converting our specialty chemical service line into a new dedicated strategic business unit. In line with this, we have started investing on onboarding domain experts and operating partners in this space who can bring expertise and experience.
Our Vizag plant is now dedicated to specialty and AgChem facility, investing in differentiated capabilities for specialty and AgChem business, focused on initiatives to drive continuous improvements including instrumentation, automation while implementing best practices of EHS.
Within the AgChem segment, demand recovery has been slower than expected, but we continue to expect growth based on the demand recovery during the second part of the current financial year and beyond. We will have to wait for another quarter to get complete clarity from our customers on the AgChem side of it.
Moving on to our strategic intent and the commitment what we have communicated to all of you in the past Earnings Calls on our acquisitions:
Sapala acquisition, we have also completed the first phase by acquiring 51% of the state on a fully diluted basis, which implies 67.5% on a current equity basis. We also started working very closely and number consolidation is expected from Q2 of this financial year. As we integrate, we have also started engaging with all the critical customers of Sapala and are also exploring cross-pollination opportunities.
What we realized, one of the important growth drivers for technology platform of Oligonucleotides and Sapala is to have a GMP facility which is contemporariness to unlock the future opportunities. Hence, we are also crafting a plan towards the GMP facility. In the coming quarters, we will come back with more details around it.
Now, I wish to give a brief business perspective on Cohance:
As stated in their Investor Presentation, Cohance is back on the growth. ADC segment, Cohance is receiving more enquiries on new adjacent platform payloads and the new orders are also on track. The CDMO segment is expected to grow YoY in FY25 with shipment schedules largely towards second-half of the year with insight purchase orders in hand.

Coming to API Plus:
Cohance is experiencing demand recovery. It is evident by the fact that it delivered 22% of YoY growth in Q1 and the order book remains healthy to deliver growth on a full year basis.
In Summary:
There is no change in the outlook as we have communicated in the past. Q1 has been in line with our expectation, while Q2 will see a muted growth. As we mentioned earlier, we will deliver growth on a full-year basis versus last year.
The key strategic initiatives are pretty much on track with the right inputs that what we have defined, and we wish to reiterate our aim to double the combined business organically over the next five years and M&A to act as a growth accelerator.
With this, now I would like to request Himanshu Agarwal – our CFO, to walk you through our financial performance and provide further updates to you. Thank you.
Himanshu Agar

wal: Thank you, Dr. Prasada. Good evening, everyone. In Q1 FY25, Suven generated a free cash flow of Rs.33 crore with the cash and bank balance now at Rs. 64 crore at the end of '25.
Overall, the Company's revenue declined by 34% YoY. The Pharma CDMO segment is expected to deliver growth in FY25 shipment schedules largely towards the second-half of FY25. Gross margins improved by 157 bps YoY driven by the improved business mix. Adjusted EBITDA margins were at 38%, while adjusted PAT were at 28%, reflecting our current investments aimed at steering Suven for the next growth chapter. EBITDA also has a one-time cost of 35.7 million, which is largely the ESOP. Factoring for which the reported EBITDA margins for Q1 stood at 35.5%.
We have till date incurred Rs.22 crore on Phase-I for the R&D center at Genome Valley, which has been in operation since June '24. The roll CAPEX for the current quarter stands at Rs. 27.4 crore.
As informed earlier, our formulations plant, which is a Casper unit, which is a wholly-owned subsidiary of Suven was audited by the USFDA and we received two procedural observations.
We have also appointed new statutory auditors, Grant Thornton, as well as the internal auditors Ernst & Young, reflecting our commitment to strengthening governance and internal control.
Regarding the proposed merger with Cohance, we would be pleased to note that we have received approvals from the stock exchange and SEBI. We have submitted our petition to Hon'ble NCLT Mumbai bench, and we are awaiting the hearing date.
Subject to regulatory approvals, we expect the completion of this activity in the next seven to 10 months.
According to Cohance, in its distinction we have achieved a revenue of Rs.252 crore growing at 10% YoY with adjusted EBITDA margins of 20%. The API-plus business reported a growth of 22% YoY.

On a pro forma basis, combined Suven and Cohance Q1 FY25 revenue was at Rs. 483 crore and gross margins being at 67.3%. The adjusted EBITDA stood at Rs. 136 crore with EBITDA margins at 28% and adjusted PAT being at Rs. 84 crore.
Cohance has also invested Rs. 41 crore in a new facility in Vizag bought from Avra Synthesis. This capacity will add to our basic and intermediate supplies, increasing our flexibility towards backward integration.
Overall, as mentioned by Dr. Prasada, Cohance is back on a growth path, and we expect the trend to continue for the remainder of the year. At a combined platform level, we anticipate growth in the second-half of FY25 with YoY growth in both revenue and EBITDA and further growth acceleration from FY26 onwards.
Thank you very much.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Mira from Skylark Investments. Please go ahead.
Mira: What steps are we taking to convert the increased RFQs into confirmed orders? Are there any challenges you foresee in the process? What is the long-term vision for the new agrochemical SBU? And how does it fit into Suven's overall growth strategy?
Dr. Prasada Raju: Thank you, Mira, for asking this question. RFQ as you understand, there are three important elements. One is our abilities to respond on time and write cost and schedule in line with the customer expectation. As we discussed in our previous earning calls, we have also strengthened our back-end team on project proposal making and also created dedicated teams for us to be able to respond on time. We also have mutual conversations with our customers to get feedback before the decision is made. So, that is the extent of relationship is also being nurtured further.
With all these things, we expect definitely a meaningful and healthy RFQ conversion;

however, as all of us understand, based on the design of the business, some of the RFQs which are at mid-stage might take 2.5-3 months' time and something can take a little early. However, the majority of the RFQs have already been r

esponded to and
we only expect customer decisions to come in. Second question, what you were mentioning about specialty chemicals, how it will fit into your larger thinking of the growth and how it will strategically fit into. Enough deliberations that we have made. A few things that we wanted to accomplish. It's no more a separate service line of the business. We also had a candid conversation, thanks to our customer and a partner who has given feedback saying that the entire mindset is different, and the skill set needs for specialty and AgChem is different than pharma, while science remains same. We knew this, but we were only waiting for a right time to come in. We felt when the business is in the process of recovery, we have an option to clearly invest our time and effort to separate it out. With this, we can stay completely relevant to our customer, and we also can invest time and effort to have continuous improvement mindset and also highest level of efficiencies that is needed for us to be extremely relevant in the specialty chemical industry. With this, our opportunities of going further deeper with existing customers will be much better, hence it also secures our future growth as we have also decided that while the Pharma CDMO becomes one of the important growth drivers, specialty chemical business remains as one of the biggest priorities going forward. By earmarking this as an independent BU, which gives enough focus, that's the reason we have agreed to decide this step.
Moderator: The next question is from the line of Madhav from Fidelity International. Please go ahead.

Madhav: I have two questions. First one was on Cohance margins in Q1. Maybe I lack some basic understanding, is it that there is some seasonality in the business that Q1 is generally softer and then because of operating leverage towards stronger, is that it or there is margin pressure for Cohance?
Dr. Prasada Raju: If we understand correctly, Madhav, your question is primarily is the Q1 lower and the margin pressure is there on Cohance, is what your question, Madhav?
Madhav: Yes, exactly.
Dr. Prasada Raju: So, it's a design of the business and we don't expect any full year basis impact which can adversely create a trouble to us. It is slightly better than our plan and we don't expect any challenges both in terms of phasing as well as material margin. However, QoQ business mix changes, that's the reason you see it and it is not a right reference point to judge this business on a quarterly basis.
Madhav: Because now if I look at FY21 to '24 full year margins have been 29% to 32% and Q1 was 19.5%. So, I was just trying to understand that maybe this quarter is of the reflection we should look at for?
Dr. Prasada Raju: One more additional point, Madhav. In this quarter the mix of API plus is higher than the CDMO. CDMO mix is going to be improved towards the latter part of the year. That's way to look at it.
Madhav: So, Cohance full year margins will remain in that same 30% range what we have delivered last 4-5 years, so there's no change in that?
Dr. Prasada Raju: It will be same, or it will be slightly better.
Madhav: And also, the second question was on the ADC products that we are working on. Could you just help me understand is it the right understanding that we have two commercialized products in ADC which we are supplying right now? The pipeline we have one Phase-III product in ADC, is that right or something different?
Dr. Prasada Raju: Your first understanding is correct. We are supplying warheads to two commercially approved products and two projects are in the pipeline now.
Madhav: And these are in what phase are we in, like, is it Phase-III, Phase-II or where are they exactly?
Dr. Prasada Raju: One is at the advanced stage.
Moderator: The next question is from the line of Akanksha from RBC Capital. Please go ahead.
Akanksha: My question is what synergies do you

surge from the Sapala Organics acquisition
and how will it be integrated? You mentioned you have a higher momentum of RFQs with a 2X increase compared to the same period last year. What specific factors are driving this surge in the RFQ's?
Dr. Prasada Raju: Synergies on Sapala as we have alluded during our merger time, predominantly the cross-pollination of the customer is one important factor that we have considered and we also seem to have a similar kind of a reception, we have started meeting all the customers. And whatever assumption that we made pre-acquisition is still valid.

Second, on the RFQ point, there are three things which are changing. As you

understand globally the clinical trial trend is substantially increasing and public domain information says coming closer to 22,900 is the closure number where clinical trials are happening, out of which 52% remains in the small molecules. That is definitely one important good news. And when we compare with '23 to '24 number, the number of small molecule in the pipeline has also increased by upwards of 15-plus percentage. This is one important factor which is definitely helping us to generate more RFQs. Second point, there is also a sentiment towards geopolitical issues and towards India. That is also favoring not just to us, to the entire Indian CDMO industry, which is also helping. Third, our internal actions of increasing our commercial effort and business development effort including the back end which we are trying to be much closer to the customer, is also helping us to have more number of RFQs coming to us.

Moderator: The next question is from the line of Varun Bang from Bandhan Live. Please go ahead.

Varun Bang: So, we have talked about continued momentum in RFQs. Can you share more perspective on kind of projects a qualitative perspective on RFQs that we are receiving versus kind of projects that we are having in existing Pharma CDMO business?

Dr. Prasada Raju: I would request our CEO, Dr. Sudhir to respond to your question.

Dr. Sudhir K Singh: I think in the previous commentary what you heard from Dr. Prasada that these are the combination and mix of both early phase development and late phase and commercial as well. What you are talking about momentum, see if you do not have an early phase, you don't develop the pipeline. So, basically what we're trying to do is develop a pipeline of more projects from the early phase. However, as he said that since we started our commercial engine a couple of months back and that has started seeing results in terms of RFQs. So, we have started seeing RFQs from the new customers as well.

Varun Bang: So, I actually wanted more qualitative perspective on the RFQ that are coming versus existing CDMO projects that we are working on?

Dr. Prasada Raju: So, it's a more or less similar in line, but there are also new avenues which are also what we are able to experience , but, Varun, you should allow us to come back to you once something becomes real. We see some change in the RFQs especially in line with the new therapy indications, which are growing substantially, we see some change in the mix; however, it's too early for us to comment.

Varun Bang: From a commercial standpoint, how do you see them versus existing pipeline that we have? Are they the same as existing pipeline or will they be more lucrative from a margin standpoint if they eventually scale in volumes?

Dr. Prasada Raju: Indeed, yes. But again, we go back to same thing, Varun, I think you should allow us for some more time.

Varun Bang: Can you share more perspective or let's say more color on the kind of projects that we are looking at which is going to drive growth in H2?

Dr. Prasada Raju: It's a combination of both the commercial as well as some of the reloads and the new RFQs. And for existing products we have purchase orders in hand. It's a question of our abilities to deliver. That gives us c

onfidence that H2 will be much more assured

for getting the growth coming back to us. However, there are some projects where we have to win some of the RFQs. It's a combination of both.

Varun Bang: And any thoughts on dividend policy, isn't it more prudent to have a dividend payout policy, how is management and board looking at it?

Himanshu Agarwal: So, Varun, we articulated the dividend policy and it's kind of there on the investors section. Obviously as we all understand the dividend is a function of the cash, and cash is a function of how you deploy it, whether you deploy in new technologies and increase the business versus you give it out as a dividend. As you will have noticed, we have done a strategic investment of Sapala which right now there has been discussion about what are the synergies and what is the benefit that the business will get. So, we feel that there is a very clear direction from a long-term technology deployment, and we feel that is the right opportunity for us to use the cash that is there. However, having said that, there is a very clearly articulated dividend policy that's available on the website.

Moderator: The next question is from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla: My first question is you spoken about RFQs last quarter and this quarter as well. I just wanted to understand broadly at an industry level what sort of timeline is there from this RFQ to getting firm orders?

Dr. Prasada Raju: We can actually give you a little broader perspective from an industry standpoint because RFQs can be from, let's say, early phase and to mid phase to late phase. Early phase can be a four to six weeks and mid phase can be six to eight weeks and eight to twelve weeks is the late phase. That's a normal industry trend. We also expect the same thing to happen to us as well.

Jatin Chawla: So, broadly then over a three-month period the outer limit for the commercials is eight to twelve weeks, so over a three-month period, there should be some decisions that you should see. So, when you talk to us next quarter, we would have some decisions on these RFQs that you have seen and some news on orders as well?

Dr. Prasada Raju: Your understanding is absolutely right. It is an ongoing process. Definitely wherever we see some improvements, whatever becomes real to us, certainly, we will bring this information back to all of you.

Jatin Chawla: My second question is on the ADC side. You said there are two projects in pipeline and one at an advanced stage, this is Cohance. Are both these projects in pipeline for the existing warhead for the existing ADC or Is there something for the new one?

Dr. Prasada Raju: So, it's a combination of customized payloads and also existent payloads. At this point in time, both the things are showing a lot of interest, and as we are speaking, we are on one of the adjacent payloads we are in advanced stage of discussion with one innovator Company. And certainly, once it becomes real, this information can be shared appropriately. But definitely, we see a lot of traction then what It was a quarter before.

Jatin Chawla: The next question is on the agri side. What gives you the confidence that things will really recover in the second-half? I can see for your pharma side that you have firm orders in hand, and you are seeing a very strong RFQ pipeline. On the agri side what is really driving this confidence that second-half onwards we should start seeing growth come back?

Dr. Prasada Raju: Jatin, I think it's a very valid question. So, before we sort out and we will solve for our growth, we have to solve for the macro changes, whether it is destocking, whether it is El Niño impact or whether it is drought in other part of the countries, coupled with our customer growth, then our growth can come into. What we learnt from our customers is one of the important projects we are

able to see some level of openness where they wanted to look for volumes coming in this year to next year, where definitely the demand is coming back to us. That is one important factor that we are doing. And definitely with the easiness of destocking, which is coming almost to the closure stage, the demand will definitely improve. So, it's a function of market and customer which both we see a positive sign.

Jatin Chawla: And just one quick clarification. In your initial remarks you said you expect growth for the full year in the Pharma CDMO piece. In the combined pharma plus agri also, do you expect growth in the full year, this is excluding Cohance?

Dr. Prasada Raju: So, overall CDMO. Suven is going to grow by end of this full year.

Moderator: We have the next question from the line of Sangeeta Agarwal from Jain & Co. Please go ahead.

S Agarwal: My question is also on RFQ. So, in RFQs, what are the categories wherein we are seeing expansion to commercialization stage. Could you just explain that?

Dr. Prasada Raju: Ma'am, can you just elaborate what exactly do you mean by categories?

S Agarwal: Different illnesses basically that's what I am looking at.

Dr. Prasada Raju: So, predominantly again oncology is the key driving force and there are some products which are also coming as orphan drug products. Because of these two, there are some products which are already having a fast-track approval. Predominantly, these are all the few things as of today we have. Apart from that recently, we have also started getting RFQs other than this category as well, but it is too early to comment right now, but maybe a quarter and two quarters later, once we it becomes real, we can come back to you.

S Agarwal: So, any breakup you can give?

Dr. Prasada Raju: Not exactly at this stage, ma'am. It's too early to comment.

Moderator: The next question comes from the line of Ankit Shah from Canara Robeco Asset Management Company. Please go ahead.

Ankit Shah: So, firstly a clarification. So, can you elaborate whether this one product you are in talks with an innovator Company, is it in existing client and if you could share whether it's like a Phase-II, Phase-III or commercial product that you can give that?

Dr. Prasada Raju: In which segment, Ankit?

Ankit Shah: Under ADC, the one pipeline product you said you are in talk with an innovator Company.

Dr. Prasada Raju: So, it's a newly onboarded innovator Company.
Ankit Shah: And is it a Phase-III product or it's a commercialized product?

Dr. Prasada Raju: We will come back, but it is definitely at an advanced stage. As you understand, Ankit, just to let you know to the point what Sangeeta madam also has asked the same question, when we say some of the products which are in oncology segment, history says majority of the oncology segment products are either a fast-track approval or a breakthrough therapy. So, obviously the time to market is much faster than the usual traditional product. Hence, once we have a view, definitely we will come back to you saying that this is what the current status is, but definitely It is going in the right direction.
Ankit Shah: My second question relates to Suven's CDMO business. So, in the presentation you have mentioned there are seven molecules which are in Phase-III. Is there any visibility on commercialization on any of these in next one year, do you see anyone moving into commercialization?
Dr. Prasada Raju: Ankit, we have to follow the customers very closely. Again, we have to qualify our statement. What we heard from our customers at least two molecules readouts are expected in FY24. That's what we learned. If anything is better known to us, we will certainly inform you.
Ankit Shah: So, you mean FY25?
Dr. Prasada Raju: Yes.
Ankit Shah: And the next couple of clarifications. Firstly, the working capital days for Suven Pharma have increased to 127 days. So, any particular r

eason, sequentially, it has risen?
Dr. Prasada Raju: So, Ankit, as we speak, we had certain delays from a receipt of supplies with the customers given the situation in the Red Sea and the Gulf area, so the shipments got delayed, and as a result the customers who pay us on site, the recoveries happened in the month of July. So, almost Rs. 100 crore of debt has been received as of 31st July. So, that's been a bit of an aberration because of the way the quarter ended. Nothing else as a reason.
Ankit Shah: Essentially it is normalized as of July 31st.
Dr. Prasada Raju: Yes, it has.
Ankit Shah: One data point. In the last presentation for Cohance you had given the share of gross profit from the CDMO segment. Is it something that you can share this quarter as well?
Dr. Prasada Raju: So, on that, we will come back to you.
Ankit Shah: So, we had acquired Sapala, but any other acquisitions that you are looking for, any other white spaces that you feel you need more capabilities and anything in the pipeline that you have right now on acquisitions?
Dr. Prasada Raju: So, Ankit, if I may come in, definitely that's one of important strategic and lever to us to see to it that how Suven growth can be accelerated. Definitely, we have landed up in the Oligonucleotide space right now and we are also looking for other adjacencies and we have also strengthened our M&A team further. And when we come back with a specific instrument of investment, definitely we will come back to you. Our endeavor is to look at unique technology platforms which can accelerate

the combined organization growth and also help us to stay completely relevant to our customers.
Moderator: The next question comes from the line of Darshit Shah from Nirvana Capital. Please go ahead.
Darshit Shah: So, I heard that now in the Suven CDMO out of seven molecules, two molecules data is to be read out in FY25. Also, these are for the intermediate. So, earlier also we were in talks to kind of value migrate to API with our existing as well as new innovator companies. So, anything that is on our advanced stage for that?
Dr. Prasada Raju: We have actually provided all the insights, but as of today the majority of the opportunities are coming on the registered starting material to GMP intermediates and we don't seem to have so many API enquiries coming in. However, we have actually given our proposal, and our customer is evaluating potentially to consider appropriately. We do have the capability that has been explicitly understood by our customers, but a decision is awaited. However, all the RFQs what we are getting are not in API space.
Darshit Shah: Just if I look at your aspiration which we are highlighting to grow the combined business to double in next five years, so that works out to be around 15%, 16% CAGR. It seems to be pretty low like for both the companies if we look at historical for four, five years, both the companies have kind of grown at 20%, 25% CAGR. So,

are we not seeing enough green shoots or are we being too conservative because we are the minority shareholders probably are a little far higher growth with Advent kind of coming and combining this business and all. So, where am I missing if you can kind of throw some light on that?

Dr. Prasada Raju: Internally, what we intend to communicate is our strategic direction. However, whenever we see improvements coming in, definitely, we will come back and communicate how we can further accelerate. And definitely our aspirations are higher and better, but we prefer to commit and deliver our promise to all of us.

Darshit Shah: And actually, the earlier Management anyway didn't guide anything, but they kind of delivered without any commitment or guidance. But happy to kind of have at least some guidance from the new management. But hope you kind of deliver far better than what you are aspiring.

Dr. Prasada Raju: You can be rest assured the Com

pany has very strong fundamentals strategy and also we have rebooted whatever is important for the organization both on R&D side and commercial side. We are able to see how we are deepening our pipeline and bringing a very, very healthy pipeline not just for a few years to come in and decades to come in. As a management team, we feel extremely strong about delivering what we are committing. In mid-term to long-term.

Moderator: The next question is from the line of Dheeresh from WhiteOak. Please go ahead.

Dheeresh: Just to confirm my understanding, did you say that for full year you will grow in the pharma entity will have a growth on top line and EBITDA?

Dr. Prasada Raju: That's right. Absolutely.

Dheeresh: In Cohance, there is a growth in revenue, but you are saying API plus has grown 22%. That means Cohance CDMO has degrown in this quarter?

Dr. Prasada Raju: If I have to say that was set to have that record the same kind of growth and it was not a surprise, it's more of a cyclical nature of the business. They have secured the purchase orders, but deliveries are predominantly scheduled in H2. Hence, the overall combined platform level of Cohance on a full-year basis, it will be same or better than the last year from a CDMO mix standpoint.

Moderator: The next question is from the line of Karthi from Suyash Advisors. Please go ahead.

Karthi: Sorry to be asking the guidance question, but just to understand the Suven guidance better, so if you match or do better versus last year on a full year basis, that would largely be driven by CDMO business, is my understanding correct or do you believe that this specialty also can come back substantially to match at least last year's levels?

Dr. Prasada Raju: Currently, your understanding is correct. Currently, within the CDMO, Pharma CDMO is going to be the primary driver to deliver our promise in the current year.

Moderator: Ladies and gentlemen, we have no further questions. I would now like to hand the conference over to the management for closing comments. Over to you.

Cyndrella Carvalho: Thank you, Dorwin. Thank you, everyone for joining and we wish to talk to you in next quarter.

Dr. Prasada Raju: Thank you, everyone.

Moderator: On behalf of Suven Pharmaceuticals Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Dec 2024

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CSD/BSE& NSE/CC/2024 -25
Decembe r 13, 2024

To
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Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the conference call for acquisition of stake in NJ Bio, Inc.

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call for acquisition of stake in NJ Bio, Inc. conducted on December 09, 2024.

The above information has been uploaded on the Company's website at https://www.suvenpharm.com/financial -info/

This is for your information and record.

Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

Kundan Kumar Jha
Company Secretary, Compliance Officer and
Head -Legal

Encl: as above

Suven Pharmaceuticals Limited
Investor/Analyst Conference Call Transcript
December 09, 2024

Moderator Ladies and gentlemen, good day and welcome to the Investor and Analyst Conference Call of Suve n Pharmaceuticals Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms . Cyndrella Carval ho from Suv en Pharmaceuticals Limited. Thank you a nd ov er to you.

Cyndrella Carvalho Thank you . Good morning, everyone. Welcome to this special Suven Pharma Conference Call to discuss our strategic intent to acquire majority stake in NJ Bio Inc.

Join me today with me, our Executive Chairman - Mr. Vivek Sharma ; our Managing Director – Dr. Prasad a Raju; our CEO - Dr. Sudhir Singh a nd our CFO - Mr. Himanshu Agarwal . We will outline the transaction, its rational e and strategic value before opening th e floor for Q&A .

I now invite our Chairman, Mr. Vivek Sharma to sh are his insight on this deal.

Vivek Sharma Thank you , Cyndrella. Good morning, everyone. We are excited to announce Suven's intent to acquire NJ Bio, a leading antibody drug conjugate ADC company focused CRDMO based out of New Jersey, Princeton, N ew Jersey . This acquisition is aligned with our vision of being a global technology led CDMO with end -to-end capabilities in ADC development and position us uniquely to capitalize on the high growth ADC market. The acquisition also helped us expand the footprint in the US , the hub of ADC innovation.

Dr. Naresh Jain, the founder and CEO of N J Bio is a very well renowned scientist and highly respected name in the ADC domain. A PhD from Boston University and a Post Doctoral Fellow at the Scripps Research Institute, Dr. Jain's c areer includes over a decade in senior R&D roles at J&J. He has also earlier founded The Chemical Research Solution , TCRS, an ADC focus ed CRO. Under his leadership, NJ Bio has rapidly grown into a US $32 million revenue company and has been a trus ted partner to over 150 innovator customers includ

ing the small, mid and

large pharmaceutical companies, Biotech s and CDMOs .

NJ Bio has served over 150 customers till date, actively working with 40 -50 clients at any time and successfully delivered over 500 projects across the last 5 years of operation. NJ Bio has won several accolades including Best CRO in the prestigious World ADC Awards for 4 consecutive years that is from 2021 -2024 . We at Suven are very excited to partner with Dr . Jain and his team and welcome them to the S uven family. Dr . Jain's continued leadership as

 CEO of N J Bio ensures continuity and deep domain expertise for Suven's strategic vision . We are confident that partnership w ill significantly exuberate our journey to becoming a global leader in this fast-evolving space.

I will ask Dr . Prasad a Raju to share his insights.

Prasada Raju Thank you, Vivek. Very good morning to all of you. A warm welcome to you.

We are very excited about the collaboration as it deepens our pioneering position in ADC and expands our capabilities and competencies in the emerging modalities . NJ Bio has built strong end-to-end ADC chemistry capabilities across payload -linker synthesis, biocon jugation and bioan alytical services, thus making it as one stop solution for the biosimilars . NJ B io's ability is to provide expression conjugation services by leveraging its deep library of payload linkers has also been a strong value proposition. The integration of NJ Bio 's capabilities with Suv en Cohance b rings unparallel synergies. NJ B io's expertise in linker and bioconjugation technologies perfectly complements Suven leadership in payload chemistry and manufacturing at GMP level , together now provide a seamless solution from discovery to commercial manufacturing, creating a significant value to our existing and new customers.

Beyond A DC's, NJ Bio also offers superior capabilities in expanded drug conjugates and new modalities, including radioconjugates, oligonucl eotid e conjugation and mRNA technol ogies. These platforms broaden Suven's abilities to serve emerging modalities rapidly , gaining traction in the industry, making it one of the few CRDMOs within USA plus India footprint and presents across major new modali ties like ADC , Nucleic acid chemistry and mRNA.

Capacity wise, the NJ Bio adds state -of-the-art R&D and GMP suits across its Princeton facility supported by a talented team of over 140 employees, including 100 plus scientists . The combined platform also ge ts a dual location advantage with an expansion of its foothold in the USA, the hub of antibody drug conjugates innovation globally. With minimal customer overlap, we see significant cross sell opportunities as well. His strategic transaction definitely enhances our differentiated technology platform, which is in line with our thesis of creating a technology led unique CDMO platform globally and ensures Suven continues to deliver exceptional value in niche and high growth market s.

With this, I would request Himanshu to take you through about the financial aspects of it. Thank you.

Himanshu Agarwal Thank you, D r. Prasada. Let me walk you through the financial controls of this transaction. Suven is acquiring a 56% stake at a pre -money equity value of approximately US $100 million valuing it at low to mid-teens EV/EBITDA for C Y25. Dr. Naresh Jain will retain his stake in the company and will continue to lead NJ Bio in its next phase of growth, alo ng with the senior leadership group and a skilled scientific workforce that he has brought together over the years. Suven shall invest US $64.4 million through a combination of secondary acquisition as well as primary capital infusion . This includes US $ 49.4 million for buying out the existing minority shareholders other than Dr . Jain and his family. US $ 15 million as primary equity infusion that will be mainly used for future growth requirements that are the GMP expansion at the existing Princeton facili ty. Balance stake will be held by Dr . Jain and his family with a call and put option arrangement for Su ven to acquire the balance stake after 5 years.
NJ B io has scaled up rapidly in last few years and is expected to achieve in the 12 month ending December '24, a revenue of US $ 32 million r eflecting a 70% CAGR in the last 4 years. The company has consistently invested for future growth including the recently setting up of a CGMP complian t manufacturing facility and also inv

estments in R&D to develop novel technology platforms relating to ADC drug development. This transaction is executed in the midterm with operating leverage expected to drive significant EBITDA growth. As NJ Bio scales its GMP capabilities well supported by Suven and Cohance U SFDA approved GMP capacities. The transaction is expected to close before the end of December, subject to regulatory approvals. S uven's strong balance sheet with a cash reserve of 6.5 billion as of September 24 positions us well to support the strategic investment.
 Cyndrella Carvalho : Thank you, t eam. With this acquisition, Suven has taken a step forward in our journey to lead an end -to-end ADC space combining deep technology expertise with dual location advantage. We now open the floor for question and answers. Over to you , please.
Moderator : Thank you very much. We will now begin the question -and-answer session. We will take a first question from the line of Harith Ah amed from Aven dus Spark . Please g o ahead.
Harith Ahamed : So, I was just trying to understand N J Bio's capabilit ies a little better, NJ's capabilities in linkers and bioconjugation , does NJ have capabilities in these areas at a commercial scale or late clinical scale ? And if not, will NJ Invest to build capabilities at a commercial scale and or late clinical scale?
Dr. Prasada Raju: Just from a n overall value chain standpoint , as you understand, at Suven, we are active on payload s at a commercial scale especially on Camptothecin based and Tubulin inhibitors . In ADC , there are two more important elements which are linker and bioconjugation with monoclonal antibody which we don't have a capability today. That is w here N J brings us the value addition . That is the first part of your question. Second part of your question , do they have abilities to manufacture at a commercial scale with GMP that has been the strategic intent and endeavor they have been doing it and as we are speaking, even in the current year also, they are able to create meaningful revenues out of GMP wit h the state -of-the-art manufacturing capability that they have . Having said that, as you understand a long with the molecule, the manufacturing capacity has to be expanded together with S uven and NJ Bio , we should be able to help them to expand the manufac turing capacities also for future supplies in the GMP level as well. Otherwise , they do have footprint and capabilities available with them.
Harith Ahamed : And then my second question is related. The combined platform Suven plus NJ, what is missing in the overall ADC CDMO services , is monoclonal antibody manufacturing and fill finish capabilities ? So, here again, the addressable market that you ha ve shared excludes these two areas, which account for a large part of the overa ll ADC services market. So, how should we think about potential entry into these areas and a ny plans to kind of become a fully integrated player in the ADC services market?
Dr. Prasada Raju: To begin w ith we strongly believe in leveraging with our strength s. That is the reason we have not added the other two elements, and we feel there is enough market opportunity that we can unlock in mid-term to short -term both from abilities of manufacturing payloads and with an additional capability that we have gotten from NJ Bio with linker library coupled with bioconjugation. Over a period of time, if business makes sense to us, we might look at it , but in our current radar, we better to play with our strengths , hence w e have not included that as well because there ar e better strong players who can do these activities outside of us.
Harith Ahamed : And last one with your permission, can you talk a bit about the competitive intensity in the ADC or broader XDC CRDMO space because one of your Indian peers have talked a lot about their integrated capabilities, we hav e seen how she

has separated XDC and they are also talking about integrated capabilities. So, given the number of drug candidates in space are we also seeing a lot of competition or response from CR DMO players to add ADC capabilities and that kind of increasing the competitive intensity for players like S uven?

Dr. Prasada Raju: I can only say one thing. P robably , we might not be able to comment on somebody and on behalf of somebody . Having said that, ho w we differentiate ourselves when compared with any of the rivalries that you are trying to mention , with a deeper scientific capability , we h ave a synthetic surrogate of manufacturing under the GMP . That is a unique value proposition that we have . The n umber of payload linkers which are covered as a part of N J Bio library is also one of the unique value proposition. You d on't see so many companies outside of us. With these two, in fact the addressable market, it is related to your second question has act ually got expanded by almost 5 -7X higher than what it was when it is standalone Suven business of antibody drug con jugates . I think we feel we have enough headroom and an addressable market without a differentiation of supplying to the commercial products of commercially approved its GMP capabilities and coupled with the latest technologies that we are able to get it through NJ Bio we s trongly feel we are well positioned to maintain same kind of a growth momentum fo r us.

 Moderator : Thank you. We will take our next question from the line of Jatin Chawla from RTL Investments. Please go ahead.

Jatin Chawla : So, my question is, how important is it on the ADC side to be part of the molecule at an early stage, so between NJ B io’s early stage and commercial manufacturing capability that you plan to build , whilst both are important . Strategically from your perspective , what is more important? That is the first question ? And the second is how important is it for you to have a US base d manufacturing site from your client ’s perspective?

Dr. Prasada Raju: So, when we have looked at the current market, definitely every company wanted to see end - to-end solution. And as you understand, the body of the knowledge is built in the very early stage, which we are not so active right now. We are predominantly on the GMP manufacturing side of it. When we enter into the molecule along with the customer, we can have a seamless starting from early stage and we can follow the molecule till end of the co mmercialization . From that standpoint , these c ompetencies organically , we might not be able to build in few years , hence, w e have taken this route of acquiring these competencies. It is extremely important ; the body of the knowledge will be expanded and it is definitely useful for us to follow through the molecule. The second point is, as you understand more than 280 plus active molecules, the current pipeline is more than 1000 , the predominant research is hap pening in US. Obviously , there is an offshore presence and people wanted to have presence in US for their needs both from mid to large pharma companies that is where our US manufacturing facility and R&D will always be helpful for us . While we can strike a balance on the cost containment if at all there is any cost pressure comes in, we always have Indian operation when there is an innovation led and the time has to be the m ost critical component, o ur US manufacturing side will always be helpful to us. Spec ifically, from a platform technology led , the combination of both India and West will always be helpful from a customer standpoint. That is w hat we learn ed from our customers when we spoke in formally.

Moderator : Thank you. Next question is from the line of Girish Bakhru from OrbiMed . Please go ahead.

Girish Bakhru : Just wanted more split on this $32 million, is it more coming from linker or conjugation? Can you give som

e color on that ?

Sudhir Singh : This is Sudhi r Singh. So, the way it w orks that it is never differentiated between linker , how much of the revenue from linker, how much from a conjugation . When the project comes , there are two ways of doing projects in this NJ Bio. One is the discovery project . Discovery Project is mostly on a FTE based where the customer comes and deploy FT s and that is charged per FTE basis which includes payload , linker , conjugation, the whole process . Even in the development also , there is no distribution of revenue or how much is for linker. This is the bundle project. When c ustomer comes, they come from a payload along with linker and conjugation . So, the whole revenue is counted as one point.

Girish Bakhru : Just as a combined entity, when we see with Suven taking deeper presence via CGMP, do you see o verall this strategy to change from essentially like taking more fee based work to more manufacturing based work ? Just wanted to get more sense on whether , the idea is to essentially do more of the chemistry or more manufact uring?

Sudhir Singh : Actually , the strategy doesn't change. As Prasada said in the beginning that when customer comes, customers come to you at a discovery level, and they want to see seamless progression of the molecule from discovery all the way to the c linical and commercial . Suv en will complement NJ Bio in terms of back -end payload manufacturing and the same time NJ Bio will complement to our customer, let us say, we have customer whom we are supplying a payload and if they have a need in terms of linke r and conjugation and that is where the N J Bio can complement us. So, it is a win -win for the organization in terms of capabilities. As we said that we are strong in manufacturing payload, GMP manufacturing and N J Bio is strong in linker and conjugation.

Girish Bakhru : And just broadly a very generic question , if you were to, let us say bifurcate cost of ADC manufacturing, how much is the linker toxin as part of the overall cost? Can y ou give a percentage?

Page 5 of 8 Dr. Prasada Raju: It is hard to g ive, but majority stays with the payload and linker , bioconjugation is a smaller portion.

Girish Bakhru : When is the majority, the 20 %-30% or higher than t hat?

Dr. Prasada Raju: No more than that.

Girish Bakhru : And just lastly, there are of course too many companies working in the warheads market while this 150 customer s number is good, how do you see yourself stacking in terms of the extent of libraries that you mentioned and the technology with combined entity with peers, if you were to rank among yourself ?

Himanshu Agarwal : So, as I think in the beginning, when Dr . Prasad a said that that is where the N J Bio has a unique value proposition, the number of new linkers, what they have, the library of the new linkers, what they have, that is a unique and some of the peopl e who track this market , they will also understand that N J Bio has a reputation, at least in the US market, that nobody else has. I heard about WuXi and others, but in terms of science, in terms of talent, in terms of capabilities , the promoter of NJ Bio, Dr. Naresh Jain, h imself is a well-known scientist.

Moderator : Thank you. We will take our next question from the line of N inad Sarpotdar from Aditya Birla Money. Please go ahead.

Ninad Sarpotdar : Previously, Suv en had the capability for ADC , on Camptothecin base d ADC particularl y, so does this acquisition add anymore capabilities or any more families of ADC to your product basket ?

Dr. Prasada Raju: So, this is predominantly , on the value chain progression which is linker and bioconjugation becaus e Suven we have enough capabilities of abilities to manufacture payloads of Camptothecin and Auristatin at a commercial scale. So, this is more to do with progressing on the value chain towards linker and biocon jugat ion. And of co

urse, to the previous question what Girish has asked for, while there are 150 customers, we have experience d in working for the last 4 years at NJ Bio , currently active customers are close to 40 -45. The whole intent is even for NJ , for them to be able to travel to the various p hases of the molecule till the commercialization, our facilities from India which is GMP and regulatory approved will also be adding value to it. Hence, we don't really look at any challenges there. In fact, that is the most exciting and complementary skil l we have both from NJ Bio to Suven .

Ninad Sarpotdar : I just wanted to ask how are the margins looking for NJ Bio i f you can give out the number ?

Vivek Sharma : So, we had said that we have acquired this in the range of around mid-teens EV/EBITDA, s o the mu ltiple is around that. Our sense is tha t progressively the margins would be more closer to 20% plus. That is what our expectation of this business is.

Moderator : Thank you. Next question is from the line of Chirag Shah from White pine Investment Management. Please g o ahead.

Chirag Shah : So, once you are able to consume the acquisition, regulatory processes, although it takes time, how should one look at ramp up and cost leverage? How m uch time will it take? Why I am asking this is , you mentioned there is minimal overlap of customers. So, if you can just share your initial thoughts on how do you look at ramp up qualitatively and product wise our cross leveraging?

Dr. Prasada Raju: Chirag, under cross leverage standpoint, we have been very active in communicating with our customers as our opinion is as soon as we complete the transaction in full, we should be able to co-position ourselves in front of our customers. Hence, it doesn't take too much time. From a cost leverage standpoint, o f course , it takes time for us maybe anywhere between 1-2 years, but otherwise predominantly we are looking for customer level c ost leverages because the competencies are unique and distinct between both the assets which would happen immediately .

Page 6 of 8 Chirag Shah : And secon d is, this $15 million investment that you are making in NJ Bio , so can you just help us understand what are the primary driver s? It is more about capacity addition because more molecules are getting added or it is more about scale up for ex isting s upplies that you are doing ?

Dr. Prasada Raju: So, again, this question related to both Harith and Jatin has asked similar point. It is towards progress of the business, more importantly in the more number of projects and traction that we are able t o see for GMP manufacturing , hence, this investment will be predominantly used for expansion of our GMP capabilities within US.

Chirag Shah : When you say expansion, w hat is the quantum of expansion? So, are you doubling the capacity that they have currentl y with this $15 million or what exactly when you say expansion?

Dr. Prasada Raju: It is not, I would say , in kiloliter or in metric ton it can be measured, it i s more of a competency. For example, if a customer comes in, we have to create a separate dedicated suite for it, which is extremely unique for their requirements. So, we would say just to support the growth of the business and customer needs to travel from early to late stage this investment will be given , obviously 2X and 3X of expansion that we can think about it. Because we have civil structure available and we have the facility available, it is only the question of creating rooms in a way that we should be able to manufacture. Today, w e don't have a full answer of what kind of product is go ing to come to us , but we know broadly what competency is needed.

Moderator : Thank you. We wi ll take the next question from the line of Nishant Va ss from 36 0 One Asset Management. Please go ahead.
Nishant Vass : Just a couple of questions. First, Dr. Prasad a, could you talk a bit mo

re on the potential synergies from NJ Bio for the Sapala side? D r. Prasad a, just wanted to get some sense from you on the potential synergies that NJ Bio brings for the oligonucleotides portion of for Sapala , considering you are also looking to ramp that up, so any thoughts that you have on the Sapala side as well for NJ? And the second question was in terms of considering you seem quite heavily invested this N J on a research standpoint, I think could you give us a mix of your PhD to scientist ratio in NJ ?
Dr. Prasada Raju: From a synergy standpoint, it is also an interesting component where we have identified there are XDCs, there are emerging modalities which are happening with radionuclide compounds and Oligo. That is where N J Bio stand s out u niquely in the global space of XDC s, where they have been able to identify application possibilities of Oligo. Having said that, we are at a very early stage of the molecules and we also wanted to leverage our abilities to manufacture the product at a GMP scale and we try t o travel through the evolution journey . Otherwise , we are active and we feel very strong about Sapala 's Oligo capabilities will become a value addition to it. So, from a PhD's to scientist i s almost 3 :1 ratio right now and based on the business needs, we might expand in future as well.
Nishant Vass : So, part of that investment will be towards improving that mix further ?
Dr. Prasada Raju: That is right. Whatever capacity that we exp and, we will also add enough scientific muscle to ensure that the capacity is fully put into the effective use .
Moderator : Thank you. We will take our next question from the line of S aion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee : So, this $32 million revenue that you are looking at f or this year, I would assume most of it is contract research revenues , can you break this up into, let us say, how much is based on FTE best effort basis and as per fee per service typically, what is the composition of the contracts that you typically get in the space ?
Dr. Prasada Raju: Saion, while the predominant business as a core is on the preclinical to clinical this year, which is the current year, there is also a substantial portion of GMP s coming in that is w here gives us the confidence that we can expand our capabilities to get into GMP. It should allow us for some time to go deeper and build our own prospects about how business evolution happens .
 Otherwise, very happy to inform you that the current year itself has a substantial portion coming from GMP manufacturing.
Saion Mukherjee : Current year means for this Calendar '24 in this $32 million that you are talking about ?
Dr. Prasada Raju: That is right.
Saion Mukherjee : And I don't know if you have discussed this, but you have shared any pipeline that NJ Bio currently has in terms of the number of projects that are currently ongoing ?
Dr. Prasada Raju: We haven't shared anything . Of course, in future calls, definitely we should be able to provide that information because there are a lot of projects which are active or preclinical to discovery and there are few projects which are active in Phase 1 and 2 as well and progressively, we will definitely come back with how the pipeline is getting expanded.
Moderator : Thank you. We wi ll take our next questio n from the line of Surya Patra from Phillip Capital. Please go ahead.
Surya Patra : My first question is about the library of payload linkers and the express conjugation services what you have indicated about NJ, can you give more clarity about that in terms of, can it be quantifiable or can it be quantified either in terms of the value or in terms of the number of projects that is there created and since it is a complementing capability to Suven's payload, so whether it is compatible with Suven's payloa d?
Dr. Prasada Raju: Yes, we understand ADC is also in a new

are na of ADC. Historically, ADC is going to be defined predominantly by select monoc lonal antibodies and more importantly a lot of research is to happen in the modification of payloads. As we understand the latest set of ADC s, the real research is happening on the payloads. With the ext ent of the library of payloads what we have from NJ Bio will also help us to attract customers from both payload to right conjugation for them to provide a right fu ll scale offering which will also add value to us from selling the existing payloads as well. It is a very rapidly evolving space , and the knowledge of different linkers, as you understand linkers are also changing soluble , insoluble , lot of changes are happening on the linker side of it. The body of the knowledge which is seen in the form of a library should be construed as not just a mere numbe r. It gives enough confidence about the scientific capabilities of NJ Bio in front of the customer. That is where real value addition and ticket to play is happening there. We strongly feel the knowledge available in the form of the library coupled with payload capabilities that we have it and abilities to expand into bioconjugation will definitely create a superior value to our customers.
Surya Patra : Sir, I was telling is it possible to say something about the profitability of the N J, knowing the

aspect of the criticality of this business or service offering, the margin profile looks low. Any specific reasons or it is the people cost which is having a significant say at this moment , going ahead could have a kind of relatively better ?

Himanshu Agarwal : See, at this point of time , we have called out one aspect that going forward CY25 on wards, we should be looking at a margin profile of 20% plus EBITDA. My suggestion is that you should allow some time to understand what management can bring value working collaboratively with NJ Bio's management as well as us to see how the profile is, why the profile is , the way the profile is and how and what we can do to this particular profile.

Dr. Prasada Raju: And also to add to our CFO, as you understand, you can imagine companies growing at 70% CAGR and they were also in the phase of high CAPEX . Normally, CAPEX comes with OPEX as well. We have a clear line of sight, w hat kind of key growth drivers and lever can help us to really expand the overall margin profile and profitability and we certainly feel confident that it will be improved going forward.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today . I now ha nd the conference over to Ms. Cyndrella Carvalho for closing comments. Over to you.

Cyndrella Carvalho : Thank you everyone for joining and we look forward to connect again post our Q3 earnings call. Thank you so much.

 Dr. Prasada Raju: Thank you everyone.

Moderator : On behalf of Suv en Pharmaceuticals Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your line s.

Call: Dec 2024

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November 17, 2024

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and hal f-year ended
September 30, 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2024 conducted after the meeting of Board of Directors held on November 12, 2024.
This is for your information and record.
Thanking You,
Yours faithfully,
For Suven Pharmaceuticals Limited

Kundan Kumar Jha
Company Secretary, Compliance Officer and Head -Legal

Suven Pharmaceuticals Limited
Q2 & H1 FY’25 Earnings Conference Call Transcript
November 12 , 2024

Cyndrella Carvalho: Good evening everyone. We welcome you all on our Q 2 & 1H FY’25 Earnings Conference Call.
I am pleased to introduce you to you all our Management Team today . Mr. Vivek Sharma – our executive chairman, Dr. Prasada Raju – our Managing director, Dr. Sudhir Singh – our Chief Executive Officer, Mr. Himanshu Agarwal – our chief financial.
After our “Opening Remarks” , we will open the floor for Q&A.
Now, I hand over the call to Dr. Prasada for hi m introduce our new executive Chairman – Vivek Sharma and share his insights on the “Quarter” and “Recent Development” .
Dr. Prasada Raju: Very good evening to everyone and a warm w elcome to our Earnings Call. We extend a warm welcome to you on our Q2 FY’25 Earnings Conference Call . It's my

pleasure to introduce our Executive Chair – Mr. Vivek Sharma . Vivek brings over 25 years of global operational and leadership experience, including over a decade of Adare CEO and in the Board roles within Global Pharma CDMO organizations. His distinguished career is marked by building global businesses and driving profitable, sustainable and scalable growth initiatives . He is based in Boston. After its merger, Vivek will focus on strengthening and expanding Suven customer relationships and driving the global expansion of Cohance 's combined platform. We are excited to have him on board.
Now I hand over the floor to Vivek for his. Comments. Thank you.
Vivek Sharma: Thank you, Dr. Prasada. I am honored to be part of the Management Team at Suven Pharma a mongst the leading CDMO players globally . I am excited about the cutting -edge chemistry , ability and technology platform Suven has created. That is small molecules, antibody drug conjugates and the recently acquired Oligonucleotide segment.
Some commendable achievements include the strongest strategic relationship established by Suven's team, with larger innovator companies and impeccable delivery track records. This is an exciting time for the CDM O industry, especially for the Indian players. Suven with its amazing track record and tech capabilities, is well placed to capture the market tailwinds . It will be my endeavor to leverage my experience and Suven's capabilities to drive :

• Organic and inorganic growth strategically ,
• Integrate Suven and the Cohance platform together to unlock many growth opportunities &
• Enhance value creation for all stakeholders.

So, Suven has released its first ESG report and our ESG profile is now available on our website and ESG World , underscoring our commitment to sustainability . We have also received ISO 50,000 and other accreditation in H1 and PCSI status.
As previously shared, we are on track to deliver growth on a full year basis compared to FY24 across the overall platform . Our key strategic initiatives are progressing as planned and we reiterate our goal to double the combined business organically over the next five years with M &A serving as a growth accelerator.
Now I hand over the floor to Dr. Prasada.
Dr. Prasada Raju: I take this opportunity to update you all on the appointment of our Chief Commercial Officer. Given his extensive experience in the CDM O and biotech space, we look forward to working with him. We have also augmented our business development team with additions across the US , Europe and Asia. The augmented team is geared towards building strategic relationships across these regions. These new appointments and their expertise are pivotal as we deepen our engagement with large innovators and explore collaboration wi th select biotech firms focusing on Oligonucleotide , ADC and small molecules of fering .
I also wish to take this opportunity to update you on the latest industry developments and our interaction s at various industry events what we learned , we had productive interactions with several of the existing and some of the new customers that reinforced our strong industry stand ing. Customer sentiment has been positive as evidenced by an increased number of R FQs and in -person audits to our select core sites. This alliance well with our commitment to offering an integrated and diversified technology platform that meets evolving customer needs. We continue to see a strong momentum favoring the CDMO sector on the broader industry front, especially in India as Vivek did mention . Positive sentiment towards India is bolstered by efforts to diversify and stabilize supply chain and supportive macro environment trends including the US BIOSECURE Act. These dynamics strengthen our o utlook for healthy growth in the medium -to long -term.
From a Pharma CDMO standpoint, our strategic efforts yielding a healthy inflow of RFQs. Our pharma CDMO business has posted growth of around 40% year-on-year in Q2 FY25 , highlighting our committed focus on the pharmacy team CDMO space and reaffirming our commitment to building a robust pipeline that can drive mid -to long-term growth.
As we have always maintained this is not a Quarter -on-Quarter business, so we will not read too much into the current quarter growth, but we feel very strong and good about the input metrics , which are defined and being executed for the business by the Management Team .
We also have expanded our Phase -3 pipeline by adding one new molecule. Of two pending Phase -3 readouts, glad to inform you that one yielded a positive result.
RFQs continue to sustain a healthy mix of mid -phase and lateral project which is one of the strategic intent that we have taken including some of the commercials as well.

RFQs now are coming in from a broader set of customers versus history . We are

also exploring opportunities to cross -sell and leverage the customer relationship for Sapala , our Oligonucleotide technology platform.

In Summary - We are geared up to meet customers ' increased demand of backward integration. By utilizing our existing capacities, we continue to expect growth in the second -half of FY25.

We wish to use this opportunity to cover our next strategic business segment, which is Specialty Chemical and Agrochemical business .

As mentioned in our previo

us update, we have converted our Specialty Chemicals service line into a new dedicated strategic business unit. As highlighted earlier, the recovery was delayed than our earlier expectations . However, w e are expecting green shoots about recovery , and we have better business visibility for the coming calendar year and the potential new products are in discussion.

As we continue to build strategic partnerships, we are seeing new product discussions and fresh RFQs reflecting a positive outlook for this segment as well.

We have increased our focus included specialized resources to drive the continuous improvements and including automation while implementing the best ESG and EHS practices as well.

Moving on to Oligonucleotides and Sapala - We have consolidated the Sapala business from 11th July onwards in Q2 FY 25 in a while our CFO – Himanshu will take you through. Our commitment to expand the Oligonucleotide business is very clear . With an investment in Phase -1 of its GMP facility which is underway in one of the US -FDA regulatory approved plant s which will accelerate the customer onboarding as well and the commercialization of the projects. These investments enhance our capacity and broaden our service capability around the existing and upcoming R&D pipeline, which is getting built up.

I will now briefly discuss Cohance's Performance based on Cohance's Presentation - As stated in their investor presentation, Cohance is back on the growth. As of Y2D October , Cohance 's overall business has delivered growth with a confirmed annual order book to deliver FY25 full growth.

The ADC segment expected to grow year-on-year in FY25 with shipment schedules largely towards the second half of the year. There has been a decline in H1 on a year-on-year basis driven by the phasing of orders with shipments scheduled in the second -half of the year when compared with the first half of the year.

Cohance is also receiving more number of inquiries on the new adjacent payload platforms and one of the new adjacent payload platform development followed by the process validation is on track. And one of the new orders ha s come from the new customer. Existing commercial products are progressing very well. With the latest information of some of the therapeutic indication expansion, which is also going to drive mid -to long -term growth as well.

From a non -ADC CDMO segment, it was our pleasure to share with you Cohance's one of the large pharma innovators Phase -3 product has received US -FDA approval and we expect it to contribute towards mid-to long -term growth of the CDMA business at Cohance .

Regarding API Plus, Cohance is experienced demand recovery , which was evident in Q1 FY25 itself and has reported 7% of year-on-year growth (qualified the number

to 7%) in the segment in the first half of the financial year. The order book remains very healthy , and it is completely set to deliver the growth on a full year basis .

Coming to the overall outlook - The outlook is unchanged at platform level. The first half of the year has been in line with our estimates. While second -half we'll see a better growth trajectory . As Vivek s hared, we have reiterated our guidance for overall platform growth on a full year basis.

Now I request Himanshu Agarwal – our CFO, to walk you through our "Financial Performance" and provide further "Updates" to you. Thank you.

Himanshu Agarwal: Thank you, Dr. Prasada. Dear investors , Suven's Q 2FY25 revenue increased by 12% year-on-year to Rs2.58 billion. This includes Sapala , which has been consolidated from the date of acquisition been 11th of July. While excluding Sapala , the growth has been 7% year-on-year.

The Pharma CDMO segment reported a growth of 40% year-on-year and we expect it to deliver growth on a full-year basis for the financial year FY25. The gross margins have expanded 473 bps year-on-

year, driven by the business mix as well as Sapala's
addition. Adjusted EBITDA was at 1.11 billion with EBITDA margins being 43.3% .
Adjusted PAT margins were 34.1% reflecting our current investment to steer Suven
towards the next growth chapter.
EBITDA h as a one -time cost of Rs52 million largely being ESOP cost as well as
merger cost , factoring for which the reported EBITDA margins for the quarter stood
at 40.4%.
On an H1 FY25 basis, revenue declined 15.6% to Rs4.88 billion, while gross margins
expanded by 378 bps to 76.3%. Adjusted EBITDA of Rs.1.99 billion with margins
stood at 40.7% . The one-time expenses of Rs107 million were largely due to ESOP
as well as the merger cost in the first half we spent. A total of Rs.694 million on
CAPEX , primarily on Phase -1 of our R&D center at Genome Valley of which 229 has
been operational since June '24 and on the Suryapet plant of approximately Rs.164
million .
In the first half, Su ven has generated a free cash flow of Rs. 1.10 billion with the cash
and bank balance standing at 6.56 billion at the end of September '24. This includes
the first tranche payment towards the acquisition of Sapala of Rs.2.58 billion.
As mentioned by Dr. Prasada we have started consolidating this Sapala business as
on 11th July, which contributed to our net revenue of Rs.93 million in the 2nd Quarter .
Regarding the proposed merger with Cohance , we have received approval from
Stock Exchange in Sebi , and we have received an order from the Honorable NCLT
Mumbai Bench to host the shareholder meeting for the voting on the merger. The
meeting is scheduled for 28th November 2024. Subject to shareholder and other
regulatory approvals, we expect the merger to complete in next 4 to 6 months.
Moving to Cohance - According to the Cohance Presentation , the Quarter 3 FY'25
the following are the key takeaways :
Cohance has posted a revenue of Rs.3.47 billion in Q2 FY25, a 13% decline year-
on-year. For H 1 FY 25 Co hance reported revenue stands at Rs.6.04 billion, a 4%
decline year-on-year. The decline as mentioned is largely due to the shipment

schedule being phased for the second -half. Based on the current order book visibility
chances back on the growth path.
The API Plus segment has posted a growth of 7% year-on-year, driven by healthy
product launches and demand recovery. Scale up in the ADC -led CDMO business
is tracking well with growth in existing commercial and new orders from new
customers. However, the shipping schedule for ADC -led CDMO is waited towards
the second -half of the current year.
Overall, Cohance expects year-on-year growth on a full-year basis across both
segments that is API as well as CDMO . Improved demand and utilization as well as
product mix has helped increase the adjusted EBITDA margins to 25.4 in the first
half. The Q 2 FY 25 adjusted EBITDA margins were at 3 0.3%. Cohance has invested
1.06 billion on CAPEX in the first half. Of which Rs.415 million is towards a new
facility in Vizag, an intermediate capacity near the existing unit bought from Avra
Synthesis and t he capitalization of Ankleshwar Block -5 as well.
On a combined pro forma basis for Suven and Cohance , the numbers look as under
- Q2 or FY25 revenue were Rs.6.05 billion declined by 4.1% year-on-year, while the
gross margin stood at Rs.70.6 billion , expanding by 364 bps. Adjusted EBITDA stood
at Rs.2.17 billion with margins at 35.8% and adjusted PAT was at Rs.1.48 billion.
The reported revenue in the first half was Rs.10.93 billion, which declined by 9.4%
year-on-year. The gross margin expanded by 206 bps to 69.3%. Adjusted EBITDA
were at Rs.3.53 billion with EBITDA margins at 32.3% . At a combined platform level,
we anticipate a higher growth trajectory in the second -half of FY25 with year-on-year
growth in revenue and EBITDA. And further growth acceleration from FY26 onwards .
Moderator: Thank you very muc

h. We will now begin the question -and-answer session. We will
take our first question from the line of Amey Chalke from J M Financial Services .
Please go ahead.
Amey Chalke : The f irst question I have on the pharma CDMO side within Suven which was
registered around Rs. 200 crore revenue with double digit growth. Also, you have
mentioned there that it is led by BD efforts and microenvironment. So, if management
can elaborate more on this line for the BD efforts and the micro what had changed
during the quarter? And also, if you can provide color within CDMO whether it has
been led by development revenues or the commercial revenues?
Dr. Prasada Raju : While we try to respond to you, we caution against reading into a single quarter
growth because we remain optimistic due to the overall sustained customer interest
and a strong pipeline broadening the relationship; however, quarter growth should
not be rea d beyond what is expected to. However, as we have also discussed in the

previous calls, we have created additional bandwidth from the business development side because customers also wanted to have more touch points with them and the prospective engagement is happening and reading their pipeline and offering our services to them and deeper engagement levels with the customer is actually supporting us. This is first point. Second, from a macro standpoint, data is available in the public dom ain. In the first 9 months of current calendar year 24, there are 3000 plus small molecules have actually got introduced into the overall clinical pipeline, out of which close to around 52% belong to the small molecules and ADC and specialty chemicals. So, coupled with macro and BD, we are able to see the traction of the RFQs as well as the growth as well.

Amey Chalke : So, Mr. Prasada, for Suven specifically after new management have come in, are we seeing traction, which is now resulting into good growth, is that the right understanding?

Dr. Prasada Raju : Yes.

Amey Chalke : Is this growth basically led by our efforts since last one year, what we are putting, what I mean to say?

Dr. Prasada Raju : So, I would say the additional efforts which we have put in because some of the efforts which were kept by the previous management and coupled with our additional interventions have helped. That is the right way to read it.

Amey Chalke : And second question I have on the GLP side, what opportunities typically are we seeing from the innovator side for the GLP -1 product?

Dr. Prasada Raju : It is a very interesting evolving space to watch, two types, one is predominantly prepared based and there is also research that what we learned doing ourselves .

Definitely, this space is going to be much more exciting going forward.

Amey Chalke : But in terms of Suven, what role could it play in this value chain?

Dr. Prasada Raju : At this stage, it is too early to comment, right now. You should allow us for some time till such time something gets materialized.

Moderator : Thank you. We will take our next question from the line of Darshit Shah from Nirvana Capital. Please go ahead.

Darshit Shah : Sir, on this Suven pharma CDMO, as you alluded there were two readouts that are going to happen. So, both the readouts have happened and out of that one readout for Phase -3 is positive. Is the understanding correct?

Dr. Prasada Raju : That is right.

Darshit Shah : And even on the Cohance side, we have one Phase -3 approval by the US -FDA. So, in total we have two molecules that have cleared Phase -2, right?

Dr. Prasada Raju : Slight differentiation. In the Cohance product, it has moved from clinical to commercial, which means Phase -3 has actually been approved for launch of the product, meaning it is in the commercial phase. On the Suven side, launch will take time, but definitely, results are positive. The way to read here is the extent of uncertainties is minimized, predict

ability o f the revenue coming in for midterm to long term is much higher.

Darshit Shah : What I understand is Cohance will have little early commercialization as compared to the Suven pharma CDMO molecule which has just cleared Phase -3?

Dr. Prasada Raju : That is right.

Darshit Shah : One more thing, just a suggestion, I think the results and the presentations come out pretty late. So, by the time we are going through the presentation, the call is already out. So, maybe you can schedule it a little later or the next day that would be helpful for shareholders like us to go through it and then attend the call.

Dr. Prasada Raju : Point very well noted, Darshit. Thank you.

Darshit Shah : Just one book keeping question, post this merger with Cohance, your 11 shares of Suven are to be issued for 295 shares of Cohance, what will be the share capital of Suven, numbers of share currently, it is Rs. 25.4 crore if I am not wrong?

Himanshu Agarwal : Darshit, t his is Himanshu. So, there would be Rs.38.11 shares would be outstanding.

Darshit Shah : Rs. 38.11 crore shares would be outstanding post-merger , right?

Himanshu Agarwal : Yes.

Darshit Shah : And lastly on the Spec Chem side, we have not seen much revenues in either any growth in the first half and now, we are seeing now the segment to be bottoming out. So, when can we probably see some growth happening in this segment, maybe in the second -half or probably next year? What is our estimate?

Dr. Prasada Raju : As we understand, the complete bottom down has already happened and we don't expect any further bottom to happen. It is all done. At the same time, we also have started seeing the early signs of recovery. And definitely from a bottom number, full year of n ext year, which is CY of FY25, we expect the growth to come back to us.

Not just only the chill product, there is also a discussion around the new products as well.

Darshit Shah : Including the newer products as well, you will see growth coming in from next calendar year?

Dr. Prasada Raju : Yes, in a sense, the accelerated growth is going to happen in FY25 -FY26.

Moderator : Thank you. Next question is from the line of Arjun Sindhwani from Goldman Sachs. Please go ahead.

Arjun Sindhwani : Probably, this question has already been answered in the last set of questions. I just want to understand, on the Spec Chem, like just from the presentation, both the zero revenue is booked for this quarter for Spec Chem? And like just the second part of the question is that you mentioned like the recovery you started seeing in the segment. So, we are expecting some sort of pickup from the second quarter onwards or will we see most of it from next year?

Himanshu Agarwal : So, yes, this quarter there is zero revenue for Spec Chem, AgChem and to the second part of your question, the H2, we do expect that there would be orders and that would get recorded in the H2 of the current year. And as Dr. Prasada mentioned in the previous question, we would be looking at a growth for FY26.

Arjun Sindhwani : But the majority of growth is expected in FY26 is what then is probably that is the expectation from management because then H2 is when the sort of orders come in and it is sort of like SKU towards the end of the year then?

Himanshu Agarwal : I would not conclude to that. I would say that there would be an execution in FY25. And they would also be over and above delivery in FY26 as well.

Dr. Prasada Raju : So, Arjun, the way to look here is from the coming quarter onwards, we see deliveries kicking in.

Moderator : Thank you. Next question is from the line of Vivek Agarwal from Citi group Global . Please go ahead.

Vivek : Just my question is related to CDMO segment, so over the next 2 years, let us say, right, so as far as the growth is concerned, is it going to be completely dependent on the product where you are working or involved with the inn

ovator, let us say from the clinical stage Phase -1, Phase -2, Phase -3 or in the recent time, have you added any product, which is already commercialized or the customer might be trying to diversify their supply chain or adding, let us say, another CDMO like you. So, how to look at or do you think this kind of opportunity, let us say, for the near term or are you in any kind of discussion with any of the innovators or any of the big pharma company like that?

Dr. Prasada Raju : Obviously, March ‘23, our Phase -3 products stands at 3 products and 6 intermediates. As of today, of September ‘24, we have 7 Phase -3 products covering 12 intermediates. Definitely, there is going to be a component of new product addition that is going to drive growth in the next midterm. Number two, we also have discussed and made strategic interventions of looking for potential laterals which also we are able to see some evidences. Combination of these two will definitely be going to dri ve the port.

Vivek : So, have you added any potential lateral product that is already in market or already commercialized at this point of time?

Dr. Prasada Raju : We do have a few examples. We were able to create a few case studies in the last few quarters. Earlier, it was an intent, but we have evidence in our hand which is quite differently promising for us.

Vivek : And over the next couple of years, can we see any big kind of laterals?

Dr. Prasada Raju : That is right.

Moderator : Thank you. We will take our next question from the line of Ashish Thavkar from JM Asset Management Pvt. Ltd. Please go ahead.

Ashish Thavkar : Sir, I h ad a question on this entire BIOSECURE Act. So, as and when it becomes a law in the US, where do you see the first part of benefit coming in? Would it be at the early stage of clinics like a discovery stage or you feel it could immediately also flow to the customs on this side of the business?

Vivek Sharma : So, I think in some ways, we are already seeing the traction. People are starting to talking to us about de -risking their supply chain. When the act becomes real, I think with the changes in the government and all that we don't know, but in general, we are see ing the traction already. People are talking to us. In my view, it is not about early stage or commercial. It is about China, right, so whatever work people have in China, they will try to migrate. So, we have some early -stage discussions going on, some large supply chain discussions going on, but keep in mind, there is time for people to make their decision. But we are excited about the potential that we see out there for us to help our customers, de -risk our supply chain business channel in

China.
Ashish Thavkar : And since obviously you said 4 -6 months, the time that is there for consolidation, so as we move ahead 2 -3 years beyond, would you feel the need for more M&As in order to possibly add more capabilities to your offering?

Vivek Sharma : Yes, so our strategy, I think as we have said very clearly, right, it is organic as well as inorganic, you have seen the company has done inorganic acquisitions to add capabilities in the past. And I think that remains a key focus. We will continue to look at capabilities that are better to buy than built. So, that is a key part of our strategy and we will continue to evaluate those opportunities as they come across.
Dr. Prasada Raju : Just to add to Vivek, as mentioned, our commitment on platform technologies is completely unwavering. We are definitely poised for looking for such kind of opportunities to offer wider offerings to our customers.
Ashish Thavkar : By any chance, would you guys also be there on the GLP -1 side of the thing?
Dr. Prasada Raju : As I was just mentioning to some other question, when Amey has asked, it is too early for us to comment and definitely we will be more than happy to come back to you once we have

pharma answer internally.
Ashish Thavkar : Just last question from my side, so you said second -half will be a recovery, but given the fact that first half saw a revenue decline, are you saying for the full year of FY25, we will see a growth?
Vivek Sharma : Ashish, as we have mentioned that at the platform level for full FY25, we would be growing versus FY24.
Moderator : Thank you. We will take our next question from the line of Darshit Shah from Nirvana Capital. Please go ahead.
Darshit Shah : Sir, I just want to ask on both these molecules which have kind of cleared Phase -3, can you let us know or throw some color on which therapeutic segments they are focused into and a little bit more on if you can highlight some opportunity or market size of where these drugs are going to be launched and all this.
Dr. Prasada Raju : I can only say because we are governed by the CDS that we have executed with our customers. Hope you can understand, but definitely, this is one of the most fastest - growing space in the therapeutic segments. It always stands for top 5 of the therapeutic segments for the last 10 years.
Darshit Shah : It is for the both the drugs, right?
Dr. Prasada Raju : You can draw the conclusion.
Darshit Shah : Yes, for both the products, right?
Dr. Prasada Raju : For one.
Darshit Shah : And sir, lastly, when we say that FY25 on a full year basis as a platform combined, we might see some growth happening. So, just to be clear, would it be on the revenue side or also on the profitability side?
Dr. Prasada Raju : The ship it would certainly be on the revenue side, but you do understand that profitability is a function of many elements. So, at this stage, once we have more visibility of the order pipeline, we will come back to you.
Moderator : Thank you. We have a question from the line of Ashish Thavkar from JM Asset Management Pvt. Ltd. Please go ahead.

Ashish S. Thavkar : Sir, on the API side of the business, the kind of filings that we had appears that almost 50%-60% are niche in nature, so when do you see monetization of this pipeline starting?
Dr. Prasada Raju : It is continuously happening, Ashish and we are very happy to inform you that even first quarter and the second quarter half year basis, around 7% -8% of the growth has already been demonstrated. It is going to be better in the next half of the year.
Moneti zation of these products is happening and the uniqueness of this asset is the pipeline is healthy. Last year, 5 validations have happened . This year, at least 7 -8 new products are going to be introduced in the platform, so that the midter m to long term is fully secured.
Ashish S. Thavkar : And lastly, sir, would you be open to considering international elements? Is there something which is on the card ?
Dr. Prasada Raju : So, whatever our commitment on technology -led platform, if it means for us to go outside of this country, we will be open minded.
Moderator : Thank you. We will take our next question from the line of Karthi Kayen from Suyash Advisors. Please go ahead.
Karthi : Just one clarification, can you give some context on the appointment of Mr. Vinod Padikkal? What exactly does he bring to the table and some context, please?
Himanshu Agarwal : I think Vinod as you would have read in the notice, Vinod is an appointee from Berhyanda perspective? So, he is a nominee of Berhyanda and he represents the

Berhyanda by virtue of Platinum Poppy investment in Berhyanda.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. I hand over the call to the management team for closing remarks. Over to you.
Cyndrella Carvalho : Thank you, operator. Thank you, everyone for giving your time and we look forward to interacting with you on next quarter's call. Thank you everyone.
Please note: We have edited the language, made minor corrections, without changing much of the content, wherever ap

propriate, to bring better clarity.

Call: Feb 2025

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CSD/BSE& NSE/CC/202 4-25
February 18, 2025

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: SUVENPHAR

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and nine months ended
December 31, 2024

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the
transcript of the earnings conference call for the quarter and nine months ended December 31,
2024 conducted after the meeting of Board of Directors held on February 12, 2025.

This is for your information and record.

Thanking You.
Yours faithfully,
For Suven Pharmaceuticals Limited
Kundan Kumar Jha
Company Secretary, Compliance Officer and Head- Legal

Suven Pharmaceuticals Limited
Q3 FY'25 Earnings Conference Call Transcript
February 12, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Suven Pharmaceuticals
Limited Q3 FY '25 Earnings Conference Call.
Before we begin, I would like to mention that some statements made in today's discussion may be forward- looking in nature and a statement to this effect has been
included in the invite, which was shared with everyone earlier. I would also like to
emphasize that while this call is opened to all invitees, it may not be broadcasted or reproduced in any form or manner.
We will commence the call with "Opening Remarks" from the Management , followed
by an interactive question and answer session.
As a reminder, all participant lines will be in the listen- only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Cyndrella Carvalho, Head, Investor Relations .

Thank you and over to you ma'am.
Cyndrella Carvalho: Thank you, Darwin . Good evening, everyone and welcome to Suven's Q3 & 9 months FY' 25 Earnings Call.
It is our pleasure to have you all here with us today. I am pleased to introduce you to you all to our Management Team who is present here with me today . Our Executive Chairman – Mr. Vivek Sharma, our Managing Director – Dr. Prasada Raju, our CEO – Dr. Sudhir Singh, and our Chief Financial Officer – Himanshu Agarwal.
After our “Remarks ,” we will open the floor for Q&A.
I will now hand over the call to Vivek to share his insights on the “Quarter” and “Recent Development s.”
Vivek Sharma : Thank you, Cyndrella . Good morning, good afternoon, and good evening, everyone.
Thank you for joining us, and we sincerely appreciate your time and continued interest.

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The global CDMO landscape continues to be on a transformation path with supply chain deri sking efforts by innovators and growing demand for specialized capabilities, driving significant opportuniti es, especially for the Indian CD MO market.
Suven and Cohance platform continues to strengthen its position and excited about the immense potential as innovator companies to scout for reliable, science, and technology -based partners. We at Suven and Cohance continue to receive higher number of RFQs, it is about 2x in the 9 months versus last year , which is a reflection of the confidence that leading global pharma and select biotech comp anies have in our capabilities.
In the last few months, we have made significant progress in line with our strategic vision of becoming a technology -led CDMO with a global footprint. With the acquisition of Sapala and NJ Bio in Princeton, New Jersey, this is strengthening our position in the fast -growing niche technology market of Oligo and ADCs. Our vision , I shared recently , is to become a US $1 billion revenue company with a significantly higher share of CDMO and a higher mix of niche technologies.

• Our vision story will be driven by a diversified growth strategy built on three key pillars of pharma CDMO, specialty chemical CDMO, and APIs, ensuring steady and predictable growth
• By increasing a mix of differentiated modalities including AD Cs, oligonucleotides, and other emerging technologies to accelerate growth and enhance business defensibility .
• A programmatic M&A approach to acquire differentiated assets .
• And the professional management organizations with strong leadership.

Over the past few quarters, we have prioritized team building by strengthening our R&D capabilities, establishing global commercial presence across the US, EU, and Japan and by streamlining back -end operations. We are confident in the foundation we have built to drive long- term growth.
We have recently been honored with the title of “ World's Best C ompany Sustainable Growth for 20 25” that was awarded by Times and Statista . And I am thankful to our team for the efforts that they have put in getting us to that goal. Our facilities have been recently audited for SA8000 certification. We expect to receive this status very soon.
And lastly, on the ESG front, we have submitted our S BTi commitment for all three types of emissions. With all these drivers, we are really excited with the potentia l that we have to create value.
With that, I will ask Dr. Prasada to kind of give an update on Quarter 3 as well as for the first 9 -Month Results . Dr. Prasada.
Dr. Prasada Raju: Thank you, Vivek. A warm welcome to all of you.
We will take this opportunity to take you through Q3 and 9 months of F Y'25 “Performance Highlights ”:
Our financial performance is in line with our communicated expectations of growth in H2 of F Y'25 and on a f ull year basis.
On a pro forma combined basis, subject to regulatory approval of the merger, our revenue has grown by 40% year -on-year in Q3 FY'25, and by 5% year -on-year in nine months of FY' 25.

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As communicated earlier, due to the industry’s lumpy nature, reviewing the business performance on an annual basis provides a better assessment. We continue to build granularity in our business, diversifying different modalities to deliver steady growth throughout the year.
Regarding pharma CDMO, revenue growth segment grew by 101% year -on-year in Q3 and 11% year -on-year 9 months of FY25 on a pro forma combined basis. Our RFQ movement continues to remain strong with a 2x year -on-year increase in inbound inquiries. We have expanded our commercial team presence across US and

Japan.
Our strategic focus on increasing laterals is delivering results reflected in the expansion of our Phase- 3 pipeline. We have recently added a few molecules to our Phase- 3 pipeline. One molecule has a

dvanced to P hase- 3 and one we have directly added to P hase- 3. This brings us the P hase- 3 projects to 15 with 9 active molecules, which was 12 at 7 molecules when we spoke last quarter. We are excited about the faster progress for some of the products and look forward to updating you more in FY'26.
Further, as previously highlighted, there has been a positive readout on one of the Phase- 3 molecules of our strategic partner.
We also wish to take you through some of the key milestones in our customer engagement :
We have onboarded one of the top 5 global pharma leaders for early to mid- phase projects, which solidifies our strategic value. Further, as Vivek has mentioned, in 9 months FY'25, we have accelerated our market position in niche technology capabilities through two strategic acquisitions, which enable us to differentiate ourselves as a platform technology -led CDMO .
Sapala Organics, which establishes our expertise in oligonucleotide chemistry, allowing us to expand into high- growth nucleic acid therapeutic segments.
NJ Bio, this establishes our end- to-end CRDMO leadership in antibody drug conjugates through our ability to support global pharma from early stage development to full -scale commercial manufacturing, as well as across the entire value chain covering payload- linker synthesis and bioconjugat ion, which is unique by itself.
This acquisition of NJ Bio has also built a global footprint for Suven platform, enabling onshore capabilities in the USA and capturing a larger share of the high growth antibody drug conjugates. This is also being driven by a deeper penetration into a Camptothecin based space with existing and designer payloads, along with very encouraging clinical progress, as we are speaking around 40% of the clinical candidates are in a Camptothecin based when the payload is disclosed. And supply at a commercial scale to existing and new customer, which will propel the growth for future to hav e a dominance in the CDMO play.
We remain focused on integration efforts to benefit from business front -end synergies. We are also investing our time and effort in cGMP facilities to scale up both the businesses. These technology additions have actually enabled us to stay relevant to our customer, position ourselves as a valuable partner for our customers
for niche and spec ialized drug development needs.

Moving to specialty chemicals CDMO – In line with our communication in Q2, the challenges have bottomed out. And we have started seeing the recovery trend with early signs of demand stabilization. Our strategic investments made during the downturn are yielding results , strengthening our posit ion for accelerated growth in FY'26 as a dedicated strategic business unit. We also have felt the need of strengthening our team with the seasoned leaders who will support our execution excellence and the growth of the strategic business unit.
Regarding API plus business – this segment has seen 29% of year -on-year revenue growth in Q3, and 17% year-on-year growth in 9 months of FY' 25 on a pro forma combined basis, underscoring our thesis and a competitive advantage in achieving global leadership with a curated portfolio. We are also continuing our focus in pipeline
expansion with the new product additions to foster long -term and sus tainable growth.
Thank you, everyone. And now I will hand over the floor to Himanshu to share some more details about our “Financial Performance.” Thank you and over to you, Himanshu.
Himanshu Agarwal: Thank you. Good evening everyone. We are excited to share that Quarter 3 has seen strong growth as expected.
Revenue growth in Quarter 3 has been 40% year -on-year, driven by robust demand across all business units and our adjusted EBITDA margin is at 38.7%. For the 9 months of FY'25, our revenue growth is 5% year -on-year, reinforcing our resilience and long- term scalability with adjusted EB

ITDA margins at 34.8%.
In the 9 months ending December ‘25, our CAPEX investment is Rs. 2.3 billion, which has been allocated to capacity expansion, ensuring that we stay ahead of the demand curve. And cash generation remains good, with Rs. 3.2 billion being generated during the same period. We continue our strategic investment strategy focused on scaling R&D, manufacturing, and specialized CDMO platforms.

With respect to Cohance merger – the shareholder approval was received with
99.99% votes in our favor. The final N CLT meeting is scheduled for February 18th.
Subject to regulatory approvals, the merger is expected to be effective within the
next 2 to 4 months.
I now hand it over back to Dr. P rasada for sharing our outlook.
Dr. Prasada Raju: Thank you, Himanshu.
As committed, we wish to cover briefly guidance and long- term growth aspirations :
We reaffirm our FY' 25 guidance with year -on-year growth on a pro forma combined
basis for the full year and with an acc elerated growth trajectory in FY'26.
The pillars of this growth shall be strengthening our global customer relationships
and we are deepening ties with top tier global innovator companies, reinforcing our
leadership as a trusted and preferred CDMO partner of choice, expanding leadership in antibody drug conjugates with end-to-end capabilities along with NJ Bio and
oligonucleotides. Our acquisitions position us as a dominant player in these high
growth areas and we have a first -mover advantage while growing RFQs validat e our
expertise and hypot hesis.

Enhancing specialty business CDMO, leveraging our differentiated technology
platforms to create new opportunities and unlock long- term value, including the
Agrochemical side of the business.
Regarding API Plus, we will still leverage our cost leadership position and backward
integration capabilities with global capacities and regulatory track record that we
have t o expand market share and global leadership in the existing molecule,
continuous new product developmen t will fuel the further growth.
With this, I wish to say thank you all of you, and we will hand over the session to
Cyndrella. Thank you.
Cyndrella Carvalho: Thank you, Dr. Prasada. With that, I now request Darwin to open the floor for Q&A.
Moderator: Thank you very much. We will now begin the question and answer session. The next
question is from the line of Dars hit Shah from Nirvana capital. Please go ahead.
Darshit Shah: Congratulations for a good set of numbers. Sir, I have a couple of questions. One is
on the last call, you had mentioned that there were two molecules that kind of cleared
Phase- 3, one from the Suven side and one from the Cohance side. Just wanted to
know, were there any revenues from those molecules in this quarterly results?
Dr. Prasada Raju: Himanshu, you want to say this?
Himanshu Agarwal: So, at this stage we haven't seen any acceleration in the growth from those two
commercial molecules. But yes, we are expecting that as the innovator continues to
expand the molecules, because they would have obviously taken some extra
material in preparation of the penetration of the batch. And therefore we expect the
demand to come back shortly.
Darshit Shah: Got it. And one of the molecules you mentioned is also kind of shown, I mean for
second indication. So, does that mean that, I mean it would be kind of used for some
other treatment apart from what it was initially trialed for?
Dr. Prasada Raju: That's what we learned. I think it has cleared the primary endpoint study. And it's
quite exciting the results what we have learned. As you understand, we can supply
some initial developmental quantities. And customers prefer to maintain some stocks for th eir launches as well. But it's a process that we have to undergo.
Darshit Shah: And for the Cohance molecule, would you want to throw some light on that?
Dr. Prasada Raju: So, one mol

ecule, last time we said it is commercial and we are able to supply
quantities regularly. And between H1 and H2, at least two lots, we could have submitted to them and we expect the same kind of growth momentum next year as
well.
Darshit Shah: Got it. And sir lastly, although I understand we were the only company who kind of
participated in the JP Morgan Healthcare Conference some time back. So, would
you like to throw some color on how was our, I mean, response from the Indian
CDMO side and what kind of response did we get from the US clients?
Dr. Prasada Raju: Vivek, can you take this question ?

Vivek Sharma: Thank you. It was a pleasure to participate. And I think we are really proud to
represent the country there. But the response is very positive. We are getting a lot
of traction, a lot of meetings. I was on a call very late last night to explain our
capabilities. And some customers are visiting us very quickly. But overall, we are excited with the particip ation. We are excited with the traction we are seeing. And
we are excited with the engagement we are having with customers.
Darshit Shah: Thank you, sir, and all the best.
Moderator: Thank you. We have the next question from the line of Gagan T hareja from ASK

Invest ment Managers. Please go ahead.
Gagan Thareja: Good evening. My question pertains to the NJ Bio Pharma acquisition. Is it possible for you to explain the accounting of the acquisition in the current reported financials, the financing of the acquisition and also your outlook on the business ?
Dr. Prasada Raju: Himanshu, can you take up this question?
Himanshu Agarwal: Yes, so, Gagan, thanks for the question. So, there are three parts to the question. So, first is the financing . I think during the acquisition call, we had explained that it is completely self -funded. There is no loan that we have taken to fund the entire acquisition. Number two, the acquisition was completed on the 21st of December. And so there is, as you know, that it is a US -based client, so we have kind of practically had very few working days in the 21st December to 31st December. In terms of an outlook, I think we will continue to share the outlook as a consolidated platform. Unfortunately, we don't give out look of entity or business separately. And accounting- wise, I think if that is the question, then accounting- wise it will be consolidated. It's a subsidiary for us and with a 56% ownership. So, it is completely accounted and consolidated with Suven Pharma.
Gagan Thareja: So, it will be 100% consolidated and then netted out for minority share?
Himanshu Agarwal: That's correct .
Gagan Thareja: My second question is on the working capital . For Suven s tandalone, the working capital has gone up from 108 to 138 days, if I read it correctly, whereas for Cohance, it has gone down 9 months this year. Anything you can elaborate on the increase in working capital for Suv en?
Himanshu Agarwal: So, I think from a standalone perspective, the higher sales is increasing the debtors because there are all these not new debtors that kind of comes in and so that's from that perspective and from a consolidated perspective , there would be NJ Bio that also gets added to the entity.
Gagan Thareja: Thanks for taking my questions. I will get back in the queue . Thank you.
Moderator: Thank you. The next question is from the line of Kunal Dhamesha from Macquari e. Please go ahead.
Kunal Dhamesha: Hi, thank you for the opportunity and congrats on good set of numbers. First one on our long- term guidance that we have put out on billion- dollar kind of revenue by FY'30. I would like to understand when do we start seeing that kind of acceleration in our top line? While w e are seeing that in Q3, but on a 9-month basis, we are still at low growth because of issues in Spec Chem business, etc. So, is it more, let's say

in a near term, where we should

see the acceleration or let's say it is part of the timeline range, how should we think about it?
Dr. Prasada Raju: Thank you , Kunal. A few comments from our side. It's always important to understand this nature of the business which is cyclical in nature. Quarter -on-quarter will always be counterproductive to assess the business. However, long term, we definitely feel quite excited about it. As we have been saying, at a combined platform level this year, we will grow, but definitely 25- 26 onwards, we will see the trac tion of the growth.
Kunal Dhamesha: And sir for this traction to happen, or whatever, you have built in, the potential projects that we might need to execute for that traction, would you say they are already more or less in place? And then it would not build a lot of new project expectation? How is your expectation there?
Dr. Prasada Raju: It's a combination of both because we also have seen almost 2x of RFQs. That itself is a very comforting factor. Second important strategic initiative what we have taken around year back, which is definitely yielding us well, is on the focus on laterals. If we have to say X is a number on a full year basis of last year, that has actually almost 1.6x to 1.8x currently within 9 months. So, our strategic intent of lateral is also expanding the pipeline. It's only a question of how soon we wil l see the improvement in the overall RFQ conversion. Second, we also need to understand the highest growth driver is going to be on the antibody drug conjugate payload, coupled with both existing Cohance Suven, along with NJ is also going to propel the growth.
Kunal Dhamesha: Sure, sir. And for this niche segment, I know NJ is not there in this quarter. But when you look at on a pro forma basis on a 9-month basis, NJ, our ADC, Cohance ADC platform, and maybe Sapala as well. How have those three segments on a year -on-year basis in first 9 months would have done? A broad range would be fine in terms of the topline growth?
Dr. Prasada Raju: So, as Himanshu was rightly mentioning, we have internally agreed that we should only focus on the overall segment level. We will be constrained to the specific each line item by its numbers to you, Kunal .
Himanshu Agarwal: Sorry, I will just supplement what Kunal is asking. So, Kunal, in the presentation that we have uploaded, we have shared the segment -wise growth. And we have called

out, for example, pharma CDMO is at 100% for the quarter, APIs around 29% for the quarter on a combined basis. So, we have called it out. I don't want to waste everyone's time in terms of reading those numbers. But we have called it out in the presentation. Secondly, I think what's also important is that, as Dr. Prasada alluded, the NJ Bio will give us a significant synergy, which has not been called out as yet. I think Dr. Naresh Jain was in India and he's again coming to India. We are kind of working very extensively on the entire ADC strategy and the ADC synergy that we will work together. And as Vivek had mentioned, even in the JPMC that there is this East and West combination that we are trying to work through. You are aware that we have given a growth CAPEX to NJ Bio and we are keen to kind of create a commercial facility in New Jersey to accelerate the growth and to create the synergy aspect. The third thing which is also important i s that, while we are looking at CAPEX , we should also consider the fact that Suven has in last year added Rs. 400 crore almost of PPE, which has come through the inorganic acquisition. And that's also a growth CAPEX , the way we consider that.

Kunal Dhamesha: Thank you and all the best.

Moderator: Thank you. We have the next question from the line of Chirag Shah from White Pine. Please go ahead.

Chirag Shah: Thank you for this opportunity and congratulations for good set of numbers. Sir, I have a very basic question. Once you start the comm

ercial supply, if you can explain the process of ramp up from the client side. So, ideally the ramp up should be at an accelerated pace in the initial phase at least. If you can just explain the process, how does the client approach the ramp up and after the initial batch of commercials, does it take another 6 months for the ramp up, or how does it work , if you can help them?

Sudhir Singh: I mean, since we both are in a separate place, that's why this confusion. So, let me tell you that the way it works, like you all know how we travel with the molecule. We start sometimes Phase -1 and Phase- 2. We move to Phase- 3 as the molecule moves. But it's a very dynamic situation. Sometimes you get enough information that how the molecule is moving, how is the data coming out. Sometimes you don't get it. However, we have our own way of finding out from the different reports how the molecules are moving. But generally, the customers start planning material pile up probably a year before the launch. And as you see some of the Phase- 3 which has a good readout this year, and for next year , they already have material. So, probably the calendar year 26, they will be requiring the materials for some of these launches. So, that's an example basically, but every customer has a different philosophy. Some of the customers do the final API in their own site. Some of them do with some CDMO in Europe and US. So, their sourcing strategy remains different.

Chirag Shah: Okay, this is helpful . And sir, second is on the O ligo side. So, generally, ADC is the most spoken about space. I f you can just help us understand, where are we in terms of, we know the capabilities, but from the ramp up perspective, where are we , is it a clear out story for Oligo to play out for us? If you can just give a broad perspective on how to think about O ligo?

Sudhir Singh: So, Oligo is a broader term. Oligo has many components, Amidites , Cyclic P - Amidites , Phosphoramidite and these are the stages where people go. Our expertise lies in mostly constant nucleic acid chemistry, cyclic nucleic acid chemistry , and Phosphoramidite . So, the first step is that we are getting ready for the GMP manufacturing of Am idites , which is the first step for O ligos. And that facility should be ready sometime towards the end of this calendar year. And we have already started talking to our customers, the customers who were involved with us in the discovery phase and early development phase, and they have a need in our GMP scale. So, we have already started engaging those customers.

Chirag Shah: Okay, thank you very much.

Moderator : Thank you. We have the next question from the line of Karthi from Suyash A dvisors. Please go ahead.

Karthi : Good evening, Dr. Prasada . I am just following up what Chirag asked. I t seems that the approvals for one of your clients is coming through reasonably rapidly for additional indications. Where exactly do you stand in terms of capacity availability and therefore how soon would you have to think in terms of expansions?

Dr. Prasada Raju : Since Dr. Sudhir has actually explained, I will add a few more points. The real ramp up, we will get to know once it is at the Phase- 3 level. And quantities ramp up, we have a visibility for launch preparation. And of course, once the launch is happening, then the acceptance of the material at the market, once the launch happens, there again ramp up happens. So, we are at the stage where we supply launch quantities

then followed by the commercial quantities. It is normally a few quarters of activity, nothing beyond.
Karthi : Would you want to address the constraint aspects , sir? Would there be a possibility of running i nto capacity constraints?
Dr. Prasada Raju : Capacity side, as you understand when the cyclical nature was slightly hitting us, we don't have any capacity challenge right now and we have enough invested in the exist

ing site and also in additional site of Suryapet and these molecules are predominantly manufactur ing at our Pashamylaram. Normally , we have volumes for the commercialization ahead of the commercialization. Hence, we don't seem to have any challenge as far as the capacity is concerned.
Karthi : One broader question, sir. N ow that you are an integrated entity on the ADC platform, you have a linker also through NJ, what is the process involved for transitioning a customer to multiple availing of multiple services, assuming he was only availing of one? How exactly can you transition? I am asking this because there may be an incumbent whom you may have to replace or supplement. So, how exactly does that process work? And what are the timelines involved in achieving this? Some indication would be interesting.
Dr. Prasada Raju : There are two ways to look at it. Existing customer, normally when they are doing it, they have payload and linker and bioconjugation. Currently, hypothetically, NJ Bio is doing everything. But what they are not able to do here is on the GMP manufacturing of the payload, which the synergy comes from our site of Cohance and S uven.
Karthi: Sure.
Dr. Prasada Raju : Number two, some of the customers where we have on the payload side of it, they also need a linker capability and the bioconjugation capability. It's a solid example of cross pollination on both the sites. Timing- wise, it all depends. For example, if the product is at early stage, switch happens much faster. If the product is of about 2A, 2B, a nd Phase- 3 level, it's 3 to 6 quarters of a time where the qualification has to happen, samples have to be submitted, site has to be submitted. That's where one can look at it.
Karthi: So, for your existing commercial, if you had to plug in the linker part, it's a 3-to 6- quarter kind of a timeline. Is that a reasonable thing to take away?
Dr. Prasada Raju : That's right.
Karthi : Fair. Thanks for clarifying and very best wishes , sir.
Dr. Prasada Raju : Thank you.
Moderator: Thank you. Ladies and gentlemen, you may press * and 1 if you wish to ask questions. T he next question is from the line of Kunal Dhamesha from Macquarie. Please go ahead.
Kunal Dhamesha: Hi, thank you for the opportunity again. Just following up on the last participant's question about the cross -pollination that you mentioned on the linker and bioconjugation si te, do we have a GMP certified facility where we can do it on a much bigger scale for a commercialized molecule or can NJ Bio handle the kind of volume at this point or are we going to put some CAPEX here?

Dr. Prasada Raju : For linker and bioconjugation, it has been upfront captured as a part of our acquisition of NJ Bio. Our aspiration is to create that CAPEX in US. Second, for making the payload, we already have invested sufficiently and based on the project progress and the business progress, we might extra invest on the payload where we have enough competencies from USFDA approved site. We can manufacture from 5 gram to 5 kilo to 50 kilos. That's a linear scale of competencies that are already available.
So, as such, we don't seem to have any kind of a capacity constraint because we have clear plan of action to expand the capacities along with the business progress .
Kunal Dhamesha: And since there is no plan for capacity expansion as of now, does it mean that the capital expenditure over the next one year is expected to come down for us? And if yes, what is the outlook there, what are we kind of baking in at this point?
Dr. Prasada Raju : So, it's very early to comment Kunal, because this is a very exclusively expanding space. And if a customer comes in with a large volume product, we might have to commit. So, we wanted to be extremely flexible on the capacity expansion. For our few quarters of needs, we don't seem to have any challenge. And for commercially approved products, for example

, we supply two payloads to existing approved products. There in the next 3 to 4 years, we don't seem to have any kind of a challenge. There we have enough and have created the capacity. For the new products, which we are getting into Phase- 3 and which are getting into commercial, we have to keep calibrating and accordingly commit the CAPEX. It's very early for us to commit that we don't want to do anything on the ADC part of it. We want to be open- minded.
Kunal Dhamesha: Sure, sir. And just one more understanding on these latter projects that we are

getting. How do you see these projects ? Are these kind of supply chain de- risking at this point or more like a substitution of existing CDMO with Suven 's antibodies or are you striving with the substitution? Obviously, there's geopolitical risk, but is it more like substitution or is it an additional source or de-risking the supply chain?

Dr. Prasada Raju : You yourself you have well answered, Kunal. I will only add one component which you have not covered, which is if a new acquisition happens by a large pharma to a small biotech company, it is not necessarily that they have to follow the same supply chain. They always look at their own supply chain as a large pharma and we come into a play. This is one more reason along with supply chain de- risking and along with creating alternative approved vendor sites. Combination of all these reasons, we are able to see the traction. Not just that, we also have changed gear and analyzing the pipeline and prospectively talking to the innovators saying that we have relevant expertise with us because we also have proven experience of handling more than 1000 products and more than 5, 000 chemistries that we have handled on scale. That gives comfort to the customer that we can handle their requirements at a GMP scale. On top of it, we have experience of handling the projects at commercial scale, supplying consistently for the last two and a half decades from USFDA approved sites. A ll these things play an important role.

Kunal Dhamesha: Sure, sir. Thank you. One for Himanshu, on the increase in the depreciation and amortization this quarter, what is driving this and is this a sustainable run rate that we should look at?

Himanshu Agarwal : So, Kunal, I think the deprecation would also, as I mentioned, that there is a Rs. 400 crore of PPE which gets added by virtue of the acquisition . So, there is a growth CAPEX that comes in by virtue of the inorganic growth. There is an increase in deprecation on account of that Rs. 400 crore, which I believe is not being factored in from a normal organic CAPEX that we are adding.

Kunal Dhamesha: Basically, the PP E is coming , but revenue is not because of the last couple of weeks of consolidation. Is that the way I need to understand?

Sudhir Singh : Yes, because NJ Bio was earlier there . So, it's only 4-5 days, which is there. So, I think once the revenue comes in, then it will kind of flow in from that perspective.

Kunal Dhamesha: Sure. Thank you and all the best.

Himanshu Agarwal : Thank you, Kunal.

Moderator : Thank you. The next question is from the line of Nishant Vass from 360 One Asset Management. Please go ahead.

Nishant Vass: Hi, sir. Congratulations on the good numbers. So, just two questions. First on the ADC side, and I am obviously not asking you to talk about customers, but there has been obviously a paradigm shift change in terms of how FDA has approved one of the global customers, ADC, as a primary, let's say, primary method of going against some of the breast cancer issues. From an opportunity landscape, do you think this kind of, if this kind of progress is made on the technology standpoint, this can be a paradigm change in terms of potential addressable opportunity for some of customers which might or might not be, you might not have it, but from a therapy standpoint, that can be a big change?

And if the success rate of these is more and much higher on camptothecin based payloads, please correct me if I am wrong, that you guys are one of the best in terms of doing S-Trione and SN -38. So, effectively with NJ and the specialized linker capabilities, shouldn't your success rate with customers potentially go in different phases, in different ADCs go up? And how are you seeing customers, new customer addition pipeline probably progressing in the next 12- 24 months on this account ?

Dr. Prasada Raju: Thank you, Nishant. I will address the first point, as you rightly mentioned , the latest two approvals have happened in the ADC space, where the approved products in camptothecin have become from 13 to 15. Both of them are related with camptothecin only. One is with one large pharma company, and second one is bit of a change on the monoclonal antibody side of it. The key lesson for us is camptothecin based products are actually moving well. And the product what we have been supplying to the innovator, that range is becoming a gold standard within the same therapy segment. That's the first key learning. Second, they're also carrying several clinical trials where we are already a qual ified supplier for them. From an important point on the second element what you mentioned, when we compare last year same time to now, the extent of the camptothecin based from a topoisomerase standpoint, from a clinical stage, it has actually substantially increased from 25% to 30% to where the payload names are undisclosed, if you can remove that. In the rest, it is 40% of the current pipeline is with camptothecin based payloads, where we have a substantial advantage of abilities to manufacture the key fr agment of both S -Trione and SN -38. Not just that, we have a capability of expanding to designer payloads. That's where we are able to onboard a couple of more customers as well. Combination of these two will certainly be of help to us. The third element which you were trying to mention is, as you understand the overall space, earlier there used to be a lot of research on all three segments, on the payload, on the linker, and the monoclonal antibody and bioconjugation. But what is happening right n ow is that predominant research is happening on the linker and bioconjugation rather than having deeper expertise and deeper research on the payload. Payloads are more or less standardized. Currently upwards of 70% is constituted by tubulin inhibitors and topoisomerase. That's where NJ Bio plays an

important role where they have a solid 500 plus linker database with them. Abilities to do the bioconjugation and from this side, we have a gold standard camptothecin based designer payload capability. With all these factors, we strongly feel we will definitely be able to foster the growth with our existing customers and new customers as well.

Nishant Vass: Perfect, thanks a lot. And my second question is, obviously you seem to be getting strong commercial success in late stage and even Phase- 3 commercial molecules. Some of your peers are not seeing the same success, at least on the commercial grade, when we can't have a conversation with others. Like what you touched upon in the previous question, but can you delve more into detail as to why is customer coming to you for a Phase- 3 substitution vis-à-vis others, like what are you bringing to the table which is much more different than others who are not seeing the same thing come to them?

Dr. Prasada Raju: Well, I will add a few points then hand over it to Sudhir as well. First and foremost the thing is, as an organization, we have unique proven competency for the last two and a half decades of supplying these registered starting materials and key starting materials to the innovator companies from GMP capabilities, abilities to do the consistent scale up and supply. Our OTIF s have already been more than 98% -99% plus. And

customers have actually seen our proven competencies. Number two, because we are present in the value chain of our abilities to supply these consistently on a commercial scale from Phase- 3 to or Phase- 1, 2, 3 to commercial along with the patent lifecycle, which is not the case with many of the companies that you must be referring to. They are at very early -stage discovery phase, but we have a proven competency of getting into clinical phase, travel all the way to the commercial phase. This is the second differentiation that we learned is actually helping us. Because of some of the latest acquis itions and our proven competency of demonstrating that chemistry on scale for more than 4,000 plus, that is also matching with our competencies and customer able to see that there is nothing called this company has to learn. It is just they have to reproduce what they have done. These are all the three major reasons which are helping us to have more successes on the lateral side of it. I will also request Sudhir to add, if at all I am missing something.

Sudhir Singh : I think Prasad a, you have covered most of the things, but one thing I would like to add that when we took over this journey from the previous management and our strategy was very clear to go after the customers with a lateral approach. Of course, it takes time, it's time consuming. So, that strategy has paid off. We are seeing some fruits of that. Second also, our track record of delivery, as Prasada said, the type of chemistry we have done, really what you have done. So, the track record, the flexibility, and that's what everybody looks after that. How good you are in terms of solving problems and flexibility. And these things are paying off. I think we are still a long way to go, but I think our strategy of going after big pharma and going after our laterals , that strategy is showing the results.

Himanshu Agarwal: Nishant, we also wanted to share our excitement to you is the last year in full, because our changes have actually started reflecting only in H2 of last year. If the number is X in 9 months, we are almost at 3x level. So, you can imagine as Sudhir has rightly mentioned, what is the conscious effort that we are keeping to ensure that we secure more opportunities.

Nishant Vass: That's quite clear. Thanks, Dr. Prasad a. Thanks, Sudhir . All the best.

Moderator: Thank you. The next question is from the line of Gagan T hareja from ASK Investment Managers. Please go ahead.

Gagan Thareja Thanks for taking the follow up. If I look at the balance sheet that you put in your presentation, Suven and Cohance pro forma, t here's an entry , forward liability of Rs. 651 crore. Can you elaborate on that? And also, in the intangible assets of Rs. 745

crore, can you segregate out the goodwill ?
Himanshu Agarwal : So, Gagan, the forward liability is on account of the liability to acquire the balance equity of both Sapala and NJ Bio. So, in the agreement that we have, we have the right to purchase Sapala . And as far as for NJ Bio, we have the right to call as well as for them write to put option. So, that's essentially that leads to a future liability that is there. The PPA , purchasing price allocation right now at this stage, it is still to be finalized. So, these are tentative numbers as yet because the law allows us to kind of finalize by the end of the year. However, from where it exists right now, there is, I mean these numbers may change, but I am still giving to you that there's around Rs. 550 crore of goodwill which is sitting there. And so that's how goodwill value is.
Gagan Thareja: On the forward liability, as in when you exercise your rights, what impact, I mean, how does the accounting treatment of that happen and how does it change your balance sheet? And what is the corresponding asset side entry of this one? I am sorry, I am unable to understand that. Can you explain that?

Himanshu Agarwal : Yes, if you want to do it on the call, I can try to give you that kind of perspective.
Dr. Prasada Raju: So, I have a suggestion. So, if you can maybe communicate back to him, it might be difficult for us to explain in detail.
Himanshu Agarwal : We will come back to you, Gagan. Maybe it is easier.
Dr. Prasada Raju: Gaganji if it is okay with you, we will come back with the specific narrative. That would be helpful to you.
Sudhir Singh: We will take it off line, Gagan. Thank you.
Gagan Thareja: Alright. Thank you.
Moderator: Thank you. We have the next question from the line of Karthi from Sur yash Advisors, please go ahead.
Karthi: Doctor, a couple more of questions. One is, how do you see the specialty business shaping up? Have you seen sufficient recovery? I mean, I saw the numbers of course, but can you talk about what 2025 calendar looks like and some color would be helpful? I have one more question, but if you can answer this first.
Dr. Prasada Raju: Even last quarter also, we were actually mentioning this , Karthi . What we learned from our key partner is the recovery is better and the current quarter we see that much more stabilization is happening. Next year in full , we see that the growth is going to come back to us fully. On top of it , there are a couple of products which are in the pipeline and for our partner approval is taking little longer time. For one product , the approval also has come in that's what we learned. So, all in al l, next year is going to be an accelerated growth for Ag Chem s pecialty chemical BU.
Karthi: Interesting. So, if that approval comes through, you would have five approved molecules, right, which are in commercial stage in the port folio. Is that correct, doctor?

Dr. Prasada Raju: It is fourth .
Karthi: Fourth. I thought fifth. Sorry. The other, you know, if you had to hazard a guess, I don't want to use that word, whatever, if you had to visualize. When exactly could Sapala have a commercial molecule? Is there any kind of visibility at all? Because that would make it even more interesting.
Dr. Prasada Raju: So, this business, as Sudhir has rightly mentioned, it is going to take a little longer time because the products as such are at a very nascent stage. But full -scale commercialization, we need to have a GMP facility which we don't have it today. And we are act ually making it ready by financial year, current calendar year itself, it will be fully up and running and we have some customer qualifications coming. Unless we have the GMP facility ready qualification happens, predominantly it's go ing to be a developmental sale. It is a midterm phenomenon if I have to say. However, there are a few opportunities which we have been working. We might end up supplying some of the very basic raw materials to them, yet it can be commercial. So, you should allow us for some time to come back with a specific answer. Otherwise, we are working on both. One, a basic chemical is supplied to somebody. Somebody makes the product. Finally, it goes to the innovator , you are still a commercial supplier. Number two, y ou become the GMP supplier. Second, takes a little longer time, which we feel it is a midterm phenomena. First should be a short term phenomena for us. That's how team is focused right now.
Karthi: Yes, that helps quite a bit, doc tor. Thank you very, very much.
Moderator: Thank you. We have no further questions, ladies, and gentlemen. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Cyndrella Carvalho: Thank you, everyone, for joining. Thank you, Darwin . And we will see you on our next earnings call. Thanks a lot, every one. Have a good night.

Moderator : Thank you. On behalf of Suven Pharmaceuticals Limited t hat concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Jun 2025

CSD/BSE&NSE/ CC/2025-26
June 02, 2025

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: COHANCE

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2025 conducted after the meeting of Board of Directors held on May 28 , 2025.
This is for your information and record.

Thanking you.

Yours faithfully,
For Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)

Kundan Kumar Jha
Company Secretary, Compliance Officer and Head -Legal

Encl: as above

Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)
Q4 FY '25 Earnings Conference Call Transcript
May 28, 2025

Cyndrella Carvalho: Good evening everyone. Welcome to Cohance Lifesciences Quarter 4 and FY ‘2 5 Earnings Call . This is our first call with our new identity as Cohance.
I am joined by today with our Executive Chairman – Mr. Vivek Sharma, our Managing Director – Dr. Prasada Raju, our CFO – Himanshu Agarwal .
I will now hand it over to Vivek.
Vivek Sharma: Thank you. Good evening everyone, and thank you for joining.
Today marks an important milestone in our journey as we complete the formal merger process and unveil our new identity as Cohance Lifesciences . It makes a bold step forward in the company's evolution into a niche technology -led global CDMO platform.
The name Cohance unites collaboration and enhancement, the values that define our DNA. It captures our commitment to collaborate with global innovators to

enhance their molecules and products to deliver transformative solutions to patients and consumers worldwide.
FY ‘2 5 marked a period of strategic transformation and over the last year , we have made significant progress to put the building blocks in place for our vision to be a $1 billion integrated technology -driven CDMO with a global footprint by 2030. We have created a $ 335 million integrated technology -led platform revenue company, FY '25 performer with EBITDA margin of 34%, reflecting a very disciplined execution.
On the organization and talent front, we have built a high-quality leadership team and engaged strategic advisors from leading global contract manufacturing organizations. We have institutionalized three focus business units, which are our engines of growth, which are Pharma CDMO, API+, and Specialty Chemicals , which
are supported with dedicated commercial and enabling teams. We have also found BD teams internationally in U.S., EU, and in Asia, primarily Japan.
We have leveraged M& A strategically to increase our tech- led business mix and partnering with well -renowned scientists who have now joined hands with Cohance.
Our investments in NJ Bio and Sapala have strengthened our capabilities in antibody drug conjugates and oligonucleotides and expanded our presence in the United States bringing us closure to key customers. Contribution from high- tech fast - growing modalities is expected to double over the next five years.

We have improved significantly on the key business metrics in September ' 23, which is, we have expanded the commercial molecules to 16 from 10. We have expanded the late Phase III molecules pipeline to 9 from 2. We have built pipelines with higher RFPs from a wider customer base, including large global innovative pharma companies.
We have kept a very high focus on quality, regulatory and ESG front. As part of that, we have augmented R&D to expand to a team of 500 plus scientists and added the facility in Genome Valley in Hyderabad and in Princeton, New Jersey.
USFDA inspections at our Nacharam site concluded successfully and we received an EIR with VAI classification. Our Jaggaiahpet API Unit -I cleared EU inspection recently.
In commercial supply, we have consistently been maintaining 100% OTIF. Our Pashamylaram site received distinction rating from British Safety Council.
We have been named among the “World’s Best Companies for Sustainable Growth 2025” by Times and Statista magazine. And we received SBTi validation, which is
the science- based target initiative validation for our GHG, which is greenhouse gas emission reduction targets.
FY ‘2 5 marked a year of transformation through integration, aligning our go- to-market and operations under the unified framework. FY ‘2 6 will be a year of acceleration and execution. As we enter FY ‘2 6, we are excited to operate as one integrated organization, deeply aligned and focused on delivering value through science, speed, and reliability.
We remain focused on our vision of $1 billion global revenue by 2030, which is primarily driven by a diversified growth strategy built on three key pillars :
• Pharma CDMO .
• Specialty Chemicals . API+, a higher mix of differentiated modalities like ADC and oligonucleotides and other emerging technologies .
• A programmatic M&A approach to scale niche capabilities . A professionally managed execution focused leadership team .
Our participation in industry events like DCAT , TIDES in London and California recently , CPHI Japan, under the new combined brand identity hence was well received reinforcing opposition as a global CDMO. This strengthens our focus on brand visibility post -merger and ensures continuity with global customers.
Now I will hand over to Dr. Prasada to walk you through the “ Business Updates ”. Dr. Prasada .
Prasada Raju: Thank you, Vivek. A warm welcome to all of you, and thanks for joining us today.
Let me build on what Vivek shared and reflect on our “ Performance and Momentum ” across the business units :
FY ‘2 5 was a foundational year in many ways. We successfully integrated our acquisitions of NJ Bio and Sapala Organics and advanced our strategic roadmap to become a differentiated technology -led CDMO .

We are also working on strategic initiatives to accelerate growth. Platform integration has been one of the important key drivers for us. And we have begun aligning our systems, processes, and business segments, cross -pollination of capabilities and customer relationships across the combined platform.
On pharma de- stocking in some of the key molecules , we also have investments in high growth modalities and the current pipeline will help diversify the business further

and deliver consistent growth in the near future.
AgChem DownCycle: We also have utilized this time to establish a dedicated business unit with sectoral leadership and R&D expertise. We have started seeing increased customer interactions and the new opportunities as the cycle has actually come back to us.
As we have been saying during our last few quarters and our guidance for FY ‘2 5, we have delivered 9% full year revenue growth and maintained a robust pipeline across modalities.
To give you a brief “ Outlook and Performance Review ”:
Our Pharma CDMO segment continued to be the key growth driver, growing 18% year-on-year, suppo

rted by expansion in late- stage projects. Notably, our Phase -3 pipeline has been maintained at 9 active molecules. Four of our intermediate projects pertaining to one of the important molecules expected to enter into commercial production. The lateral strategy has been rewarded in the right direction as our Phase- 3 share has actually gone up versus what it was in FY '2 3-'24.
We continue to add more projects from recently added large innovator customers in the early to mid -phase. Our RFQ pipeline continues to expand , featuring a more balanced mix of existing and new customers as well as late stage RFQs , which adds visibility to our new integrated global pharma CDMO platforms identity.
We continue to be audited and inspected by leading global innovators and biotech companies and meaningful indicators of validation from large pharmaceuticals and biotech customers.
Regarding ADC business, our dual value proposition in both Camptothecin- based and Oristatin based creates a very rare payload depth among global CDMOs, the integration of linker synthesis, payload supplies and conjugation via NJ Bio further underscores Cohance's pivotal role in upcoming late phase and commercial ADC programs.
We continue to see healthy expansion in RFQs across all modalities, particularly in late phase and integrated ADC opportunities, including payload linker and bioconjugation. Being evidence of cross -selling opportunities, a large innovator with whom we have been partnered over three decades has recently shared one RFQ in the ADC segment.
In addition to this, we are also witnessing growing interest from other large innovat or companies in our ADC and oligonucleotide platforms , further validating our positioning in complex modalities and creating a new cross -selling opportunities across the platform.
We have initiated capital expenditure in the U.S. t o expand NJ Bio's bioconjugation infrastructure in line with our growth aspirations, as we work to meet some of our

customer requirements. During our last calls also, we did mention Oligo facility of CGMP is on track for validation by end of Q3 FY '2 5-'26.
Regarding Specialty Chemicals , while the first half of the year experienced an expected challenging macro- environmental impact, a sequential recovery occurred in the second half and the improvement in Q4 performance was also as expected.
We see a clear recovery trend heading into FY ‘2 6, although on a weak base, FY ‘2 6 is poised to deliver further growth as we move up in the value chain with existing customers and expand into new areas including graduation in the lifecycle to active ingredients.
The RF Qs are progressing well for the new projects from existing customers. FY ‘2 7 also should reflect continuous momentum of growth given the current traction that we have.
In the API + segment, we have delivered year -on-year growth of 9%. We successfully validated 9 products, and we have also done 8 filings. This is in line with our commitment to deepen our portfolio across the platform, specifically in the business segment of API +.
During the year, we also had two of our DMS reviews completed. Our visibility of FY '26 remains healthy, driven by new product launches, continued traction in our portfolio as well. We expect mid to single digit product validation in Fiscal '26 as well.
Overall, we believe FY '2 6 will be a pivotal year of acceleration and execution as a unified organization under the Cohance Lifesciences platform, we are in a better position than ever in serving our global customers with agility, flexibility, science, and sustainability.
Coming to FY ‘2 6 “Guidance and Margin Outlook ”:
Our key focus areas are going to be continue to strengthen our relationship and strategic partnership with our existing and new customers , drive large project wins and invest in the scale of tech- led part of the business , continue to add right assets with

the strategic value accretive M&A for the platform. As mentioned earlier, we expect growth acceleration in FY ‘2 6 with the delivery of double- digit growth and
have building blocks in place to deliver our strategic intent of $1 billion .
As per our previous communication, our business is non- linear, and annual
performance will be the most representative measure of business progress which is closer to reality . We expect Q1 FY '2 6 to be muted with the growth being way towards
the second half due to the shipment timings and customer inventory adjustments.
As we continue to invest in building the business ahead of the scale, as well as with
the full year impact of acquisitions in the growth stage, coupled with our advanced
investments in people for long- term sustainable growth, we expect our EBITDA
margins t o be in the low 30s in FY '2 6. The midterm target remains in the mid- 30s
with scale.
With that, now I hand out the session to Himanshu – our CFO, for the “ Financial
Overview” . Thank you. Over to you, Himanshu.
Himanshu Agarwal: Thank you, Dr. P rasada, and good evening to all.
Let me take you through the “ Financial Highlights ” for the quarter as well as for the
full year :

As we have reiterated many times, we operate in the lumpy nature of industry . The
annual performance trends are a better assessment of the growth trajectory. As
indicated earlier, we have delivered growth in FY ‘2 5 on a full year basis , and we
expect our growth to accelerate starting FY ‘2 6. We are excited about our business
integration and the opportunity that this platform would present to us.
For the full year FY ‘2 5, we ended the year with 9% year -on-year revenue growth
and with an EBITDA margins of 34%, in line with what we had communicated earlier.
For the Quarter 4 FY ‘2 5, our revenue grew at 20% year -on-year, supported by our
strength in Pharma CDMO and Specialty Chemical segments. The adjusted EBITDA
margins were at 31.3% , reflecting the business mix impact as well as integration of
recently acquired assets.
The CAPEX investment totaled to $3.1 billion, primarily directed towards capacity
expansion and modernization in most of our major platforms across the entire platform.
We had earlier communicated The GMP manufacturing capability on Oligo . That
continues to move ahead, and the NJ growth capital continues to get deployed. We
do anticipate a higher CAPEX spent in FY ‘2 6 with NJ Bio's expanded conjugation
commercial facility being set up.
We generated Rs. 3.6 billion in free cash flow maintaining a net cash balance sheet
with Rs. 2.9 billion in cash and bank balance. This is despite the strategic investment
of $8.1 billion for the acquisition of S apala and NJ Bio.
Looking ahead, our capital allocation will remain focused on scaling differentiated modalities , both organically as well as inorganically. We will continue our focus on
delivering integration synergies and operating leverage.
With that, I hand it back to Cyndrella.
Cyndrella Carvalho: Thank you, Himanshu. I now request the operator to open the Q&A floor.
Moderator: Thank you very much. We will now begin the question- and-answer session. The first
question is from the line of Mehul Panjuani from 40Cent s. Please go ahead.
Mehul Panjuani: Thank you so much for the opportunity. I have two questions. First question is, can
you elaborate on the rationale behind the acquisitions of Sap ala and NJ Bio? That
was my first question.
And second question with the current emphasis by the U.S. President on
manufacturing in the U.S., do we foresee that we will add more manufacturing sites
in the U.S. apart from the NJ Bio thing?
Vivek Sharma: Let me just try to answer that. Rational e for acquisition of S apala and NJ Bio, I think
we have been consistently saying as a tech, as CEO, we wanted to expand our
capabilities on technology and both ADCs and Oligo are fast growi

ng capabilities,
fast growing modalities that a lot of pharma companies and biotechs are investing
and investment in these capabilities have allowed us to enter and expand our tab
that we are now playing in a bigger space.
This has allowed us to get us access to customers, biotech as well as large pharma
that we would not have otherwise been able to at fast pace, a nd we can now go
ahead as well as grow these capabilities and then sell them our existing offerings.
Both these sites are going through capital expansion. With Sapala , since we

acquired, we are adding GMP capabilities to cater to customers that are looking for
GMP capabilities. And at NJ Bio, we are investing capital to expand their conjugation
capabilities so that we can offer more services to the existing customers , then grow
that business.

As you know, we had ADCs before through our site in Hyderabad and now with the acquisition of NJ Bio, we can now offer more integrated East and West combination
as well as linker payload and conjugation capability. So , that's the rationale for
getting into technology to really our vision towards $ 1 billion business by 2030. So,
this is a key piece in that space.
In terms of U.S. , I think we as a company had made that investment before the
government in U.S. changed it, before the new president actually came. And then
we continue to believe our vision of having an East -West combination and having
the capabilities where the talent is . With the acquisition of NJ Bio , not only we got a
business, we got capability, but we also added about 100 plus scientists. And as a
science driven company, we were really excited with what NJ Bio brings, and we will
continue to invest in expanding there.
In addition to that, as a company that has grown through M&A and organic both, we
are constantly looking for assets, which makes sense. There may be more investment, more assets, if you find the right one in the geographies. Right now, we
are very excited and continue to invest capital in NJ Bio as well as in Sapala to grow the technology as well as invest in it.
Mehul Panjuani: Just one follow -up question. Sapala is also in the United States.
Vivek Sharma: No, Sapala is not in the United States. Sapala is an India- based company. We are
expanding the capabilities. They have customers in the United States. They have
significant presence from customers in the United States. But the capabilities and
the offerings are all in India. We have commercial resources based in the United
States that help and support some scientific advisors based in the United States. But
capability -wise the delivery is all from India right now.
Moderator: Our next question is from the line of Abdulkader Puranwala from ICICI Securities.
Please go ahead.
A. Puranwala: Hi, thank you for the opportunity. My first question is with regards to the four
interviews you talked about supply starting. So, could you provide us some color as
to when the supply starts and some bit of a color on the therapeutic category which
the molecule pertains to?
Prasada Raju : Thank you for asking this question. Abdulji, at the current stage, we can only share with you that the Phase -3 pipeline has actually grown healthy. And today we are
sitting with 9 products as opposed to 1.5 years back , if you can recollect, it was only
at 2. Specific, we were told by our innovative partner that one product has four
intermediates which are getting commercial. At this stage, we would be only able to
share the details up to this extent. As you understand, we are governed by the CDAs
and we would not be able to mention beyond these details. I hope you understand
our situation.
A. Puranwala: Sure, s ir, fair enough. And, into your guidance for next year of double- digit growth ,
so just wanted to understand what would be the key growth drivers, including your
Pharma CDMO versus the Specialty Chemical s? How should

we look at FY ‘2 6 from
a growth perspective between both these segments?

Himanshu Agarwal: I think we have guided that Spec Chem is a business which is turning around. And
we see that in Quarter 4, it has poised a healthy growth. So, with Spec Chem coming
around, we expect all the three engines , so, as you would recollect, we have created
three engines of growth , the Pharmacy CDMO, Spec Chem as well as API. We
expect all the three engines to fire. Some stronger, some weaker, but all the three
engines would be on a double- digit growth.
A. Puranwala: So, in terms of enhancing your technical capabilities , so what are the kind of
capabilities which you like to add, say from a 2 to 3 years perspective, which are
currently missing in the Suve n portfolio or Cohance portfolio?
Prasada Raju : So, this is an ongoing effort, Abdulji, as maybe our past, if you can recollect, as our
Chairman was mentioning. When we started, we were only in one part of the antibody
drug conjugates, which is more of a payload. NJ Bio has actually brought in
bioconjugation and even linker capability , same is the case. We also feel advanced
modalities within Oligo can be a potential possibility. And we keep monitoring very
closely whatever is relevant which will accelerate the growth of the existing business
while it becomes an additional advantage to us. We have been constantly scouting.
Once we have a better answer, we will come back to you.
Moderator: Our next question comes from the line of Mehul Panjuani from 40 Cents . Please go
ahead.
Mehul Panjuani: Can you please elaborate on the timeline for commercialization of the 9 molecules
which we are actively working on?
Vivek Sharma: I think in commercialization, we are expecting that it will start soon. I mean, as you
know that it depends a lot of factors. These are customers' molecules. So, they have

Phase- 3, they have to wait, they have to file. There's a lot of effort. But we have said
that one molecule with four projects is getting commercial this year. And we hope that others will start on that progression path.
It is a lot of external factors actually that are dependent on, but the fact that we have
provided the Phase -2, Phase -3 material for the customer, there is discussions
around a lot of these things as they get a good readout and then they file for commercial. But right now the guidance we are giving is one product, four projects getting into commercial and we are hoping that others will also follow soon.
Mehul Panjuani: Is it possible to let us know which areas are these molecules in?
Prasada Raju : So again, we are slightly agnostic for any therapy. We are predominantly science
and technology -based product. Having said that, some of the products are in fast
track and breakthrough therapy starting from CKD to even oncology also. To that
extent, we can give a general response as of today.
Mehul Panjuani: And are all these 9 molecules with different innovators or there is a concentration as well?
Prasada Raju : Multiple innovators.
Moderator: Our next question is from the line of Shyam Srinivasan from Goldman Sachs. Please
go ahead.
Shyam Srinivasan: Just the guidance or revenue guidance of double- digit growth for Fiscal '26, how
should we look at it qualitatively between the segments, Pharma CDMO versus
Agrochem versus API ..

Himanshu Agarwal: As I said that, I think I responded to an earlier question from Abdul, that we are
looking at double- digit growth for the platform and with Spec Chem turning around,
which we have mentioned, we are looking at a double- digit growth across all the
three business verticals that we have very carefully crafted in the FY '25. So, that's
the guidance I would like to give you.
Shyam Srinivasan: Himanshu, helpful . In terms of , since we are also looking at the EBITDA margin
guidance, I know we ended Q4 at 31% and looks like the gu

idance for Fiscal 2016
seems to be the low end of that. So, what explains that from an integration
perspective, I noticed a Rs. 30 crore one-time expenses in pro forma consolidated
financials . Does that continue to remain for some more time, and which is why the
EBITDA margin dragged down? If you could help us , please.
Himanshu Agarwal: I think EBITDA margin is a temporary decline that we have called out that FY '2 6
would be a low 30s EBITDA. And there are multiple factors. I think predominantly I
would say that there is a business mix that is there which will play. There is also
operating leverage which will take time for it to play in. As you know we have invested
ahead of the curve and that would kind of play.
There is also an N J Bio which we are integrating. And that is a fast growth acquisition
for us. It does come with a lower EBITDA than the average EBITDA for the business.
So, there are actually multiple aspects.
I think we have also called out that there is an inventory de- stocking that is there in
the business as customers have come back and said that for a few commercial
molecules they do hold the inventory, and they are looking at pausing for FY '26. As
I said, there are multiple levers which is playing for this temporary dip in EBITDA of
low 30s for FY '2 6.
As I said that for mid- term, we will start growing and our mid- term guidance of mid
30s holds as it is. I will recall and I will call it back again. It is a temporary dip for
multiple factors. And we will start climbing EBITDA thereafter.
Shyam Srinivasan: Yes, it does. Just on CAPEX , lastly. Sorry , I am not sure whether I got the full year
number on a pro forma basis for Fiscal '25, a nd what is the outlook for ' 26?
Himanshu Agarwal: So, as we have called out, there is a Rs. 314 crore of CAPEX that is there on the Pro
forma P &L for FY '25. As you know that we had put in a growth CAPEX for N J Bio,
which we have started spending. So, as I have called out in the communication, we
are looking at NJ Bio's expanded conjugation commercial facility being set up along
with the regular CAPEX at the platform level and hence it will be slightly higher than
Rs. 315 crore that we have spent in the year FY '25.
Shyam Srinivasan: So, you are not calling out a number here, right, Himanshu?
Himanshu Agarwal: I mean, it will be difficult to call out a number at this stage.
Shyam Srinivasan: Helpful.
Moderator: We have the next question from the line of Foram Parekh from Bank of Baroda
Capital Market. Please go ahead.
Foram Parekh: My first question is on the ADC segment. So, we read a lot of news of ADC drugs
like NR2 and all are being qualified in their late- stage clinical trial for the first line of
treatment. We know that right now these are in the second line of treatment. So,
once they are qualified for the first line of treatment, how do we see our ADC segment

panning out? And currently, what would be the ADC proportion in the Pharma CDMO? And on the base of this positive outcome, where do we expect the ADC pie to grow into three years down the line?

Prasada Raju : Thank you, ma'am, for asking this question. We will give some industry related comments before we come back to a specific product. As you understand, 13 plus 2, 15 products which are approved as of today, there are two major products as of January of 2025 which have antibody drug conjugates with camptothecin- based payloads as an approved product.

Out of which one product is becoming a gold standard product because of a variety of reasons. More selectivity, as you have rightly alluded to. Across head to positive, negative to even additional non- small lung cancer also, therapy expansion is happening specifically for that molecule.

There is also an anticipation that it becomes a second line to first line therapy. When such kind of development happens, anybody who supplies the payl

oad to such kind of a molecule, obviously along with the therapy expansion, volume uptake also happens going forward. That's a broad way that we have it.

In terms of overall ADC, as what we learned in the last 7 to 8 years, while there is enough focus on various payloads, which includes PBD dimers, Orestatin- based and camptothecin- based. Camptothecin- based payloads are found to be the gold standard products with a drop rate projected to be less than 1% , whereas others are in the range of around 55% to 60% plus.

Good news is we are there very deeply in commercial scale. We have unique competencies of producing the product on scale from a regulatory approved site using our expandable OEB capabilities. Hence, we feel we will continue to be staying relevant in the expanded market going forward.

Foram Parekh: My second question is, right now we know that in Phase -3, we have like 9 molecules. So, on the basis of the reading of Phase- 1, Phase -2, is it possible for us to give a guidance to next one, two years line , how much increase in the Phase -3 molecules can be from current 9 molecules ?

Prasada Raju : Ma'am, if I may request, as you have heard from us, we have been heavily investing time and effort in terms of expanding our outreach to our customers. Past should set the precedence for future . Our starting point was two products. Now we have reached to nine products in less than two years' time frame. And our endeavor is to expand the basket further. We are quite hopeful that this basket will be further expanded.

Foram Parekh: And lastly, I heard that you have not called out for the FY '2 6 CAPEX number, but can you just give us like what can NJ Bio CAPEX be in FY '2 6?

Prasada Raju : Before I request our CFO to comment, I just wanted to also say this. We have taken to monitor what is more difficult to achieve, which is Phase- 3. But we also have active pipeline of Phase -1 to Phase- 2, meaningful higher double- digit number. So , that sets the tone that we will continue to expand our Phase- 3 molecules. With this, I would request Himanshu to answer this question on the CAPEX side of it.

Himanshu Agarwal: Foram, I think given the interest of everyone on the CAPEX , I think our sense is that it will still be in the range of around Rs. 350 crore as a total CAPEX for FY '2 6.

Foram Parekh: That’s helpful.

Moderator: Our next question is from the line of Hemaant Soni , an individual investor. Please go ahead.

Hemaant Soni: Congratulations on merger and thank you for providing me the opportunity. Sir, I have one question. I read in your presentation that we are guiding for a double- digit kind of revenue growth in FY '2 6. Will you be able to quantify it?

Himanshu Agarwal: So, Hemaant , this is Himanshu. I think I will reiterate what I have been saying in the call, that in FY '25 , we had very categorically said that Spec Chem was on the wrong side of the business cycle, and it will recover, which it has in as we see for the fall.

And having that recovery in , we had also established three engines of growth for us, which is Pharma CDMO, Spec Chem CDMO, and API. Our understanding is that all three engines of growth will fire and deliver double- digit growth for t he revenue.

Obviously, one would be higher, and one would be lower relatively , but they will all fire and deliver double- digit growth .

Hemaant Soni: I got your point that we are looking for a double- digit kind of revenue growth, but I just wanted a number or maybe a range.

Himanshu Agarwal: So, unfortunately, Hemaa nt, we do not give guidance beyond what we are communicating. So, you will have to allow us time.

Hemaant Soni: Any range is also fine . I am not looking for the exact number. Maybe, are we looking

for number in early teens or maybe mid-teens or late teens?
Himanshu Agarwal: I think it would be certainly in the te ens. So , we will define as to

what it is. I don't want
to get into early te ens or mid-teens at this stage.
Moderator: Thank you. We have no further questions. I would now like to hand the conference
over to the management for closing comments.
Cyndrella Carvalho: Thank you, Dorwin , and thank you, everyone, for joining and thanks for your time.
We will wait for the next quarter to join you back. Thanks a lot, everyone.
Vivek Sharma: Thank you, all of you.
Himanshu Agarwal: Thank you.
Moderator: Thank you. On behalf of Cohance Lifesciences Limited, that concludes this conference. Thank you all for joining us.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Aug 2025

CSD/BSE&NSE/2025-26
August 19, 2025

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: COHANCE

Dear Sir/Madam,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2025 conducted after the meeting of Board of Directors held on August 13, 2025.

This is for your information and record.

Thanking you.

Yours faithfully,
For Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)

Kundan Kumar Jha
Company Secretary, Compliance Officer and Head-Legal

Encl: as above

Cohance Lifesciences Limited
Q1 FY'26 Earnings Conference Call Transcript
August 13, 2025

Moderator: Ladies and gentlemen, good day and welcome to Cohance Lifesciences Limited Q1 FY '26 earnings conference call.
I hand the conference over to Ms. Cyndrella Carvalho from Cohance Lifesciences Limited. Thank you and over to you, ma'am.
Cyndrella Carvalho: Thank you Yusuf. Good evening everyone. Thank you for joining us today on Cohance Lifesciences Q1 FY '26 Earnings Call. This marks our first, full quarter operating as a unified platform under the Cohance identity.
Following the formal integration of our acquired entities and rebanding earlier this year, we appreciate your continued interest and support as we begin this next chapter of growth and execution.

Joining me on the call today are Mr. Vivek Sharma – Executive Chairman, Dr. Prasada Raju – Managing Director, Mr. Himanshu Agarwal – Chief Financial Officer.
Let me now invite Vivek to share strategic overview for the quarter.
Vivek Sharma: Thank you Cyndrella, and good evening to all. Q1 FY '26 has been an important start to the year, not only from an execution standpoint, but also in strengthening the foundation we have put in place over the past 12 months.
This was our first full quarter as Cohance Lifesciences, and I am pleased to share that the transition has been on track, both internally and externally, with increasing alignment across teams, customers, and platforms.
We remain focused on our core identity as a technology-led global CDMO anchored in scientific partnership, speed, and reliability. Our 3-pillar structure, Pharma CDMO, Specialty Chemicals, and API Plus continues to provide a resilient foundation for growth.
In line with evolving global sourcing strategies, we are seeing continued inflows of RFQs, reflecting both China Plus One and EU Plus One diversification trends. During the quarter, we responded to a healthy set of RFPs under this team, particularly in HPAPIs, small molecules.These requests are coming from established customers, expanding the scope of engagement further, and reinforces our positioning as a dependable CDMO partner for innovators looking to build supply security.
Among our many ongoing customer engagements, our recent visit to Japan stands out as a key highlight. We strengthen our long-standing partnership with a leading

innovator in ADC payloads, with discussions progressing towards broader strategic collaboration. We are also growing traction with other Japanese innovators across niche modalities, including oligonucleotides, small molecules, and our agrochemical and specialty chemical segments.
During the quarter, we saw encouraging momentum across our CDMO business, particularly in lateral engagements and differentiated modalities, such as ADCs and oligonucleotides. Our capabilities in payload linker synthesis and bioconjugation continue to resonate strongly with global innovators. At NJ Bio, our U.S.-based subsidiary, we received a significant new order from an existing customer for full ADC supply in early-phase payload linker synthesis to bioconjugation work.
To support this and to meet future demand, we have commenced expansion of a dedicated CGMP suite in bioconjugation at the Princeton facility by committing an investment of $10 million. This will significantly enhance our capacity enabling supply of full ADCs to clinical studies. We are pleased to share that our first adjacent payload program is under discussion, further strengthening our position in the ADC payload market, where our 2 leading payload categories together account for nearly 80% of current R&D pipeline programs.
Our CGMP oligonucleotide building block facility at Nacharam, backed by a INR 230 million investment is progressing on schedule, and is expected to be fully operational by the end of CY '25. Early-stage engagements with innovator partners are advancing well, with plant audits anticipated over the coming quarters.
To summarize, excluding the temporary impact of inventory de-stocking, our Pharma CDMO segment delivered over 30% year-over-year growth, supported by robust demand across key customer programs in high-value modalities.
Our niche technology revenue share has risen from the high teens in FY '25 to above 20% in Q1 FY '26 and is on track to approach the mid-20s by the end of FY '26. This segment delivered growth well ahead of the broader pharma CDMO business, excluding inventory de-stocking, underscoring our differentiated capabilities and strong execution in complex modalities. We secured another USFDA approval from our partner program, leveraging priority review and breakthrough therapy designation to fast-track its market entry.
Two additional products from our small molecule portfolio are expected to transition to commercial stage over the next 12 to 18 months. We are also awaiting responses from existing customers on pending lateral RFPs, which could translate into additional opportunities in commercial products.
During the quarter, we secured a life cycle management supply mandate from a leading global innovator for a branded product API, underscoring our position as an integrated CDMO partner of choice.
I would like to also take a moment to reflect on the broader organizational evolution underway at Cohance. As part of our strategic journey to build a best-in-class innovation-led global CDMO, we are pleased to announce the formation of the Cohance External Advisory Board. We have inducted 5 highly respected industry stalwarts into the External Advisory Board, each bringing decades of leadership experience across R&D, CMC, commercial and supply chain roles at leading global

innovator companies. Their diverse perspectives and deep domain expertise will meaningfully shape our strategic direction and customer partnerships as we scale. The External Advisory Board, EAB as we call it, will function as an independent panel of experts providing a strategic counsel to Cohance leadership on innovation, customer-centric growth, and operational excellence. This initiative reinforces our

commitment to long-term value creation and deep collaboration with global innovators, aligned with our vision to reach $1 billion revenue by 2030.
Dr. Sudhir Singh, who was running the CDMO

business, has decided to step back
from active executive responsibilities. And on behalf of the Board and entire Cohance team, I would like to extend our sincere appreciation to Dr. Sudhir Singh for his foundational contributions to building a CDMO platform and positioning it for sustained growth and global relevance. We wish him continued success in his future endeavors. Sudhir will closely work with us ensuring a seamless transition.
With our ambition to build a global technology-led CDMO from India, we have appointed Mr. Yann D'Herve as CEO of our CDMO business, a strategic leadership move aligned with our global growth agenda. Yann brings over 3 decades of experience, including nearly 15 years in senior CDMO roles, and has built trusted relationships with leading innovators across the U.S., EU, and Asia. His presence in the U.S., together with our expanding global leadership team, enhances our ability to operate as a unified platform. In parallel, we continue to strengthen our CDMO leadership, deepen our techno-commercial expertise, and expand modality-specific capabilities to stay ahead of evolving customer needs while scaling with agility, quality, and speed.
With that, I would now like to invite Dr. Prasada to take you through the segment performance and key operational updates. Dr. Prasada.
Prasada Raju: Thank you, Vivek. Good evening to everyone.
Q1 FY'26 has progressed across our businesses in-line with our expectations. We continue to strengthen our key customer engagements and advance our platform readiness in high growth modalities, positioning ourselves well for the future.
Across these technological platforms, we are now working with more than 19 global innovators, including our NJ Bio and Sapala customer network.
Regarding Pharma CDMO, late-phase activity and differentiated programs continue to drive. Scale-up traction is there. We signed several new CDAs and Master Service Agreements by adding top 4 large innovator customers across the platform, apart from a few mid- and small biotech companies, which indicates growing confidence from global innovators in our integrated model.
I am happy to share with you some of the prominent wins and key developments across the business lines. As shared by our Chairman, Vivek, we have secured a lifecycle management opportunity from a leading innovator for a branded product API. Despite its long-term, sustainable, and margin-accretive nature, this collaboration has immense potential to scale up in the years to come.
We have been chosen as a high-potent project which needs OEB4 infrastructure by a global innovator, validating our infrastructure and regulatory maturity. Commercial contracts for intermediates are under discussion with a large innovator customer under EU Plus One sourcing strategy. The continued ramp-up of payload linker program across both in-house at partnered platforms.
Our ADC platform continues to gain momentum across both payload and bioconjugation modalities. At our Nacharam facility, we also have finalized designs for addition of a new containment which is capable of demonstrating industry hygiene studies up to OEB6 levels to support a customized payload program for a large U.S.-

based innovator. This expands alliance with our increasing flexibility for growing demands of development, commercial supply quantities under this engagement.
It reinforces our high-potency competencies from a global regulatory approved site in India. We are also deepening our engagements with 3 additional large innovator companies beyond 2 ongoing commercial programs, reflecting a unique value proposition, sustained trust in our payload linker capabilities as an integrated global player. Cohance's first program in the adjacent payload family is under discussion, expanding our payload portfolio and strengthening our position across payload linker and bioconjugation workflows.
In parallel, we continue to engage

with both existing and new customers, seeing
growing interest in RFQs received for payload linker synthesis. These partners are

also actively evaluating our Indian-based linker manufacturing capability along with our Princeton-based bioconjugation suite, predominantly as a part of their long-term supply chain strategy.

We are expanding our offerings into next-generation modalities, such as pegylated antibody conjugates, sRNA conjugates and antibody-oligonucleotide conjugates, which are evolving space in the antibody drug conjugates.

Our ongoing development of versatile payload linker program for ADC supports these capabilities. We continue to invest in scientific talent, compliance systems and capacities, enabling us to deliver strong repeat business and deepen strategic collaboration with leading ADC innovators.

We have announced INR 230 million for GMP oligonucleotide block at Nacharam facility. As we explained in our last concall, it is expected to be fully commercial by end of CY, FY '25-'26. This leverages our expertise in modified nucleosides, log nucleic acids to scale up these chemistries from R&D to commercial manufacturing with up to a multiple kg slot in a fit-to-purpose GMP facility.

Overall, project implementation is progressing as planned and the qualification is near completion. It's important to notify the early customer interest remains robust and the platform will be a vital to our future modality mix.

Coming back to speciality chemical segment:

As we have alluded during our last call, customer engagement remained very positive. The AgChem business continues to have improving sequential recovery and the visibility is in line with our communicated expectations.

Performance Chemicals shipments are expected to ramp up in the latter part of the year. Overall, we remain confident of delivering full-year growth targets. We are also now focused on adding 2 more customers in this segment, while we deepen our existing relationship with the large innovator company.

Regarding API Plus and FDA business, it has delivered a strong performance backed up by deeper business fundamentals, scaling up of existing product portfolio, and a healthy pipeline that by securing orders in hand. We have validated 2 new products in API and are also on track for 7 to 8 new product validations and subsequent regulatory filings. Commercialization efforts of formulation projects are delivering expected results.

With this, let me now hand over to our CFO, Himanshu for the financial overview.

Thank you and over to you, Himanshu.

Himanshu Agarwal: Thank you, Dr. Prasada and good evening to all.

Our Quarter one FY'26 performance is in-line with our expectations, and the trajectory we had outlined earlier. As always, we encourage you to evaluate our performance on a full-year basis as quarterly trends may not be reflect the underlying momentum of the business.

Let me walk you through our Q1 Financial Year performance:

We reported revenue growth of 13% year-on-year in Q1FY'26, led by performance in specialty business and API segment.

Excluding the inventory destocking in Pharma CDMO, the revenue growth for the quarter exceeded 25%. While revenue recognition was back ended this quarter to the shipment timing and inventory destocking, operating indicators remained healthy and aligned with our expectations.

The Pharma CDMO segment posted a year-on-year 1% revenue growth in Q1FY'26. However, adjusting for the inventory destocking in the commercial products, which we had outlined earlier, the segment delivered ahead of 30% plus growth, driven by robust demand across key programs and high-value modalities.

We also want to highlight that our niche technology revenue share has advanced from a mid-teens revenue share in FY'25 to above 20% in Q1FY'26 and is well on track to approach mid-20s shares by FY'26.

Growth in this segment was well ahead of the Pharma CDMO business, reflec

ting

scale-up in ADC and oligonucleotides. We expect this segment to be a meaningful driver of our growth trajectory as the bioconjugation capacity expansion in Princeton, the cGMP oligonucleotide building block facility at Nacharam, and the customized payload linker synthesis ramp up in the U.S. and India, together in the coming fiscal years will deliver significantly higher margins.

The adjusted EBITDA margins reflects ongoing investment ahead of scale, and the integration of recently acquired high-tech growth assets.

During the quarter, we invested INR559 million in CAPEX, primarily towards capacity expansion on NJ Bio, final stage validation and Nacharam Oligo suites as well as debottling across core manufacturing platforms.

We generated INR 2.3 billion in free cash flow. We ended the quarter with a healthy cash balance of INR 4.4 billion on our books, underscoring our disciplined approach to capital allocation and operational execution.

We continue to maintain a healthy balance sheet and our capital allocation remains sharply focused on scaling differentiated platforms, enhancing modality readiness, and capturing operating leverage over the medium term.

We reiterate our FY'26 guidance, and we continue to maintain our long-term guidance of reaching USD1 billion, INR 85 billion in 2030. As we scale-up further, our medium-term plans to achieve mid-30s EBITDA margins remain intact.

In closing, Q1 has indeed laid the ground work for the rest of FY'26 and beyond. We remain focused on delivery, execution excellence, scaling differentiated platforms like ADC, oligos, and strengthening our position as a trusted global CDMO partner.

With that, I hand it over to Cyndrella.

Cyndrella Carvalho: Thank you, Himanshu. With that growth focus mindset, we are happy to open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Avnish Burman from Vaikarya. Please go ahead.

Avnish Burman: Good evening. Thanks for taking my question. My question is specifically on the Pharma CDMO side. The APIs that you would be making for innovator Big Pharma companies, I wanted to know whether you are exporting these APIs into facilities in the U.S.? Or are they majorly being exported into some European countries like Ireland and the formulation is happening there? So which is the major export country for your APIs under the Pharma CDMO?

Vivek Sharma: Thanks for your question. A major portion of this is going to Europe.

Avnish Burman: Okay. This is regarding the tariffs. My understanding is that APIs do not come under the definition of pharmaceutical as defined by Section 232 investigations. Is this understanding correct that APIs that are being imported into the U.S. are getting tariff as of now?

Vivek Sharma: We don't make APIs, we do intermediates, and they are right now not part of the tariffs that are being talked about. As far as we are aware, Pharma is exempt. And right now, we are exempt from any tariff discussions.

Avnish Burman: Okay. So right now, whatever intermediates you are producing, you are exempt. But are you exporting any of these intermediates into U.S.? Or is everything going into Europe?

Vivek Sharma: Predominantly Europe.

Avnish Burman: Okay. Just one more question. This is a hypothetical one. Let's see tomorrow, something comes out of the Section 232 investigation and there is a tariff number that is being suggested. Is there an agreement or an understanding on how will it get passed on in the supply chain, whether your customer will bear it or whether you will have to bear a part of it? Is there some color on that?

Himanshu Agarwal : Most of our current agreements with the customers are on FOB basis. We do not have the liability to pay the tariffs, when the goods reach the shore of U.S. So hopefully, that addresses the query that you have on the hypothetical question, if Pharma were to get tariff.

Avnish Burman: It does Himanshu, thank you so much.

Moderator: Thank you. Next question is from the line of Dhawal Khut from Jefferies. Please go ahead.

Dhawal Khut: We have been investing into building teams and building talent. So wanted to know what is our current BD team strength, especially overseas? And where are these

teams located? And what is the future plan? Do we still see a lot of aggressive hiring within these teams? That's the first question.

Vivek Sharma: Dhawal, thanks for your question. Yes, you are right, we have been investing in our front-end capabilities in all 3 major markets, U.S., Europe and Japan, Southeast Asia. So today, in North America, we have 4 PDs. These are all experienced CDMOs, several of them are PhDs that we have hired in the last 9 months or so. They are based in the East Coast and West Coast.

We also have added a resource, a very experienced ex-pharma executive in Europe as well as 1 very seasoned executive to the Japanese market.

Now in addition to that, NJ Bio also comes with it many capabilities. So we have ADC specialists and they have 2 PD resources essentially that are focused on ADCs.

We also have our Sapala resources. So they have a few resources in Japan as well as one resource based in India that travels. So a combination of all of them is about 10 resources, 11 resources, that are really helping us build brand and then growing customer relationships and integrating with customers. I just wanted to clarify this is pure CDMO business, right? Yes, in addition to that API Plus has its own separate, Specialty Chem has its own separate team.

Dhawal Khut: Do you think we have the right team sizes? Or you think there is some room to augment it further on the CDMO side?

Vivek Sharma: It's not about quantity. I think it's the quality of people that we are focused on. So I think U.S., we will announce some more people, I think as time progresses to really add to people with some unique experiences as well as unique capabilities. But I am actually very excited about this Customer Advisory Board that we have really engaged with. These are very experienced people. So with the combination of Customer Advisory Board, our PG team, and with Yann coming in, and several of us really putting a lot of time on front end. I am very excited, I think, with the teams that we have. And this is a process of evolution. You may add 1 or 2 resources here and there, but we are not looking for major expansion in the quantity of team. We may add 1 or 2 people if required, but there's no major expansion plans there. There's a lot to be done with the team that we have, and we are excited I think with the potential. CPHI is coming. We are already blocking our calendar, sort of meetings are lined up. Other events are coming. This comes back in the U.S. in a few weeks. So the team is really excited. There is lot of effort going on with the existing teams. We feel the need. We will be happy to even bring some specialist people, in order to help us accelerate the growth.

Dhawal Khut: It was helpful. Secondly, there are many payloads, where our payloads are going to other global CDMOs. So in those cases, does the end innovator know where is the payload coming from? Or is it completely at the discretion of the global CDMO, where the payload and linker is coming? Or the innovator is just informed about it. But again, the final decision is with the CDMO or is it the other way, where the innovator mandates the CDMO to use payloads from certain manufacturer. How does that supply chain and decision-making work?

Vivek Sharma: Dhawal, that's a very good question. Final decision is fully with the innovator, and innovator is fully aware and is part of the decision-making process on selection of the products that we supply. And our product is a key part of the end-to-end supply chain that is required for the end molecule that the customer

has presented.

As recent as a few months ago, I personally met the end customer, the final customer. So yes, they are fully integrated, and they are fully aware, and they are fully involved with us in the decision-making process, and the future plans for that product and the other products they might want to launch that's required that material or a similar material.

Dhawal Khut: Got it. One last bit. As a firm, do you think mAB manufacturing or antibody manufacturing looks an area that we would like to explore if any inorganic opportunity comes up or whatever, even trying to build it organically? Or you want to focus within the peptide/small molecule space? And other key commissioning, which are highlighted within the PPT?

Vivek Sharma: Yes, Dhaval, we are a customer-centric organization. Our focus is to grow with customer and invest with customers. Even the investments we have announced are very customer focused in terms of where the customer needs it and where customer is growing.

Our discussions with customers have reflected that they want to control the enough supplies, they have enough resources, they want to do it themselves. From our perspective, the lens that we go with, we haven't seen much need and desire actually for customer to really partner with us on that space, you know, the customers that we work with.

And in the capabilities that we have invested in, whether it is the small molecule CDMO, whether it is oligo or the ADC, we see a lot of potential to really grow, a lot of pipeline discussions, a lot of early stage discussions that can move to advanced stages. So, we want to remain focused immediately in those spaces and then penetrate deep and expand and extend our relationship with customers. Right now, we are not looking any math capabilities to acquire.

Moderator: Next question is from the line of Harith Ahamed from Avendus Spark. Please go ahead.

Harith Ahamed: Good evening. Thanks for the opportunity. My first question is on the de-stocking which you alluded to. Is this specific to a particular product or one or two products? Or are you referring to a de-stocking situation which is more general across the portfolio?

Himanshu Agarwal: The de-stocking that you referred to is specific to few products. I think we had

mentioned it earlier as well. Just mentioned, it is related to two large commercial molecules that we are experiencing the de-stocking right now.
Harith Ahamed: And the second one is on this new expansion that you announced at Nacharam facility for oligonucleotides. So, just trying to understand how exactly this expansion enhances our offering on the oligo side. What exactly are we capable of supplying now versus what will be our enhanced capability going forward post the expansion?
Prasada Raju: Our starting point of oligo is predominantly research-driven. And the important requirement for us is to abilities to have cGMP capabilities. That is where we have started looking at it.
We also have mapped what could be the potential sub-segment of these modalities where needs immediate scale up based on the customer interest. And we have figured out nucleosides is one modality sub-segment they are looking for. Locked Nucleic Acid, not many companies in the world can actually make it to the extent of purity what we make.

These are all the few decision drivers which have actually triggered for creating a GMP capability. And we are pretty sure with the customer interest what we have received, we should definitely be able to expand our R&D capability to a cGMP level of manufacturing.
After then, there is also a logical extension. And we have clearly laid down our internal thinking process as well. This is the first step of our business progression. And once we lock in some of the customers, we also have a further capacity expansion to make the final oligonucleotide at scale. So, this is the broad plan th

at
we have, which cannot happen unless you have a multi-kilo level cGMP manufacturing capability.
Last but not least, it is also important to understand these capabilities have to exist in a regulatory approved plant. This particular block is coming in in a USFDA approved site, so, which gives the comfort for the innovator companies to come and qualify us. I hope this answers your question, Harith.
Harith Ahamed: Yes, sir. That is helpful. And then the last one is on the expansion at NJ Bio. Your release talks about post this expansion, supplying Phase 1 to clinical quantities. But when I look at our payload capabilities, we already supply at commercial scale. So, how should we think about further enhancing our bioconjugation capabilities to commercial scale?
Vivek Sharma: So, Harith, you know, at NJ Bio, as we move, we are adding capacity on conjugation suites. As part of acquisition of NJ Bio, we also have facility available very close to Princeton and NJ Bio, which can be converted at a very fast pace to build commercial capability.
And as customer progresses, as I said, we are investing behind customers. As customer makes progress on the molecules, let there go, we can convert the facility. It is actually a semi-built facility that is already ready in a pharma park with lot of basic infrastructure. The time to make this existing site to a commercial is very fast. However, we are investing where the customer needed and with this customer that we are working and the others that we are talking to. As the molecule progresses from the stage that we are working, if we see the need, we have plans ready that we can very quickly expand into commercial capability and then work accordingly.
Right now our focus is to really finish this site quickly and then take the molecules forward and deliver on what we had and then see the readouts and then accordingly invest capital behind our customer growth.
Harith Ahamed: Understood, sir. Thanks for taking my questions.
Moderator: Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Just one question was on the 1Q performance and relative to what the Fiscal '26 outlook is. Sir, margins have come in lower, and even if you adjust for the one-off expenses, 23%-24%, you've guarded for a low 30% kind of margin. So, what gives us confidence?
You also mentioned about these de-stocking. I presume it is in CDMO. Just want to understand how should the rest of the quarters pan out and what gives us the confidence of the guidance for Fiscal '26 remains intact?

Himanshu Agarwal: As mentioned during the call, we have reiterated our guidance both for FY '26 and more importantly for the FY '30 or 2030, $1 billion. So, we remain committed to delivering the $1 billion, INR 85 billion in 2030.
If you notice, we have kind of carved out the impact of the destocking molecules. And as we know that CDMO business has these peaks and troughs. And we had

called out that there are two commercial molecules where we are experiencing de-stocking.
If you isolate that, and if you peel the onion, you realize that pharma CDMO has grown at around 30% and all three engines are actually firing. Because you look at spec chem, it is growing at 28%, API has grown at 90%. So, while we have always maintained that this is a business which we should not look at quarter-to-quarter, and that is what I will stay firm with you as well. We should not interpret anything from a quarter-to-quarter business.
I think the most important thing that we have also called out during the quarter is the contribution coming from the niche technologies. And we have mentioned that the niche technology share of the total revenue has steadily grown from mid-teens in last year to early 20s. And we are expecting it to be mid-20s as we end FY '26.
I think that should also give us confidence of how the niche technologies, w

hich is
where we are building a platform, and we are calling that out very categorically for 2030, is growing.
So, I believe that we remain firm on our 2030 guidance of $1 billion, as well as mid-EBITDA, which we have called out.
Shyam Srinivasan: Himanshu, thank you for that, but I was more looking at '26 only. So, if you could just rehash and tell us what the current year guidance only is because maybe there are some confusion on the previous call. So, what are we calling for organic growth for Fiscal '26, full-year? And what is the margin levels that we are expecting for full-year Fiscal '26?
Himanshu Agarwal: Shyam, thank you for this question because it helps me clarify our position very clearly. So, see, for us, the organic and inorganic are two sides of the same coin. It is about capital allocation. And I think as an organization, we do believe, we have created this platform in the last 5 years, based on a mix of organic and inorganic.
So, that is the way we have been. And we do believe that we have the secret sauce of integrating first finding out, leveraging those assets, buying them, and then integrating to create a niche technology platform. That is what we have been doing.
So, for us, inorganic growth is a core part of our thesis. And you will see that we continue to add value-accretive, high-quality businesses. I think we should consider this as an appropriate use of our capital to acquire capabilities, geographical presences, as well as customer versus other organic model of doing CAPEX and building the same over a longer period of time. For us, inorganic is a way to scale up business, and ultimately, the investment in CAPEX will yield the right results for us.
So, I would urge you guys to kind of think about it in the way we look at and not separating it as an organic or inorganic. It is just a capital allocation philosophy. And maybe our philosophy may be slightly different in the way we run our business.
Shyam Srinivasan: Thank you, Himanshu. I have not got the answer, but I will take it offline.

Moderator: Next question is from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader P: So, my first question is with regards to the opening remarks on your interaction with the Japanese customer. So, where are we in this discussion now? And do we have any visibility of certain onboarding of certain plans or certain new projects coming in, in the near term?
Vivek Sharma: Thank you so much for your question. Our relationship is very strong. We are heavily committed to that part of the world. We have a full-time, very experienced, dedicated resource just for the CDMO business in addition to the Oligo resources and actually all different parts of the businesses that we have, all three engines. Actually, that is a very unique thing. CDMO, API, specialty chem, ADC, and Oligo. All five of them are seeing interaction from Japan area.
This recent trip that I did, we met with a lot of existing customers, a lot of new customers along with actually Dr. Naresh and also we met with some very large innovators and had very exciting meetings. I am happy to share Dr. Naresh is actually going back again because customers want to see him and discuss some of the important things.
So, in addition to existing relationship, we have actually onboarded a new customer, which I talked about in my opening remark. It is also from Japan on a CDMO. That is a commercial molecule. That tech transfer is going on. That is scaling. And we are expected to reach its full potential at least based on our projection the next year, year-and-a-half timeframe, right? So, that is happening.
On the spec chem, actually, we have onboarded a Japanese customer last quarter, and we are doing a very early phase work with them, and that is looking very, very promising.

So, we have multiple relationships with Japan. We continue to invest time, and I am
p

ersonally committed to see a lot of growth coming from that area. The relationship with customers is very strong. And we are excited, I think, with the potential with existing products with same customers, with new products with the same customers and the new customer pipeline that we are developing in that area.
Abdulkader P: And just one more on your API business. How does this fit into the entire scheme of things when we are approaching innovators and at the same time we have this generic business? So, what is the perception that the innovators would have when we are into a generic kind of a business or a business model?
Prasada Raju: Thank you for this question to clarify ourselves. The very fact that we have defined our thesis for API+ is not to compete with the innovator companies on Paragraph IV filings. It is more of a matured product with a deeper cost leadership position by securing global capacity where we can gain a market leadership position. Those are all the products that we always play.
On the contrary, you must have followed our commentary in the early part of our con call where we mentioned one of the branded products was qualified by the innovator company which API belongs to them?
So, what it implies is we become a lifecycle management solution providers for the innovator companies for their matured molecules. In fact, it actually complements our strategy of CDMO by complementing our overall skill set about API.

As you understand, the skill set and the regulatory environment that is required for making intermediate to API is completely different. So, we have that unique competency and that complements and propels the growth of both the engines of CDMO as well as API+.
Vivek, you want to add something?
Vivek Sharma: No, I think you complemented. So, we are seeing good traction, Abdul, just in addition to the one that Dr. Prasada talked. I actually had a discussion with a different customer recently and they were looking at different businesses and when they looked at our products, they were very excited and they immediately started inquiring about two APIs that we do because they are securing it from a very high cost area and the immediate inquiry was, can we work with you guys..
I personally see it is very complementary. It is helping our customers and the innovators actually optimize their costs, accelerate their speed, and then even have alternate sources in certain places.
Abdulkader P: And so, final one is for me. So, your capacity expansion at NJ and Sapala, so when does that come on board? And when you talk about the niche specialties scaling up to, say, 25%, is that going to be driven by the new capacities for your building block?
Vivek Sharma: So, the expansion of Oligo site at our Nacharam site is actually in late stages of construction. We expect some validation and other things to happen next quarter.
And I think by the end of this calendar year, we should have it live. We are actually already having some active discussions with customers to really bring some products there.
ADC sites, the work has already started. And the timeline for that could be early calendar next year, somewhere at that time frame. A lot depends on, I think, some of the other factors there. But we are aggressively pursuing and trying to force the contractors to finish it before the end of fiscal year.
So, we should see some traction this year. Our hope is that on both of them, we are having active discussions. We should see, sign up some contracts. But next year, we will see a full-fledged impact of those sites.
Abdulkader P: Thank you for answering my questions.
Moderator: Next question is from the line of Chirag Shah from White Pine Investments Management. Please go ahead.
Chirag Shah: The first question I have is this one-time expenses that we have, when can we expect them to not appear in P&L because the way I look at it, the more

we do M&A, the
more this one-time will keep on coming. So, if you can throw some light on this one-time expenses that you classify, is this the last year assuming there are no further M&A or is there a last quarter? That is one because that is a significant part of our EBITDA bridge. That is why I am asking.
Himanshu Agarwal: For us, what we do is we classify the non-operating related expenditure into the one-time expenses. The nature of business is such that we have an employee ESOPs and that we categorize as one-time expenses or these appear as whatever you wish to call them, these are the adjustments that appear there, right?

For us in the current quarter, we have also incurred certain professional and legal services, which is associated with talent acquisition and contractual compliances.

Now, these are actually part of our ongoing commitment to secure top talent and protecting company's intellectual property as well as competitive positions.
In auditor's view, this was considered as a one-time expenses and it was classified as such. So, that is what they are pertaining to this quarter. I think it is very difficult for me to answer a question about when they can disappear. I mean, I would be as interested as you that they disappear. But that is the correct nature of the business.
Chirag Shah: Because in '24 we had the reasonable amount. In '25, we had a reasonable amount of one-time. And your EBITDA bridge really changes simply because of this number. I understand Forex is a different thing altogether and I appreciate that. So, that is one.
Second question is just again coming back to F'26 outlook. The way to look at this is there has to be a significant ramp up in H2 CDMO for us to have a 30% kind of margin given the way that Q1 has played out. Is this the right understanding or assumption for us to be closer to 30% margin, H2 has to be a significant ramp up in pharma CDMO?
And a related question is, this 30% adjusted growth in pharma CDMO you called out, any indication from customer by when this inventory de-stocking will get over or at what stage they are? Because that...
Vivek Sharma: Chirag, I think two points. One, we have reiterated our guidance for FY '26. Number two, we have commented that we are a long-term business. We are investing in the business to deliver a $1 billion by 2030 and mid-30s EBITDA. I think that is the guidance we would want you to look into and consider.
As far as destocking is concerned, allow me to finish my second part of the question. As far as destocking of the commercial molecules is concerned, we had mentioned that it is a year phenomenon. At Quarter 1, it is very difficult for the customer to share any appreciation more than what they have shared at this stage.
Chirag Shah: This is helpful.
Moderator: Next question is from the line of Vivek Agarwal from Citigroup. Please go ahead.
Vivek Agarwal: The question is related to API supply contract that you got for a branded product. You have mentioned in the opening remarks. So, just want to understand what kind of the product it is, and what is the overall market size of that product at an innovator level, and from your end, when you can commercialize that product?
Prasada Raju: It is a commercial product for us in that we are not making for customers. Based on our experience of making this product with long-term stability and our proven track record, customers actually qualified us, which enables us to increase our market share from what it is now to a substantial level. At this stage, we can share up to this extent.
We will definitely be the dominant market player for this particular product with this new addition of the innovator as a lifecycle management solution. We can be one of the largest in the globe for this molecule.
Vivek Agarwal: So, this product is already commercialized by the innovator in the market actually, if I understand.

Prasada Raju: So, already commercial for the innovators, and they have been sourcing from one of the European counterpart. Because of their strategic change, they are looking for a long-term sustainable partner outside of Europe. That is how, it is a long process. It took almost six quarters' time to reach to the stage what we are talking about. Otherwise, it is a fully, fully commercial product for the innovator under their own brand.
Vivek Agarwal: And what would be the overall market size of the product at an innovator level?
Prasada Raju: It is difficult to put that number attached to it right now.
Vivek Agarwal: No problem at all. Just one more question around this destocking. It is quite common in the CDMO business, right? So, is it possible for you to highlight what is the reason for the destocking by the innovator? And is it possible you can see some kind of a ramp up in the coming quarters from these couple of molecules?
Himanshu Agarwal: I think it is a customer specific point which is there. I am assuming that it would be a function of many subjects including inventory management and the commercial demand from their side.
Vivek Agarwal: So, for these two products, whatever supplies that you made in this particular quarter, so these are likely to remain more or less similar for the rest of the year. Is it the right way to look at?
Himanshu Agarwal: Sorry, Vivek, your voice is not clear for us. Could you please repeat the question?

Vivek Agarwal: No problem, I will take it from Cyndrella later.
Moderator: Next question is from the line of Dhawal Khut from Jefferies. Please go ahead.
Dhawal Khut: On the 2030 guidance, which is a $1 billion, how much you think the current platform can get you up to? Very, very, very ballpark because, let's say, in Fiscal '25, we were at almost $335 million and we need to reach $1 billion. So, that is almost a gap of $660 million. So, how much of this delta can the current platform bridge?
I won't hold on to those numbers because I know it is early days. But you think like 80%-90% of it is achievable by the current capability, you just need to invest into the capacities and maybe inch up on the capability curve, or you think there are big missing gaps, and the current platform can get maybe 50%-60% of it, and there are other capabilities that you need to really get into the market, and post that, you will probably be able to get into the rest of the delta of this 2030 guidance?
Himanshu Agarwal: Dhawal, honestly, you know, we could go for an hour on this particular subject. I mean, obviously for us as an organization, there is very deep work that has been done before we have articulated this. I am genuinely struggling as to where to start and where to end the answer to this question.
Let me give you a pointer. One of the reasons we have called out the niche tech and the share of revenue is for the very reason for the investors to appreciate and understand how we have been investing behind niche tech and how that share of revenue is growing.
If I mention what we have articulated, we were at mid-teens in FY '25. We have increased the share of revenue to early 20s, and we are guiding to mid-20s in niche tech. And if you look at some of the earlier materials we have shared, niche tech is

slated to grow upwards of 22% to 25% in the market. And we believe that we can get a dominant share there.
So, I would like to end it here because I think this is a subject where we could spend a lot of time working together on this and helping you relate to the entire strategic direction of the company.
Dhawal Khut: And secondly, from a tariff standpoint, how does the math work on the spec chem., ag chem? Is it exposed to the U.S.? Or do you think the exposure to the U.S. is extremely low and that is not really an area to be looked into?
Himanshu Agarwal: Our supplies in ag chem. are to LATAM. So, we are not exposed to you guys. In the spec chem, on the Olig piece, our customer is specifically willing to pick up the tariff if and when the tariff was to get implemented. So, we are not having an exposure on either of the two segments on the tariff side.
Dhawal Khut: This is helpful. Just a few bits on the bookkeeping side. So, what was the reason for other income? And how do you see that going forward?
And secondly, on ESOP charges, what year do you expect them to hit our P&L? And what could be the ballpark quantum? Will it be sort of a starting number next two, three years?
Himanshu Agarwal: ESOP charges is not a static number. I think it has been variable in FY '25 versus '26. In all fairness, we have been waiting for completion of the merger. There will be further ESOPs which have to be granted, and hence the charge will increase on the ESOP.
Dhawal Khut: So, what kind of charge are we expecting for '26? Any expectation for '27 as well?
Himanshu Agarwal: No, it is too early. I have to work with our HR colleagues. I don't have visibility to share with you at this stage. Please allow me some time.
Dhawal Khut: Yes, sure, no issue. And on the other income, how do we see that shaping up into next few quarters and for the year? Because from a Q-o-Q standpoint, there is a significant fall. Was a payment for some of the acquisition done in 4Q or is there something else? Is it PLI income? Something, something else?
Himanshu Agarwal: No, no, I think we need to, okay, a majority part of the other income was the Treasury-related income, which was invested when we acquired the assets of NJ Bio and Sapala. So, that is what has led to the decline in the other income apart from other minor elements of it.
Dhawal Khut: So, this is the sort of number that we can look forward to in the next few quarters. Is that right understanding?
Himanshu Agarwal: Dhawal, you will have to really excuse me for these kind of questions.
Dhawal Khut: No problem.
Himanshu Agarwal: See, the cash balance will determine the other income, right? And we are reporting healthy cash in the balance sheet.
Dhawal Khut: Thank you.

Moderator: Ladies and gentlemen, we will take that as the last question for the day. I would now

like to hand the conference over to the management for the closing comments.
Cyndrella Carvalho: Thank you, everyone. We look forward to our next call. Thanks for your time and joining us.
Vivek Sharma: Thank you.
Prasada Raju: Thank you all of you.
Himanshu Agarwal: Thank you, everyone.
Moderator: Thank you, sir. On behalf of Cohance Lifesciences Limited, that concludes this conference. Thank you all for joining us.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Nov 2025

CSD/BSE&NSE/202 5-26
November 17, 2025

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: COHANCE

Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2025 conducted after the meeting of Board of Directors held on November 12, 2025.
This is for your information and record.

Thanking you.

Yours faithfully,
For Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)

Kundan Kumar Jha
Company Secretary, Compliance Officer and Head -Legal

Encl: as above

Cohance Lifesciences Limited
Q2 & H1 FY26 Earnings Conference Call
November 12, 2025

Cyndrella Carvalho: Good evening, everyone. We appreciate you all joining us today to discuss our Q2 and First Half FY26 performance. On the call with me today I have; our Executive Chairman, Vivek Sharma; our Whole-Time Director and Chief Financial Officer, Himanshu Agarwal; our Pharma CDMO CEO, Mr. Yann D'Herve; our Business Head, API Plus, Mr. Gunjan Singh.
Now, it is our request that Vivek share his first perspective on the quarter and then the organizational transition and then Himanshu will walk through the financials and the other leaders will walk through their sections. And once we are done with all thi s, we will open the floor for Q&A.
Now, I will hand it over to Vivek.
Vivek Sharma: Thank you, Cyndrella. Good evening to everyone on the call. Let me start by putting this quarter and the first half of FY26 in context. As we continue our journey of operational consolidation and capability transition for Cohance, we are moving from a phas e of integration to a phase of capability amplification, building the organization, science platforms and the governance needed to support our next leg of growth.
Considering the leadership changes, the Board had approved a revised organization structure that is reflecting our multi -business portfolio and expanding global footprint and position because Cohance strongly on its path forward towards the U.S. $1 billion vision.

Over the past year, we had established three distinct business verticals, each led by highly experienced and accomplished industry leaders who bring deep expertise and proven track record in their respective domains and each has full operational ownership and accountability. Today, we also have on the call with us Mr. Yann D'Herve, CEO of Pharma, CDMO of EU, and Mr. Gunjan Singh, who Heads our API block chain.

During the year, we have significantly strengthened our leadership and technical talent base across all three business units, adding senior professionals a t Vice President and above levels of top global and Indian pharma companies. R&D operations, quality and business supplement functions have been augmented, supported by a growing pool of scientists who are PhDs, highly experienced, process small molecules, ADCs, and oligonucleotides.

These additions have deepened our execution bandwidth across India, U.S., and Europe, creating a more agile, science-led, customer -centric organization aligned to our long-term growth vision. We continue to be focused on business building both for near -term and mid -term.

Let me highlight some of the progress made across businesses in the year so far; first, on the pipeline and approval. During the quarter, one of our late phase molecules in the respirat

ory inflammatory
segment received U.S. regulatory approval. This is an important milestone for our CDMO platform,

reflecting our ability to support customers end-to -end from early development to late phase, tech transfer and finally into commercialization. Our newly added customer relationship is programmed in -grant with phase 2 orders and higher engagement discussions. We have successfully added three active biotech relationships in Asia.

Second, on customer engagement and market positioning, we had a very active participation at recently concluded CPHI in Frankfurt, where we formally unveiled Cohance's brand identity. Our senior team met with over 340-plus customers, a balance mix of exist ing partners and new prospects across the U.S., Europe and Japan.

A few themes were very clear. Innovators continue to actively look to deal in supply chains beyond China. This is also evident from RFQs across Cohance, but also across the broader Indian CDMO players. There is a strong and growing interest in high- potent ADCs and oligonucleotide capabilities.

In our positioning as a technology -led global CDMO, integrating small molecules, ADCs, and oligonucleotide capabilities across the U.S. and India is resonating well with innovators worldwide, and several discussions are in progress. While these conversatio ns will start with a small business, we continue to be positive on the potential.

Thirdly, on quality and delivery, we completed four major customer audits across our CDMO facilities successfully. At the same time, we did see some timing -related shipment deferrals, particularly in small molecules, two large commercial molecules, de-stoc kings and NJ Bio shipment deferrals from early effects of funding winters for a smaller biotech and the Nacharam FDF site shutdown which has weighed on the reported growth.

Stepping back, our macro reach too has not changed materially from Q1. Demand from large innovative customers remains positive. Early -stage biotech segment is still selective, but showing early signs of recovery, and European innovators continue to diversi fy their supplier base, which aligns well with our capabilities. In parallel, our external advisory board is now fully active and engaged. We have onboarded industry veterans with several of them having past experiences at large global innovators.

The EAB is helping us sharpen our long- term capability roadmap, guiding our customer -centric strategy. From a business standpoint, I believe it is important to highlight the challenges we are currently facing. Pharm de-stocking in some key molecules and de layed reloads of a few Phase II, III molecules affecting near -term growth, Nacharam plant shutdown , awaiting audit clearance to ensure best quality and regulatory practices, order shipment delays for FDF due to plant shutdown. Production has now resumed in phased manner. Slowdown in biotech funding, NJ Bio has seen some project shipments pushed by 2 -3 quarters due to extended CM C timelines from partners.

With that backdrop, I will ask Yann to take you through the pharma CDMO performance during the progress at NJ Bio and Sapala, and the latest for its small molecules, EDC and oligonucleotides, followed by Gunjan to give you an overview of API process. Yann, over to you.

Yann D'Herve: Thank you, Vivek, and good evening, everyone. I will cover the performance of our pharma CDMO platform and then comment on visibility as we go ahead. On the small molecule side, performance continues to be anchored by late phase and commercial programs fo r global innovators.

We are very pleased to see one of our late-stage molecules receive U.S. regulatory approval during the quarter. This milestone is significant, especially because we are delivering four key starting materials for these molecules using preliminary applicatio ns. Not only does it reaffirm our ability to support late -phase and launch programs from a regulatory and quality standpoint, but it also opens up a multi -year commercial revenue stream as the product

runs post -launch.

Beyond that program, our pipeline continues to broaden and mature. The reasons why clients come to us is our long- track record in high -potent chemistry, complex chemistry and ability to scale and accompany the molecule from Phase I to commercial. We are cu rrently executing nine Phase III molecules of which 4 are expected to transition into commercial supply over the next 12-18 months, and two have already moved into launch -stage delivery.

Many Phase II programs are progressing towards validation and scale -up, many of them across high - potent and complex chemistry. Our on- time delivery rate remains above 95%, underscoring the operational maturity of our team. This was praised by many customer s at CPH I.

The RFQ funnel remains strong, with many new proposals received in Q2, spanning Phase 2, Phase 3, and commercial supply. Importantly, the share of late-phase RFQs has nearly doubled in the first half of 2026 versus last year, and many are reloaded from exi sting large innovators, a strong signal of customers' stickiness and confidence. The remaining share is driven by new biotech and mid -size innovators seeking reliable partners for complex, high-value intermediates.

These are exactly the kind of projects that deepen customer engagement and enhance mid to long -term visibility. We remain focused on ensuring progress across all requisite input metrics to ensure sustained mid to long -term growth, given the lead time in th e business. On ADCs, customers come to Cohance and NJ Bio for the science, the know -how, the technology, which enables their IND filing.

We have a large base of loyal customers that is growing. The product offering already used in commercial products, a payload from India, for example, brings confidence that we can scale. In ADC, the ability to develop and to accompany our customers as thei r drug products move through clinical phase is a strength, and this allows to build a strong business.

All that we do here is based on customer centricity. We are building a conjugation suite to accompany our customers in Phase 2 in USA at NJ Bio. We are executing a complete business continuity plan for s-Trione, a key intermediate used in commercial ADCs. We are offering this key intermediate from a second site with the support of our customers.

We are developing our portfolio of payloads, with three new payloads being launched this fiscal year. We have opened a new high- potent capability in India up to OEB6 for customer projects, and there is a good response from the market with new projects.

What we can see at the moment is that customers are coming to Cohance and NJ Bio with challenging scientific problems to solve, as they understand better what we can do for them with a combination of NJ Bio and the commercial payload capability.

Across customers, we continue to see healthy traction from both large innovators and biotechs, many of whom are consolidating suppliers and prefer to work with integrated partners capable of managing better linker synthesis, conjugation support, and analyt ical characterization under one umbrella.

Our India -US model gives us a distinct advantage here, with NJ Bio handling early development, conjugation support, analytical methods development, and our India facilities focused on payload and linker synthesis at scale. We can offer an end -to-end reliab ility with cost efficiency, something increasingly valued in the ecosystem.

On oligonucleotides, we are still in the early build phase. The progress in FY26 so far has been encouraging. Our larger -scale oligo building blocks, cGMP and non-cGMP facilities has now been inaugurated. We are working on more than 35 active molecules acr oss building blocks and drug subsets.

We have repeat orders from key customers in the US, EU, and Japan, and our first GMP orders from customers are scheduled between October and November 2026.

We have also initiated work on s

pecialized chemistries, including GalNAc and certain modified ligands, which should further differentiate the platform over time. In the broader market, there has been encouraging validation for next -generation oligonucleoti de chemistries, particularly tricyclo -DNA - based antisense platforms, which are gaining recognition under industrial -scale initiatives in Europe. This reinforces the growing relevance of such chemistries in rare and orphaned indications and aligns well in t he direction where Cohance has built its own oligo capability.

Let me now specifically talk about NJ Bio and Sapala. At NJ Bio in the US, we have added 17 new biotech customers. We have completed three ADC project conversions, early phase, and we have orders from three large innovator companies scheduled in the second half of this year.

We have successfully completed a GMP conjugation project for an ADC program, validating the site's readiness for commercial execution. At the same time, as we have flagged earlier, a number of projects at NJ Bio have seen shipment timelines move out by two to three quarters, largely due to extended CMC timelines, funding dynamics, and reprioritization on the customer side, given the biotech funding situation. These are timing issues.

In fact, many of these customers are deepening technical engagement, even as their internal timelines shift. We feel very good about the capabilities, customer engagement, and ability to scale. At Sapala in India, we have upgraded the analytical infrastruc ture with platforms such as supercritical fluid chromatography and high-resolution mass spectroscopy, and we are transferring methods from our U.S. and Hyderabad teams into Sapala to create a seamless early phase and intermediate backbone for the CDMO fran chise.

Putting it together, the CDMO portfolio today has deeper late -stage and commercial visibility than a year ago. Even so, some revenues have moved out of FY26 on account of shipment deferrals. This positions us better for 2027 and beyond.

With that, I will hand over to Gunjan.

Gunjan Singh: Thank you, Yann, and good evening, everyone. I will begin with the API Plus business, including our FDF operations. The API Plus platform continues to be driven by steady innovative demand and a structured new product development and filing pipeline.

In the first half of FY26, we have completed five regulatory filings, which include DMF and CEP type.

We have added several new products to our active new product development program. We are targeting 10 filings for the full year. We have completed two val idations already, and another four are in progress.

Our API site at Jaggaiahpet cleared the U.S. FDA audit and cleared it with zero observations. This plant contributes a larger share of the total revenue. Additionally, we also secured commercial orders from two big pharma customers as part of our product l ifecycle management office.

On the FDF side, our Nacharam unit has moved past the most acute phase of disruption. While this had an impact given the shipment delay, we have now resumed production and shipment. The order and shipment cycles are still in the process of normalizing.

We have five launches planned for FY26 and another 10 formulation projects in the pipeline, which we expect to phase in over the next few years. We are adding capabilities of liquid and topical corticosteroid formulations backed by active customer demand. We expect gradual improvement through the second half as remediation work progresses and customer confidence further strengthens.

With that, I hand over back to Vivek.

Vivek Sharma: Thank you, Gunjan. This week, I concluded meetings with one of our large AgChem innovator customers. I would like to share a few key takeaways. The sector continues to show long-term structural growth through near -term pressures from access capacity, and C hinese genetics are heightening the need for cost leadership and supply reliability. At Cohance, we are experiencing collaboration with leading innovators, participating in new active ingredient RFQs, and gaining traction with customers acros s Europe and Japan.

Several promising projects are now at lab scale. While the near -term consolidation is expected, we remain confident of sustaining growth in our specialty chemical segment through innovation-led partnerships and execution.

On the AgChem side, we continue to see the gradual macro recovery as expected. This quarter, we received four RFP projects from a large global innovator. Our innovation challenge program for the leading global agromajor is on track. Recently, we onboarded a new Japanese innovator that has deepened our customer base in this segment. A key molecule in our portfolio has transitioned to a genericized base form while its combination product remains commercially active.

We continue to see price pressures from Chinese competition and are pursuing participation on the active ingredient side. The initiative has experienced temporary delays due to pending innovator registrations, which are expected to normalize in the coming quarter.

On the performance chemistry side, our OLED intermediate portfolio continues to gain momentum. We have deepened our engagement with an established display technology innovator, and we are in active discussions with two new customers for FY27 supply program .

Across both API Plus and specialty chemicals, we are driving value engineering initiatives, including catalyst recovery and solvent recycling, which support our margin profile. From a forward-looking glance, we expect H2 to be better than H1 for these busi nesses. As different projects, validations, and new launches begin to continue more variably.

With that, let me hand it over to Himanshu to walk you through the financials and our updated outlook.

Himanshu Agarwal: Thank you, Vivek, and good evening to everyone on the call. Let me walk you through the key financial highlights for Q2 and the first half of FY26, and then I will share details about our updated guidance and scenarios.

On the quarter 2 of FY26 and H1, our revenue per quarter stood at INR5,556 million, a decline of 8% year-on-year, primarily due to deferred shipments at our CDMO and FDF sites, and some key molecular restocking, including planning of certain projects starts, especially at NJ Bio. Adjusting for the restocking, the quarter reported a growth of 14% year -on-year.

The material margin improved to 74.6% compared to around 71.3% in the same quarter last year, driven by both the business mix as well as ongoing efficiencies and yield improvements. The adjusted EBITDA for the quarter was INR1,289 million and adjusted EBI TDA margin of 23.2%, reflecting the low volume as well as the upfront investment in employee cost and certain transition and remediation costs.

For H1 FY26, the revenue was INR11,049 million, representing a 1% growth year -on-year. Adjusting for the restocking, the first half reported a growth of 20%. The adjusted EBITDA was INR2,630 million and adjusted EBITDA margin being 23.8%. Adjusted PAT for the first half year was INR1,302 million, translating to a margin of around 12%.

On balance sheet and cash flow, we have maintained discipline on working capital, even with shipment difference in quarter 2. In H1 FY26, free cash flow generated INR1.69 billion during H1. Cash on books stood at INR3.91 billion, maintaining a healthy liqu idity position. Our working capital at 121 days showed a significant improvement versus FY25.

Deployed capex of INR1.06 billion has been deployed in a targeted manner, primarily towards high-potent and linked chemistry, oligonucleotide scale -up, and de -bottling and reliable investments in API and specialty chemicals. Our adjusted ROCE stood at 21.7 % as of first half of the year, despite our higher investment and consolidation phase of recent acquisitions.

Coming to the guidance and the key drivers, given the development over the last two quarters, we are revising our FY26 guidance basis the current outcome. We now expect our FY26 guidance of revenue to be broadly flattish versus FY25. The key drivers of the se revisions are the ongoing challenges, as highlighted by Vivek, some of these being the restocking of our large commercial products that we had discussed earlier, deferral and shipment, and the biotech funding winter impact on NJ Bio.
Temporary impact due to FDF Nacharam unit, consequent to the Nacharam audit, which we have discussed earlier. And finally, the deferral and the agchem, new product approval. Looking ahead, we believe that our H2 will be stronger than H1, driven by executi on of deferred shipments, new program activations, and regulatory normalization in key sites.
For our mid- term, or rather near -term FY27, we do expect the growth to come back in FY27. The growth will be backed by new wind and existing business, supported by restocking, as well as reloads on the CDMO side of business, which has been impacted negati vely this year. Given the fact that higher visibility on the same should emerge in next one to two quarters, we will provide a more informed guidance by Q3 or Q4 of the current financial year.
We are maintaining our mid -term guidance of US$1 billion, with mid-30s a bigger margin. Given the sharp investments that we have done and the building blocks of our business, coupled with the high-

risk technology, where we believe we have a head advantage. We believe that we will be able to recoup these operating leverages from the upfront investments made over the last 12 to 18 months.
With that, I will hand it back to Cyndrella.
Cyndrella Carvalho : Thank you, Himanshu. And now I request the operator to open the floor for Q&A.
Moderator: Thank you very much. We will now begin with the question -and-answer session. Our first question comes from the line of Varun Bang from Bandhan Life. Please go ahead.
Varun Bang: Hi, thanks for the opportunity. I have some feedback to share. Can I go ahead?
Moderator: Yes, please go ahead.
Varun Bang: This organization was on a strong trajectory before. But I think under the current ownership, the execution has clearly derailed. There has been a consistent gap between what was guided and what has actually played out, not just on the delivery front, but also in the areas like timing and communication of the stake sale. And the lack of clarity and follow -through has eroded both the culture of the organization and also the external credibility.
Frankly, the execution discipline seems to have collapsed. And it shows across multiple fronts. I have been tracking this company for many years. Even before Advent’s acquisition, I have not never seen this level of disarray. What is happening now is clea rly reflection of Advent’s failure in managing and steering the business.
The nature of the business calls for a steady and patient execution. It moves through cycles and sustainable progress takes time. I think Advent’s approach, however, has been more like running on a treadmill, push for a speed without the corresponding structural readiness. And that is showing in the outcome.
I just have this feedback to share. And that is it. Thanks. I hope the Board and Pankaj will take this in the right spirit. Thanks.
Moderator: Our next question comes from the line of Ahmed Madha from Unifi Capital. Please go ahead.
Ahmed Madha: Thanks for the opportunity. I just wanted to understand the value chain of ADC business a little better and how is Cohance as a whole participating in it. I have basic understanding. I will try to explain and then you can correct me and explain how you are thinking about the business. In ADC, be it any product, you will have certain key starting material and then few intermediates and then that will go into payload linker and the

n there will be bio-conjugation.
That is the simplified value chain as far as I understand. Can you explain as of now what part of the value chain we are catering? Is it just the building block or something ahead? And how do we build our capabilities and expand our part of the value chain which we cover?
Yann D'Herve: As you indicated right, ADCs are complex modalities. They are composed of monoclonal antibody, a linker and a payload. Those three elements have to be bio-conjugated. That is how it works here. The way we look at that value chain, where we are participatin g, and that is the uniqueness of the offering of Cohance and NJ Bio, is the following. We have a product offering.

The product offering is essentially one of payloads and also starting material for payloads. That is a product and the payloads that we have in our portfolio are computation- based, fully back -integrated in India, which means that offering a tremendous supply security for our clients. That is one of the product offering.
The other offering, that we have is based on the intellectual property IP and the know -how that is located in NJ Bio. With this IP, which is essentially the know -how on customization of payloads, customization of payload linkers, proprietary linkers and payload linkers, and know -how in bio-conjugation, we are

able to offer R&D services to our clients as well as manufacturing services from pre-IND to commercial.

When we talk about the value chain, where we are participating, we are an IND enabler with more than 100 customers, I would say that buy this service. From these IND enablers, we enable the innovators to develop drugs that are life -saving. The more we enable the innovators, the more we participate in the value of the drugs through the different value pools that I just mentioned. We call these as well the value diamonds. Product, IP, R&D services, manufacturing services, with the ability to scale. I hope that it clarifies the offer and the unique value.

Ahmed Madha: Yes, just one follow -up. When you say you are catering the Airstream building block, for example, say a product like NR2 with Daiichi, and I am fine if you do not explain the productwise but just for a reference, I am taking a product name. For that produ ct, you will be doing a building block and then pass it on to the field linker manufacturer. Is it the right understanding?

Yann D'Herve: I will not comment exactly on the total value chain specifically because it is confidential information, but your understanding is not wrong.

Ahmed Madha: Sure, that is from my side. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Shreya Chatterjee from Ageless Capital. Please go ahead.

Shreya Chatterjee: Thanks for taking my question. My question is more from a strategic viewpoint of understanding Cohance's scientific capabilities and how it translates to its earnings or the revenue growth. If I see the ADC capabilities that Cohance has and it caters to v arious innovator companies, in the past, for example, historically, if we see, FY23 and '24 had seen some of the ADC molecules perform very well in their self -run, but we did not see the growth coming in, in those years for Cohance. So, w hat am I exactly missing over there? And also, there are certain indications that some of the ADCs have gone further approval or some of the ADCs have failed some of the first -line trials that have come out recently. So from the investment perspective, how do we see the impact on Cohance sales going forward?

Yann D'Herve: Let me give a broader perspective here. Competition -based payload for commercial drugs, there are two out of the 12 ADCs approved in the world that are using this technology. And as you may imagine, with the offerings that we have, these are essentially pr oducts that we are participating into. So that is point number one.

Now, as part of

the development and launch of new drugs in the market, I am talking about those two drugs, it is clear that pharmaceutical companies build stock and destock in order to ensure that they

have enough products to manage the upside in their launches. And as a stocking material provider, this is what we are essentially delivering here in that case.

That means that there may be also some destocking elements here, depending on how those drugs are doing in the market, and how optimistic or pessimistic the pharmaceutical companies have been in their supply chain. So that is one element of the answer on the comments related to the sales development.

Now, what is more important, and that is not necessarily seen in the numbers, is the pipeline of customer projects that we are essentially working with at the moment, with the combination of NJ Bio and the combination of the ability to scale in the payloa d and payload linker with our facility in India. Right?

Shreya Chatterjee: If I may ask as a follow -up, when do we see the inflection point for the niche technologies in pharma CDMO going forward?

Yann D'Herve: Are you talking specifically about ADC, or in general for the CDMO business?

Shreya Chatterjee: I am asking for ADCs and all the initiative launches in the CDMO business. When can we expect an inflection point for this pharma CDMO?

Yann D'Herve: We know that we are participating in more and more drugs being developed. One thing we cannot influence is the ones that are going to become commercial, right? I mean, we can influence with our service, but we do not know exactly which one will become com mercial. So what I can indicate is we are participating in more and more drugs and our offering with especially the OEB6 capabilities that we have installed in India allow us to essentially participate in the future in the commercial drugs tha t will come. That is what I can comment.

As indicated as well in my previous answer, we are already part of two payloads that are commercial.

The third aspect is, as I started three months ago, we have increased our business development capabilities, especially in critical locations such as Bosto n, San Francisco, in order to be able to attract additional customer projects in order to maintain and add these inflection points as quickly as possible.

Shreya Chatterjee: Thank you, sir.

Yann D'Herve: I was explaining a little bit the diamond with the product, the IT, the R&D services and the manufacturing services. One of the aspects is that on each of those elements of the diamond, we are increasing our offering. Example, on the product offering, we a re launching three new payloads this year. This will allow us as well to participate in more drugs that are commercial and in development in the pipeline. So, think about it as a platform that we are expanding and that allows us to participat e more in the value generated as a product of developing through clinical trials.

Moderator: Thank you. The next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.

Abdulkader Puranwala: Good evening. Just in terms of your FY26 guidance, when we talk about the second half being better than the first half of Fiscal 26, how should we look at this number from second half of Fiscal 25? Is
there some bit of a decline we should expect in the guidance we are providing now?
Himanshu Agarwal: As I said earlier, that we are looking at FY26 to be flattish in comparison with FY25. My sense is it is easy to decipher how the H2 would look like.

Abdulkader Puranwala: Okay. And so, how about margins, previously we were talking about around 30%. First half we are a little lower than that, but on second half, do we expect some kind of a rebound?
Himanshu Agarwal: Yes, absolutely. There will be a rebound in H2 as some of the operating l everage will come, given that H2 is expected to be better t

han the H1 from a revenue perspective. We do understand that we have been steadily investing ahead of the curve and the operating leverage will kick in with the higher
revenue coming in.
Abdulkader Puranwala: Sure. So, in terms of the commerciality from a 27 perspective, would you highlight a couple of projects on the pharma CDMO side, which could get commercialized, from a one or two -year perspective at
least?
Yann D'Herve: We have a healthy pipeline, right? So, I mean, that is starting to delivering, right? Each quarter now in Q1 and now in Q2, we announced that one of the drugs for which we were providing KSM, key starting
material or intermediates have been commercialized. So, this is important because that means that we
are at the early phase for those products in launch and that allows to expect some ramp -up for volume s
moving forward for commercial drugs.
At the same time, we are participating in numerous phase three programs that will also deliver in the
next 12 months to 18 months, ramp-up quantities for pre -launch requirements. At the same time also,
we are currently seeing an influx of RFPs that are wit h the late-stage program, phase three and also
commercial program as the customers are de-risking some of their supply chain and are orienting RFPs towards India and towards Indian CDMO in the small -molecule space. So, as such, this will help as
well in th e building and further building of the pipeline.
Abdulkader Puranwala: Sure. And so, just last one from my end. Have we already submitted our replies to the OAI for the Nacharam plant, talking about launching five new products? Is it from the same plant, and is it for the
U.S. market?
Gunjan Singh: No, this is not from the Nacharam plant.
Abdulkader Puranwala: Okay. That is why in terms of our correspondence with the U.S. FDA, have we filed a reply?
Gunjan Singh: Of course, within the stipulated time, the first response to the U.S. FDA was shared. This was followed
by two further submissions, which were additional effort that we had gone over and beyond the commitment there, which was also submitted within the timeframe.
Overall, just to assure you, Nacharam FDF plant contributes a very small share of our total revenue. And as per the OAI status, we are allowed to ship the commercial products as we have been doing in the past. Those products can continue in the future as w ell.
Abdulkader Puranwala: Got it. Thank you.
Moderator: Thank you. Our next question comes from the line of Rahul Jeewani from IIFL Securities Limited.
Please go ahead.
Rahul Jeewani: You indicated that NJ Bio has been impacted because of the muted bio funding environment . Can you
also talk about when we had acquired this asset last year, it was analyzing around $32 million of sales.

So, what kind of revenue recognition have we done from NJ Bio in the first half of this year and how
do we see NJ playing going into the second half?
Himanshu Agarwal: The revenue at this stage is looking flattish from a perform ance perspective. We are expecting that NJ Bio in 2026 will deliver a similar revenue as that of 2025.
Rahul Jeevani: While NJ might remain flat this year in FY26, but is there a seasonality for NJ's business ? As second
half of the year tends to be better than the first half?
Himanshu Agarwal: That is correct. There is a seasonality in NJ Bio as well. So, H2 will be better than H1.
Rahul Jeevani: Can you quantify that in terms of the split between the first half and second half revenues, ballpark?
Himanshu Agarwal: That would be difficult to communicate, but you have the subsidiary results, which is there. You have the full year number. So, my sense is that it will be easy for you to decipher that.
Rahul Jeevani: Sure. And then second, in terms of guidance, while we stated that the overall revenue will remain flattish
in FY26, it would be helpful if you could also comment in terms of how do you see

the margin trajectory
playing out this year, while second half woul d be better than first half. But in terms of full year margins,
our earlier expectations were low 30s. So, some clarity there would also be helpful. Thank you.
Himanshu Agarwal: As we had guided that our investment continues to be higher. And as both Gunjan as well as Yann have articulated the ailments that we are getting into the business and the way ADC and Oligo both are shaping. So, we have continued to invest into BD. And in fact, we have added BDs both in U.S. as well
as in Europe. And we have also added BDs who are specialists in the niche technology area. So, the investment in the business continues, though we are experiencing a headwind from a different perspective as well as inter funding of biotechs, which is impacted NJ Bio.

So, net -net our sense is that with the cost initiatives that we have taken, we would not be able to reach to early 30s EBITDA that we had guided earlier. And we are most likely to be in the range of high 20s as EBITDA margin.

Rahul Jeevani: Sure sir. That is it from my side. Thank you.

Moderator: Thank you. Our next question comes from the line of Chirag Shah from White Pine Investment Management. Please go ahead.

Chirag Shah: Yes, thanks for the opportunity. Sticking back to the guidance, that is my first question. What kind of confidence do you have in H2 and '27 guidance? Because it appears from the tone that there is more downside risk to the guidance that you are indicating. So, given what has happened in the recent past, you are in better position to take an assessment.

Why I am asking this question? Because if I look at last three - four transcripts, your granular commentary always looks to be very good in terms of molecules, in terms of where we are in the cycle with the Phase 2, Phase 3, etcetera. But the near -term gui dance seems to be missing by far. I do not think that this would have been your expectation in any which ways. So, if you can just summarize it and help us understand the confidence that we have in your guidance, that is the first question.

Vivek Sharma: You know, guidance is based on what we are, the traction we are seeing with customers. So, the investments that we have made with commercial teams, the pipeline that we have, the RFPs we are seeing, the meetings we are having with customers, all of those are early indicators for us to get the guidance on. And that is giving us high confidence on what Himanshu just shared with you with the guidance for the second half of this year.

I think that will also reflect, you know how we start thinking about next year. Because all of these things will translate into our guidance for next year. So, overall, we are seeing very positive traction right now. And to all different businesses, our f ilings are increasing, our customer traction, as I said, RFPs. So, all these indicators are positive. That is giving us confidence in the second half guidance.

And also, as you know, the CDMO business, you know, normally Q4 is a better quarter generally after the year. And so, that is giving us a positive indication.

Chirag Shah: Secondly, based on the information that we have today or that you have today as a Board, can we assume F27 would see around the 20%-25% kind of growth, that kind of visibility you have? I understand a lot of things can change. But there is a reasonable confidence, but for the unforeseen

events, it is possible given the way the spillovers you have been indicating. So, can we assume say 70%, 80%, 85% kind of confidence that it is possible to achieve 20%- 25% kind of growth next year?

Himanshu Agarwal: I will say it as a yes and no. Okay. And the reason I say yes and no is that see, we are, as Yann mentioned,

there is traction in the RFP, both from pay-free as well as commercial. Okay. However, at this stage, we have said that we are expecting growth to come back in FY27.

Now, w

hat you asked me is very specific. And for that, we do need time for our customers to revert and give us better clarity of what we are winning and what we are able to get as reloads. And also, we would want to wait to get a sense of how the biotechs are coming back, because a large part of the business in NJ Bio is biotech dependent.

So, that is why we have said that you have to allow us Q3 & Q4 of the current year to come back and give you more clarity and a better visibility of how we are looking at FY27. At this stage, it would be difficult to say yes or no to the number that you s ee.

Chirag Shah: And second question was on the four molecules that you indicated are likely to go into commercial/ launch over the next 12- 18 months. So, if you can help us understand that, how should we look at the ramp up of those? If you can get educated on that side, how generally, what are the time frames that one should look once the product gets approval, if you can, because that would be helpful.

And the ramp up part also. You did a year three, year four, that matters. An initial ramp up is generally very low and volatile, or if you can guide us or educate us over there.

Yann D'Herve: Yes, it is a good question. And of course, we always try to model this kind of question as well in our portfolio. So, what I can say, one of the molecules, right, that should launch in 2027 is a molecule that requires quite a large volume as well of key st arting materials, for which we have been chosen by the originator.

So, it is very difficult to say when the quantities will be asked, be delivered. Is it still within FY27 or at the beginning of FY28? It really depends on when the originator will actually see the success of their

launch. But we model this, and we are fairly optimistic, I would say, for the launches coming for the small molecule portfolio that we have.

Chirag Shah: Thank you. Or at least if you can educate us that one respiratory approval that has got approved, the respiratory drug, plus the four new molecules that you are referring to, what is the opportunity size, either at the drug level or at our level, whenever it happens, what could be the potential peak opportunity that is available? I am not asking for each of the drugs, but all five combined, if you can indicate that it would be helpful. It could be year 30, year 31, year 32, it depends.

Yann D'Herve: I will not provide a number here. We see the pipeline becoming better on that end with more commercial drugs that are part of the pipeline that we are delivering. But I will not comment on the exact value here

because our clients do not know either at the moment.
Chirag Shah: Okay. Thank you very much.
Moderator: Thank you. Our next question comes from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Good evening. Thank you for taking my question. Just one, trying to interpolate your guidance for ‘26 versus ‘25, INR2,600 crore last year, we are at INR1,100 crore now. We need to probably do about INR1,400 -INR1,500 crore for the second half. When I look at quarter two exit, it is about 550, right? So, I am just reading out, given deferred shipments from 1H and project wins, we expect 2H to be 1H. Is there a way to kind of quantify what the deferred shipments amounts could be that is slip ping into 2H so that we get some comfort on, what is the ask rate for just the organic part?
Himanshu Agarwal: There are two aspects to the question that you are seeking. Part one is we do have a FDF Nacharam, which we have taken down, and it is coming and coming online over a period of time. So, that is one difference, which is, as Gunjan articulated that we are f ully entitled to continue to supply to our customers.
So, that is one part of it. And the second part that we also experienced is that on one of the commercial molecules of CDMO, the innovators suggested that they would w

ant to wait for the summer to get over for us to send the dispatches to them. So, those are the two deferrals that were being referred to.
Shyam Srinivasan: Understood and Himanshu you are not quantifying what those deferments are, right? So, just for us to get comfort on the organic part of what we need to grow for the second half?
Himanshu Agarwal: Yes, you will have to excuse me to not be able to quantify them.
Shyam Srinivasan: Understood. Okay. Thank you. Just a second question is on material margins. Despite all this decline, we have seen material margins actually improve. Our gross margins are up 200, 250 bps on Q2. Just if you could double click on what were the drivers, it said product mix, but I thought everything is declining. So, and ag chem has grown. I am just trying to see which part of the product mix was the one that led to the gross margin? Thank you.
Himanshu Agarwal: So, broadly if you look at it in our portfolio and you understand that, we do have Nishtech, which is a higher margin business for us. A growth there would certainly help us from that perspective. NJ Bio

during the quarter, as well as the other Nishtech contributions have assisted in the margins to be better than what we have experienced in the previous year.
Shyam Srinivasan: Thank you and all the best.
Moderator: Thank you. Our next question comes from the line of Jash from Dalal & Broacha. Please go ahead.
Jash: Yes. A lot of our Indian competitors have been highlighting that they have been seeing biotech funding pressures for quite some time now. And we are highlighting it right now. So, what is it that has changed for us for the NJ Bio business?
Himanshu Agarwal: This is our understanding of what NJ Bio has experienced. As I said earlier, a large part of NJ Bio's business is biotech funded. And there are orders which have been deferred to next year by the biotech.
And some of the others are large orders for phase two. And our understanding of the engagement with the customer has been that there is this reduction in the NIH funding from a U.S. perspective and some of those subsidies would have flown into the funding of the business that was being given to us. And I think that is what is one of the reasons, not the only reason, but one of the reasons that has been considered at this stage on the slowness that we are experiencing,
Yann D'Herve: I would like also to add on to what Himanshu is saying. What we see is a very healthy influx of RFPs showing as well that the demand is improving in that space. And there should be additional spending coming in the upcoming quarter. So, that is what gives us quite a bit of hope in the business related to biotech for NJ Bio.
This is also maybe another element. It is not only the biotech funding here. We have also coming next year our new bioconjugation suite that will allow us as well to have significant revenue stream from customers moving to phase one, phase two with bioconj ugation. I would like to highlight.
Jash: Okay. Got it. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Ms. Cyndrella Carvalho for closing comments.
Cyndrella Carvalho: Thank you, Sagar. And thank you, everyone for joining us today.
Management: Thank you.
Moderator: Thank you. On behalf of Cohance Lifesciences Limited, that concludes this conference. Thank you for joining us.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.

Call: Nov 2025

CSD/BSE&NSE/202 5-26
November 1, 2025

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: COHANCE

Dear Sir/Madam,
Sub: Transcript of the conference call

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the conference call conducted on October 28, 2025.
This is for your information and record.

Thanking you.

Yours faithfully,
For Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)

Kundan Kumar Jha
Company Secretary, Compliance Officer and Head -Legal

Encl: as above

Cohance Lifesciences Limited
Update Conference Call
October 28, 202 5

Moderator: Ladies and gentlemen, good day and welcome to the Cohance Life sciences Limited Update Conference Call on the change in Directors .
I now hand the conference over to Ms. Cyndrella Carvalho, Head of Investor Relations.
Thank you and over to you, ma'am.
Cyndrella Carvalho: Good evening, everyone. Thank you for joining us on a short notice. As you would have seen our stock exchange communication, this call is regarding the update on our Managing Director's resignation. Today we have with us our Executive Chairman, Mr. Vivek Sharma
and our Chief Financial Officer, Mr. Himanshu Agarwal .
With that, I'll hand it over to Mr. Vivek.
Vivek Sharma: Good evening, everyone. I would like to share an important leadership update effective immediately. Dr. Prasad a Raju will be stepping down from his role as Managing Director of Cohance. Dr. Prasad a Raju has resigned from his position considering his personal priorities and to continue his learning journey. Prasad will remain associated with the company to orderly transition for an extended period ending this fiscal.
The board has placed on record deep appreciation for his invaluable contributions, leadership, and commitment in steering the company through its growth and transformation journey. In light of this development, the board has approved a revised organizational structure, one that better reflects our multi- business portfolio and expanding global footprint and positions Cohance strongly on its path towards a $1 billion U.S. vision.

This new structure is designed to bring greater agility, faster execution, and deeper accountability across our businesses. With this in view, we are realigning our organization structure to strengthen focus and expedite decision- making. As you are aware, over the past
year, we have established three distinct business verticals, each led by a highly experienced
and accomplished industry leader who brings deep expertise and proven track records in
their respective domains.
These business unit leaders have full operational ownership and accountability will henceforth report directly to me. We will also be welcoming a platform COO shortly, a
seasoned industry leader who will be based out of Hyderabad. A techno- commercial
professional with over three decades of experience, he brings a strong blend of operational
excellence and on -the-ground project execution.

Our new COO will further strengthen our technology and operations backbone across the
organization. Additionally, I am pleased to share our CFO, Mr. Himanshu Agarwal will be
joining the company's board as director, ensuring continuity and alignment across leadership and governance levels. You are all aware of our leadership structure but let me
take a moment to reintroduce our key business leaders whose key responsibilities areas are
fully aligned with our vision and the next phase of cohesive growth.
Mr. Yann D'Herve, Pharma CDMO. Yann is based out of Pennsylvania, brings over three
decades of global experience across pharma and specialty chemicals, including more than
15 years in the CDMO space. Yann 's deep understanding of drug substance, CDMO, high-
potent APIs, and complex chemistry positioned in this scale of CDMO and niche
technology franchise globally drive customer -centric partnership and ambit for operational
excellence as a core differentiator.
Mr. Gunjan Singh for API plus business. Gunjan will be based in Hyderabad, brings extensive leadership experience across top Indian pharma companies, combining strategic portfolio management with a strong commercial and operational agility.
Gunjan's focus is to expand our differentiated API portfolio, improve portfolio productivity,
and strengthen customer engagement across regulated markets. Mr. Amrit Singh, Specialty
Chemical Business . Amrit has close to two decades of experience across leading Indian
specialty chemical corporates with a strong track record in scaling new business and managing global customers.
Amrit's priority will be to accelerate growth in agro and performance chemical space, leverage our technology integration, and enhance international partnership to build a sustainable specialty platform. This revised organization structure will enable us to deliver
on our vision through a value of customer -first, accountable, empowered, trustworthy, and
sustainable. Our two business units leaders along with their commercial teams are
participating at CPHI Frankfurt right now, meeting with global customers and partners to
strengthen strategic relationships and explore new collaboration opportunities for
governance.
We have unveiled our new brand identity at CPHI Frankfurt event, reinforcing our
positioning as an integrated global CDMO with niche technology platform. To sum up, this transition further accelerates our positioning of Coha nce's global platform with three
engines of growth with three strong leaders for each business unit that will help drive growth and our vision for US$ 1 billion by 2030. Thank you.
Cyndrella Carvalho: Thank you, Vivek. That concludes our formal remarks. I would like to remind everyone
that we are currently in our silent period ahead of our quarter 2 earnings and hence we will
not be able to take or comment on any quarter specific or financial number related
questions today. We will now open the floor for questions from participants.

Moderator: Thank you. We will now begin the question -and-answer session. We have a question from
the line of Chirag Dagli from DSP Asset Managers. Please go ahead.
Chirag Dagli: Yes, good evening. Can you spend some time on how are you managing this transition in so
far as client interface, etcetera is concerned? And of course, you must have spoken to
clients. What is the initial feedback around this whole transition?
Vivek Sharma: Chirag, thank you for the question. Our businesses and business CEOs, you know, they
directly work with the clients and they're managing clients and they're all at CPHI right now, right, dealing with clients. And between the commercial team and the business CEOs,
there is very good connectivity with the clients.
And there is no single dependency on Dr. Prasada on any specific client. All these
relationships were already transferred as part of normal transition to the business CEOs.

However, Prasada, as part of transition, will be with us for the next few months.
And in that period, he will attend key important meetings and work on transition where the relationship transition is required. Or if there's any key customer meeting, he will join that to make sure that the handover properly happens. This just happened a little bit ago.
So, we have not broadly communicated except for the communication you just see on this
talk. Actually, we have not gone out to customers. We will be through these meetings at

CPHI communicating.
Actually, we just communicated to our team a few minutes ago. So, we are now communicating to our team. So, we'll be telling our customers who are participating at
CPHI through that process. And as needed, we will communicate at other forums.
Otherwise, it will be one -on-one meetings during the CPHI. We will be communicating to
our customers.
Chirag Dagli: Understood. And just broadly speaking, of course, this company is changing a lot. I t is
expected when six entities become one to see some bit of churn. But when do you think a
lot of this churn kind of normalizes and things start to find some base in terms of attrition or churn within employees?
Vivek Sharma: Yes, Chirag. You are right. I mean, six companies coming into one, right? It's a platform.
And our hope is that we don't end at six. We keep adding more and we're looking aggressively to add more.
Some of this, listen, I think is natural. However, with the Coh ance and Suven merger earlier
this year, I think what you see are some changes that, in my view, are big in nature. However, with the verticals that we have with the new CEOs, with the new CEO coming, we have a few other talent, actually, senior people that will be joining us in the next month.

I expect at the senior level we are reaching that phase of stabilization. Now, as we continue
to expand, as we have just hired a Chief Operating Officer for the CDMO business who
joined us about three weeks ago, as we continue to expand and as we continue, there might be changes and upgrades that you might see at different positions. But at the senior level,
my hope is that we are reaching that point of stabilization right now.
Chirag Dagli: Understood. And sorry, I joined a little late. I don't know if you've covered this, but are we
already looking for a replacement? Have we finalized? When do you think we can hear
from getting a new CEO?
Vivek Sharma: Yes. So, Chirag, we did talk about it that we have changed the structure from what it was
before. The new structure will have three new business CEOs who were actually in the system before, and they will not directly report to me.
We are, however, creating a new position of platform COO who will be joining us shortly,
hopefully in the next few weeks. And he will also report to me , so that these operations
dotted line also report to him in addition to supply chain qualities. But the businesses will
have complete autonomy and they will report it to me. So the structure will be slightly
different from what it was before.
Chirag Dagli: Understood. Thank you so much. Best of luck.
Vivek Sharma: Thank you, Chirag.
Moderator: Thank you.
Vivek Sharma: I can just give a brief update on the -- that you may find helpful. This is given, as you
know, that we are in quiet periods, we cannot share any numbers, but just general update. We've recently completed four major customer orders across our CDMO facilities, and they all went very successful.
Our RFP pipelines, which, you know, with the addition of a BD team and all these
investments we've been making in commercial infrastructure is becoming more and more robust. Pharma is taking time to make decisions, but we are excited with the pipeline, with
the relationships we are working, with our engagement with customers at different front.
One of our large Japanese customers has confirmed its Phase 3 order

, which is very
important for us. This is a very important milestone in our CDMO journey. Our SuryaPet
facility is scheduled to be capitalized in line with this confirmed order, which reinforce our readiness for commercial scale execution. This is one of the four Phase 3 commercialization
products that we were expecting, so we are pretty excited about it.
In addition, our recently onboarded large innovator -customer relationship is progressing
very well with multiple mid -phase projects under active discussion, and their leadership
team is actually expected to visit us shortly. Our ADC business continues to gain traction,

which means an alternative payload program and steady progress across both existing and
new partnerships, supported by an N J Bio in the U.S.
Surya, our oligonucleotide unit, has successfully completed equipment validation and
remains on track for commissioning in Q4, marking another important milestone in
expanding our advanced therapy capabilities. This is the site in Nacharam in Hyderabad,
which just got completed, and we are working on the validation1 process.
Now, on the recent OI classification of our Nacharam FTF unit, which we updated to the
stock exchange last week, we are in the process of appointing a leading U.S. FTA
consulting firm to also help us in addition to an Indian firm to guide us through the
remediation process.
We're working proactively with external experts to address observations and engage with
the agency in the best possible manner. However, as we have said in the past, this business
is less than 1% of the overall , impact EBITDA that we have. However, we're giving it all
the due importance and continue to work, making sure that we address everything in the

right way.
Moderator: Thank you. We have Shyam Srinivasan from Goldman Sachs with the next question. Please go ahead.
Shyam Srinivasan: Yes, thank you for taking my question. Just the first question on the change. Do you expect any large change in strategy following some of the recent changes, Dr. Prasada, before that Dr. Sudhir? So, anything that is changing, or maybe just as two platforms come together, there are going to be personal changes. Are we going to pivot into something different, or is there a thought process to change the execution strategy ?
Vivek Sharma: If there's a change, it is to expedite actually our growth journey and to bring more execution and to accelerate everything that we are doing. But fundamentally, our vision of a US$1 billion business by 2030 remains there. We are committed to reach there. And as part of that, we're bringing in more global leaders, more talent that can help us reach there faster and improve our chances of reaching there. But fundamentally, no, there is no change in our strategy. We remain committed to a US$1 billion business, with a significant portion coming from CDMO, with focus on tech- driven businesses.
However, as part of progression, it's important to bring in, leaders that can help us reach there faster and better. And that's why you are seeing a lot of new additions to the team. We have added three business CEOs. All of them have joined us in the last 6 , 7 months. We're adding a COO position. We're bringing in some other functional expertise.
The commercial team has strengthened significantly, and a very different level of commercial team that I'm excited. So, to answer your question, there's no change. All our efforts are to accelerate and to ensure that we reach that path.

Shyam Srinivasan: Helpful, sir. Just a second question on industry development. The US Biosecure Act has been cleared by the Senate. So, this is much delayed, right? This was started in December last year at the House. So, anything that you're picking up now from a conversation that you're having with customers on – or is this legislative change, going to be more lasting in terms of its impact?
Viv

ek Sharma: Yes. Shyam, as you know, this has been going on for the last, what, 6 , 7 months or 9 months now, right? And we have seen ups and downs. Myy answer is going to remain consistent with what I've been saying. Listen, people are moving towards figuring out a China -free strategy. I think that trend, irrespective of biosecure, I think companies are trying.
However, the pace at whi ch they move depends on company -to-company. Indian companies will definitely continue to benefit. Now, the Act, as you know, is still being reviewed and it's not fully passed, but it's a step in the right direction. Now, with some changes, right, they took some of the names of the companies, they made some modifications to the original version. That will definitely have impact. But overall, this is a positive sign in my view for India and the India CDMO and CRO industry.
Shyam Srinivasan: Thank you, sir. All the best.
Moderator: Thank you. Our next question comes from the line of Naresh Suthar from SBI Life Insurance. Please go ahead.
Naresh Suthar : Yes, thank you for taking my question. H as there been any attrition in plant operation, senior level, as well as in the R&D team in the last 2 -3 months?
Vivek Sharma: Naresh , as your line was not very clear, but let me repeat the question just to make sure I'm getting the question?
Vivek Sharma: We have a new head of R&D for the CDMO business. We actually have two senior guys who joined us in the last one year. They've taken over as the head of R&D, Dr. Somesh and Dr. Ashok. Both were in the system and they are now running the R&D, including t he ADCPs for the business.
On R&D part, we've also added the ADC segment with NJ Bio expansion. We have not seen, except for one or two changes at the top, apart from that, below that, we are actually expanding and we've added a lot of R&D resources in the company.
So, while there were some people that left a few months ago that got replaced right away, there is actually more addition to the people. And now with the Oligo site coming up, we are adding a lot more talent and a lot more people. We have won some new contracts in ADC and we are adding people for talent for that as well. So, there is actually growth in the R&D overall in our R&D workflows.

Naresh Suthar : Okay. I mean, my reference was whether because of the attrition, is the workflow with the clients or the communication with the clients have been impacted?
Vivek Sharma: If I understand your line is unfortunately very bad, but if I understand, is there any impact on the workflow with the client? So, no, our delivery motive on R&D remains at 100%. We are very good in delivering our R&D project. We have had success in winning some larger projects with the new team in R&D. Our head of R&D in the CDMO was in Europe. They

are actually at CPHI. He was in Europe meeting wi th our key customers last week.
So, we have seen, if anything, we have seen all positive improvements and we're just working on launching the Oligo site, which is also part of R&D. We have won a large contract with a large CDMO for ADCs. That is also a result of our R&D capabilities. So, if anything, Naresh we are seeing a lot of positive momentum.
Naresh Suthar : Okay. Thank you.
Moderator: Thank you. Our next question comes from the line of Karthikeyan from Suyash Advisors . Please go ahead.
Karthikeyan: Good evening, Mr. Vivek. Thanks for the opportunity. Just want to understand from a cultural perspective, how do you view the attrition that has been observed in the recent past? As outsiders, it is for us a bit more disturbing because this is a very senior level exit. So, how do you, A, view this? Is there a cultural element that you want to call out? And B, how do you ensure that this doesn't become a recurring feature, joiners and leavers being a recurring feature kind of a

thing or do you believe that we should get used to this as a normal?
Vivek Sharma: I think culturally, we actually are a very unique organization. Somebody started saying we are a combination of six family -owned businesses that have now become part of who we are today, right? T here has been a cultural transformation in the company, in the journey. And for us to really realize the $1 billion ambition, we'll have to continue to evolv e in our journey.
As we are becoming more global in nature, as we are becoming more integrated in nature, as we are moving up the value chain, our culture has to keep evolving and keep moving up for us to really deliver that ambition that we have for our shareholders, for our customers, for our employees, right? So, that journey will continue. These were all different nature of businesses in different places. Now, they're all part of global company. And there is definitely a transition in culture. And you will see that natural transition in culture.
However, the common thing that binds us is our values, is our ecosystem is our performance system is our culture. For example, we just had a call with all our leaders to communicate about Dr. Prasada, that have leaders from all different parts of the different businesses globally, because they're all part of the business.

Tomorrow, we are having a global town hall w here every single employee in the company is being invited to that. So, we are very open, we are very transparent, we are very collaborative. We shared with them jointly with Dr. Prasada on these calls as to why he's leaving and what is, how the company will continue to work, right?
So, to me, that is also cultural transformation that we are really bringing in transparency, openness and, opportunity. Cultural transformation also, somebody asked a question about the head of R&D. We are building talent internally in the company that can move up.
The replacement of the head of R&D has happened actually with internal upliftment, internal moving up. And we are working strongly to build that pipeline that as we grow and as we walk, that we have internal leaders who are really can move up rather than we keep hiring people from outside.
The third, which I really want all of you to focus on is the amount of talent we have added.
It is true that some people have left for different reasons. However, as we aspire to really reach a $1 billion vision, as we work on our commitment to deliver something aggressive, we need people with that experience, with more global experience, with people who have been there, done that, who are bringing in different relationships, different technology expertise and a different vision. And while some people may have left, but I can tell you, we have hired and added a lot more talent than the people that have left, right?
So, yes, there has been some churn, but some of this was designed, some of this is timely, people have decided for personal reasons. But I'm actually excited with the new leadership team that we have built and the people that are coming to join, because they're coming with a vision to be part of this $1 billion vision. And we remain committed to really go on that journey as fast as we can and as steadily as we can.
But we don't have any planned activities that, will trigger more people , that people leave for their personal reasons, that sometimes happens. And then we work on transition and developing internal leadership to take on those roles. And top level has become, has reached a point where I believe that, now we will see more stability, because there's been a lot of changes, a lot of upgrades that we have done. So, I'm personally optimistic that you will see a lot more stability at the top level.
Karthikeyan: Yes. Sure. I'll take that positive note.
Moderator: The next question is from the line of Bansi from JP Morgan.
Bansi: Two questions from my side. Firstly, V

ivek, with the ongoing buildup of talent that you've spoken about across functions, how should we think about the impact on overall cost structure and margins then?

Vivek Sharma: Okay. What's the second question?

Bansi: The second question is that in your vision of achieving a $1 billion revenue milestone, we've highlighted that inorganic will also play a role. So, in that light, if you could guide us as to any areas that you are prioritizing, any geographies that you are looking more closely to build capacities or capabilities?
Vivek Sharma: Okay. So, I think, yes, there is cost involved with the new people that are coming in and there will be some overlap also, because when new people come in, old is there. So, sometimes there will be a timing difference and some of these things. However, we are also very cautious of cost and looking at every single opportunity to optimize cost. We have some internal programs that we are running on Lean Six Sigma.
We have a team that focus on, we take very aggressive targets, looking at every single piece of cost everywhere. People cost is only a portion of the cost, but there are other areas where we have looked at. The guidance that we have given, we remain committed to that guidance. However, short -term, there could be, because of the overlap, there could be some minor impact that we are trying to make sure that we manage it in a smart way by looking at every single place of the cost.
On your second question, in terms of the non -- the inorganic growth, we are aggressively committed. We actually have in -house M&A team of two people that is very experienced.
We are aggressively looking at opportunities all the time, and as we are talking, there are some discussions going on.
These are, again, focusing on our strategic direction that we said that we want to be a key CDMO player and looking at capabilities that allow us to become a niche tech player. In that direction, we continue to look at opportunities that fit our strategy and that fit our vision, and as we make progress, you will hear more about it.
Bansi: And how should we think about funding some of these opportunities, would they be large, will you be able to manage them with your internal approval?
Vivek Sharma: Yes. Sometimes, opportunities are what they are. We don't create opportunities, right? You bet on what is out in the market. Our plan is to fund everything with internal funding. If required, we can borrow money, but right now we're looking at everything with internal funding. Our idea is to remain cash positive and then just leverage our internal resources and the kind of opportunities in the capital structure we are looking at for equity structure aligns with our vision that should be just with internal funding and minimize borrowing.
We don't need, we have to otherwise just look at what we can do with our resources.
Himanshu: Bansi, I'll supplement to what Vivek has said that as you would recollect, the vision is very clear that we will be cash positive at the end of the strategy period. But yes, as Vivek also mentioned that it all depends upon the size of the opportunity. We are neutral to using internal funding as well as a part loan if it were to be required in the internal period and then we'll kind of stay to cash positive delivery at the end of the strategy period.

Bansi: Got it. That's helpful.
Moderator: Thank you. O ur next question c omes from the line of Harith Ahmed from Avendus Spark. Please go ahead.
Harith Ahmed: Good evening, everyone. Thank you for the opportunity. So, on the resignation of Dr. Prasad a Raju, which follows Dr. Sudhir Singh's resignation earlier. So, I'm just trying to understand if under our previous organization structure at the top, was there too much of an overlap in terms of executive roles and responsibilities and was that a reason for this iteration at the top? And if that was indeed the problem, then with these changes, has the problem been addressed?
Vivek Sharma: Harith , we explained, I don't know if you heard or not, we explained the new organization.
We have three new CEOs who are running the busine ss with complete authority and P& L accountability, responsibility and commercial teams. As you know, the organization has evolved over a period of time. Six companies coming together.
So it was important to really re -look at the organization and make sure it is geared for our long- term ambition of a billion -dollar company. That's why you see that we have three different CEOs come with very unique global experience into the space with the expertise in this space and have complete authority being supported by the head of operations, head of quality, head of supply chain, head of EHS and all that to really help us.
So that's the main reason why you see the new structure change. There is no other reason why it was changed, or you don't know about the overlap and all that. There was no such thought process that there was an overlap of responsibility. It is to align with the future growth of the organization.
Harith Ahmed: Yes. Got it. And then Vivek, your role as Executive Chairman, that continues and will you be adding more designations or responsibilities to your current role given the changes and exits?
Vivek Sharma: I think, yes , I have no desire. I am very busy with what I do right now. I don't have no other designation, but yes, I am continuing. I am spending a lot more time in India. I am here every other week. A lot of you guys have met me. So that continues and then they become very active actually. I am excited that I will get to work with a lot of talented individuals.

So yes, there is no change. I am fully committed to the company and fully active in the role that I have. And now it has become a little bit m ore hands -on with these changes and are being more involved with the CEOs and other people reporting to.

Harith Ahmed: Got it. Thanks for taking the questions.

Moderator: Thank you. Our next question com es from the line of Foram Parekh with Bank of Baroda Capital Market. Please go ahead.

Foram Parekh: Yes. T hank you for the opportunity. I just have one question. Since we have mentioned about scouting opportunities in the M&A side, so I would like to know, I mean, if you can just share some color that are we looking to expand into existing modalities of ADC and oligonucleotide? Are we looking to expand into a newer modality? Because in a very short span of time, we have transformed the entire business from small molecules to newer modalities. So are we looking to venture further into newer modalities or are we restricted to ADC and oligonucleotide?

Vivek Sharma: Yes. Thank you, Fora m. And thank y ou for using the word transform a nd I appreciate your appreciation of our transformation journey. So, idea is to look for capabilities, not capacities. ADC, we have an E ast capability. We have a W est capability. Oligo, we have an Eastern capability. You know, if we find something in the west, then Oligo will be happy, but we are looking at assets that are profitable, that bring unique capabilities to our portfolio.

And they are all part of niche tax, s omething with niche capability. Sometimes, we have to buy a bundle, and, in that bundle, you may get something that is not your first priori ty, but it comes with it. So, it depends on the asset, but we are looking for differentiated assets.

Foram Parekh: Okay, got it. Thank you.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Ms. Cyndrella Carvalho for closing comments. Over to you, ma'am.

Cyndrella Carvalho: Thank you, everyone for joining us on short notice. See you in the quarter 2 call. Thank you.

Management: Thanks, everyone.

Moderator: Thank

you. On behalf of Cohance Lifesciences Limited, that concludes this conference. Thank you all for joining us.

Call: Feb 2026

CSD/BSE&NSE/202 5-26
February 16, 2026

To
The Manager
Department of Corporate Services
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001
To
The Manager
Listing Department National Stock Exchange of India Limited Exchange Plaza, Bandra Kurla Complex Bandra (E), Mumbai – 400 051
Scrip Code: 543064 Scrip Symbol: COHANCE

Dear Sir/Madam,
Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2025

Pursuant to Regulation 30 read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2025 conducted after the meeting of Board of Directors held on February 12, 2026.
This is for your information and record.

Thanking you.

Yours faithfully,
For Cohance Lifesciences Limited
(Formerly, Suven Pharmaceuticals Limited)

Himanshu Agarwal
Whole -time Director and Chief Financial Officer
(DIN: 06672915)

Encl: as above

Cohance Lifesciences Limited
Q3 & 9 months FY '26 Earnings Conference Call
February 12, 20 26

Moderator: Ladies and gentlemen, good day and welcome to Q3 and nine months FY '2 6 Earnings Conference Call of Cohance Lifesciences Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.
Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Cyndrella Carvalho. Thank you and over to you, Madam .
Cyndrella Carvalho: Thank you, Neerav. Good evening, good morning everyone and thank you for joining Cohance Lifesciences earnings call for the third quarter and nine months of FY '2 6. Joining me today, we have our Executive Chairman, Mr. Vivek Sharma; Mr. Yann D'Herve, CEO Pharma CDMO; Mr. Gunjan Singh, Business Head API +; Mr. Amrit Singh, Business Head Specialty Chemical; and our Whole - Time Director and Chief Financial Officer, Mr. Himanshu Agarwal.
Before we begin, I would like to remind you that today's discussion may include forward-looking statements which are subject to risk and uncertainties. Actual results may differ materially. We encourage you to review the disclosures filed by the company.

With that, I will hand the call over to Mr. Vivek Sharma for his opening remarks.
Vivek Sharma: Thank you, Cyndrella. Good evening and good morning to everyone joining us today. I would like to begin today's call by acknowledging that our recent performance has come in below our expectations. During this call, the team and I will walk you through where each business stands today, what is now embedded in our revenue base, and how we see the business progressing from here. As we look at FY '26, it has been a transition year for the company driven largely by portfolio mix and customer -led timing factors.
With that context, let me walk you through the key highlights across each business segment, starting with Pharma CDMO. In our Pharma CDMO business, we continue to see a combination of near -term challenges alongside encouraging progress. On the near -term side, destocking in two large commercial products is expected to continue. In addition, one large commercial molecule is approaching patent expiry, which has resulted in lower reload volumes. Further, certain customer reloads and scale-ups have been deferred due to delays in launch sequencing and program timelines. At the same time, there are several positive developments. Customer engagement has deepened meaningfully with two large global innovators progressing multiple ongoing programs as well as new RFPs. Imp

ortantly, one late-stage commercial RFP has converted into a confirmed program, while the balance of the RFP funnel remains actively engaged with several programs now progressing in late development stages.

We currently support a robust late -stage pipeline with nine Phase 3 programs across our portfolio. While the pace of commercialization is customer -led and timing -dependent, this depth of Phase 3 engagement provides clear medium -term visibility as these assets progress towards launch and scale-up.
In parallel, we are expanding relationships with Western CDMOs that are seeking to leverage our technology platforms. In this context, we have secured a commercial KSM opportunity with a Western CDMO, with commercial supplies expected to commence from the second half of FY '2 7.
Turning to our advanced niche technology platforms, including ADC and oligonucleotides, the near -term environment remains mixed. On the near -term side, decision -making across biotech customers has slowed due to funding constraints, impacting the pace of new signings and renewals. That said, we are encouraged by the large pharma customer momentum. Our adjacent payload platform has been further expanded, and we have already onboarded two new large global innovators and continue to receive strong inquiry for this platform.
I am excited to share that on the existing payload platform; we have filed one new payload with work ongoing on three additional filings in FY '2 7. Operationally, we successfully completed a business continuity audit at our Vizag facility by a large Japanese innovator customer. In oligonucleotides, we are seeing increasing engagement for higher complexity oligonucleotides and amidite programs, reflecting customer confidence in our chemistry capabilities, quality systems, and regulatory readiness. To support this momentum, we have onboarded two highly seasoned, dedicated business development professionals with over two decades of experience in oligonucleotides, one based out of UK and one in Boston.
Moving on to the API Plus business, performance during the period has been shaped by a combination of regulatory and demand-related factors. On the challenge side, as previously communicated, the Nacharam formulation site received the warning letter following the OAI status. Production for non-US markets has resumed and remediation actions are underway, alongside risk mitigation through filing transfer to alternate facilities.
In addition, a small number of API products were impacted by customer -related approval delays and demand softness. Despite this, we have continued to rebuild the API and formulation pipeline. During the year, we completed eight DMF CEP filings and filed five partner ANDAs. These filings provide a foundation for recovery in this segment as customer approvals and demand normalizes.
In Specialty Chemicals, we continue to make progress on customer diversification and pipeline development. On the positive side, a Japanese customer has been onboarded, with validation completed and commercial qualification planned for the second half of FY '2 7. Engagement with two large European agrochemical innovators also continues, supporting medium -term pipeline development. At the same time, the agrochemical business has been impacted in the near -term by Chinese generic pressure and regulatory phasing.
Stepping back, we remain excited about our organization capabilities, reflecting in our strong technology-led CRDMO platform. Accordingly, we have continued to invest in quality systems, regulatory capabilities, and complex chemistry platforms. Over the past few quarters, we have also strengthened leadership depth across business, with experienced leaders now fully embedded and operating with clearer accountability and execution discipline. These investments position us well to

scale as customer programs progress. Overall, what we are seeing in

FY '26 is largely a timing and product mix impact.
I would like to reassure you that during this challenging period, we have not lost any customers or

cancelled any orders. Customer OTIF metrics remain healthy, and we are able to service customer demands effectively. We continue to be an essential part of the innovative drug manufacturing supply chain and we continue to win new customers and new business, including recent notable wins with two large innovator customers.

Importantly, our technology platform continues to attract a strong interest from large global innovators and biotech companies, with RFQ engagement levels remaining healthy and increasingly focused on high-complexity programs. Based on current visibility and execution phasing, we have revised our FY '26 revenue outlook to reflect an early -to-mid double -digit decline.

Looking ahead, we believe FY '2 7 will be a year of growth driven by the successful pipeline built across businesses and recovery in the API Plus segment, led by product filing and partner products.

With that, I will now hand the call over to Yann to walk you through the Pharma CDMO business.

Yann.

Yann D'Herve: Thank you, Vivek. Good evening everyone. From a Pharma CDMO perspective, Q3 fiscal year 26 in particular has been characterized by strong new customer engagement, which has translated into a meaningful increase in late-stage RFP activity, both from new customers and for new programs with existing customers, strengthening our prospects as we look ahead to fiscal year 27.

With the completeness of our business development team in December, our strategy has yielded a double -digit number of commercial and late-stage RFPs, including engagements originating from Western CDMOs. We are also deepening relationships with top 10 global pharmaceutical companies, both of whom have visited our sites with senior -level representation and indicated intent to commit additional new business in FY '2 7.

As is typical for the CDMO business, which is inherently lumpy, these new relationships are expected to start yielding business in FY '27 and grow progressively as we complete customer qualification.

Near -term revenues were impacted by customer -led delays in reloads and payload intermediate off -take, driven by higher inventory levels at customer supply chain endpoints, changes in launch timing, and reprioritization of programs.

These resulted in a sharper than expected near -term impact. I want to clarify here that no business was lost, as far as we know. Beyond near -term inventory normalization, there is some moderation in demand for certain mature commercial prod ucts as they approach late lifecycle or patent expiry phases.

In these cases, innovators are recalibrating volumes earlier than we had previou sly anticipated as part of life cycle and inventory management strategies. As a result, we now expect the steady -state contribution from some of these large commercial products to be lower than earlier trajectory assumptions. These earlier than expected volume recalibrations have contributed to the current timing gap outside of destocking.

Pharma CDMO revenue in Q3 was impacted by these factors, driving Pharma CDMO decline of 27% year-on-year, meanwhile adjusting for the destocking, it was 7% growth. When adjusted for inventory destocking in select molecules and NJ Bio consolidation effects, underlyi ng demand trends remain stable.

We have also meaningfully strengthened our business development organization, adding senior, high-capability professionals with deep experience across innovator and biotech customers. The Pharma CDMO business is now supported by a dedicated global business development team of nine professionals, actively engaged across North America, Europe, and Japan, and strategically positioned in critical hubs, Boston, San Francisco, Northeast US, UK, Switzerland, and Asia.

Our approach remains execut

ion -led with emphasis on lateral RFQ conversions, capacity commissioning, and customer -led ramp -ups. Customer engagement remains strong with RFQ intensity increasing at least 2x year-to-date, including a higher proportion of Phase 3 and commercial opportunities.

Over the last 3 to 4 months, the company has undergone more than 16 large and mid- pharma innovator and biotech audits and visits, many of which have also led to senior -level customer delegation visits and indication of intent to deepen ongoing engagement.

To specifically address our commercialization pipeline, we currently support 9 Phase 3 molecules across our Pharma CDMO portfolio. Of these, four molecules are expected to move into commercial supply over the coming fiscal year across therapy areas including pulmonary, ADHD, a nti-diabetic, and oncology.

Two of these molecules have already received US FDA approval and entered the initial launch phase. The third has received priority review status and the fourth is awaiting clinical data readouts expected in calendar year 2026.

While pipeline maturity continues to improve, the pace of commercial ramp -up has been slower than originally anticipated, driven by customer launch sequencing, inventory management, and cautious initial scale -up.

As a result, this commercialization pipeline is taking longer to reach steady -state contribution, which has added to the current timing gap. In advanced platforms, including ADC payload intermediates, we continue to be the exclusive payload intermediate supplier to a major innovator.

During the year, one new ADC payload DMF was filed, with three additional payload filings progressing on track. Near -term demand remains influenced by biotech funding cycles, but customer programs remain active.
A $10 million cGMP US-based expansion is underway, enabling full ADC supply capability up to Phase 2B by fiscal year ' 27 end. Customer engagement is further supported by the successful completion of the business continuity audit at our Vizag site.
In oligonucleotides, beyond capacity build- out, we are seeing increased customer engagement through higher value and higher complexity RFPs, reflecting growing confidence in our chemistry, quality systems, and ability to support differentiated programs. The cGMP oligonucleotide building block

facility at Nacharam is nearing operationalization, positioning the platform to scale as customer programs and launch -phase assets progress. Customer qualifications and early commercial engagements are advancing as planned.
At our subsidiaries, customers continue to recognize the quality of execution and technical capabilities of the team, including through public commentary. However, given delays in certain customer clinical programs and the slower pace of contract renewals in the current biotech funding environment, the recent trajectory has been muted, including into fiscal year '27.
To reiterate, this reflects timing and funding dynamics at the customer level and does not change the long-term relevance of the integrated ADC platform which we continue to be very excited about.
Now I hand over to Gunjan to talk about API Plus segment.
Gunjan Singh: Thank you, Yann, and good evening everyone. Let me begin with an update on the API Plus business, which includes our generic API and the formulation segment. In the API business, our performance during FY '26 has been driven largely by product -specific dynamics rather th an broad- based demand softness.
Three products in particular accounted for most of the impact: two were delayed due to extended timelines for customer approvals and the third was affected by a facility -related issue at a key European customer. These were discrete identifiable issues and do not reflect any deterioration in the underlying competitiveness of the API portfolio.
At the same time, we have been actively repositioning the portfolio and streng

thening business development efforts to reduce dependence on a small set of products and expand engagement across a broader opportunity set.
Business development teams are increasingly focused on newer molecules, alternate sourcing opportunities, and incremental wallet share with existing customers, particularly in regulated and semi -regulated markets. While near -term revenues have been impacted, inquiry flow and pipeline depth have significantly improved, providing a more balanced base as we look ahead.
On the development front, there has been some interesting progress. We remain firmly on track to meet our filing and pipeline objectives. Over the last 9 months, we have completed eight DMF and CEP fil ings against our target of ten.
In addition, eight new products have completed lab development, with two more expected to be completed in the coming quarter. These developments materially expand our offering set to our business development teams and support deeper multi -product customer engagement.
Before I move to our formulation business, I a m really excited to share a couple of interesting developments. As you may have heard earlier, we are working with a large European Big Pharma on a lifecycle management opportunity. Happy to share that we shipped the first validation quantity in the last quarter to the customer and the commercial for this product will get materialized in FY '28.
Another interesting development was with another Big Pharma company, again based out of Europe, with whom we have already been in relationship. Here, after a long time, we received approval to add

a dedicated block for the product. This will enable us to have the largest capacity globally for this customer, who again has the largest market share globally.
Turning to formulation, a demand deferral by one customer had a modes t impact on the Q3 performance. That said, the focus over the last year has been on diversification and pipeline rebuilding, rather than chasing immediate volume recovery. BD efforts are increasingly centered on partner and niche formulation opportunities, including products with limited competition, complex supply chains, or long-term profit share potential. We are also seeing a growing interest from our existing API customers to extend relationships into finished dose formats.
During the year, we completed five formulation filings on behalf of our customers, which has further strengthened platform credibility and enabled earlier engagement during the product selection and qualification phase. Several of these programs are progressing through customer qualification and regulatory reviews, with commercial timelines typically linked to commercial launch sequencing rather than internal constraints.
As shared earlier, the OAI status of our Nacharam formulation site received in September has since progressed to a warning letter. We had already implemented multiple remediation measures and are now executing an enhanced supplementary program to comprehensively address the FDA's observations, working closely with external experts. While production at the site has resumed, it will

take some more time for the plant to return to earlier operating levels. In parallel, we are also transferring select filings to alternate facilities to manage risk and ensure supply continuity.
As again mentioned earlier, we have also onboarded on the API Plus side strengthened our talent base, adding senior resources across levels with strong industry credentials and operational depth. This enhances our ability to support a broader and more complex pipeline as it matures. The nine -month period API Plus segment overall reported a revenue decline of 8% year -on-year to INR8.15 billion . Overall performance by FY26 reflects known pricing resets, approval timelines, and shipment adjustments. The Q4 order book remains healthy, consistent with seasonally stronger demand profiles. Mo

re importantly, the pipeline across API and formulation is broader.
Amrit Singh: Thank you. Good evening, everyone. So let me now cover the Specialty Chemicals business. To set the background, as you are aware, in Specialty Chemicals we operate across agrochemical CDMO and performance chemical, including OLED materials and photochromic coatings with global innovators. FY26 performance in Specialty Chemicals has been impacted by regulatory timing and program phasing, consistent with the longer gestation nature of this business. Engagement with a large Europe -based agrochemical customer continues, supporting future pipeline development and medium -term monetization.
Also, I a m very happy to share that we have been shortlisted in the RFP stage for the patent regime AI, which is active ingredient, by a US -based agrochemical innovator. And more so, we are fully back -integrated for this AI, which could help us to position as a strategic partner for this active ingredient. While near -term revenues are affected by global macro conditions and qualification timelines, these engagements materially strengthen the resilience and visibility of the business.
We have made good progress in onboarding a Japanese customer, with laboratory and pilot validation successfully completed for the first project. We expect to submit the commercial qualification campaign for this project by the end of FY27.

Now coming to Performance Chemical, we are cementing our relationships with key innovators in the OLED and photochromic coating space. On the new development front, we are working on applications of our existing technology platforms in chemicals used for semiconductor chip processing. In nine months, the Specialty Chemical segment reported a revenue growth of 32% year -on-year to INR 1.9 billion.
Overall, FY27 is expected to remain a transition year for Specialty Chemicals with earnings improving as qualification programs convert across both agrochemical CDMO and performance chemical. Thank you so much, with that I hand over to Himanshu for the further updates.
Himanshu Agarwal: Thanks, Amrit. Good evening everyone. Let me walk you through the financial impact of the specific drivers Vivek outlined and quantifying how these timing and mix effects translated into our reported performance. At a high level, FY26 performance has been influenced by clearly identifiable factors such as destocking in two large commercial products, which together impacted revenue by nearly INR260 crore as customers normalize inventories earlier than anticipated.
Second, the temporary disruption of our Nacharam formulation facility following the OAI classification and subsequent warning letter has led to a shipment deferral of approximately INR 55 crore. Third, product -specific customer -related approval delays and demand softness in select API products. And finally, subsidiary performance has remained muted due to lower project renewals in the current biotech funding environment.
As FY26 is the first full year of NJ Bio consolidation, the cost base is fully reflected in our P&L while the revenue has lagged. Importantly, these drivers are timing, product mix, and consolidation related, not structural in nature. From a profitability perspective, EBITDA for the year has been impacted by three primary components: a shift in business mix with lower contribution from higher margin commercial products and advanced CDMO programs .
Operating deleverage resulting from lower revenue absorption, while we have continued to invest in leadership, business development, quality, and our technology platforms; and finally, the first -year consolidation effect from subsidiaries where margins have remained subdued given the current biotech funding.
As you would observe, all these factors are timing and not structural in nature. Turning now to the reported numbers. Given the inherently lumpy nature of the CDMO in

dustry, we believe a nine -month view provides a more representative performance versus the quarterly trend. On a nine -month FY26 basis, our revenue has declined by 6.7% to INR 1,650 crore.
Gross margins have improved to 72.8%, up 204 basis points year -on-year, supported by product mix and the consolidation of recent acquisitions. Adjusted EBITDA for nine -month FY '26 has declined by 43% to INR348 crore , with adjusted EBITDA margins at 21%. For context, stand-alone adjusted EBITDA margins stood at 24%, highlighting the impact of subsidiary consolidation and muted operating leverage.
In quarter three FY '26, the revenue declined by 19.5% to INR 545 crore, reflecting the lumpy nature of commercial drawdowns and shipment timing. Gross margins have declined by nearly 126 basis points, largely due to product mix tilted towards lower margin business. Adjusted EBITDA for

quarter three stood at INR 85 crore, with margins at 15.5%. Stand-alone EBITDA margins remain
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close to 19%, again illustrating the effect of consolidation and operating deleverage. While near -term margin pressure is evident, this reflects business mix, volume, and consolidation dynamics rather than a reset of platform structural profitability potential.

Turning to cash flows. Despite earning volatility, the business continues to demonstrate resilience. During the first nine months of FY '26, we have generated free cash flow of INR 175 crore, reflecting continued cash generation from the core platform. Capital expenditure during the first nine months amounted to INR161 crore, primarily directed towards advancing our differentiated platforms such as ADC and oligonucleotides, strengthening our quality and compliance system, and selective capacity and capability upgrades aligned with our customer programs. Our balance sheet remains sound and our capital allocation priorities remain unchanged.

To conclude, while FY '26 has reflected timing -related pressures and margin product mix shifts, the underlying platform, technology capabilities, and our customer engagements remain intact. With the action taken and the assumptions now embedded, we believe the business is positioned for recovery as customer drawdown normalizes and our commercial assets scale progressively through FY '27.

Thanks . And with that, now I will hand it over to Cynderella.

Cyndrella Carvalho: Thank you, Himanshu . I request the operator to open the Q&A. Neerav ?

Moderator: The first question is from the line of Foram Parekh from BOB Capital Markets. Please go ahead.

Foram Parekh: Yes. Thank you for the opportunity. My first question is since we have lowered the revenue guidance for FY '26 to mid -- to early -to-mid double digit, so my first question is are we retaining our USD 1 billion sales target for FY '30? And what would be the drivers since , you know , FY '26 has seen such decline?

Vivek Sharma: Hi Foram . Thanks for the questions . So yes, we are committed to a USD1 billion guideline. Timing might shift slightly because of the challenges we have seen this year, but overall management is fully committed to the long -term guideline that we have.

Foram Parekh: Okay. And my sub- question would be since FY '26 is going to see a decline, so do we -- can we anticipate growth in FY '27, or it is still far away?

Vivek Sharma: No, yes, we are fully working for growth in FY '27.

Foram Parekh: Okay. My second question is on the API side; I see in the presentation that we have written order book visibility -- I mean recovery looks gradual in the order book for FY '27. And since API contributes almost 50% of our total sales, so how should we look at it? Can we anticipate growth in FY '27 and therefore , it can be looked at a blended level?

Himanshu Agarwal : Foram , I think if you look at the commentary that was shared as well as subsequently by the business heads, I think we are seeing a lot of traction in ou

r business. I think all the business partners have talked about how they are seeing the business growth, right? And therefore , API as well is looking at growth in the business. The growth that we are reflecting in FY '27 or indicating in FY '27 is a function of what offshoots we are seeing as of now, which is what we have transparently shared with the larger community. So yes, to answer your question, both FY '27 as well as API , we would be looking at growth.

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Foram Parekh: Okay. And would you like to quantify what is the growth we are looking at for FY '27 on a blended level?

Himanshu Agarwal : So Foram , I perfectly understand the question and the need of the question at this junction . But given that we are in February, we are still in the midst of iron tightening our budget assumptions and very carefully looking at the risk profile. We do understand -- and you do understand as well that we have not reached to our expectations in FY '26 and therefore , we are very, very careful with the guidance that we give out hereafter. I would request you and the community to be patient with us and give us some more time for us to validate, test and give you more color to FY '27 in one or two quarters.

Foram Parekh: Are we calling out on the niche technology contribution for the quarter, like contribution from ADC and oligo for this quarter?

Himanshu Agarwal : Yes, I think I think two important aspects. One, we started calling out the niche technology percentage and the contribution which we have indeed called out for this quarter. But as I mentioned at the start of my communication on financials, we are a lumpy business and we are determined by the customer inventory management and the forecasting. So therefore, quarter -on-quarter it is little difficult for any analyst to attribute the percentages. Though we have called out the third quarter, for nine months it has been around 15% and that is what I would urge the community to look at.

Foram Parekh: Sure. That is helpful. Thank you and all the best.

Moderator: Thank you. Next question is from the line of Amlan Das from JPMorgan. Please go ahead.

Amlan Das: Hi sir. S ir, my first question is regarding the Nacharam facility. Since it has been under OAI since the past few months and recently it also received a warning letter and as you had pointed out that it had an impact of around INR 55 cror e. So is this a peak of the negative impact that we see from this facility or should we bake in some more impact due to this ongoing warning letter? That is my first question.

Himanshu Agarwal: Gunjan, can I request you to address this?

Gunjan Singh: So sure. Thanks , Himanshu. So as you rightly said, you know we received the , first the 483s and then the OAI which subsequently got converted to a WL. We are putting in all the efforts from our side. We have got some really exceptional talent recruited in the team recently. At the same time, we are taking external consultants' help into it who are experts and have done the similar remediation exercises in the past. And we are not shying away from anything which is required to regain the confidence of the authorities and our customers there. There will be some slowdown for sure because there will be some delays while we implement the remediation activities. Our revenues or our production or dispatches and production for the non-US markets would continue, while the US will take a gradual resumption. Additionally, I would also add our overall exposure to the site was quite limited. Only 2% of the total revenues were to the US market from this site.

Amlan Das : Okay, 2% of the US revenues you said. S ir -- so following on that, since it i s a 2% of US revenues you said, right? If I did, I hear that correctly? Hello?

Himanshu Agarwal: No, so what we have mentioned is that it is 2% of our total revenue. So the plant contributes 2% of the US sales. Yes , but it is on the t

otal revenue for the business.

Amlan Das : Sorry, it i s still not clear. So is it 2% of the console sales or 2% of the US revenues per se?

Himanshu Agarwal: It is less than 2% of the consolidated sales.

Amlan Das : Okay, understood. Thanks. Next, my next question is regarding the RFQs. Since you have been saying that you have been gaining a good traction on RFQs since the past few quarters. So I ju st wanted to understand what i s the conversion rate on these RFQs? As suppose you have 100 RFQs from different customers, how much -- how much of those actually converts to a commercial molecule and what i s the typical timeline for that?

Himanshu Agarwal: Yann can we request you to take this please?

Yann D'Herve: Yes, I can take this - this part, right. So first of all, the good news is that we are receiving much more RFQs, that are Phase 3 and commercial. The nature of commercial RFQs is that it takes much longer for conversion, right, because very often clients here have already one supplier and they are looking at the second supplier most likely to der isk their supply chain. So that i s good news and it takes more time to get conversion.

So since the effort, right, has yielded at least double the value, even more right, in our funnel in the last quarter, which is good news. This funnel will essentially release orders, right, in the next two to three quarters. That is what it takes, okay. In terms of percentage, right, of win on RFQ, normally the percentage win is around 20%. That i s what you can expect and it depends on the on the Phase, right, very often. So what I can tell is that the funnel that we have today is significantly better than what we had one quarter ago and that will continue to increase with our business development team strategically located, right.

Amlan Das : Thanks, sir. And -- and if I could squeeze one more. Of these four molecules which are going commercial next year, what could be the end market size that we could guess from -- that we could understand for these molecules?

Yann D'Herve: Very good question. It really depends on the application, right . So I can give you an example. O ne application is ADHD. I mean, the volume could be -- could be almost triple -digit metric tons, right, for this particula r application. For oncology, it is different. It i s normally the demand is much lower. So those molecules differ per nature given the application in the market.

Amlan Das : So could you please quantify it in value terms in dollar terms per se if -- if it is possible?

Yann D'Herve: So our clients might not know themselves, right. So very difficult to quantify.

Amlan Das : All right sir. Those are my questions. Thank you.

Moderator: Thank you. Next question is from the line of Kunal Damesha from Macquarie. Please go ahead.

Kunal Damesha: Hi, thank you for the opportunity. The first one on the Nacharam plant, so we are seeing that the impact is around INR 55 cr ore, right?

Moderator: I am sorry to interrupt you. Can you speak a little louder please?

Kunal Damesha: Can you hear me now? Is it better?

Moderator: Yes.

Kunal Damesha: Hello. Yes. So Nacharam impact of 55 crore which represents around 2% of the full -year 25 sales, which means that if that i s the impact, the sale of from that plant has gone to zero now in the 9 -month FY26?

Himanshu Agarwal: So Kunal, I think the plant produces material that we supply to US and it also produces material that we supply to non-US market. Yes , I mean -- if you would recollect we had taken a voluntary shutdown of the plant so that we could proactively remediate and ensure that all CAPAs are adhered to, yes.

We have opened the plant for non-US markets and we continue to service the non -US market. What you are seeing Rs 55cr is an effect of both the loss of supplies to US market as well as to non -US market during the period of the shutdown. So it i s

a mix of both. Again to repeat, we have opened the plant for non-US market.

Kunal Damesha: But then we are saying that the plant contributes less than 2% of total sales, right? So then last year

full full-year revenue was INR 2,600 crore, so then 2% is like INR52 crore?
Himanshu Agarwal: Let me -- let me clarify. The plant -- total plant does not contribute to 2% revenue. The total plant US revenues is less than 2% of our consolidated revenue, which you said in FY25 was INR 55 crore. That is correct. But qualification is that it is US revenue.
Kunal Damesha: So US revenue from the plant i s less than 2% of total revenue?
Himanshu Agarwal: That is correct. Thank you for that expression.
Kunal Damesha: Okay, perfect. Secondly, the way you are talking about the destocking impact of INR 260 crore from the two commercial product, the correct way to understand this is the 9 -month FY26 – or 9-month FY25 number s for those two product minus 9 -month FY26 number for those two product is INR260 crore, that is the impact, that is the decline?
Himanshu Agarwal: Yes, that is broadly correct.
Kunal Damesha: Okay. And let us say when you would have -- have you analyzed these two product as to how the innovator sales moved versus how the -- our supply how our supply moved historically and was there a way or a pattern for you to figure out, that your supplies are running higher than the innovator sales growth? Have you done such an exercise and if yes have you done extended such an exercise for the remaining seven molecules which we supply currently on a commercial basis?
Himanshu Agarwal: I would lean onto Yann to reply to you. I believe he has done lot of work on this. Yann, please.
Yann D'Herve: Yes. So I mean good question and the answer is yes, right. So we are, of course, based on client interaction as well as market intelligence we develop our model for our forecast, right. That is clear.
One thing to keep in mind as information, right: normall y between the production of the key starting material where we are active, right, and the consumption of the drug in the market, you have about two years, right, two plus years.
As such, when drugs are getting closer to patent expiry, which is the case for one here, what is happening is that the originator will reset their supply chain and we have a new base, right, happening for the for the need of the key starting material based on the market that they expect to retain, right.

So that is essentially what we have and of course we are trying to forecast properly with marketing intelligence and customer interaction.
Kunal Demesha: So Yann, for the remaining seven molecules that we supply, barring these two, would we be kind of, you know, comfortable with our forecast plan for the next couple of years that we wo uld not see such a hiccup in in majority of those molecules?
Yann D'Herve: Yes, yes, that that is correct. In fact, what I mean what we have, right, we have a binodal distribution of our commercial pipeline, right. And what you see is essentially a reduction in the more mature part of the customer pipeline. Where we can influence and where we are influencing, right, is the acquisition of new projects that are freshly commercial, right, or Phase 3.
And also, what we have is when commercial drugs have been approved, which is the case for many others that have been approved last year, right, have been approved in calendar year 2025, right, you can project that for the next 10 years you will have a constant growth for these early stage, I mean for these first node right of the binodal distribution.
So that is why I mean what we are seeing today is a reduction in our more mature part of the portfolio, right, and what we have is actually a pretty good pipeline on the early stage that will essentially render value for the next 10 years, right.
Kunal Demesha: Sure. And let us say for a product where th

e pate nt expiry is not a near term concern of the two products, is it just the inventory drawdown or innovator would have added some new source beyond us? Is there a clarity that you have?
Yann D'Herve: So, I mean, in fact, in the market, right, you have two phases where you have uh less predictability, right? One phase is when it is getting closer to patent hiring, right? And the other phase is when the drugs have been freshly approved because then the marketer does not even have, I mean, very often does not know, I mean, or does not know, projects that the projections are never correct, right?
Nobody can project properly on how a drug will deliver so well, right? So what is happening is that you have a little bit more unpredictability, right? When the drug is freshly approved and a little bit more unpredictability when the drug is mature. Our pipeline essentially is very much heavy on those two ends of the spectrum, right? So that explains a little bit the less predictability that we have right now in our portfolio.
Kunal Demesha: Sure. And lastly on the four molecules that we expect to commercialize, right, and where two are already approved. So, would we have like the master services agreement in the place and waiting for purchase orders or we are yet to sign MSAs for those product?
Yann D'Herve: So for those products we always have contracts, right. I mean those contracts may or may not include minimum orders, right, especially at the beginning, that is where you have because of the predictability, I mean our customers are also very cautious, right, how they approach the situation.
Kunal Demesha: So my understanding is, you know, during at the time of commercialization, typically innovators are okay to enter into a long-term contract, right, so is that understanding correct or there are all sorts of contracts and that kind of go on.

Yann D'Herve: I mean, we I mean, by nature, right, we have long -term contracts with customers. So those long -term

contracts might or might not include minimum orders, right, okay. But by nature, the business, there
are long -term contracts with obligations in it, yes.
Kunal Demesha: Sure, thank you. And lastly for Himanshu, this Rs 106 million reversal, what does it pertain to?
Himanshu Agarwal: So Kunal, that is essentially the ESOP s, if you are looking at the employee line, right?
Kunal Demesha: Yes, yes.
Himanshu Agarwal: Yes, yes, so that is essentially on the ESOP. That is an ESOP adjustment.
Kunal Dhamesha: Okay. Okay, yes. Thank you. I wi ll move back in the queue.
Moderator: Thank you. Next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go
ahead.
Shyam Srinivasan: Hi, thank you for taking my question. Just two quick questions. One on this qualitative comment
around earlier than expected life cycle for some mature commercial products, just trying to double
click here. Is that something that is industry-specific you think, something that you are seeing more
because products do see end of life cycle all the time. So has something changed , now versus earlier?
Himanshu Agarwal: Yann, can I request you to please take this?
Yann D'Herve: I mean the question, right, what you are asking, I mean is it a standard in the industry to have this less
predictability when products get to the end of the life, the patent life, right. The answer is yes. There
is less predictability. That is for sure. Especially when you are key starting material supplier and the
product that you make, right, are essentially made two years before the products are consumed in the
market.
Shyam Srinivasan: Yes, and what has changed now , that the predictability has increased? I think I am just trying to look
for more qualitative evidence, and should we expect this in the next , whatever , three, five years that
this unpredictable nature, this two -plus years , you a re saying will probably cont

inue?
Yann D'Herve: Yes, so that is what I was trying to explain. You have more unpredictability when your customer
products, right, are in close to patent expiry or have just been approved, right. That is where the
unpredictability is the highest. When the products have been in the market for four or five years, the
predictability is much better. In our case, we have a heavy load of products in those two buckets.
I mean, that is where our sales were, right. As such, that increases the unpredictability for Cohance
versus maybe other players , may have a more balanced portfolio with products that have been, for
example, commercial since about five years. We have less o f those in our portfolio. So it i s a good
news long -term because we have a strong early, I mean , early commercialized pipeline.
Shyam Srinivasan: That is helpful. Just second question on Himanshu on the margins. I am not asking for a quantitative
number, but nine -month I am again not using third quarter. Nine -month 24% for consol, 21% for
stand -alone. Last year was like, you know, pro forma is 30%. So are we now moving to a slightly
lower trajectory of margins ?

Again not looking at the quantitative level but from the mix of how we are: 50% API, right, 40%
CDMO, the rest is spec. So just want to understand: is there a down guide? Maybe we come down and then start stabilizing
there but just want to understand just the margin walk there. Thank you.
Himanshu Agarwal: Yes, so Shyam, I think the important aspects to understand is there is multiple factors that that are in
play here, okay. And I had alluded to some of them. Let me try explaining them. Typically, the commercial products come at
higher margins, okay. And I think Yann has alluded to the interplay that
we have experienced as a business, where we have a lower mix of lower contribution of commercial
products. That is kind of had an impact on the margins, okay.
You a re right, the API business comes with relatively lower margin than the CDMO and the niche -
tech business. The niche -tech business continues to do well , and I think if you look at the trajectory
that is coming in, right. So we have got -- we have talked about two commercial products which will
mature and two new commercial also. And then there is new payloads kind of coming in.
I would say that, these are timing issues for us. We are not sensing that there is a change in the margin profile from a mid
-term perspective. But yes, short -term is impacted. I would not disagree and that is
what is reflected in the current performance. But we remain close to the guidance that we have set,
that we will reach to the margins of 30 -plus, which we had set, but in short -term we will you will have
to allow us to get back to the right mix of the business.
Shyam Srinivasan: Thank you and all the best here.
Moderator: Thank you very much. Ladies and gentlemen, we wi ll take that as the last question. I now hand the
conference over to Ms. Cyndrella Carvalho for closing comments.
Cyndrella Carvalho: Thank you everyone for joi ning. We wi ll see you again in after the quarter four numbers. Thank you.
Moderator: Thank you very much. On behalf of Cohance Lifesciences Limited, that concludes this conference.
Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2026

May 15, 2026

To
BSE Limited
25th Floor, P. J. Towers,
Dalal Street, Mumbai - 400 001 To
National Stock Exchange of India Limited
Exchange Plaza, Bandra Kurla Complex
Bandra (E), Mumbai – 400 051

Code: 543064
Symbol: COHANCE

Dear Sir/Madam,
Sub: Transcript of the earnings conference call held on May 12, 2026
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2026 held on May 12, 202 6.

You are requested to take the above on record.

Thanking you.
Yours faithfully,
For Cohance Lifesciences Limited
(formerly, Suven Pharmaceuticals Limited)

Sisir K. Mishra
Company Secretary & Compliance Officer

Encl: as above

Cohance Lifesciences Limited
Q4 & FY26 Earnings Conference Call
May 12, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Q4 and FY26 Earnings Conference Call of Cohance Lifes ciences Limited. I now hand the conference over to Ms . Cyndrella Carvalho . Thank you and over to you, ma'am.
Cyndrella Carvalho: Good evening and good morning, everyone. And thank you for joining Cohance Lifesciences Quarter 4 and FY 26 earnings call. Today we welcome our Executive Chairman and Group CEO, Mr. Umang Vohra, on his first earnings call with Cohance . Joining me today are Mr. Yann , our CEO Pharma CDMO; Mr. Gunjan, our CEO API +; Mr. Amrit, our Head Specialty Chemical; and Mr. Himanshu Agarwal, Whole-Time Director and Chief Financial Officer. Before we begin, I would like to remind you that today's discuss ion may include forward-looking statements.
With that, I will hand it over to Umang for his opening remarks.
Umang Vohra: Thanks Cyndrella and good evening to everyone on the call. I am very happy to be here. Having spent over three decades in this industry, I am excited to be part of a platform that is anchored in science with capabilities such as ADCs and oligonucleotides, which are well -differentiated and hard to replicate in terms of a value offering. Cohance is well -positioned to be such a platform.
It is also important to acknowledge the team behind the platform. The colleagues on this call along with the broader leadership group and our 640 scientists who bring this science to life every day represent a strong foundation.
My immediate priority over the next few months will be to spend time with our teams, customers, and sites. By the end of this fiscal year, the intent is to create a strategic blueprint for growth and sustainable value creation. Over the next few years, we intend to focus Cohance 's capabilities and science on the predictability of delivery, backed by our strong quality and systems, a deep talent pool, and a pipeline that matters to our partners and our patients.

With that, I will hand it over to Ya nn.
Yann D'Herve: Thank you, Umang, and good evening, everyone. The Pharma CDMO business reported revenue of INR8.89 billion for FY 26. Adjusting for the destocking impact in the two large commercial molecules, the business delivered an underlying growth of early single digit. Commercial products contributed more than 70% of standalone Pharma CDMO revenues in FY 26. Overall, we have more than 140 active projects across the Pharma CDMO standalone portfolio, covering both development and commercial programs.
On small molecule, while FY 26 was impacted by customer inventory adjustments, order phasing, and slower reloads, engagement with customers for both the large commercial products currently under

destocking continues to remain steady. We added one new Phase 3 lateral program in small molecules with a large innovator, along with one program each in ADC and oligonucleotide advancing into Phase 3. With two programs progressing towards commercializatio n, the total Phase 3 pipeline now stands at 10 programs.
Within the Phase 3 pipeline, one program is under priority review and another is awaiting clinical data readout expected in calendar year '26. Of the two programs that recently entered commercialization, we have recently received orders for one involving four intermediates, with the other that is also expected to contribute during FY 27.
Reload conversion remains quite high above 90% and new business conversion with innovator pharma and biotech customers continue to be healthy.
On ADCs, customer interest continues in payload linker programs. In FY26, we have filed three payload DMFs and many additional payload linker filings are underway. We are also seeing traction in newer payload platforms, including exatecan -linked opportunities. During the year, we initiated work on adjacent payload platforms based on customer inquiries.
At NJ Bio , we continue to expand our integrated ADC capabilities. The platform has successfully completed the first bioconjugation campaign during Q4 ' 26 cGMP. Expansion work of $ 10 million capex at the N J Bio US facility is progressing to support future scale -up, Phase 2 requirements, and validation readiness.
In oligonucleotide segment, through the Sapala platform, we have received a follow -on purchase order. The cGMP oligonucleotide building block facility is under validation. Several customer qualifications and higher complexity RFPs are progressing. During t he last few months, we completed more than 20 plus audits and customer visits from large and mid-sized innovator pharma and biotech customers. Several of these included senior customer teams visiting our facilities.
To summarize, FY 26 revenues were impacted by destocking, customer inventory adjustment, and delayed reloads. However, RFQ activity, customer audits, late-stage programs, and pipeline building work continues. The focus for FY27 is execution, order conversion, and delivery visibility.
With that, I will hand over to Gunjan.
Gunjan Singh: Thank you, Ya nn, and good evening, everyone. The API + business reported revenues of INR 10.88 billion in FY 26, reflecting a decline of 8% year -on-year. The softer performance was due to product - specific factors, shipment delays, and temporary disruption at the Nacharam formulation site. However, performance through the second half improved sequentially as the s upply execution stabilized, the customer engagement strengthened, and the order conversion improved across key markets.
In APIs, the portfolio continues to remain broad and differentiated. Our top 15 leadership products contribute around half of the API revenues, and eight of our top 10 molecules continue to hold leadership positions. The business remains supported by niche small to mid -volume products, diversified customer relationships, cost competitiveness, and backward integration capabilities.
During the year, the demand across therapies remained largely stable with growth primarily volume - led. While select mature molecules experienced pricing pressure, this was substantially mitigated

through higher volumes, operating efficiencies, portfolio expansion, and focused cost actions.
Importantly, the challenges during FY 26 were concentrated around a limited set of products and customer -specific situations, rather than reflecting any structural weakness in the portfolio.
As highlighted over the course of the year, we have continued to strengthen our development pipeline and diversify the revenue base. During FY26, we completed 10 new filings and validated six more new products. We also advanced multiple new customer engagements,

including life cycle management opportunities with European customers, which are expected to scale progressively over the medium term.
The breadth of the pipeline today is materially stronger than it was a year ago and provides a broader platform for future growth. On the formulation side, revenues were impacted by approximately INR 610 million during FY26 due to the temporary disruptions at our Nacharam site and the associated shipment deference.
Production and US supplies have since resumed, and remediation actions implemented over the past several months are strengthening quality and operating systems at the site. While utilization levels are still normalizing, customer engagement and order visibility have steadily improved.
In parallel, we have continued to actively manage supply chain continuity through alternate site

strategies and closer customer coordination. We expect further normalization over the coming quarters as execution stabilizes and the order book progressively converts into shipments.

On the business front, we supported five launches during the year , while additional two launches moved into the next quarter based on customer timelines. Further, there are a few very interesting and differentiated opportunities in our formulation business that are shaping up. Most of these are leveraging our integrated API and FDF play.

Overall, API Plus enters FY27 from a significantly more stable operating base. The focus now is on accelerating volume growth, improving asset utilization, expanding customer engagement across both APIs and formulations, and converting the strengthened pipeline into commercial scale-up opportunity over the medium term.

With that, I hand it over to Amrit.

Amrit: Okay. So I am starting from specialty chemical. Specialty chemicals reported revenue of INR 2.913 billion in FY26, a marginal decline of 2.1% year -on-year. The business was impacted by customer program phasing, regulatory timing, and generic pressure. In agrochemical, we continue to work on active ingredient and advanced intermediates.

During the year, we saw progress in qualification campaigns, registration sample work, and new lab scale programs. Engagement continues with large global agrochemical innovators across qualification work, registration sample, and advanced intermediate prog rams. In the performance chemical business, photochrome coating application remains relatively stable. The OLED business is going through a product cycle transition.

We are also seeing early -stage engagement in electronic materials and semiconductor linked chemistries. These are still at an evaluation stage and will take time to scale. For FY27, the focus is on

converting customer qualifications, RFQs, and confirm orders into revenue. FY27 will be a qualification and readiness year for parts of the portfolio, with supplies expected to build as customer programs progress, grow th to return in FY28.

With that, I will hand it over to Himanshu. Thank you.

Himanshu Agarwal: Thank you, Amrit, and good evening, everyone. Let me take you through the financial performance. For FY26, revenue stood at INR22.68 billion, a decline of approximately 13% year -on-year. The adjusted EBITDA stood at INR 4.77 billion. EBITDA margin stood at 21%, while our standalone adjusted EBITDA margin were at 24.6%.

Q4 and FY26 performance were in line with the guidance we had shared last quarter. Gross margin was at 70.8%. This was supported by product mix, backward integration, cost actions, and benefit of INR depreciation. Operating margins were impacted by lower v olumes, continued investment in business, and weak performance by subsidi es.

Towards the end of Q4, uncertainties in the Middle East region led to escalation in logistics and freight cost, along with selective inflation in certain raw materials and key starting materials. While Q4 did not witness any material impact from this situation, Q1 will

experience impact of nearly 100 to 150 bps on our FY26 gross margin levels, largely on account of API Plus business. We are under discussion with some of our customers to share part of this cost inflation.

Capex during the year was INR 2.15 billion. This was focused on ADC, oligonucleotides, manufacturing infrastructure, and our quality systems. We expect capex spend of nearly INR 3 billion in FY27. Free cash generated in FY26 stood at INR 1.73 billion. In FY27, growth will return from second half of FY27 onwards.

Quarter 1 FY27 is to be low on both revenue and EBITDA, largely on account of revenue schedules skewed towards second half . Escalation and logistics and input cost arising from the Middle East geopolitical situation, as well as higher operating cost. Improvement in EBITDA should become visible in the second half as the volumes recover, order conversion improves, and product mix normalize.

We believe the business is moving towards a bottoming out phase, with Q 1 FY27 to be the low point. We expect recovery becoming more visible from second half of FY27, supported by execution on existing programs, customer conversions, reloads, and improving utilization across the platform.

With that, I will hand it back to Cyndrella .

Cyndrella Carvalho: Thank you, Himanshu. We will now open the floor for question-and -answer s.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question-and -answer session. Our first question is from the line of Karthi from Suyash Advisors . Please go ahead.

Karthi: Good evening, gentlemen. Mr. Umang, welcome to Cohance. If this stock price is any indication, your presence is greatly appreciated. I had just a couple of clarifications. One is if you could for FY26, that is split the CDMO revenues into ADCs, small molecules, Sapala, and N J and give an outlook for ' 27 and beyond? And a detail to that would be what is the contribution expected from the two products which saw a big drawdown last year, and what would be the likely contribution from the two new products which have been commercialized?

Himanshu Agarwal: I will answer part of the question and then I will hand it over to Umang. So from the contribution of the two large molecules, commercial molecules that we have seen destocking, as communicated earlier, the impact is around INR260 crore.

Karthi: Yes, I said how much of that is likely to return in FY27? And the two new products, what could be the likely contribution? That was my question.
Himanshu Agarwal: Yes, so from a return, we are in active discussion with both the customers and we expect there would be a return in both these molecules. However, you will have to allow us to have meaningful conversations crystallize into orders before which we communicate t o you on the actual amount. On the new products...
Karthi: Yes, Yes, fair. You are saying there is no visibility as on date, that is what I am to take away, right?
Himanshu Agarwal: No, what I am saying right now to you is there is a visibility because we are in conversations with the customers. What I cannot confirm to you is the value at this stage. But I can confirm to you that we are expecting these material, both these molecules to return back to us in FY27.
Karthi: Fair. And you were talking about the other two new products added to the commercial portfolio.
Himanshu Agarwal: I will ask Yan n to contribute and answer that.
Yann D'Herve: With regard to the two new products that have been approved, as indicated in my speech, we have received four commercial orders for four key starting materials with regard to one of the commercial drugs, right? So that is revenue that will appear mostly in Q2 FY27 and i n Q3 FY27. With regard to the second product that has been approved, we are in active discussion in order to determine when those will be delivered.
Karthi: Sure. And would you be able to call out the contribution of

ADC to your CDMO revenue this year,
FY26 that is, and what is the likely growth in FY27?
Umang Vohra: I think we are not providing that color right now. But as we reassess the strategy, maybe a few months later we could consider that. But at this point, we are not providing that color.
Karthi: Sure. And one last thing before I get back in the queue. Would you be able to provide the breakup of the one -time expenses over the last two years, roughly about INR109 crore? Can you break that down so we have a clear understanding of the nature of these one -offs?
Himanshu Agarwal: Yes. So I will tell you about this year. I think this year, on a one -time expenses, there are two large elements. One is that we have taken a one-off inventory provision, which is around 195 million. And we have also provided for certain customer adjustments, that is in the range of around 126 million. Onto the point of ADC and oligo, we have called out in the presentation that our niche tech as a percentage of revenue is 16.2% for the full year.
Karthi: Fair. Sure. Thanks and best wishes.
Moderator: Thank you. Our next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan: Yes, thank you for taking my question and good evening team and welcome Umang. My first question is on, from a forward -looking perspective, I have seen the guidance that has been mentioned on the opening remarks and in the investor presentation. Q1 supposed to be weak and a second- half recovery. So just if you could share other than the base effect, is there anything tangible or qualitative that you could add? And if you could also give color across the three segments as well, Spec Chem, A PI Plus, and CDMO, please?
Himanshu Agarwal: At this stage, as we have said that the second half would be when we would see the growth returning, right? And the first half is weak with quarter 1 in particular weak with both revenue and EBITDA. It would be API followed by CDMO and followed by Spec Chem. That would be the order. But I would not be able to give you more dimension on it. But that is essentially what we are looking at , so, quarter 1 would be low, the quarter 2 is our understanding where we expect the quarter 2 to be stabl e and then H2 is where we are calling out growth moving forward.
Shyam Srinivasan: Thank you, Himanshu. Just second question to Umang, from your own vantage point, you have spent so much time in the pharma industry. What are some of the things that you have , I know it has been a short time since you have been at Cohance, but just want to understand, double -click on your role and what are some of the best practices you think you would like to bring or is it just enhancing already existing systems? Just some ph ilosophical thoughts around the path forward for Cohance?
Umang Vohra: Yes, look, I am sorry, please do not hold me to it, it has been nine days or 10 days, but it seems to me that Cohance has attentioned significant places or significant portions of the value chain in the ADC, oligonucleotide chemistry. And I think there are some that we will continue to augment and build so as to offer a value offering that is probably unique and maybe more integrated. That is one of the things that we will do.
I think there are some chemistries on the small molecule, on the API and the API Plus side, which are pretty unique to what Cohance does, which are around the areas of colored compounds, around certain types of chemistries which are important for Cohance. And I think the intention is to build these further while improving the product offering here. So basically the capabilities of science, the capabilities of the ability to offer differentiation is what I think Cohance would position itself to do.
And linked to that would be, operating leverage that hopefully will come out from the business as we begin to pull, as we begin to get more revenue an

d we begin to optimize the type of expenditures that
the business has invested in over the past couple of quarters. So I see those as important areas to go. It

is really about embedding Cohance into the value chain of new drugs as well as, you know, off -patent and unique drugs that exist in our marketplace.

Shyam Srinivasan: Thank you, sir, and all the best.

Umang Vohra: Thank you very much.

Moderator: Thank you. Our next question is from the line of Sajal Kapoor from Antif ragile Thinking. Please go ahead.

Sajal Kapoor: Hi team, now with Umang on board and some reshuffling and some rethinking will invariably happen. As shareholders, we look forward to some growth. Can I just clarify that when we say H2 from current fiscal of H2 we will revert back to growth, will we be measuring ourselves against the previous Y -o-Y

basis or the FY 25, which was the last growth Q3 and Q4 of fiscal 25? Are we benchmarking our growth or expecting that growth to come on the on that base, the higher base?

Himanshu Agarwal: So first of all, the growth would be on a year -on-year basis. Okay. I think that is important for us to relate to, right? Having said that, I am not saying that there may or may not be a growth versus the previous to previous year. I think what we must understand, and I think I mentioned that to Kartik, that there is a large commercial which got dropped in the FY 26.

And as you know that we are ramping up our commercial, our Phase 3 pipeline, as we have called out, has moved up to 10 and from the 9 it moved to 10 with two molecules moving out into commercial. So we have actually added three molecules into the pipeline. So the commercial gets strengthened. However, it does take time for the commercial to improve or for the innovators to make these products commercial. And therefore, we would see a lag effect on the revenu e. And that is essentially what we are looking at from our business perspective.

Sajal Kapoor: Sure, that is helpful. And if I could just conclude with my second question. I mean, what is likely to be the hardest decision for you as the team you will need to make at Cohance in the next 18 to 12 months? Because ours is a regulated business, it is a relationship -based business where trust compounds over many years with our customers. So in that context, what you think is the biggest priority for the team to sort of rebuild that confidence both with regulators and the customers so that when we get back to growth, we stay in growth mode for a very long period. Thank you.

Umang Vohra: I can think of two things or maybe three. Let me put out three things here. One is the operational rigor. When we have the green light to go, we cannot be short of capacities, we cannot be short of product robustness, and the quality systems have to be strong. The second point is custome r relationships have to deepen.

And like Himanshu was mentioning, there are some places where we are beginning to see diversified customer base and diversified customer orders coming in versus our historical reliance on one or two customers. And I think the third is just the science engi ne. We need to keep progressing our science engine, whether it is in the area of ADCs and oligonucleotides and other amidite chemistries to even beyond into regular solid dose chemi stry and solid dose capability.

So I think pushing the science envelope, which means talent, pushing our quality envelope and the robustness of our offering, right, as well as pushing the ability to create and sustain long-term relationships. I think those are the three things around whi ch I think we will be making decisions going forward. I do not know if we are at a point where we will make tough decisions at this stage, but wherever a tough decision is needed on where we allocate capital, it is likely to be in these three areas.

Sajal Kapoor: Thank you, Umang. Wish you a very long and produ

ctive career here at Cohance. Thank you so much.

Umang Vohra: Thank you. Thank you so much.

Moderator: Thank you. Our next question is from the line of Siddharth N egandh i with CWC. Please go ahead.

Siddharth Negandhi: Hi, thanks for the opportunity. Umang, you just mentioned about a certain program concentration. If you could share the program and customer concentration in revenue for each of the three segments. The second would be any specific examples of AI implementation that you are seeing which is enabling you

either to get better quality output or get output faster, especially in the later stages of your programs. And lastly, if you could share any color on the FY 27 guidance in terms of what growth can one expect. And I hear you on the H1 H2 base?

Yann D'Herve: So let me clarify. Could you repeat the question on the customer concentration?

Siddharth Negandhi: Could you share your customer concentration for the CDMO segment by program or molecule and by customer? So , what is the revenue salience of top one, top three, and top five molecules?

Yann D'Herve: We do not give this level of details. Nevertheless, I can answer some of the question on customer concentration, right? And you can see that in our results, right? So we have had by the past reliance on a few molecules, right, historically. And that is the reason why we are in the situation we are in today, especially on the small molecule side of the business of the CDMO business.

This concentration is changing positively year -on-year, meaning that there is less concentration in FY26 than there was in FY25 and there will be less concentration in FY27 versus FY26 as we continue to develop our customer project pipeline. And that is essentially the message, that is one way to de -risk long term. I hand over to Gunjan for the same question.

Gunjan Singh: And in the API Plus case, which is a products business, our top 15 products contribute nearly half of the API revenues there. And if I give you a flavor around the kind of customers, so nearly two-thirds of the revenues comes

from customers who are innovators or large global generic or regional leaders in
the generic space. And only nearly one -third is with smaller customers there.
Sidharth Negandhi: Got it. And any FY27 guidance and any specific AI implementation that is helping you either get through programs faster or get better quality output for any of your programs?
Yann D'Herve: Maybe I can answer as this is Yan n here on AI -related topic, right? What is important for us is customer centricity and how we support our clients in their projects. That is how we are successful as an organization. As such, we have implemented some AI tools in order to improve our analysis on essentially our results right, in order to be able to have proper communication with clients and offer as well opportunities for improvement. So that is one example of use of AI tools that we currently have in our platform to support the client.
Gunjan Singh: And I will just add a couple of points there. On the AI use, we are in active discussions and evaluating some tools around which can help improve operational efficiencies and can also support us on the regulatory aspects in terms of reducing our time to file and imp rove the quality of filings there. T hat is the limited use that we are doing so far. Additionally, we are also exploring, you know, the creation of data lakes and the databases that can help, take better and faster decisions going f orward, both on operational as well as customer side.
Sidharth Negandhi: Any FY27 guidance across the three?
Himanshu Agarwal: And yes, we really appreciate the lead to give a guidance, but you would have to allow us some time to come back and give guidance. At this stage, I think we are comfortable to share that the growth will return from second half and quarter 2 would be stable while q uarter 1 is a weak qu

arter both on revenue
and EBITDA.
Sidharth Negandhi: Thank you so much.

Moderator: Thank you. Our next question is from the line of Ashish from UTI. Please go ahead.
Ashish: Yes, thanks for the opportunity. So given that, between the standalone and the console, there is a difference in the margins. So I wanted to have some details on Sapala and N J Bio. What is the projected timeline for consolidated margins to return to the historical benchmark of 30%? If you could give some color around this would be helpful.
Himanshu Agarwal: At this stage, one, the results will enable you to get a sense and appreciation of how the standalone and subsidiary results are, right? So that would give you a good indication of the 4 % to 5% play that we are looking at it. And I think there is a recognition that is there. We have called out that Sapala has a reload on Phase 2, Phase 3, and that would kind of help the Sapala business accelerate from here onwards. On NJ Bio, there is a work being progressed with N J Bio team in terms of bringing the business back to profitability. But as I said, we do need some time to kind of come back to all of you on how this would shape up in the coming year. And maybe I will ask Yan n to further contribute on this subject.
Yann D'Herve: So, on the N J Bio situation, we have a very important investment that is currently being implemented to be able to support bioconjugation program to Phase 1, Phase 2. So this is where a lot of the value moving forward is. As such, it takes always some time here because it takes about one year to implement plus some time for validation and then being able to execute all the different programs here. So, give us here a little bit more than two years to get back to this level.
Ashish: Okay, this is helpful. Lastly, since you said recovery, in the order of recovery would be API first, just wanted to understand the second- half recovery that you mentioned, is that dependent a lot on the API segment recovering? And to that extent, what I was trying to understand is the Nacharam formulation facility . So what is the kind of dependency that we have when we say it would be a second- half recovery?
Himanshu Agarwal: I think what I mentioned to Shyam was how we were looking at the H1. When you are looking at recovery from an H2 perspective, we expect the CDMO business to have an accelerated recovery. And in fact, all the three businesses we expect the recovery to be strong in the second half. So it is just that the order book is skewed towards the second half, which is why we are looking at a weak quarter 1 and a stable q uarter 2.
Ashish: Yes, this helps. Thanks a lot.
Moderator: Thank you. Our next question is from the line of Shreya Chatterjee with Ageless Capital. Please go ahead.
Shreya Chatterjee: Thank you for taking my question. My first question is just confirming the fact that you had mentioned there would be four commercial molecule launch in FY27. So , I guess two molecules have already launched. So is that in progress, like four total molecules to be launched in FY26 and FY 27? Hello?
Yann D'Herve: I confirm, right? Two have launched and we expect the two others to launch, of course, depending on the clinical performance and we expect these to be known within the next 12- 18 months.
Shreya Chatterjee: And would it be possible to give any color like in H2 how much are you expecting from these new commercial molecule launch?

Yann D'Herve: I think Himanshu had provided the response. I mean, we are not yet ready to answer that question. That will come later.
Shreya Chatterjee: Got it. And also on the new Phase 3 molecule that you have added on the small molecule side and the ADC molecule that you had commercialized recently, would it be possible to give some colou r to these two molecules?

Yann D'Herve: Phase 3 we normally do not provide too much colou r, right? Th

is is early Phase 3, so we need a little
bit more time. Even the client might not know himself, right, the kind of volume that is expected here.
Shreya Chatterjee: Got it. And also, if it is possible, like this question is to Himanshu, to provide the breakdown of other expenses for the full year, which is like a big amount, INR6 71 Crore , if it is possible, like where the major expenses heads going? A rough breakdown of that amount would be helpful.
Himanshu Agarwal: So Shreya, the financials have been declared and they have the necessary split from that perspective. I mean, I am not sure what additional flavou r you are seeking. If you can help me out, then what is possible we will certainly want to share.
Shreya Chatterjee: Like what are the major heads of the expenses under other expenses, which is like a big amount INR6 71 Crore ? Because our gross margin seems to be quite high, but when we convert i t to adjusted EBITDA margin, we are losing out a lot. One part is employee benefit expense s, but then other expenses is also vacant . So just trying to understand what are the major expenses currently in FY 26 under other expenses.
Himanshu Agarwal: Yes. So, of the large portion of that is the conversion expenditure, that is almost in the range of INR400 plus C rore. And then the balance INR 260 Crore is a function of the marketing expenditure, as you know that we had a merger and therefore we were building the brand. So, the brand building expenditure as well as the entire SG&A actually, the entire SG&A if you look at it, whether it is the office expenditure, travel expenditures, so these are all granular expenditure which is typically there in the business.
Shreya Chatterjee: Got it. Thank you.
Moderator: Thank you. Our next question is from the line of Chirag Shah from White Pine Investment Management Private Limited. Please go ahead.
Chirag Shah: Thanks a lot for the opportunity. I have two questions. Question one on some indication on the vacuum that had got created because of loss of two molecules. So Yan n, specifically for you, what is being done right now to ensure this kind of vacuum does not get created in future? So that is question one I have.
And second question I wi ll ask once you respond to this. It i s for Umang. My second question is for actually Umang.
Yann D'Herve: That is true, we mentioned it several times. I mean, we have a dip because of the high concentration in a few molecules and the fact that some are getting close to becoming generics, right? S o what do we do about it, right? In order to bring growth is essentially expansion in term of number of customers and being able to get projects that are later phase in the customer project pipeline to accelerate the recovery.
So that i s what we are doing at the moment. We see good traction with strong fun nel that has been multiplied by two essentially in the last six months with regard to small molecule that give us strong hope that we are going in the right direction here.

Chirag Shah: Okay. And second question for Umang, actually a slightly different question. Since you have joined the organization, have you been able to focus on corporate governance and strengthening the processes or it has not been on your agenda as of now? Why I a m asking that in your abs ence when you are not there, it is coincidental that certain information and certain investor category have co -aligned in that sense. At the peak, some information has got out and some investors have exited and re -entered at the bottom of the stock price and since then the again positive announcements have started.
So, it is a request if you look at the strengthening of corporate governance slash information flow which I believe was happening selectively. I could be absolutely wrong and I hope I am wrong. So, if you have not been able to spend time, I would request you to foc us on that. That is

my second question.
Umang Vohra: No, certainly. I think as part of this role, the governance requirement is paramount and I will be spending time on that as well in the next few months. But thank you for raising this.
Chirag Shah: And I hope you would be able to update us whenever you can, maybe two quarters down the line on what changes have you made on this side.
Umang Vohra: Yes, absolutely.
Chirag Shah: Yes, thank you very much.
Umang Vohra: Thank you.
Moderator : Thank you. Our next question is from the line of Sidharth Negandhi with CWC. Please go ahead.
Sidharth Negandhi: Just a follow -up on the claim that you put in respect of the one -time settlement with the customer. A, if you could give some color on what that was towards and does that have any impact or bearing on that customer relationship and therefore the revenue li kely revenue impact going forward? That was one question. And on the brand building expenses that were there, therefore do we expect those also to be more one -time in nature and therefore some cost savings on that in FY27 and going forward?
That is question two. Question three is if you could give us a little bit of a breakup on, the number of programs that you have underway and breakdown by phase into how many of those are Phase 1, Phase 2, Phase 3, and commercial.
Himanshu Agarwal : Sidharth, on your first point, the customer settlement is purely commercial and therefore given the nature of the settlement, we do not see any impact on the revenue or on the relationship with the customer. On the second question, yes, we would see a reduction in the marketing expenses given that a part of the brand building has already been done. So, to that extent, your observation is right …

Sidharth Negandhi: And could you quantify that?
Himanshu Agarwal: No, I would not prefer to quantify that at this stage. I mean, we do not give specific categories of expenditure, but yes, there would be a reduction that would happen on that. And on your third question, I am going to request Yann to address that.
Yann D'Herve: So, I think we communicate on the Phase 3 and commercial programs quite extensively. It is part of the quarterly report as well, right? I think this information is available. What I can tell you as well is the quality of the programs that we are onboarding right now in Phase 1, Phase 2 is also pretty strong with

some clients also asking us to produce the API or the complex molecule for them. So that is good news. I mean, of course, it is Phase 1, Phase 2, takes some time to develop, but that shows as well the strength of the platform.
Sidharth Negandhi: Thank you.
Moderator : Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to the management for closing comments.
Cyndrella Carvalho: Thank you, everyone, for your time and joining us today. See you next time on the Quarter 1 call.
Moderator : Thank you. On behalf of Cohance Life Sciences Limited, that concludes this conference. Thank you all for joining us.

Please note: We have edited the language, made minor corrections, without changing much of the content, wherever appropriate, to bring better clarity.